

Viyash Scientific (VIYASH)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Aug 2022

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office: 301, 3rd Floor, Dosti Pinnacle, Plot No. E7, Road No. 22, Wagle Industrial Estate , Thane (W), Mumbai - 400604, Maharashtra, India

Tel No.: +91-22-4111- 4777 | CIN: L99999MH1985PLC036685

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

August 16, 2022

To,

BSE Limited

Corporate Relationship Department National Stock Exchange of India Limited

Listing Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Exchange Plaza, Bandra -Kurla Complex,

Bandra (East),

Mumbai – 400 001 Mumbai – 400 051

Scrip code: 512529 Symbol: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter ended June 30, 2022

Dear Sir/ Madam,

Pursuant to Regulation 30 (6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Unaudited Financial Results for quarter ended June 30, 2022.

The same is also available on the Company's website at <https://sequent.in/pdf/financial/2022-2023/Sequent%20Science-Q1FY23-Earnings%20Call-Aug%2009-2022.pdf>

Kindly take the same on your records.

Yours faithfully,

For Sequent Scientific Limited

Krunal Shah

Company Secretary & Compliance Officer

SeQuent

Page 1 of 15

"SeQuent Scientific Limited Q1 FY-23 Earnings Conference Call"

August 09, 2022

MANAGEMENT : M R. RAJARAM NARAYANAN - MANAGING DIRECTOR ,
SEQUENT SCIENTIFIC LTD
MR. SHARAT NARASAPUR - JOINT MANAGING
DIRECTOR , SEQUENT SCIENTIFIC LTD
MR. P V RAGHAVENDRA RAO – CHIEF FINANCIAL
OFFICER , SEQUENT SCIENTIFIC LTD. SeQuent
Proven Ability In Life Science
SeQuent
Proven Ability In Life Science
SeQuent Scientific Limited
August 09, 2022

Page 2 of 15 Moderator: Ladies and gentlemen, good day and welcome to the SeQuent Scientific Limited Q1 FY 23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode. At

the end, there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Singhal. Thank you and over to you, sir.

Abhishek Singhal: A very good morning. And thank you for joining us today for SeQuent Scientific Earnings Conference Call for the First Quarter Ended Financial Year 2023. Today we have with us Mr. Rajaram – Sequent's Managing Director, Sharat – Joint Managing Director and Raghavendra Rao – CFO to share the highlights of the business and financials of the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the Stock Exchange websites. The transcript for this call will be available in a week's time on the company's website. Please know that today's discussion will be forward looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the investor relations team. I now handover the call to Mr. Rajaram to make the opening comments.

Rajaram Narayanan: Thank you Abhishek. And good morning everyone. A very warm welcome to our quarter one earnings call. Joining me in today's call are Mr. Sharat Narasapur, Joint Managing Director and Mr. P V Raghavendra Rao, who has recently joined the team as

SeQuent as the Chief Financial

Officer. A very warm welcome to him. Mr. Rao comes with a very enviable track record of senior leadership experiences, a large part of which were spent in leading pharmaceutical companies.

Over the last three months, I've had the opportunity to take stock of our businesses, meet several customers and engage with employees across many locations. And I'm more than ever convinced that SeQuent has a very unique and sustainable long-term opportunity, and our strategy will position us well in the fast growing animal health industry. Business this quarter has demonstrated enormous resilience in a macro environment which was affected by geopolitical issues, inflation, recessionary pressures, and of course volatility in certain currencies.

Coming specifically to our quarter one results. The results are a mixed bag, impacted by a few one-offs. In quarter one our momentum in the API business was impacted because we had an exceptional one-off fire incident at our Vizag facility in May 2022. There were no injuries or any impact on people. And while this would not impact our business over the financial year, it did have an impact in the quarter as the facility was closed for operations for a brief period. And I'm really glad to inform you that the entire team worked day and night and the factory has resumed normal operations since early July. We have made significant investments to bring the facility back on track in record time. And in fact, we've used the downtime to strategically SeQuent

Proven Ability In Life Science
SeQuent Scientific Limited
August 09, 2022

Page 3 of 15 upgrade our infrastructure and processes to match the highest global standards. In this quarter also, we've submitted a new VMF filing and currently we have a total of 25 US VMF filings and 11 CEP approvals along with a robust near-term pipeline. Our other strategic manufacturing facility for APIs at Mahad has received the ISO certification for 14001 which is for environment and 45001 which is for health and safety, which is further validation of our team's efforts to maintain the highest standard on the EHS front.

Coming specifically to our formulations business, we had a healthy double-digit revenue growth in constant currency terms. In fact, all the markets in constant currency terms did very well. And while the volatility in the exchange rate has had an impact, our in-market share positions have grown much stronger. Our LATAM business, led by Brazil, has really gained strength and we have completed the integration of our recent acquisition of Nourie, which gives a strategic

entry platform in the companion animal segment in Brazil, which is amongst the fastest growing segments, and Brazil is also the fourth largest companion animal market globally. Of course, the hyperinflationary pressure in Turkey remains a challenge and the detailed impact of that on our financial results has been laid out to you in our quarterly results presentation. Our formulations business in India has also maintained a growth momentum and we are very confident of the opportunity that the India market presents. So, overall while the start of the year has been impacted by one off, we remain very confident and we are on track to achieving our strategic objectives. I will now hand over the call to our CFO Mr. P V Raghavendra Rao to give us an update on the financial performance.

P V Raghavendra Rao: Thanks Raja. And a very good morning to everyone. I am happy to address this forum for the first time in my capacity as a CFO. I'm excited to be part of SeQuent journey and look forward to begin this company as a major global animal health company with the team here.

I will now briefly update you on the key metrics for Q1 FY23:

Our total revenue for Q1 stands at Rs. 3.4 billion, which is up by 12.8% Y-o-Y in constant currency terms. On a reported basis, the growth is 6.5%. The major driving

force of the growth

has been recorded from our formulations business, with a strong 19.5% Y-o-Y constant currency growth. However, on reported basis, formulations business grew at 7.9%. The LATAM region continued its growth momentum delivering 17.3% growth. Even in the face of market challenges, our India business has grown by 4.7%. The contribution from the formulation business stands at Rs. 2.4 billion. As mentioned by Raja earlier, we witnessed a fire incident at our Vizag facility in the May month. Consequently, our API business was affected and operations were hampered for a few days, registering lower than expected revenues of Rs. 888 million for API, which is down by about 5.9%.

The input costs for both API's and formulations have stabilized to some extent, albeit at a higher level, and also, for some specific operating expenses like utilities and logistics. However, the inflationary pressures continue to sustain owing to the elevated price levels. Travel related costs SeQuent

Proven A.b liii., I Life Science

SeQuent Scientific Limited

August 09, 2022

Page 4 of 15 have climbed back to pre COVID levels with the easing of travel restrictions and increased vaccination coverage of citizens in most geographies that our businesses operate in. EBITDA, excluding the ESOP cost stood at Rs.201 million while the reported EBITDA came in at Rs.110 million after considering the non-cash ESOP cost of Rs.91 million. Margins continue to be affected by macro factors like inflation in a key input material disruptions in supply chain, food and logistic cost under stress.

I would now like to address the situation in Turkey:

Due to continuing inflation in Turkey, which has exceeded 100% over the last three years on a cumulative basis, accounting under IndAS 29 on Hyperinflationary Economics has got triggered. Accordingly, the financial statements of subsidiaries in Turkey have been prepared in accordance with our IndAS 29 which has impacted the consolidated PAT by about INR (-)9.5 million.

On the balance sheet side, we have witnessed a slight increase in the working capital from Q4 FY22 as we built strategic stocks for some of our key products in line with our business plans. Increase in net debt is on account of Nourrie acquisition and reduction of investments is owing to MTM of treasury shares.

I would like to conclude my remarks by stating that this quarter has been challenging due to the incident at Vizag, loss reported separately as exceptional item and also extreme currency volatility. The team is extremely focused on execution on both businesses and cost fronts.

Thank you, and we can now open up the floor for Q&A. Thank you very much.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes on the line of Vishal Manchanda from Systematix. Please go ahead.

Vishal Manchanda: With respect to the API business, so the current quarter was impacted by the fire incident, but do we expect to make up for it in the subsequent quarters. So, is the rate going to be higher than and will meet the annual target that we would have set for the API business?

Rajaram Narayanan: Thanks, Vishal. Yes, as we have said earlier also, it did impact this quarter. But we expect to recover that over the next three quarters within the financial year itself. So, it will spill over into the next three quarters, and we will be recovering it. Fortunately for us, the demand continues, the customers are there with us. And we've been able to recover the plant quickly. So, we should be able to cover it up in the next three quarters.

Vishal Manchanda: Okay. And second on the CDMO opportunity, has that come into the numbers or that's yet to start coming into the number? SeQuent

Proven A.b liii., I Life Science

SeQuent Scientific Limited

August 09, 2022

Page 5 of 15 Rajaram Narayanan: So, that is something we've

spoken about earlier, that CDMO piece will be a bit more back ended towards FY23 and we'll get a full realization more in FY 24. So, that continues to remain as per as our plan.

Vishal Manchanda: And do you expect to add more molecules during the year to the CDMO business on the API front?

Rajaram Narayanan: Certainly, but I'll invite my colleague Sharat to speak a bit about that.

Sharat Narasapur: So, as we speak, we have already added a molecule, though it is not of that great size and we are continuing our discussions with the customers. So, we hope to add a couple of molecules by end of this year on CDMO.

Vishal Manchanda: And with respect to the capacities on the API front, we have adequate capacities for the next two years. Would that be fair to say?

Sharat Narasapur: Yes, we do have adequate capacity. And we also undertake continuous debottlenecking and increasing the capacity by improving the efficiency. So, that's an ongoing exercise.

Vishal Manchanda: Okay. And just on the gross margin. So, is there a way we can bring that back to the same old levels or this would kind of be around the current levels around 42%?

Rajaram Narayanan: So, certainly, as we've given a guidance before, we have clearly to reach back to better margins than where we are today. It will take us some more time. But very clearly we are looking at improving the margins as the outside situation improves but also importantly we have initiatives and projects in the company, which are designed to improve our margins, margins are a function both of the mix that we have as well as the prices and the cost and all three areas, we have initiatives in place.

Moderator: Thank you. Next question comes from the line of Ashish from IIFL AMC. Please go ahead.

Ashish: So, I believe Turkey is the most important market for us. And even in terms of profitability it's one of the best place / segments for us. So, what's your view as far as our business in Turkey is concerned, do you think there could be some more write-offs and what is the behavior, how the distributors are behaving, any more color on this market would be helpful?

Rajaram Narayanan: Thank you Ashish for asking this question. Turkey is one of our important markets. It's a market where we have a strong business in terms of both market share as well as the portfolio which we cover. And on the demand side, we continue to see strong demand for our products and as well as our competitive position is just getting stronger over there. Having said that, there has been a particular situation in Turkey in recent times where the currency has impacted the businesses.

So, we are taking all the necessary steps there in order to de-risk our business over there. More specifically, looking at more exports out of Turkey and looking at instruments which are required Sequent

Proven A.b liii., I Life Science

SeQuent Scientific Limited

August 09, 2022

Page 6 of 15 to manage the currency risk as well as also look at the management of working capital over there in terms of distributors credit in terms of supply, credit, etcetera. So, there are a whole set of measures, but there is still a substantial amount of uncertainty around the currency and volatility over there. And some of it is reflected into a very specific case of accounting this year. And therefore, we will be watching it carefully along with all the initiatives, but we are also going to be very disciplined in the way in which we are going to invest and grow in the market. So, we certainly are not going to be reckless with our growth ambitions over there. So, we have a strong position, but we will wait for some more stability over there before we commit more. Does that answer your question, Ashish.

Moderator: The line of Ashish has been disconnected. So, we will take the next participant. The next question comes from the line of Aditya Khemka from InCred Asset Mana

gement. Please go ahead.

Aditya Khemka: So, firstly, if you give us a sense of where we stand on the ability to pass on price to consumers in terms of the cost inflation that we are facing, in the last concall we were discussing with you about the split of your formulations revenue into the branded generic and unbranded generic. Any thoughts, updates on that would be very helpful.

Rajaram Narayanan: Okay, so there are two parts to our prices. One is on the API side and the other one is on the formulations. When it comes to API Aditya, between 65% to 70%, of our business is actually in regulated markets, and they are with large sort of multinational customers. And over there, we have long term contracts. And as and when the contracts complete the period, we renegotiate our prices and that would be something that we would be passing on. So, there is an ability

clearly to pass on. Of course, there is always the 30% odd, which is the spot business is API, which sometimes gets competitive depending on where we are. But for us, fortunately, on the API side a large part of it is the regulated markets. Coming on to the formulations part of the business. We have in most of our markets now substantially strong branded product business. And therefore, over there, we've been able to pass on price increases, of course like for example

in Turkey we 've been able to pass on a lot of price increases, but the currency situation does not help us , but we continuously do that. In Brazil again, we 've been able to systematically pass on the price increases. But wherever our customers on the other side are large central buying agencies even for branded generics, it takes a little longer sometimes to pass on the price increases . But we are seeing that in all markets, there is now slowly an ability to pass price increases . And we 're doing it very systematically, obviously one portfolio product at a time. But now with the inventory levels getting more stable across in markets, we should be able to systematically pass on price i ncreases.

Aditya Khemka: Just a follow up on that, I just cannot understand that while we face inflation across our products at the same time, why is it that we want to pass on the pressure to the clients in a systematic, slow, phased manner. Specifically, that could have been the case had there been a lot of competition and th e competitors weren 't passing on and we were scared of losing market share in the sense that our product would become dearer versus the competitor. So, that to me is the SeQuent Proven A.b liii., I Life Science
SeQuent Scientific Limited
August 09, 2022

Page 7 of 15 only reason why we would do it in a more phased and systematic manner other than contr actual obligations, which I understand in the API space maybe t here are. So, can you talk a little bit more about why we are choosing to go through a phased, systematic route and not an immediate price hike because our input costs have gone up immediately?

Rajaram Narayanan: It's a good question. So, there are two components in certain markets where you don't have a very high inventory you can pass on the price hikes really fast , but in many of these markets, distributors tend to hold significantly higher amount of inventory and over there it takes more time to pass on some of the prices. So, it's more about really on the cycle with which the inventories are managed and your ability to pass it on the n. So, that's largely and again, it 's a lot of markets like , particularly in countries like Brazil, etc., there are a lot of contractual purchases, which happened from large firms who purchase some of our medicines and over there as the contracts expire, we renegotiate and we pass on .

Aditya Khemka: Understood. A nd on the API side is that you have long term contractual agreements to your purchases, t wo questions on this. So, are we to understand that while we enter into long term

contracts, selling agreements, we don't enter into long term contractual buying agreements, because we are facing raw material inflation immediately , but we are expressing our inability to pass on immediately there. And secondly, what is the average tenure of the selling agreement that we have in these API business?

Rajaram Narayanan: So, it's not that we are bound by that , we do have interim price increases which are there and it again depends on the inventory level, which the customer is connected to, but I will ask Sharat to explain that a bit more to you.

Sharat Narasapur: Yes, while the contract may be a long term. So, while the contracts themselves are long term, but then there is an inbuilt provision of looking at the prices based on the market conditions. And that happens at a frequency of every year, or if the prices are going beyond a certain limit. So, I would say that ther e is always an opportunity. But there is a periodicity with which we can do it. And so the contracts have been entered recently. So, it does take some time, while the conversations are always on, particularly on the price side and everyone is aware of it.

Aditya Khemka: And Sharat if you can also address our procurement of raw material practice, like we are being considerate with our buyers and cognizant of the inventories that they're holding, why aren't our suppliers doing the same favor to us?

Sharat N arasapur: Yes, even on the procurement side, we do have contracts, so for the very newly produced products, and where there is a contracted quantity, we also go back and have the contracts and they are in place. So, that advantage we take. But then if you look at there is a certain percentage of contribution, 40: 60. So, if you look at the commodities, solvents, and other things, the volatility has been really high. So, that's something which we 'll have to deal with. SeQuent Proven A.b liii., I Life Science
SeQuent Scientific Limited
August 09, 2022

Page 8 of 15 Aditya Khemka: Alright. And just one last question, can you let our formulation and API revenues into buckets where we have the ability to pass on immediately, or with a lag versus buckets where we won't have the ability to pass on at all, because the buyer is large, concentrated a nd essentially, there's a lot of competition, therefore we can' t really pass on the price ?

Rajaram Narayanan: I don't think we can sort of get into that degree of specifics. But, you should broadly look at it that our API business has about 65% to 70% re gulated market and that 's the piece which Sharat spoke to you about. And, that ' pretty much should help you make some conclusions on that. But beyond that, I don't think I can sort of split the numbers further. W e can definitely have a separate chat in our office, or some time we can catch up. And we can take you through in more details .

Moderator: Thank you. Next question comes from the line of Vikash SQ. Please go ahead.

Vikash SQ: It's in specific to the fire incident that happened in Vizag could you please specify what could be the top line and bottom line impact in terms of absolute terms and in terms of EBITDA percentage, because of this incident that could have contributed to lower numbers?

Rajaram Narayanan: So, look, we've said, one is that we expect there to be no impact on it as far as the full year is concerned. And therefore, that should pretty much tell us that we don't expect an impact either on the top line or on the planned EBITDA over the course of the year. More specifically on the quarter, we are expecting about INR 14 to 15 crores would have been the kind of top line that would spill over into the other three quarters. But over the course of the year, we don't see any impact on that. In fact, we started covering some of it already in this quarter itself.

Moderator: Thank you. The next question comes from the line of Ashish from IIFL AMC. Please go ahead.

Ashish: Any more color on Nourrie acquisition, so is there an approach to cross sell and given that this is our first enter in companion markets, how do you see these things panning out and would the companion segment have a higher profitability versus the non-companion market?

Rajaram Narayanan: So, we are just completing the integration in the first quarter so, the integration has gone well, right now it is more additive. But as we go along, we think that this gives us a good entry into companion animals, and we'll be able to share more with you about the performance of it in some time. But more specifically, on companion animals, this is clearly an area of focus for us as well as the way direction in which the growth of the animal health industry is happening. And we, the Brazilian one is our first sort of entry into that area, are looking at, expanding our portfolio in some of the other countries where we are already there, more into pet animals, and we'll be able to talk to you more about it in some time as the businesses begin to ramp up. But right now, it is tracking on plan as far as the integration is concerned, and we should get some better results to share with you in maybe two or three quarters.

Ashish: Okay. So, by quarter four of this fiscal you expect the consolidation to happen right? SeQuent

Proven Antibiotics, Life Science

SeQuent Scientific Limited

August 09, 2022

Page 9 of 15 Rajaram Narayanan: The consolidation, integration has already happened for Nourrie. With the acquisition integrated,

how we are able to leverage it and grow further - that is something which towards the end of this financial year, we should be able to share with you on how the performance is.

Ashish: Okay. So, lastly some point in time we were expecting around 15, 16 or to that extent even 18% EBITDA margins. So, given when construct and how the portfolio shapes up for us, would you be still pretty comfortable, guiding on that number two, three years down the line?

Rajaram Narayanan: Certainly, that is a reasonable sort of number to aim for. And that's something that we would be aiming for in the timeframe which you have indicated.

Ashish: Okay, great sir. Sir lastly on this albendazole so how the price is now and is the market back to normal now because we had seen sort of a spike in between - any color on this would be helpful?

Rajaram Narayanan: So, I'll give you an opening thing first of all, our WHO supplies which were there - that part of the market has come back and our customers are still taking our product and so, that part of it is more or less stabilized. Then the rest of the market which is really the use of albendazole in for animal health. We are seeing a demand which is more or less stable, it is competitive however in terms of pricing on that part of the segment.

Moderator: Thank you. Next question comes from the line of Harish Hinduja from SBS Securities. Please go ahead.

Harish Hinduja: Just one point, all this raw material price increase, currency issue, everything there is a time lag in passing on the price increase, etcetera. Can you just tell me when will be your first normal quarter in this year?

Rajaram Narayanan: It's quite a right question to ask, especially in this quarter.

Harish Hinduja: Yes, because in last three quarters the company has been from somewhere to nowhere. So, can you just explain to me because we can understand for a quarter or so, but it's already been three quarters, that every quarter, the company comes out with some new issues. So, can you just tell me because all the companies are passing on, it's a routine, it's a currency issue, everyone has the same issues. But, we are taking much more time so can you just tell me when the first normal quarter, is it in this financial year, thank you.

Rajaram Narayanan: Let me just firstly react to that, it's a fairly incorrect conclusion that

, the company has had this

issue for the last three quarters. If at all, the very fact that we are a diversified company has helped us manage when we've had one odd part of the business, impacted by currency, we've had an API growth which has been of very high order. There have been times when that part of the business has had a pressure, we've had good growth coming in from some of the other parts of the business. So, I'm quite surprised that you're concluding this, it is true that every quarter SeQuent

Page 10 of 15 we transparently will share what might be some extraordinary events. But that should not be considered to be something which reflects the performance .

Harish Hinduja: Maybe I am wrong, so when will we have normal quarter?

Rajaram Narayanan: I wouldn't say that it would be wrong, because there is no such thing as a normal quarter in a business, every quarter will have surprises . Yes, this particular quarter for us , we have had an extraordinary impact of fire , so there are two incidents which are over here. One is the currency impact, which has happened because in a specific market, accounting standards require us to trigger classifying it for hyperinflation. That 's what has happened and of course, there have been an incident of fire. But the fact that you will have raw material increases, decreases passing on pricing that 's in the normal course of business which will happen. And you'd have seen across - all companies will have this issue. And we are able to pass on the prices w here required , and we are able to do so. You have to look also in the context of our top line, that we are growing our formulations business almost 19% in constant currency within the markets. We are growing our API businesses, but for the fire incident , if you look at year -on-year, we would have grown this business closer to about between 10% and 14%. And you should look at our business on an annual basis , on a year-on-year business, because it 's the best way perhaps to look at how we are performing. Yes, the EBITDA margins have been under pressure, like it 's been for many companies in this industry, but because of our portfolio, we continue to maintain that we will come back in the second half of the year, closer to the guidance that we 've been historically giving. Directionally we will be there , so I would be quite surprised if you are concluding that we've had four quarters of uncertain performance , that's not true at all.

Moderator: Thank you. Next question comes from the line of Jagvir Singh from Shade Capital . Please go ahead now.

Jagvir Singh: Good Morning Sir. My question is regarding to the EBITDA margins and the profitability in the last three , four years company never give the respected EBITDA margins or profitability we have, as the last caller asked the question we have some other issue every time , Turkey issue . So, we have any guidance for the FY23 or FY24 what are the reasonable EBITDA margins or the profitability?

Rajaram Narayanan: Thank you for asking this question, it will help me clarify again. Our general guidance as we 've been indicating is that look, we want to improve our EBITDA margin between 100 and 150 basis points every year. And that, we would like to grow the company in the mid-teens. Now, that 's the broad sort of direction we have given, there has been a bit of rebasing because of a series of things which have happened internationally, whether it was COVID whether it was other incidents which have impacted everybody . And therefore, while we may have delayed the timeframe, we continue to maintain that we will grow our business in EBITDA terms between 100 to 150 basis points every year, and that we will grow our top line, in early teens or mid - teens , so that remains and I can sort of say that that 's not something that 's going to change.

e. Now,

coming more specifically on what's the nature of our business, you see we have two types of SeQuent

Page 11 of 15 businesses. One is the API business which is one which we are building with increasing our base of regulated market customers. And that 's sort of trending in that direction.

The second is our formulations business, which often requires us, even if we make a good gross margin, to invest in the long term, and some of those costs keep coming in as we begin to expand our markets. So, as we enter new markets, even if the margin is good, in terms of gross margin, we invest on the field, we invest in promotion, and that part of it is an investment which we are making and therefore the formulations business, depending on the growth of it will begin to pay off with sometimes often the mix that is there, but I think you should look at the overall direction of the organization, which is to give anywhere between mid-teen kind of growth and 100% to 150% basis points of EBITDA, and incremental every year. And we expect that as we sort of end this year, we will be far closer to the kind of levels that we indicated earlier.

Jagvir Singh: So, sir any guidance for the FY23 or FY24 on the profitability front. I'm talking about affecting all the other incomes and all these things with currency losses and?

Rajaram Narayanan: Certainly, as I said before this quarter is a one off quarter , so if you keep this quarter off, then the next three quarters we should continue to see closer to double digit numbers, and both on the top line and the bottom line.

Jagvir Singh: Because sir I'm talking about another company, this is not very close, this is very close to business of our company. This is NGL Fine Chem and they are also exporting 23, 25 countries.

So, this company has very similar problems, but even then they are doing some respectable EBITDA margin and profitability. We have lost some EBITDA margin in last two, three quarters, but not like the SeQuent.

Rajaram Narayanan: So, I won't comment specifically on other companies, except that you should know that we have two businesses – an API business and formulations business. The API businesses is about 1/3 of our portfolio and I can confidently say that API business is as competitive on a standalone basis as any other similar business.

Jagvir Singh: Because this company is, this is earlier owned by Arun Gupta and all the company's owned by Arun Gupta have some kind of problems like Solara, Strides now this is owned by Carlyle but we have seen in all three companies we have similar kind of problems, there is no profitability in last three, four years. There is one quarter good, four, five quarters bad so we were expecting some good numbers in SeQuent when it got taken over by Carlyle. So, here also the same problem.

Rajaram Narayanan: So, I can't comment on any other connections that you have on this particular company, but, we are a standalone publicly listed company and our own standalone performance is what we should be talking about. And, I can say once more that our strategy is on course, we are fairly confident that the remainder part of the year we will recover whatever we lost in the API, fire incidents, SeQuent
Proven A.b liii., I Life Science
SeQuent Scientific Limited
August 09, 2022

Page 12 of 15 and we will be topping the year closer to the guidelines that we generally have given in the market. And what you have been expecting from us.

Moderator: Thank you. Next question comes from the line of Prashant M an Individual Investor. Please go ahead.

Prashant M: So, this is regarding the Turkey hyper inflationary scenario, and we know that it's not a new situation which like past maybe 10, 15 years that problem is still there. And it is going to be there, so in that context like what is the strategy of our company

to handle it in future. This is an exceptional item, which I understand which is shown in the expenses. But what is the probability that it will not occur again in future. Thank you.

Rajaram Narayanan: So, first maybe on this specific and I'm glad you raised it, that it's an exceptional rather our CFO will speak to you about and then I can give you some direction on how we are handling Turkey.

P V Raghavendra Rao: Yes, so Prashant, the impact of the quarter is about 9.5 million on the overall PAT. So, that's for this quarter and this gets basically triggered because of IndAS 29 as I mentioned, when the cumulative inflation for the last three years, crosses 100%. So, there will be some impact on account of these accounting standard in the coming future and the coming quarters, and then it depends upon how the inflation moves in Turkey. So, kindly note that the impact in my opinion, depending on the various factors, to be in this range or lower than this.

Moderator: Thank you. Next question comes from the line of Aditya Vanjan Patnaik from Amba Holding Advisors Private Limited. Please go ahead.

Aditya Vanjan Patnaik: Good morning. Please put some color on your market share about the API or the formulations business, whether any growth or expected for any guidelines for next quarters. And another second question on that, how the capacity utilization you have done this quarter versus last quarter?

Rajaram Narayanan: Okay, so I'll answer the first one. And then I'll request my colleague Sharat to answer on capacity utilization. Firstly, this market overall in animal health, generally growing between 2% to 5% and in some specific segments of the market like companion animals, etc., it grows a little faster between 5% to 7%, so that the overall sort of market growth. In our plan, it is really to grow more in the early to mid-teens kind of growth is what our ambition is. So, that should tell you that we definitely want to grow faster than the market in terms of our total company performance, both in the formulations side as well as on the API side. So, that's as far as the growth plans are concerned, it is of course distributed between the markets depending on if it's a mature market, like some parts of Europe or it's a more fast growing market like Brazil or India. And maybe Sharat you can talk on capacity utilization.

Sharat Narasapur: Yes. Capacity utilization, it hovers somewhere between 68% to 75% and keeps varying during the year based on what products we run, each campaign we run and which part of the year. SeQuent

Proven A.b liii., I Life Science
SeQuent Scientific Limited
August 09, 2022

Page 13 of 15 Moderator: Thank you. The next question comes from the line of Shashi Ranjan, an Individual Investor. Please go ahead.

Shashi Ranjan: I have two questions, one question goes straight to Sharat and the second one will be for you sir. And the first question is to Sharat, what are the molecules you are looking at very eagerly out of the 25 filings that you have done, which can improve upon the valuation of the company.

Sharat Narasapur: Out of the 25 molecules which we have filed, and there are quite a few established generics, old generics. Wherein, really we are building long term contracts, as we spoke about the multinationals which will drive the growth for those old generic molecules. But if you look at the forthcoming, they're all new age molecules, some of them which are under patent. And that gives us an opportunity to go and tie up with multinationals and convert them even into a CDMO. So, that's the kind of area which we are looking at. That should be it.

Shashi Ranjan: Now the question is, Which are the one or two of the acquisitions that are going to help SeQuent improve its top line and bottom line?

Rajaram Narayanan: I couldn't sort of make out very clearly, but if your question is that which of our acquisitions in the recent times is going to help us improve our top line and bottom line, the answer is all of them have been directed to, was that your question which of our recent acquisitions will help us in top line and bottom line?

Shashi Ranjan: Correct.

Rajaram Narayanan: Okay. So, all the acquisitions that we have made are at this point of time contributing to our top line and bottom line, we have a specific currency related issue in Turkey, but that's purely from a currency point of view. But the business on a constant currency basis is in fact growing very well it is also very profitable, that's on Turkey. On Brazil, of course, we are growing substantially ahead of the market and in double digits. Our Spain acquisition is the one where, we are using as a beachhead for other European countries. And that's the place where we are also seeing growth coming both in top line and bottom. So, in summary, I would say that all our acquisitions are meant for this, so one we are right now completing is Nourrie one which has just got completed this quarter. And that's the one which will come in accretive as we go during the rest of the year.

Moderator: Thank you. Next question comes from the line of Tanuj Mehta, an Individual Investor. Please go ahead.

Tanuj Mehta: Sir firstly, I wanted to understand for our API business we had the fire incident, keeping in mind that if this wouldn't have happened, how would the API business, look like into the financials that is the first one. The second question is that, there have been the last few quarters where we've seen lackluster financials. So, can we see that, we are nearing our bad phase or maybe going ahead, our financials will improve on a sequential basis, can you throw some light on that? SeQuent Proven Antibiotic, Life Science

SeQuent Scientific Limited

August 09, 2022

Page 14 of 15 Rajaram Narayanan: So, on the first part, what the impact of the fire as I have said, it's somewhere around 14 odd

crores is the kind of sales that was impacted for us, which, as I repeat, it's something that will get covered up during the year and therefore we will have no material effect at far as the year is concerned on the API side of it related to the fire incident. On the second part of it on, your impression on the performance, we've explained in the last few quarters that there has been some pressure which has come in and directionally that took us to a lower level than what we saw, perhaps a year ago and we are fairly confident that the measures which we have put in as well as the demand which is coming in from our customers, we should be moving northwards as far as the rest of the year is concerned. So, to that extent, this should be the lower end of it.

Moderator: Thank you. The next question comes from the line of Varun Pinto from Value Educator. Please go ahead.

Varun Pinto: Sir, my first question is that, in Europe, Europe is seeing energy crisis right now and there are talks that companies in Europe will have to probably take a production cut. So, is that a risk that we see over the next few quarters?

Rajaram Narayanan: No, we do not see. So, it is true that there is a lot of pressure, which is coming in terms of cost of utilities, et cetera., in these countries on account of the thing that is an issue on utility, there is some pressure coming in a couple of markets in terms of regions. But as far as our portfolio is concerned, we don't see any impact on the demand side of it. So, to that extent, we see no reason to scale back anything in production, of course there will be calibration, which has to be done in terms of pricing, in terms of our cost structures, et cetera. But nothing on the demand side which would require us to scale back on anything in production, like you're hearing now.

Varun Pinto: And sir like our Turkey subsidiary, what kind of dependency do we have on like, China for raw material

s, like is the raw material for Turkey mostly coming from China?

Rajaram Narayanan: So, generally on an overall basis, I would say of our companies which are there in Turkey, in Spain, and in Brazil, do import a substantial part of their API requirements from China, but nothing which is impacting us right now, in terms of availability and stability, because we're covered reasonably well for this.

Varun Pinto: The imports are dollar denominated, right?

Rajaram Narayanan: Yes, the imports are dollar denominated and that tends to be therefore the specific issue only for

Turkey. It is not the issue that we have for Brazil, or for Europe because you have the selling price, which is often calibrated to the exchange rate. So, we don't have an issue.

Moderator: Thank you. As there are no further questions, that was the last question. We have reached the end of question answer session, I would now like to hand the conference over to the management for closing comments. SeQuent

Proven A.b liii., I Life Science

SeQuent Scientific Limited

August 09, 2022

Page 15 of 15 Rajaram Narayanan: Okay . Thank you very much for everyone for attending this and for your questions. And we

hope we 've been able to answer most of them. And as Abhishek said, if there is anything that you want to get more details of, you can write to us at our Investor Relations. I just want to reiterate a couple of points that, this has been a very specific quarter where we 've had a couple of one -offs, which have made it challenging, but there is inherently, we are in a good position as far as demand for our products are concerned in the markets as well as from our customers. And therefore we are convinced that, going ahead with good execution, as well as with all the capabilities that we are investing in, we should continue to get good growth for the rest of the year under the current circumstances. And we thank all of you for your continued support, and we can now close the call. Thank you very much.

Moderator: Thank you. On behalf of SeQuent Scientific Limited that concludes this conference. Thank you for joining us , you may now disconnect your lines. SeQuent

Proven A.b liii., I Life Science

Call: Feb 2023

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office: 301, 3rd Floor, Dosti Pinnacle, Plot No. E7, Road No. 22, Wagle Industrial Estate , Thane (W), Mumbai - 400604, Maharashtra, India

Tel No.: +91-22-4111- 4777 | CIN: L99999MH1985PLC036685

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

February 21, 2023

To,

BSE Limited

Corporate Relationship Department National Stock Exchange of India Limited

Listing Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Exchange Plaza, Bandra -Kurla Complex,

Bandra (East),

Mumbai – 400 001 Mumbai – 400 051

Scrip code: 512529 Symbol: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and nine months ended December 31, 2022

Dear Sir/ Madam,

Pursuant to Regulation 30 (6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for quarter and nine months ended December 31, 2022 .

The same is also available on the Company's website at [https://sequent.in/pdf/financial/2022 - 2023/Q3/SequentScientificLtd -Earnings -Feb15 -2023.pdf](https://sequent.in/pdf/financial/2022-2023/Q3/SequentScientificLtd-Earnings-Feb15-2023.pdf)

Kindly take the same on records.

Yours faithfully,

For Sequent Scientific Limited

Krunal Shah

Company Secretary & Compliance Officer

Page 1 of 15

"Sequent Scientific Limited

Q3 FY 2023 Earnings Conference Call"

February 15, 2023

MANAGEMENT : M R. RAJARAM NARAYANAN – MANAGING DIRECTOR –
SEQUENT SCIENTIFIC LIMITED
MR. SHARAT NARASAPUR – JOINT MANAGING
DIRECTOR – SEQUENT SCIENTIFIC LIMITED
MR. P.V. RAGHAVENDRA RAO – CHIEF FINANCIAL
OFFICER – SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD OF INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited
February 15, 2023
Page 2 of 15

Moderator : Ladies and gentlemen, good day, and welcome to the Q3 FY '23 Earnings Conference Call of Sequent Scientific Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhishek. Thank you, and over to you, Abhishek.
Abhishek Singhal: Thank you. A very good morning and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the third quarter and 9 months ended financial year 2023.
Today, we have with us Mr. Rajaram, SeQuent Managing Director; Sharat, Joint Managing Director; and P.V. Raghavendra Rao, CFO, to share the highlights of the business and financials for the quarter. I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange website. The transcript for this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relationship with risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out with the Investor Relations team.

I now hand over the call to Mr. Rajaram to make the opening comments.

Rajaram Narayanan: Thank you, Abhishek and good morning, everyone. A very warm welcome to our quarter 3 and 9 months financial year '23 earnings call. Joining me on this call is our CFO, Mr. P.V. Raghavendra Rao and Mr. Sharat Narasapur, the Joint Managing Director of the company.

First and foremost, a quick update on Turkey. We are deeply saddened by the devastating earthquake and the consequent loss of lives and property in Turkey. Our thoughts are with the victims, their families and all those who are affected by this tragedy. While the earthquake has impacted 10 cities, it's majorly in the south-eastern region of Turkey.

I would like to report that our manufacturing facility, our offices, which are located in the northern region of the country are not impacted. All our employees and their families are safe, and we are providing any kind of assistance which is needed, through our associates and the community around while closely monitoring the development.

Now coming to our quarter results, I'll share the headline numbers and some key drivers of performance, while Raghav will then get into more details on the financials. I'm pleased to report that this has been a stronger quarter for the company where we have seen a clear upward movement of business in most geographies as well as the categories we are operating in, and this is reflected in our results.

At a consolidated level, the company has achieved sales of INR 375 crores in this quarter, i.e., quarter 3 FY '23. This represents a sequential revenue growth of 11% over the last quarter, which is quarter 2 FY '23.

SeQuent Scientific Limited
February 15, 2023
Page 3 of 15

Our EBITDA before ESOP cost has come in at INR 27.7 crores, and this represents a 300-basis points improvement over the previous quarter, and 85% sequential growth in absolute EBITDA over the previous quarter, i.e., quarter 2 FY '23. So these results have come in on the back of several initiatives and actions that have been initiated, and I'm really encouraged by the efforts of all our employees and associates globally who are working towards achieving this improved outcome.

During the first 9 months in the year, we have seen several challenges in the macro environment, such as volatile raw material prices, surging utility costs and, of course, issues around

the supply chain. There were also some challenges around stricter implementation of regulations in the usage of antibiotics by the European Union and outbreak of the lumpy skin disease in cattle in India in quarter 2, and the significant volatility in global currencies, all of which have had a direct or indirect impact on the overall market demand. We, however, believe that such

challenges give us an opportunity to take bolder actions and create a competitive advantage and which we try and do by listening to our customers, allocating resources more effectively and focusing on cost improvement initiatives.

As mentioned in our last concall, we are continuing with our efforts to improve our operational framework across markets and customer segments in both formulations and APIs. We have now set up dedicated teams and taken external assistance to undertake a comprehensive program on process improvement, productivity enhancements, and optimizing our operational and manufacturing footprint.

In fact, we are seeing directionally an improvement in our gross margins starting quarter 3 itself.

Coming to our API business, I'm happy to share with you that we crossed the INR 100 crores revenue mark this quarter delivering a sequential quarter-on-quarter growth of 16.5% over the previous quarter, i.e., quarter 2 FY '23.

Our focus has been on growing this business through deeper engagement with our customers in regulated markets as well as with the top animal health players in the industry. The contribution from regulated market customers has come in at over 70% this quarter, which is an improvement over recent quarters and in line with our strategic priority. The business in API is now well placed as we continue to invest further in upgrading our facilities and strengthening the capabilities of our team. SeQuent will stand to gain when the demand recovers as we continue to build stronger relationships with the key players in the industry.

Our second thrust has been in accelerating our new product pipeline and scaling up our R&D facilities and capabilities. During the quarter, we submitted 1 new U.S. VMF filing and 1 new CEP filing. We now have a total of 27 U.S. VMF filings, 12 CEP approval and a portfolio of 35 commercial APIs which we can offer to our customers all over the world. The development phase of our pipeline is now on an accelerated path and we remain optimistic to add new products and customers to our portfolio. Our R&D and process development teams are also driving programs on cost reduction and yield improvement so that we can remain competitive for our customers. The manufacturing operations of the company are also running with the high standards of quality, compliance and safety.

SeQuent Scientific Limited

February 15, 2023

Page 4 of 15

Now coming to our Formulations business, the momentum was sustained in quarter 3 with a 5.1% growth in constant currency terms on a sequential quarter-on-quarter basis. We have recently aligned our geographies in the Formulations business as per our strategic growth plans, and these are in 3 buckets: Europe, Emerging Markets without India, and India.

So first, the European business. The European business has started to stabilize. It has achieved a double-digit growth of 11.3% in constant currency terms over the previous quarter. This business has been facing significant macro environmental headwinds as well as challenges specific to the industry like energy costs, etc. But we have been in the journey of concerted efforts to improve the European operations, and we are seeing the results coming in, and the first signs of those are there in quarter 3. We are also revamping our product portfolio, renegotiating some of our contracts and working through at a more efficient cost base, which will position us well for the future. We are on track to launch new products, and we have made a foundation for the new portfolio to meet new customer requirements, especially after the challenges to antibiotics usage.

Coming to the India business. The India business performance continues to remain steady during the year. To some extent, this quarter's performance has been a bit muted compared to the previous quarter. And that's because of seasonal variations which are there in the business cycle and also the market impact of the outbreak of lumpy skin disease, which affected the livestock segment. But we are seeing an accelerated development of new product launches and aligning up a range of innovation for the coming years. The trajectory for the India business remains upwards on a long-term basis, and we continue to maintain the growth momentum on a 9-month basis already. The formalities related to the acquisition of Tineta Pharma Private Limited, which we announced in the previous quarter, are ongoing right now, and we will share further updates with you as the transaction progresses.

Coming to our Emerging Markets business. That's without India. This is a well-diversified business across different species of animals as well as geographies and have continued to maintain a strong growth momentum for the year. While this particular quarter would have seen a growth of 6.3% in constant currency terms. On a 9-month period, we have seen an impressive double-digit growth of 22%, largely driven by our operations in Latin America. The challenges of hyperinflation in the Turkish economy continues. We do see some stability in the exchange rate in the recent months. Our local manufacturing presence gives us, however, a competitive advantage to operate in this very key large market. We are also looking at increasing our exports out of Turkey. So overall, the Emerging Markets business has performed well, although currency

depreciation has impacted some part of the financials.

And as we are rewiring our Formulation business, you could see that we are building a business which is developed on the foundation of new relevant products, competitive cost structures and innovation. So by now, you would have observed a few key themes for the company. The first is a strong focus on margin improvement through strategic initiatives on costs, productivity enhancements and operational excellence across all businesses, a sharper choice of customer segments, markets and the product portfolio we wish to operate in, and finally, growth map which is based on innovation and a few select inorganic moves that we would make. We believe

SeQuent Scientific Limited

February 15, 2023

Page 5 of 15

that our diversified presence within the animal health industry positions us very strongly to keep growing and delivering increased value to all our shareholders and the stakeholders.

So I will now hand over to our CFO, Mr. Raghavendra Rao to give you an update in more detail on the financial performance. Over to you, Raghav.

P.V. Raghavendra Rao: Thank you. Thanks, Raja. And good morning, everyone. I will now briefly update on the key numbers for the current quarter and 9 months of FY '23.

Our revenue for the quarter is at INR 375 crores, up by 11% Q-o-Q and 10% in constant currency terms. The API business recorded revenues of INR 107 crores in this quarter with a 16.5% Q-o-Q growth and 13.6% constant currency growth. Our Formulations business contributed to INR

259 crores to the top line with an 8% Q-o-Q growth on a reported basis and 5.1% in constant currency terms.

In Formulations business, both Europe and emerging markets clocked robust growth numbers.

Revenues from Europe were at INR 105 crores, which is a double-digit growth of 16.8% on Q-o-Q basis and 11.3% in constant currency terms. Revenues from emerging markets are at INR 125.2 crores which is a growth of 6.3% on a quarter-on-quarter basis and 4.4% in constant currency terms.

Compared to Q3 of FY '22 that is on a Y-o-Y basis, overall revenue growth for the quarter is 4.8%. The Formulations

business has grown by 2.4% and API by 4.4%. For the 9 months ending

December, our total revenue is INR 1,054 crores, up by 2.4% over the similar period that is for the previous year FY '22 and 6.8% in constant currency terms.

Our Formulations business contributed INR 743 crores out of this with a 3.7% growth on reported basis and 13.7% in constant currency terms. API revenue for 9 months is at INR 288 crores. Our gross margin is at 42.1% for the quarter compared to 41.4% in Q2 and 42% in the same quarter previous year in Q3 of FY '22.

Overall, operating costs remained flat despite the inflationary pressures. EBITDA pre-ESOP is at INR 27.7 crores as against INR 15 crores in the previous quarter. This is a growth of 85% over the previous quarter.

EBITDA is at 7.4% of revenue against the previous quarter, 4.4%. Reported EBITDA is at INR 18.8 crores, which is 5% of the revenue from operations. This is a

growth of 2.5x over the previous quarter EBITDA, which was at INR 5.1 crores.

We have INR 1 crores of acquisition-related costs in the P&L for this quarter as well. We had an exchange loss of INR 4.6 crores in the current quarter, mainly given the euro moving from INR 80 per euro at the start of the quarter to INR 88 per euro within the 3 months. We have some borrowings and payables in some geographies, which has caused this impact.

Due to inflation in Turkey, which continues to be above 100% over the last 3 years on a cumulative basis accounting under Ind AS 29 which is Financial Reporting in Hyperinflationary Economies continues to be triggered for us.

SeQuent Scientific Limited

February 15, 2023

Page 6 of 15

Accordingly, the financial statements of subsidiaries in Turkey have been prepared in accordance with this Ind AS 29. This has impacted our consolidated PBT by about INR 1.7 crores for the quarter.

We continue to work on bringing in efficiencies in our operations across the globe and across the value chain, as elaborated by Raja earlier in his commentary. Our inventory is trending downwards. However, working capital appears higher over the previous quarter on account of higher receivables, driven by higher sales.

I take a pause here, and thank you all for your support. I request for the forum to be now open for Q&A.

Moderator: We have the first question from the line of Rushabh Jain, an Individual Investor.

As a current participant is not answering we move on to the next question, which is from the line of Rahul Maheshwari, an Individual Investor.

Rahul Maheshwari: Sir, my first question remains around the Europe business. Our cc growth in Europe has been 11% on Q-o-Q basis. So what were the key drivers for this growth? And secondly, our Europe business growth has been muted over the last year or 2. So what's the growth rate that we are targeting for this market going forward?

And my second question relates to our India business, which has declined at around 10% sequentially. So what has led to this steep decline? And you have highlighted India to be a core growth market for us. So what's the growth rate that we're targeting for this market.

Rajaram Narayanan: Thank you, Rahul. I mean many questions over there. So I'll probably pick up one at a time. So coming on to Europe, of course, the last couple of years have generally had the overall impact of a more sort of muted economy. But in recent times, of course, we have the issue also with the Ukraine war, which resulted in higher costs and some issue around demand. But as we are seeing, as we said before, we have put in initiatives around restructuring our portfolio. We are seeing growth coming in on some of our new products and also in some select markets within Europe. We operate not just in Spain, we are also operating in Belgium, Netherlands and some parts of Scandinavia. And that has helped us correct some of the actions. We are getting some growth, which is coming in now in Europe. So that's why this

quarter is seeing a better performance. But

yes, over the last few quarters, the general macro situation has kept the demand muted.

Going ahead, hard to say it, but I think if this quarter is any indication, then directionally, of course, we should see and some growth coming in from Europe as well. And also, of course, as I said, the effort is on improving our overall margins in Europe. So that's where we are seeing some improvement coming in the coming quarters.

The second question, which is around India. India is a priority market for us. The growth in India does sort of vary depending on some seasonality as well as some impact, which has been there in terms of feed prices, etc., for cattle. But on a secular basis, it is a growth market, which should be more in the higher single digits early double-digit kind of a market. This particular quarter is

SeQuent Scientific Limited

February 15, 2023

Page 7 of 15

more a function of 2 things. One is that there is the seasonality in the livestock cattle business.

This quarter tends to be a little lower than the earlier quarters in general. Added to that, there was an outbreak of the lumpy skin disease for cattle last quarter, which did see some additional

buying of medicine and that, therefore, sequentially may seem to be a little lower this quarter than last quarter. But we see this clearly as an important business, which should give us a growth certainly in the higher single digits in future or the early double digits.

And that's how we've been growing in the past as well. So it is, and also our efforts right now in terms of improving the portfolio in terms of new products and other initiatives are in that direction. I hope that answers your question.

Rahul Maheshwari: Yes, sir, that answers my questions. And my last question is relating to the Tineta business. So can you update us what is the progress post the acquisition?

Rajaram Narayanan: So as we had said in our last call, we are looking to close the transaction we have indicated end of March. So we are right now still completing the various transaction formalities between the 2 parties. It is dragging a bit, but that is something that is still in progress right now.

Moderator: The next question is from the line of Rushabh Jain, an Individual Investor.

Rushabh Jain: Thank you for the opportunity. My question is on the API business. So sir, after 2 consecutive quarters of some INR 100 crores revenue, our API business has crossed INR 100 crores in Q3.

So is this number a sustainable base? And are we confident of achieving this run rate in FY '24 as well?

And secondly, sir, what's the outlook for our API business over the next 3 years? Like what growth initiatives are we taking to revamp this business after the recent muted performance?

Rajaram Narayanan: So, I'll answer the first one and bring in my colleague Sharat on the second question. But first, in terms of how do we see the business. I think there is a certain stability in the run rate now. As we said in the past, this INR 100 crores kind of a quarter plus/minus, would be the kind of rebased number that we should be looking for API.

And at the same time, we do see that with our share of regulated markets customers slowly increasing as well as the whole set of new filings and products that we have. We would be working towards growing this business. The focus is also right now on margin improvement in this business and building a portfolio for the future.

But in run rate terms, as we get into FY '24, while I can't sort of give you any guidance, but I think we've reached some kind of a stable run rate at this point of time. Now the second question, which is there on the next 3 years? And on what kind of initiatives are there, Sharat, maybe you can just give us some sort of flavour.

Sharat Narasapur: As you are already aware, 70% of our business in the API comes from the regulated markets. And for any business

to really materialize, a lot of efforts go in to day, and I'm happy to state that our set of customers who are the stable set of customers, are talking to us on new businesses, new molecules, plus also the new portfolio, which we are strongly building up is also auguring

SeQuent Scientific Limited

well and I would say that, all in all, you would see early to mid-teens type of growth in the next 3 years.

Rajaram Narayanan: So, there are few areas in any of these - the new customers, new products and margin and profitability improvement initiatives. I think clearly, the effort is on building the regulated market portfolio and new customers. Sharat just shared, we have new products, which are ready for filing as well as those which are filed but need to be commercialized now fully. And of course, widespread margin improvement program.

Moderator: The next question is from the line of Sudarshan Padmanabhan from JM Financial PMS.

Sudarshan Padmanabhan : So yes, my question is, if I'm looking at the growth on a Q-o-Q basis, the EBITDA margin has improved. But if I'm basically looking at the structure of the business, I mean, we have Indian manufacturing and manufacturing based out of overseas. One is on the cost side.

The raw material cost has been moving up consistently. And I think the growth, if you can split it in terms of whether we are able to the, number one, price data and pass some of the raw materials. And number two, if the volume is trending up which absorb some kind of an operating leverage?

And number three, if we can talk about cost initiatives, which can reduce the cost permanently, that would give us some colour with respect to how we can expect the margin rates move?

Rajaram Narayanan: Raghav, do you want to take it?

P.V. Raghavendra Rao: Yes. I mean all the 3 levers, Sudarshan are at work right now for us. So for example, the costs despite that we saw a year, 1.5 years earlier and that kind of prices are not there, but still they have inflationary pressure, but we are able to pass on some of the cost hikes selectively to the customers. That's on the cost side.

On the second piece, also, you are right in the sense as the volume of the business grows, the operating leverage does come in, and that also has played a part in the EBITDA growth that you see in the current quarter. And as we stabilize at these levels and move not towards from here, you will see the margins improving further. That's on the second piece. I'm sorry, I did not notice – what's the third piece question?

Rajaram Narayanan: Cost initiatives.

P.V. Raghavendra Rao: Cost initiatives. Yes, there are – I think Raja has also called out earlier in the call that there are some operational efficiency improvement initiatives that we have undertaken across the value chain and more particularly in the manufacturing piece of our business. And you will see going forward, the impact playing out in the numbers.

Rajaram Narayanan: So Sudarshan, we have two types of businesses, as you know, Formulations and APIs, right? So, on the Formulation side, the flexibility to pass on pricing is obviously more because it's more market driven and it is less driven by whole regulatory pipeline. On the API side, it takes a little longer. But because we are in regulated markets with fairly stable customers, that is something SeQuent Scientific Limited

that takes longer to pass on, but we managed to do that. So, most of the pricing will come to us in the initial period from formulations. And of course, the scale of operations and the volume increases on API will get us also cost advantage even in places where we may not be able to pass on the price.

Sudarshan Padmanabhan: Yes, sure. And overall, how do we see the cost? Because, I mean, on the power side and transportation side, I mean, if I'm just comparing the second quarter versus third qu

arter and now in February, are we seeing a decline in overall costs?

P.V. Raghavendra Rao: Not decline, not particularly, Sudarshan, but stabilized, yes.

Sudarshan Padmanabhan: One final question before I join back. If I look at the utilization, I mean, on the Indian assets and the overseas assets, I mean what is the current utilization? And we talked about some new filings, launches, etc. I mean, where do we see the utilization moving up in both these India as well as the overseas plants next year and the year after?

Rajaram Narayanan: So, I think we should speak about India because that's really where the real capacity is created. The rest is more sort of market-specific capacity. So maybe Sharat on the capacity.

Sharat Narasapur: So, on the capacity piece, you see it used to be passed about 60%, 65% of utilization, which has inched up now because of several initiatives of backward integration to address the cost also. So today, the capacity utilization is about 70% to 75%. And as we move forward, I mean, looking at our portfolio and the business plan, there will be some investments as well coming in to make sure that we have always room for enough new business.

Rajaram Narayanan: And our overseas manufacturing, as I said, it's market specific, it's designed largely to service the portfolio there. And it's not something that, it's reasonably operating at full capacity as we were over there. And any addition is quite modular and limited in terms of capex.

Moderator: The next question is from the line of V.P. Rajesh from Banyan Capital Advisors LLP.

V.P. Rajesh: My first question is on the growth guidance you give for the next few years, you mentioned that API will grow sort of double-digit to mid-teens. What is the guidance for the overall business including the formulation, any thoughts on that?

Rajaram Narayanan: So I think it's a little difficult for us to, I wouldn't want to give that kind of guidance because the Formulation business has a combination of multiple countries and the foreign exchange footprint involved in that. But suffice to say that definitely this year, which is FY '24, focus will be on the overall shape of the business around margin improvement and profitability. And as we get into FY '25 onwards, I think we would be closer to the double-digit kind of top line growth would be our plan at an overall company level. But certainly, in the short term, I don't want to give any guidance on that.

V.P. Rajesh: That's fair. And on the margin side, what do you think will be sort of the range in fiscal year '24 and beyond? Because earlier, we are aspiring for 20 plus kind of EBITDA margin. Do you think over the next few years or so, that seems unlikely case or that it's going to be lower than that.

SeQuent Scientific Limited

February 15, 2023

Page 10 of 15

Rajaram Narayanan: So I won't give you the, I can't sort of give you a number in absolute terms. I think if you were to look at FY '23 to be the kind of rebased year. We could say that we would have a margin expansion of 150 bps kind of a thing which we would be looking for. Okay. And we'll come to as we sort of get some of our initiatives coming in every quarter. We'll keep updating you on that.

V.P. Rajesh: And just on this quarter, if I look at your employee expense year-over-year, it has gone up quite a bit. So any colour on that? Is it inflation? Or are you adding some more talent on a more senior level, any kind of colour will be helpful.

Rajaram Narayanan: So a large part of it is actually some onetime costs, which we have taken overseas for restructuring some of the employees in terms of numbers, etc., and therefore, it has come. But these are not sort of -- these are onetime costs. Most of it is onetime cost.

V.P. Rajesh: And how much is that?

Rajaram Narayanan: I would say a substantial amount of the increase is onetime cost. We don't see that to be the trend going ahead.

V.P. Rajesh: So if

one excludes for that, then your proforma EBITDA margin or would that be even higher, right? That's sort of...

Rajaram Narayanan: Yes. I mean, it can be concluded that way. So I think as I repeat, we are -- there are some one-time costs for which account for the increase in the abrupt increase in the employee cost, and that's one time.

Moderator: The next question is from the line of Ninad Sabnis from Sabnis Financials.

Ninad Sabnis: So I wanted to know that in Europe, we are gaining right now, we are gaining new customers as well. So there were energy prices and all these issues going on in Europe. So because of that, there is a demand shift and we are getting new customers, or the new customers, which we have gained and the demand we are seeing is this sustainable ahead since after this energy crisis comes down or things come to a normal in Europe. So the demand will continue? Or how is it?

Rajaram Narayanan: So, if your question is how are we getting new customers? Or are we getting new customers? So if you just split the business that really applies more to our API business, which is primarily a B2B kind of business. We do have an increase in our customers. And that is primarily because we are putting in efforts to increase in two ways: one, increase the share, basically bring in some of the new products that we have for new customers in regulated markets.

We are also, of course, expanding our presence in some of the other less regulated markets where we are finding customers who can give us stable revenues over a period of time. So it's actually geographical expansion, as well as within the same market looking for new customers for our new range of products. But there's also another piece, which is about increasing our share of wallet within the existing customer itself and all the 3 pieces put together.

SeQuent Scientific Limited

February 15, 2023

Page 11 of 15

As far as energy costs in Europe are concerned, for the Formulation business, yes, it does impact. It hasn't really impacted customers, but it does impact in the overall demand for our end customer. But that, I think, is stabilizing at this point of time. But purely from a new customer basis, I think you should look at API as being the key business to look at it from a new customer basis.

Ninad Sabnis: And since we have already know that we have a good facility in the India, are the entire facilities and everything investment like enough for catering the demand or new demand? Or are we looking for new capex?

Rajaram Narayanan: Sharat, can you?

Sharat Narasapur: Yes. So in terms of the capacity, I spoke about, I mean, there is enough room to expand our footprint in the key sites. So that's not a reason of concern at all. And as far as investment is concerned, yes, we have a very structured plan in line with the growth plans to investors.

Moderator: The next question is from the line of Ranodeep Sen from MAS Capital.

Ranodeep Sen: My question was with respect to -- I think in 2022, we acquired Nourrie and ventured into the Brazil pet market. With respect to India, where we see that the per capita GDP is increased and more Indians are opting for pets. Can we expect similar deals in India being announced? Or are we actively on the lookout for similar opportunities.

Rajaram Narayanan: Yes, we are looking at the companion animals area as a natural extension of our current business. But nothing to immediately sort of give you more colour on right now. But that's an area for us to look at.

Ranodeep Sen: All right. All right. My second question is, I think passing on the cost is a delayed process, and we understand better kind of into our EBITDA margin. But are we working on any mechanism where we have a pass-through mechanism with our clients so that in the future, we don't have these margin issues.

Rajaram Narayanan: So there are some contracts and discussions as I spoke, allow for that, but that is as and w

hen

the contracts get completed and fulfilled. But we must understand that in a B2B business, everything does not get automatically passed on.

So it's very important for the supplying organization, which is us to constantly work on the cost side of it as well. So, we do constantly sort of increase or pass on price increases depending on the contracts that we have. But the effort is also at the same time on margin improvement.

Moderator: The next question is from the line of Prashantkumar Hazariwala from Solitaire Financial Services Limited.

Prashant Hazariwala: Sir, my question is how many more quarters we will see ESOP provisions? And what will be the quantum for the sale?

Rajaram Narayanan: Sorry, could you just repeat that? We couldn't hear it clearly.

SeQuent Scientific Limited

February 15, 2023

Page 12 of 15

Prashant Hazariwala: How many more quarters we'll see ESOP provisions and quantum of the sale?

Rajaram Narayanan: As you know, this is a non-cash item, but Raghav will explain a bit more on that.

P.V. Raghavendra Rao: Yes, it will continue at least for the next 6 to 8 quarters.

Prashant Hazariwala: 6 to 8 quarters. And what will be the quantum? Yes. Currently, it is INR 9 crores kind of thing per quarter.

P.V. Raghavendra Rao: Yes. Yes. And you have seen a nominal increase for quarter-on-quarter from what we had last quarter in terms of the op cost. But having said that, it depends upon the number of tranches that have been issued, number of vesting period and when the vesting period gets fixed at and things

like that. So you will see it trending down, but after a couple of quarters, not immediately.

Prashant Hazariwala: All right. What will be the -- like what kind of decline we can see, like from INR 9 crores to like INR 5 crores?

P.V. Raghavendra Rao: I'll not be able to guide you so sharply, but you will see a trend down after a couple of quarters.

Prashant Hazariwala: Okay. All right. So how do you see our debt position going forward? Because we are currently sitting on the quite heavy debt right now.

P.V. Raghavendra Rao: Yes. So debt on the balance sheet, we are conscious of that, but we are comfortable with the level of debt as it is now. And it will depend upon the opportunities available, Prashant and what are the opportunities available, what is the business expansion, what is the funding needed and things like that. But debt on the balance sheet as of now, we are comfortable with it as it stands now.

Moderator: The next question is from the line of Shashi Ranjan, an Individual Investor.

Shashi Ranjan: So my first question is to Sharat. 2 or 3 quarters back, management quoted that the falling Lira is helping SeQuent in competing in Turkey. Do you still stand by this thesis, sir? And if yes, can you please show us through the numbers?

Rajaram Narayanan: Sorry, the falling Lira is helping us compete in Turkey?

Shashi Ranjan: Yes, yes. Being competitive in Turkey and maybe in the business, product business that we are having over there, it was told by the management 2 or 3 quarters back. So do we still stand by that thesis? And if yes, can it be shown through the numbers that we are getting from Turkey.

Rajaram Narayanan: I'm not so sure whether that was the understanding. I think of the Lira devaluation, so one is an in-market performance, right? So in-market performance is really at the same currency with which you operate inside the country. And there, we are seeing growth in the business constantly, and that reflects really our ability to grow both volume as well as pass on price increases linked

to that. As far as the depreciation of the lira is concerned, the only place that can potentially help us is if we increase our exports out of Turkey. That is an effort which is going on, we are slowly

increasing our exports out of Turkey. But that's really not substantial enough to say that it will,

SeQuent Scientific Limited

February 15, 2

it's going to make a big impact on the results. But right now, the thing is, yes, because we manufacture locally in Turkey, it helps us to be competitive.

Shashi Ranjan: The next one is from the results, we see that the inventories jumped almost 10x, can you throw some colour on that?

Rajaram Narayanan: Sorry?

Shashi Ranjan: There was jump in inventory. So there's jump in inventory. So where the inventories are stuck and some colour on that?

Rajaram Narayanan: In fact, as far as inventory is concerned, Raghav?

P.V. Raghavendra Rao: Yes, actually the inventories have gone down. Now I think what you're alluding to is from the increase in the working capital. The working capital in terms of numbers have marginally gone up. But in terms of number of days, even the working capital has gone down. So the inventory has actually gone down and in terms of number of days of sales, it has gone down significantly close to 9 to 10 days.

Rajaram Narayanan: Yes. If you're reading the presentation, investor presentation, it actually says clearly that it's come down by 10 days.

Moderator: Sorry, sir, you were saying something.

P.V. Raghavendra Rao: No, I was only adding to that. The working capital appears to have gone up. That's basically on account of receivables and this is on account of increase in sales.

Moderator: The next question is from the line of Rahul Maheshwari, an Individual Investor.

Rahul Maheshwari: My first question is relating to the Emerging Markets. So what has led to the slower growth in these markets? And historically, we have been having a growth of more than 20% in constant currency terms. During Q3, we have seen an 8% growth. So what are the reasons for that?

Rajaram Narayanan: So Emerging Markets, as you know, is a combination of different countries. We have Latin America. We have Turkey. We also have export presence in countries in Africa, etc., which are more export markets. So this is more specific of the quarter because we are seeing. We saw some currency pressures

in Turkey as well. And there are some markets, particularly in North Africa and some parts of Middle East, where some of the customers have been struggling with providing necessary hard currency which is required for some of these businesses. We expect that to be a short-term dip

and move across into next quarter and get back. But if you look at really on a 9-month basis, this business has been growing at 20-plus percent. So, this is more a question of which market fires during which quarter as a total combination.

Rahul Maheshwari: Got it. And you mentioned about Turkey. So the recent earthquake, have our operations been impacted in any way? And what would be the outlook for this market in light of the recent event?

SeQuent Scientific Limited

February 15, 2023

Page 14 of 15

Rajaram Narayanan: So as I said right in the beginning of the call, the earthquake, of course, is quite severe as we have all read and seen. But our facilities are not located anywhere near the earthquake area, which was in the Southeast, and we are in the north of Turkey. So we are not impacted there as

far as our operations are concerned. There are a couple of few employees who were working in that area, but they are also fine, their families are fine, and they have been moved to safer places to operate from. So, we are not impacted at this point in time.

Moderator: The next question is from the line of Giriraj Daga from KM Visaria Family Trust.

Giriraj Daga: My question is pertaining to the one comment you made on the margins. So you said FY '23 is the base margins. And if I look at the numbers, pre-ESOP numbers, so 9 months, we had about 6% kind of a number? And assuming that we do similar kind of number 7%, probably we went closer to 7%. So you're giving guidance of 50 to 100 basis points on the above number or what number? What is the base number?

Rajaram Narayanan: So I think we should,

I'm not giving you guidance at all right now. But yes, I think FY '23 for us is more or less the place where we would have stabilized in that.

P.V. Raghavendra Rao: Yes. So did a couple of comments on the margins, particularly on the.. I'll start with the gross margin. See, gross margins right now have stabilized. We are not guiding anything, but there are actions that are undergoing in the operations, and we are very positive on this, and we will surely look at some improvement on this number. That's on the gross margin.

On EBITDA, what has been said earlier in the call is that the operating leverage has played up.

And again, on this as well, all other factors remaining constant, the leverage on account of expansion in operations will further help us in expanding the EBITDA margins.

Giriraj Daga: So I understood the part, but I'll just harp a bit on this, sir. So ideally FY '23, whatever could have gone down, has gone down in terms of cost, in terms of raw material costs, in terms of freight cost, there are many variables out there as well. The point was that now do we again have an inspiration of again go back to 15% in next foreseeable which are whenever you have normalized time? Or do you think the base has shifted.

P.V. Raghavendra Rao: Yes. So I mean, 15% again, I won't be able to guide on that. But what we said is the margins

you will see. I'm now talking about EBITDA margins, and you see them expanding further as we go into Q4. And that should be the base for us to improve on FY '24.

Giriraj Daga: No. I understood. That was the first comment you made. But like say, 15%, is that like do you think that business is doable, capable of doing 15% margin. I'm not asking you a timeline, but the business is capable of doing 15% margins, EBITDA margins?

P.V. Raghavendra Rao: Absolutely.

Rajaram Narayanan: Absolutely.

Moderator: Ladies and gentlemen, this would be the last question for today, which is from the line of V.P.

Rajesh from Banyan Capital Advisors LLP.

SeQuent Scientific Limited

February 15, 2023

Page 15 of 15

V.P. Rajesh: So on the M&A side, aside from the current transactions that you guys are working on, what's the outlook in fiscal year '24? Are you going to take a pause? Or are you going to consider to be looking for opportunities.

Rajaram Narayanan: On the M&A piece. Yeah. So I mean, we are going to, we will be looking for opportunities but it will be something that we will sort of prudently evaluate both, essentially driven by the opportunity in the business and the transaction. But we are completely open to it at this point of time. And we have full support from our own Board as well as the promoters to make sure that what is required.

V.P. Rajesh: Okay. Got it. And last question, just on the inventory side in the channel or at your customer end. If you can just give some colour on that? Has it stabilized or come down? Or is it still you are seeing that they are sitting on inventory, just some colour will be helpful.

Rajaram Narayanan: On API, is where we can give you some colour on it. I think it was unstable and high some time ago. It has stabilized. But having said that, I think given the current macro situation, customers are in a stable sort of environment, they are definitely conserving cash and controlling their inventory.

V.P. Rajesh: Yes, just a quick follow-up. So you think they're starting to feel like given other comments you made, that they're starting to come out of the bunker mentality and start to sort of invest in new products and start to be a little more aggressive than they were in the last 2, 3 quarters?

Rajaram Narayanan: At the API customer end, yes, I think people are beginning to run a more stable business, I would say, and start looking at growth and expansion in their plans and portfolio. But as you know, in this, in the Formulation in parallel, it takes more time to commercialize those products, but the initiatives

are there from most of our customers.

Moderator: As that was the last question, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Rajaram Narayanan: Thank you very much to all of you for joining this call. I hope you found the discussion useful.

We look forward to meeting you again in the next quarter, and we'll keep updating you on the developments as they progress during that quarter. Yes, thank you very much.

Moderator: Thank you, sir. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office: 301, 3rd Floor, Dosti Pinnacle, Plot No. E7, Road No. 22, Wagle Industrial Estate, Thane (W), Mumbai - 400604, Maharashtra, India

Tel No.: +91-22-4111-4777 | CIN: L99999MH1985PLC036685

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

May 26, 2023

To,

BSE Limited

Corporate Relationship Department National Stock Exchange of India Limited

Listing Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Exchange Plaza, Bandra-Kurla Complex,

Bandra (East),

Mumbai – 400 001 Mumbai – 400 051

Scrip code: 512529 Symbol: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and year ended March 31, 2023

Dear Sir/ Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the audited Financial Results of the Company for quarter and year ended March 31, 2023.

The same is also available on the Company's website at <https://www.sequent.in/pdf/financial/2022-2023/Q4/SequentSci-Earnings-May24-2023.pdf>

Kindly take the same on records.

Yours faithfully,

For Sequent Scientific Limited

Krunal Shah

Company Secretary & Compliance Officer

Page 1 of 15

"SeQuent Scientific Limited

Q4 FY 2023 Earnings Conference Call"

May 24, 2023

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR –
SEQUENT SCIENTIFIC LIMITED
MR. P.V. RAGHAVENDRA RAO – CHIEF FINANCIAL
OFFICER – SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD, INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited
May 24, 2023
Page 2 of 15

Moderator : Ladies and gentlemen, good day, and welcome to SeQuent Scientific Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Singhal. Thank you, and over to you, sir.

Abhishek Singhal: Thank you, Neerav. A very good morning and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the Fourth Quarter and Full Year Ended Financial Year 2023. Today, we have with us Mr. Rajaram, SeQuent's Managing Director; Mr. P.V.

Raghavendra Rao, CFO, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange. The transcript for this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Mr. Rajaram to make the opening comments.

Rajaram Narayanan: Good morning, everyone, and a very warm welcome to our Quarter 4 and Full Year '23 Earnings Call. Joining me on this call is Mr. Raghavendra Rao, our Chief Financial Officer. We are at a very important juncture in the journey of this company and I'm happy to address this forum as we take some decisive steps towards building this company as a major player in animal health. I'll start with an overview of the company.

We are the largest animal health company from India and amongst the top 25 in the world. We have a presence across nearly 100 countries and about two thirds of our revenue comes from regulated markets. We have a unique combination of strength in the formulations area, we have a front-end presence in key animal health markets of the world. And at the same time, we are the only company in India to have set up a U.S. FDA-approved greenfield veterinary API facility. So, that's a set of strengths, which stand with us as we build our next few years.

Last quarter, we had indicated that we are initiating steps to improve our margins and adjust our plans so that we are well prepared in this fast-changing environment globally and in India. And as part of this strategic shift, some of the actions we have taken in this quarter's results are reflected and they prepare us for an accelerated growth to profitability in the next 2 to 4 quarters, while setting the foundation for long-term competitiveness.

As a broader background on the global market situation, I'll comment on 2 areas. One is the macro environment. This remains challenging. Inflation and other consequences of geopolitical developments continue to put pressure on costs and consequently on demand. In our case, some markets like Turkey and parts of Europe are impacted, but we are also seeing silver linings as these situations tend to create opportunities for exploring new business models.

SeQuent Scientific Limited
May 24, 2023
Page 3 of 15

Second, the industry we operate in. Although, the year gone by has been difficult due to the impact of agri commodities and feed costs, which in turn affect the economies where they keep food-producing animals, the animal health industry overall continues to hold long-term promise. The underlying drivers for long-term growth of the industry, which is focused on is the animal protein, adoption of pets and the g

growth of emerging market continues to remain intact. While

Raghav will talk in detail on the quarters and full year financials, let me share some highlights of our overall results.

Our revenues in the quarter have been a mixed bag. Overall, the quarter 4 revenues have declined year-on-year by 4.4%. But however, within that, our formulations business has grown by 2.6% year-on-year, and we are seeing in constant currency terms. And in some markets of Europe and emerging markets, we actually are seeing high growth, in fact, in double digits.

The business in Turkey, of course, has been impacted by the disruptions caused on account of the devastating earthquake. While our people and facility were not affected, it has, in fact, impacted some of the demand. At the same time, we also see important developments in our product portfolio, and we have launched a range of formulations for gut health of animals in Europe, which, in a short span has actually crossed EUR3 million of sales.

On the API front, our revenues have been a bit muted because we expect some of the customer orders to spill over into the next quarter. At the same time, we have continued to file for new products with 8 new filings this year and we have started the commercialization of new products as part of our long-term contract with a leading animal health player in the world. We have also invested in expanding our R&D capacity as we anticipate a fast-growing requirement for new products in the next 3 to 5 years.

As we navigate this mixed environment, we are taking some decisive steps to make sure that we are future resilient by operating in areas, which offer the best opportunities for growth and profitability. And in this regard, we have taken a few major initiatives this quarter, those benefits will start showing in the coming year and beyond. First, our manufacturing operations in Germany have been facing challenges for a while in terms of operating costs due to the prevailing economic environment.

And after assessing our options, we have decided to close the manufacturing facility. This will translate quickly into accretive and sustainable margins for the company. We will continue to serve our customers through alternative partners and CMO entrants. There is a one-off charge in the results due to this strategic shift.

Our API business is unique. It has 72% of its revenues from regulated markets and the top 10 customers account for nearly 60% of the business. But as we grow, we will need to be more competitive. Therefore, we have initiated a large-scale cost transformation and margin improvement project, which is internally called Project Pragati across the business, and this will start showing in our margin profile in the next 2 quarters.

On formulations, we are bullish about India and Brazil. We intend to accelerate our organic growth through new launches and expanded reach. At the same time, we are reshaping our

SeQuent Scientific Limited

May 24, 2023

Page 4 of 15

portfolio and operations in markets like Turkey and parts of Europe to focus on growth segments and also improve our profitability. And finally, across the group, we have intense efforts on costs and working capital and we are already beginning to see the results in this quarter itself.

Before I hand over to Raghav, I would like to emphasize the following. We are a unique company in a unique industry. The environment, however, requires us at times to adjust our plan so that we remain competitive in the long term. With the actions outlined, we expect to be better prepared for the opportunities ahead and do so profitably and responsibly.

On one hand, we are cutting costs where we see little long-term value. But on the other hand, we are investing in capacity, in R&D, in quality and in people because we believe that in the next 3 to 4 quarters, we would be well placed to ride the recovery in our industry.

I will now hand over this to Ragh

av for more details on the financial performance.

P.V. Raghavendra Rao: Thank you, Raja. Good morning, everyone. I will now briefly update on this key financial metrics for Q4, as well as for the full year '23. I will start with the formulation revenues.

Formulations business contributed INR255.9 crores to the top line with a 2.6% year-on-year growth and down by 1.1% Q-on-Q on reported terms. On constant-currency terms, formulation has grown by 2.9% year-on-year. Europe business continues to grow and clocked a revenue of INR114.6 crores, which is a growth of 9.1% quarter-on-quarter and 11.9% year-on-year. The API business revenue is at INR94.1 crores.

Total revenue for the quarter is INR366.7 crores, down 4.4% year-on-year and down 2.3% Q-o-Q. For the full year FY '23, the revenue is at INR1,420.9 crores, which is 0.6% growth year-on-year and 2.2% growth in constant-currency terms. This is despite the headwinds that we faced across multiple businesses. Europe clocked a sale of INR414.7 crores for the year, which is a growth of 1.7% in constant-currency terms.

Emerging Markets segment clocked a sale of INR480.7 crores, which is 7.8% year-on-year growth and a robust 15.9% in constant-currency terms. India clocked revenue of INR105.5 crores, which is a growth of 3.5% over the previous year. The API business contributed INR380.8 crores to the revenue on a full year basis.

Overall, gross margins for the quarter is at INR39.5 crores compared to INR42.1 crores in the previous quarter. We have taken multiple actions in controlling the working capital. There is a significant reduction, particularly in material inventory on account of these actions. The impact on gross margins on account of this is about 1.5% in the current quarter. Our full year gross margin is at 41.3%.

In spite of the inflationary pressures, we have managed to control our operating costs. Our operating expense at a full year level is at INR288.6 crores compared to INR279.1 crores during the previous year. In Q4, EBITDA, excluding ESOP cost stood at INR12.8 crores. And on a full year basis, EBITDA pre-ESOP of INR75.6 crores, ended at 5.3% of revenue.

During the quarter, we have had an exceptional EBITDA of INR61.6 crores, driven by closure of plant operations in Germany and also impairment impact on sourcing because of the SeQuent Scientific Limited

May 24, 2023

Page 5 of 15

prevailing account situation in Turkey. This is -- other than the INR5.6 crores hyperinflation-related impact that we have taken because of the conditions in Turkey.

Exchange loss for the quarter is at INR2 crores. This is mainly driven by the movement in Turkish lira and euro. For the full year, impact on account of exceptional items is INR65.8 crores. This includes other than costs that I just mentioned about, which are relating to the closing down of Germany operations and Turkey impairment, this also includes a loss due to fire at Vizag, which is taken in Q1 not FY '23. We also have INR15.8 crores impact on account of hyperinflation adjustments on a full year basis on the P&L. We continue to work on bringing efficiencies due to the operations across the globe.

Our working capital has reduced by 11 days over the previous quarter and now stands at INR426.1 crores as compared to INR480.4 crores as on December-end. The capital expenditure in FY '23 was approximately INR86 crores, which is -- significant of it being utilized for capacity enhancement in our Vizag facility, increasing demand. Net debt is at INR366.1 crores against INR363 crores in December more or less response.

I thank you all for your support. I wish us for the forum to be now open for Q&A.

Moderator: Thank you very much. We now begin the question-and-answer session. The first question is from the line of Vishwas, an Individual Investor. Please go ahead.

Vishwas: I had a couple of questions. And my first question is relating to the API plant. So, how much is the u

tilization there right now? And are we planning to add more capacity for API business?

And what are the products we have in our pipeline relating to that? And what are the revenue, which we can get from these new APIs? So, this is my first question.

Rajaram Narayanan: Thank you for asking this question. So today, our capacity utilization of our API business is between 70% to 75%. And going ahead, of course, we will have requirements, but there are 2 components to increasing capacity. One is the debottlenecking the capacity which we have right now. And as I did indicate in my call, one of the big initiatives we have is on improving productivity and margins. So, we will be debottlenecking some capacity.

And of course, we are investing in capex to increase our capacity because we have some new products and some new partnerships, which are coming up with leading players. And therefore, we will add capacity as those requirements come in. You had some -- another -- some more question on the API, which was...

Vishwas: I just wanted to know how much revenue or any indication which we can get from these new APIs, any broad view?

Rajaram Narayanan: So, we expect that we will be adding 1 to 2 products immediately in terms of new products and probably going up to 6% to 7% in the next 3 years. And typically, we should expect about 8% to 10% of our revenues to come from new products in the next 2 years.

SeQuent Scientific Limited

May 24, 2023

Page 6 of 15

Vishwas: My second question is on the actions you are taking in Europe, like closing a factory which you indicated, so can you elaborate some more reasons on the -- like behind the scenes and what benefits can we expect from these actions on the performance of the company?

Rajaram Narayanan: So, we have a factory in Germany, which is the injectables plant. It also makes some other liquids for animal health. And the markets for this plant are some markets in Europe, some in East Europe and emerging markets in Africa. But being located in Germany, it's an old plant. We had plans of putting in capex and modernizing this plant to be able to take the products outside of Europe like the U.S.

But there has been a significant change in the operating environment in Europe. The operating costs have gone up quite substantially in terms of both energy, utilities as well as labour costs. And at the same time, it will take us also more investment to be able to upgrade the plant.

So, we felt that since we've been incurring a loss from this plant for the last few years, there were no alternative options a couple of years ago. But now there are alternatives to actually get these products manufactured at more competitive CMO than third parties.

And that's the reason why we want to close the operations in that plant and that will help us conserve currently the burn, which is happening in that factory, and we should be able to get the benefit coming in about a quarter from now. As far as the quantum of the benefit, I think we've indicated it -- Raghav, what could it roughly be about?

P.V. Raghavendra Rao: It could be about -- annualized basis, about INR22 crores to INR24 crores.

Rajaram Narayanan: Yes, so we should take about INR20-odd crores would be the annualized basis of it. But as when we sort of implement it, it should actually start somewhere around next quarter.

Vishwas: And lastly, one question on the Turkey side. So, what is the situation there in our business there?

Rajaram Narayanan: Do you have any more questions? Or is this the last one?

Vishwas: I have just one question on Turkey business. So, what is the situation there? And how is the business there? What is the situation with respect to hyperinflation? So, these are the broad questions.

Rajaram Narayanan: So, I'll answer the first part. Turkey is a very important animal health market. It is in the top 10 markets of the world. And we also, as a company, have a very strong presence. We

are in the

top 5, in fact, now in the top 3 of the ruminant cattle animal health business. And the brands are very strong. So, it's an important market. Unfortunately, in recent times, the country has gone through an economic challenge because of which there has been high amount of inflation and also the rise in agri prices have meant that there is a reduction in the demand for some of the animal meat and animal protein.

And therefore, it is beginning to impact the business performance. But we have taken actions in that regard in terms of aggressive pricing in terms of looking at our portfolio, reducing some of our costs. But we have to wait and watch because these actions in recent times has not been

SeQuent Scientific Limited

May 24, 2023

Page 7 of 15

adequate to compensate for the level of inflation. But we do see other opportunities in Turkey, which we are getting into action now, which is to use Turkey as a potential export location because when you have this degree of -- it will also become more competitive as a cost base for supplying to some markets in Europe, etcetera. We also make injectables in that plant, which is one of the few plants, which makes injectables. It's Europe GMP-certified facility.

So, all those things put together require us to adjust our own business because we have a strong presence there, but we are conserving costs and we are doing everything to make sure that we remain profitable in Turkey. So, that's really the situation. Of course, there has been a devastating earthquake which did not impact our facility or our employees but did impact the market where the earthquake incident took place, which was about -- which is about 10%, 15% of the Turkish business. And that trickle down has impacted the current demand, but we do expect that things could change. In any case, our actions are to make sure we are profitable in that regard. On the macro hyperinflation, I'll probably ask Raghav to comment and explain what the principles are.

P.V. Raghavendra Rao: So, if you see the face of the P&L, we have taken for the current year an impact of almost INR16 crores for the full year. And there is another INR2.8 crores, which have impacted the EBITDA, other EBITDA.

Moderator: The next question is from line of Siddhant, Individual Investor. Please go ahead.

Siddhant: I just had a couple of questions. Sir, my first question is, as you mentioned, there has been a large exceptional item during this quarter. So, is this the end? Or do you expect more of it going further?

Rajaram Narayanan: So clearly, because this is exceptionally large, the idea was that this was it's like to be taken now and it was the right time to rebase some of our operations and actually act so that we can take advantage of the accretive margin and the lower cost base as we begin to go ahead. So, I don't expect any more exceptional items in this regard in the coming quarters.

And that's the reason why we've decided that even though it is large, and it is -- it does impact the results of the quarter, we would rather take the charge one shot in this quarter itself. So, that we can sort of go on a clean sheet moving ahead.

Siddhant: Sir, in the presentation, it was mentioned that inventory reduction has affected the gross margin.

So, can you comment why such -- like why it has led to losses this year?

Rajaram Narayanan: Raghav?

P.V. Raghavendra Rao: Yes. So, like I said, we have been working on bringing new efficiency into our overall working capital. So, actions on inventory were aligned to that step up. So, what happens when you do actions on the inventory, there are a couple of pieces that come into your gross margin. One is that you make -- you liquidate some inventories.

You make closing credits. More importantly, when you reduce your inventory, some of the overhead sitting on inventory also impact your -- impact your overall gross margin for the period.

So roughly, broadly, as I indicated earlier, it's about 1.5% impact on the gross margin for the quarter.

Rajaram Narayanan: So, it's the right direct thing to do, which is to reduce your inventory, but you do end up having an accounting charge, which comes on the P&L. So, I think from a health of the business operation, it's absolutely the right direction to go ahead and reduce inventories. But in terms of an accounting charge, it can come your -- that's what has really happened.

Siddhant: Sir, one last question. Like historically, you have mentioned that the company is going under restructuring, but the employee costs have been more over the same or latest increasing. Can you point out any reason for this?

Rajaram Narayanan: So, we really don't have a significant increase. I would comment, but just before that, let me say that some of the impact of the restructuring, which we have just spoken about, some of these will obviously trickle in, in the margin improvement as it comes in, in the coming quarters. The second part of it is that some of the increase in employee cost trajectory, because of annualization of when you recruit them in hiring as well. But in terms of our headcount, we are directionally going lower than what we have. But Raghav, anything else in this?

P.V. Raghavendra Rao: Nothing -- so, you are right in the sense that we had -- we are taking in some of the restructuring impacts from the -- on the manpower line, sorry, on the employee benefit line. But what we have to also remember is that there will be increments and there may will be replacement cost that will come on this line. So -- and I believe that it is more or less stable between the 2 quarters, between December and in March.

Moderator: Next question is from the line of Pranav, Individual Investor. Please go ahead.

Pranav: So, I have a couple of questions. So, what are the company's plans for acquisitions in the future for growth? And how is the importance of India in this plan?

Rajaram Narayanan: So, we clearly, will look for any attractive assets, which we can acquire, but it will be done in terms of responsible funding for this, and it should be an asset that adds value to the business and where we also can add value. So, we are completely open. We are also, at all points of time in engagement with different potential assets for acquisition. Obviously, from a market point of view, India is attractive, but we also see some interest in one or two assets outside of India, but largely that interest is in India at this point of time.

Pranav: Another one of my questions is regarding the sales in margin growth. So, what is the expectation that the management is having for the next few years?

Rajaram Narayanan: As I said that there is clearly a lot of initiatives, which we have started, some of it due to reshaping restructuring, but also the growth that we are seeing in some of the markets in the short and medium term. We really don't take this as any kind of guidance, but what we expect some of our initiatives and to deliver and split it into two horizons.

One is that in the short term, it would be really the exit of FY '24. We should expect the exit margins to begin to come into double digits. And that's something that is on our plan. And as far

SeQuent Scientific Limited

May 24, 2023

Page 9 of 15

as we look at medium term, which would be about 24 to 36 months, we should expect our margins to come to late teens. So, roughly in a short term, which is the next 12 months, we should expect the exit margin of the company to be somewhere in double digits. And in 3 years, we should be in about late teens in terms of our margins.

Moderator: The next question is from the line of V.P. Rajesh from Banyan Capital Advisors. Please go ahead.

V.P. Rajesh: One on the EBITDA side, you are saying, your sort of adjusted EBITDA is INR110 crores for the year. If you ca

n share the corresponding number for the Q4?

Rajaram Narayanan: Corresponding, Raghav, Corresponding numbers for Q4.

P.V. Raghavendra Rao: So, I'm just thinking about we had exited Q4 at a reported EBITDA of about INR12.8 crores. So in this, you can add a couple of amounts, particularly the INR6 crores inventory is Q4 item as well as about INR1.1 crores on the hyperinflation is a Q4 item. You can add about INR5.5 crores for the discontinued operations. So, it will come -- roughly it comes to about INR21 crores, INR22 crores, Rajesh.

V.P. Rajesh: INR22 crores, okay. So, how should one think about? Is it the new basis of INR88 crores, if I analyse Q4 or INR110 crores? Like what is your jump-off point in terms of how the EBITDA will start to improve from here?

Rajaram Narayanan: So, I think you should look at more from exit to exit than to look at it because some of the actions

of these don't follow 1/4 for a quarter. So, I think on a -- you should look at a base -- my sense is on a more like INR22 crores kind of update on which we should see us as going in line with the kind of direction which I have given. On an annualized basis, I think it would be about INR110 crores. Yes?

P.V. Raghavendra Rao: Yes. So, what you have to remember Rajesh, is not all impacts are injected into Q4. So therefore, it is better to make of it on an annualized basis.

V.P. Rajesh: Right. That's why I was saying that one should think of INR110 crores is the number that is sort of on a...

Moderator: Sorry, you are not audible.

Rajaram Narayanan: I think you are not audible. But if you're asking, I think you should -- whether we should take a quarter as a reference or should we take the annualized adjusted INR110 crores as a reference, I would say that you should take the annualized as a reference, yes, on this.

V.P. Rajesh: And then one quick question on the inventory side. When you have taken the markdown in this quarter, is it actually a cash loss? Or is it just accounting entry you have taken and then you liquidate that inventory, and you may get some write-back from that? How should one think about that?

P.V. Raghavendra Rao: The way inventory works Rajesh, it's not entirely a markdown. There is a very small element of actually markdown. It is actually what happens is when there is a drastic change between your

SeQuent Scientific Limited
May 24, 2023
Page 10 of 15

working inventory and your present inventory for a period, there's a lot of overheads sitting in the inventory in the balance sheet to the P&L. So, it has a significant impact and particularly, if the period is only 1 quarter, it appears significant. So, that is the major impact on inventory.

Moderator: Next question is from the line of Ankush Mahajan from Axis Securities. Please go ahead.

Ankush Mahajan: Most of my questions have been answered, sir. Just on the -- my question is catering to margin that you already have answered. Just trying to understand, sir, if we could -- we have closed these operations in Germany and what kind of impact we can see in terms of quantitative impact in the upcoming quarters?

P.V. Raghavendra Rao: So yes, Ankush, I anyway answered that as well. So, I think over an annualized basis, INR21 crores to INR24 crores equities to the profit in margin.

Ankush Mahajan: Do you mean that's EBITDA margins?

P.V. Raghavendra Rao: Yes.

Moderator: Next question is from the line of Giriraj Daga from Visaria Family Trust. Please go ahead.

Giriraj Daga: Just few clarifications first. About Germany, API unit or formulation unit? And what percentage of API was there if APA was there?

Rajaram Narayanan: So, Germany is a formulation unit. It's not an API unit. It is where we make some injectable products where we buy APIs from other suppliers, and it's marketed to within Europe and to some other markets.

Giriraj Daga: Second, when you look at your capacity utilization number of API to 70% to 75%, like what percent of

API goes for our internal consumption?

Rajaram Narayanan: Very little of our API is used for probably 2% to 3% maybe at best and that too at times because most of our APIs are -- as you know, most of our APIs are for regulated markets in the U.S., we don't have U.S. operations. So, between U.S. and Europe, most of our customers will be purchasing this. So, it's not for internal consumption.

Giriraj Daga: So, when we look at like last quarter, 4Q, we had revenue of INR127 crores. This quarter, it's INR94 crores, and you're talking 70%, 75%. Like we were operating at more than 100% in fourth quarter or is the price reduction such drastic that volume is intact, and prices have crashed?

Rajaram Narayanan: So, there are two parts to it. When I say 75%, it's our mean plant, which is there in Visakhapatnam that operates at about 70%, 75%. We have another plant, which is a non-U.S. FDA plant, which is in Mahad, which is in Maharashtra, which is at about 55% to 60%, but that largely makes albendazole.

So, that is one. I think the second part of it is that last year, at the same time when we saw a large base of INR127 crores, there was a substantial amount, which was a spill over from quarter 3 of that year, which was almost to the extent of about INR14 crores to INR15 crores, which came

SeQuent Scientific Limited
May 24, 2023
Page 11 of 15

in as a spill over because the December ending of that year could not -- there were a lot of issues around shipping, etcetera, and it couldn't be sent.

The third part of it from a capacity is that we also use CMOs for some of our requirements. And therefore, while our own plants may be occupied at about 70%, 75% in Vizag and about closer to 60% in Mahad, we utilized our CMO capacity also for some products.

Giriraj Daga: Two more questions. One on the margin. When you mentioned double-digit margin exit rate, late teens margin, you're talking about the adjusted margins, not after the ESOP cost, right?

Rajaram Narayanan: No, I think all our discussion is on EBITDA margin pre-ESOP, because ESOP is a non-cash item, we don't sort of tell, but it's pre-ESOP operating margin.

Giriraj Daga: So practically, like if I add the INR20 crores, INR24 crores to INR110 crores this year, we're anywhere at INR130 crores, INR135 crores, right, on a revenue of INR1,400 crores. So, we're already close to 9.5% already. So, the improvement like -- are we not expecting any material improvement from here up to quarter 4?

Rajaram Narayanan: Yes. As I said, we do expect it. And I think we have a big variation in the margins this year. And therefore, the indication is that we will do double-digit, nearly double teen margin as we exit the year.

Giriraj Daga: My question is that INR110 crores should be like even if I add this additional INR20 crores, should become INR130 crores, right? So ideally, we should be looking at INR150 crores, INR160 crores minimum to start with for FY '24 full year adjusted number?

P.V. Raghavendra Rao: Giriraj, I'm not sure what integer you are adding.

Giriraj Daga: Germany operation cost, INR21 crores to INR24 crores, you mentioned, right?

P.V. Raghavendra Rao: That is basically in the INR110 crores, that is basically in the INR110 crores. So, the way if you see, this INR110 crores over INR1,400 crores, is not 10%. So, we will move close to the -- we will move into the early double-digit as we move into the end of the year.

Giriraj Daga: Last question on the capex. So this year, we have some step-up in the capex, some INR86 crores. What was that pertaining to, which facility and other things? And what is the capex outlook for '24 and probably some visibility on '25?

P.V. Raghavendra Rao: It could be somewhat of a similar number for FY '25 as well and the many investments, predominantly in the capacity expansion in Vizag.

Giriraj Daga: No, sorry, like, if we look at our revenue for the last 2, 3 years, it's like flat broadly, right? And we will

have some asset turnover of almost 2.5x, 3x, if I'm not wrong. So, then why do you need capex for this year also for INR86 crores, somewhere like INR85 crores to INR90 crores?

P.V. Raghavendra Rao: So, this capex, Giriraj is basically -- I mean, we have line of sight of business expansion, where we are trying to lock new customers, new projects. So, it is more in line with our -- with what we want to do in the future as we move ahead.

SeQuent Scientific Limited

May 24, 2023

Page 12 of 15

Giriraj Daga: And location would be?

P.V. Raghavendra Rao: Like I said, predominantly Vizag, as of now.

Rajaram Narayanan: It will be in India, largely in our U.S. FDA plant.

Moderator: Next question is from the line of Darshan Shah, Individual Investor. Please go ahead.

Darshan Shah: Sir, can you hear me?

Rajaram Narayanan: Yes, Darshan, go ahead.

Darshan Shah: So, I just wanted some updates on what are our growth prospects in Brazil, like?

Rajaram Narayanan: So Brazil is one of the world's, it's in fact, in the top 5 market as far as animal health is concerned. We have been growing well in the last couple of years in Brazil. It is -- we think that we -- it's a market where we should grow in double digits, partly because the -- we've also made an entry into companion animals last year because we have acquired a small company to sort of make the entry into companion animals.

And this year, we will be expanding the range and the reach and the impact of that team. So, it's an attractive market, which should give us double-digit growth. But we have to make sure that it is profitable also, it is right now profitable, but there are some sort of headwinds in terms of agriculture and commodity prices, hopefully, they will be managed, and we should be able to see double-digit growth there. But for us, it's a strategic market going ahead.

Darshan Shah: And any updates on Nourrie?

Rajaram Narayanan: So we've done the integration of that team. We have put in a new sort of, expanded the team now to be able to go to more the OTC and kind and veterinary doctors who are there because this was more of a nutrition kind of a portfolio. So, we are also expanding our portfolio. I think we should begin to see the results by quarter 4 this year of Nourrie because it will be annualized by then.

Moderator: Next question is from Kaustav from BMSPL. Please go ahead.

Kaustav: So, if I observe from your calls that you did a few years ago, you kept talking about the potential U.S. FDA approval for formulations. And since then, over the last few quarters, we haven't really spoken about this. So, I was just trying to understand what happened over there? And what is our plans to eventually enter this U.S. market in formulations?

Rajaram Narayanan: Thanks for this question. So, the entry into U.S. for formulation has two parts to it. The first is in the development of the product itself and the validations which are required and then there is manufacturing and then there is the eventual launch. The manufacturing of this was planned in

Germany. The R&D for it and the development of the product and the registrations are all driven out of India in our R&D. We are completely on track on the registrations and filings, which we had planned.

SeQuent Scientific Limited

May 24, 2023

Page 13 of 15

However, the upgrade, which we had planned in Germany is the one which we are now discontinuing for U.S. FDA upgrade. But instead, we have arrangements right now to be able to manufacture these products at CMOs, so that we don't miss the timeline, which we have with us on that. So, it's only the manufacturing location for validation and eventual supply, which will change because a few years ago, it was not available. But today, there are CMOs with strong manufacturing capabilities for the U.S., which are available. The more important thing is to have the registration and the filing for that.

Kaustav: No. So,

my question being that -- okay, so the arrangement is changed, but when do we plan to enter this market? And are we going to enter this market anytime soon given we've got so many other geographies to focus on and to still scale in? I mean, could you just speak a little bit about this whole thing and as to where you -- no, that's it. Yes, I think you got my question.

Rajaram Narayanan: We are not scaling back on the current route to get there because we have about close to 8 products and then eventually 12 for which we are developing the necessary dossiers. So, that process is going on right now. I think we'll be able to probably get a clarity once we sign up formally the arrangements with the manufacturing. We don't see too much of it, but a typical plant should be anywhere in about 24 months.

Moderator: Next question is from the line of Vignesh from Harmony Wealth Advisory. Please go ahead.

Vignesh: I just wanted to understand that full year ESOP cost, which we need to put in for the financial year.

Rajaram Narayanan: It's not very clear Vignesh, can you just repeat your question? It's not very clear.

Vignesh: So, I just want to understand the full year ESOP cost we need to tap in for the current year?

Rajaram Narayanan: It's not clear.

P.V. Raghavendra Rao: Your voice wasn't clear, so can you just repeat once again?

Vignesh: I just want to understand the full year ESOP cost for the current year.

P.V. Raghavendra Rao: It is about INR35 crores, Vignesh. Current year, it's INR35 crores and we expect it to come down as...

Vignesh: For the financial year FY '24?

Rajaram Narayanan: FY '24, it will be lower.

P.V. Raghavendra Rao: It will be lower. It will be significantly lower, yes.

Vignesh: And then on the API side, in the last 4 years has been muted. So, some colour on the API business and I mean, some update on the pricing pressure if there are reductions in the pricing pressure or some colour on the API business.

SeQuent Scientific Limited

May 24, 2023

Page 14 of 15

Rajaram Narayanan: So, I think every year has been a little different because the last 4 years, if you take, we've had a couple of years of COVID as well. So, from that point of view, the steady state is really what we should look at, which is perhaps this year. In terms of the pricing, yes, the pricing pressures do continue across.

And partly, it is led by the fact that there's a reduction in demand in some of the end products for our customers. And there are people who are sort of supplying the APIs. So, there is going to be that pressure and that is the reason why we should do the kind of initiatives, which we are doing in terms of improving our margins and cost competitiveness. That's how we retain our customers.

Having said that, we have nearly 70% our business, which is with customers in regulated markets and that, while it may not give us the immediate opportunity to increase prices because that tends to be more dependent on when your contracts end and get renewed. We definitely don't have a downward pressure on prices when with some of these regulated market customers. Yes, in the less regulated markets, where it is what we call spot trading of products, there is obviously a pressure both from suppliers in other emerging markets as well as some in India as well.

Having said that, we should also remember that there was a big spike in costs some time ago, but in the last 5 to 6 months, there is also some softening in terms of input prices. And therefore, we should be able to move towards protecting our margins even if there is a slight pressure on pricing because of the initiatives both in terms of the kind of stuff, which we are doing as well as the softening of input prices.

Moderator: Next question is from Prashantkumar, an Individual Investor. Please go ahead.

Prashantkumar: Sir, my question is like how long we have to bear this ESOP cost? How many more years to go

for it?

P.V. Raghavendra R

ao: Prashant, it will continue next couple of years, at least, where it will come down significantly later.

Prashantkumar: In FY '23, we had cost around INR35 crores, like what can be the -- what can be the for-instance cost, like any tentative number? I'm not looking for the numbers.

P.V. Raghavendra Rao: It could be approximately about 18% to 22% lower than this, next year?

Prashantkumar: 18% to 20% lower, right? So, around INR25 crores to INR28 crores, kind of, right?

P.V. Raghavendra Rao: Yes, yes, approximately, yes.

Prashantkumar: So, are we planning -- another question is, are you planning to enter into the Chinese market?

Rajaram Narayanan: Into China?

Prashantkumar: Yes.

SeQuent Scientific Limited

May 24, 2023

Page 15 of 15

Rajaram Narayanan: We have no immediate plans to enter into China. I think from a formulation point of view. From an API point of view, at this point, it doesn't really play out because China is a manufacturer for most of the APIs.

Moderator: Thank you. I now hand the conference over to the management for closing comments.

Rajaram Narayanan: Thank you very much for -- to all of you for joining this call and I hope you've had an opportunity to answer your questions as well as give you clarity on the results of the recent quarter as well as more importantly, the direction which we are taking in terms of substantially improving the competitiveness of our business as well as the near and long-term -- medium-term forecast that we have for our growth as well as for our margin profile. Thank you very much.

P.V. Raghavendra Rao: Thank you.

Moderator: Thank you very much. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Aug 2023

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office: 301, 3rd Floor, Dosti Pinnacle, Plot No. E7, Road No. 22, Wagle Industrial Estate, Thane (W), Mumbai - 400604, Maharashtra, India

Tel No.: +91-22-4111-4777 | CIN: L99999MH1985PLC036685

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

August 18, 2023

To,
BSE Limited
Corporate Relationship Department National Stock Exchange of India Limited
Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Exchange Plaza, Bandra ■ Kurla Complex,
Bandra (East),
Mumbai – 400 001 Mumbai – 400 051

Scrip code: 512529 Symbol: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ■ Earnings Call Transcript for the quarter ended June 30, 2023

Dear Sir/ Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for quarter ended June 30, 2023.

The same is also available on the Company's website at https://www.sequent.in/pdf/financial/2023-2024/SequentSci-Earnings-11Aug-2023_Final.pdf

Kindly take the same on records.

Yours faithfully,
For Sequent Scientific Limited

Krunal Shah
Company Secretary & Compliance Officer

Page 1 of 11

"Sequent Scientific Limited
Q1 FY 2024 Earnings Conference Call"
August 11, 2023

MANAGEMENT : M R. RAJARAM NARAYANAN – MANAGING DIRECTOR –
SEQUENT SCIENTIFIC LIMITED
MR. SHARAT NARASAPUR – JOINT MANAGING
DIRECTOR – SEQUENT SCIENTIFIC LIMITED
MR. PV RAGHAVENDRA RAO – CHIEF FINANCIAL
OFFICER – SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD OF INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited
August 11, 2023
Page 2 of 11

Moderator: Ladies and gentlemen, good day, and welcome to SeQuent Scientific Limited Q1 FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Singhal. Thank you, and over to you, sir.

Abhishek Singhal: Thank you. A very good morning, and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the first quarter ended financial year 2024. Today, we have with us Mr. Rajaram, SeQuent's Managing Director; Sharat, Joint Managing Director; and Mr. P V Raghavendra Rao, CFO, to share the highlights of the business and financials for the quarter. I hope you've gone through our results release and quarterly investor presentation, which have been uploaded on our website as well as stock exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Mr. Rajaram to make the opening comments. Rajaram Narayanan: Thank you, Abhishek. Good morning, everyone. A very warm welcome to everyone for the quarter 1 earnings call for the financial year '23, '24. Joining me on this call is Mr. P V Raghavendra Rao, our Chief Financial Officer; and Mr. Sharat Narasapur, Joint Managing Director.

At the last earnings call, I had shared with all of you the steps that we had initiated to reshape our operations to make them more competitive. And I'm happy to share that we have made very good progress on various initiatives and are now at a stage which sets us up for a steady performance in the balance of the year and thereafter.

But before that, let me first provide you a view of the macro environment, which is relevant to us because we operate in multiple markets. Across our markets, we are seeing the pressure of inflation which despite all efforts of the government does not seem to be coming down as fast as we would like it to. Consequently, there is a slowing down of demand at a customer level and also some cautiousness in the B2B segment of the industry.

We are also seeing currency volatility in some of the emerging markets, which is aggravated by political events. We expect that this will continue in the short term. However, the larger contribution of developed markets to our business will be of great help to us in such a situation.

SeQuent Scientific Limited
August 11, 2023
Page 3 of 11

As you know, our industry has two distinct segments: medicines for production animals and medicines for companion animals. Across the world, the production animals business has been impacted by high feed costs due to issues relating to war and other farm-related issues. This, in turn, has impacted the demand for nutritional additives and medicines. On the other hand, the demand for medicines for companion animals remains intact and is growing as pet adoption, incidence of diseases and lifetime of pets increases.

It is in this context, that is the macroeconomic development as well as industry trends, that we see the need to adjust quickly and adapt our operations. We are the largest animal health company operating from India with a presence in over 100 countries in regulated and less regulated markets. Our unique combination, which is a formulations business with a front-end presence in key animal health markets

of the world, and at the same time an established US FDA-approved veterinary API facility, will help us leverage the emerging opportunities. But to do that, we have to take some decisive structural actions for long-term competitiveness.

While Raghav will talk in detail on the quarter financials, let me share some highlights of our overall results and also give you a sense of the direction. Our overall revenues in the quarter have come in lower declining by 2.4% year-on-year. The formulations business has shown marginal growth overall at 0.7% in this quarter, compared to the same quarter last year, but we've also seen good growth in some pockets of the formulations business. Our actions in Europe have begun to deliver as the European business returns to growth in addition to showing an upward trend in margins.

The rationalization of the portfolio and discontinuation of manufacturing operations in Germany will begin to impact our results positively going ahead. The formulations business in India has shown strong growth on the back of new products as well as expansion on the ground force. We do, however, have a specific challenge in Turkey due to the high inflation and devaluation of the currency which had impacted our results this quarter. However, we had already initiated strong pricing actions as well as cost containment measures, which will result in margin improvement from the fourth quarter.

Turkey is one of the leading markets in the world for animal health and our company has a strong presence there. We will soon be introducing new products and be prepared for the likely recovery of demand and stability of economic conditions.

Coming to our API business. While our API revenues have been subdued due to one-off actions, we have begun to see the initial recovery in margins. The drop in revenue is an outcome of two factors, delayed orders from some long-term customers in regulated markets as well as the postponement of some shipments to the following quarter due to the revamping of our manufacturing footprint. We expect the run rate of orders in API to stabilize over the next two quarters. Our program for delivering operational excellence in APIs is on course, and we have begun to see a margin improvement already.

Our manufacturing footprint has been further optimized with the discontinuation of manufacturing operations in Tarapur. We continue to lay a strong emphasis on conducting

SeQuent Scientific Limited

August 11, 2023

Page 4 of 11

regular training, safety audits and behavioral interventions, which are supported by a fully equipped health infrastructure.

During the quarter, we had three customer audits, all of which were successful. Further, our facility at Mahad successfully underwent a WHO Geneva pre-approval inspection. While quarter 1 has seen a muted performance in sales on account of some re-calendarization as well as transitional connectivity issues, we expect an acceleration in revenues and margins for the rest of the year.

In quarter 1, we have also successfully commercialized the new custom generics and obtained a new CEP filing. This takes our aggregate filings to 30 USVMFs and 17 CEP filings. We have completed a few significant actions during the last two quarters, which position us well for the rest of the year and beyond. Before I hand over to Raghav, there are two areas I would like to draw your attention to. First, growth. While the recent two quarters have seen mixed and somewhat muted growth in a volatile environment, we need to be focusing on profitable growth. The corrective actions will help us grow on a profitable and sustainable portfolio. The foundation for acceleration has been set. Our filings and pipelines are being fast tracked, and we are positioning ourselves for a recovery in the macro environment. The second is in the area of profitability.

While the EBITDA has come in lower this quarter, it does not adjust for the

impact of one-off

restructuring, both in API and formulations, which will continue to give us benefits in the coming quarters. Factoring in these benefits, we expect the continuing EBITDA to be in a higher range. With these plans now initiated and most of them at an advanced stage of completion, we expect to exit the year with double-digit margins and set us up for consistent quality growth in the longer term.

So I will now hand over to Raghav for more details on the financial performance and come back to you during the Q&A. Over to you, Raghav.

P V Raghavendra Rao: Thank you, Raja. Good morning, everyone. I will now briefly update on key financial metrics for Q1 FY '24. Our total revenue for the quarter is INR333.2 crores, down 2.4% year-on-year and 9.1% Q-o-Q. Our formulations business contributed INR247.8 crores to the top line with a growth of 0.7% Y-o-Y. Our various interventions in Europe, including portfolio restructuring has helped our European business growth. Europe clocked a revenue of INR117.2 crores, a growth of 2.3% Q-on-Q and 11.8% Y-o-Y.

India business clocked a revenue of INR25.4 crores, which is a 6.9% growth Y-o-Y and 19.4% Q-on-Q. Turkey, however, continues to be a challenged dragging down the overall formulation growth. We also had some headwinds in emerging markets due to US dollar availability crisis in some of the customer markets. The API business revenue is INR80.7 crores.

Overall, gross margins for the quarter is at 41.5%, compared to 39.5% in the previous quarter.

Because of various interventions in operations that we have been doing, we believe this should come better from here. In spite of inflationary pressures, we have managed to control our
SeQuent Scientific Limited
August 11, 2023
Page 5 of 11

operating costs. Our operating expense is at INR 71.3 crores, compared to INR75.1 crores during the previous quarter. Employee cost is at INR5 7.8 crores against INR57 crores in the previous quarter. Q1 EBITDA, excluding ESOP cost is INR9 .3 crores and is at 2.8% of revenue. ESOP for the quarter is INR6.4 crores.

During the period, as part of the overall business restructuring drive, the group has revamped the manufacturing and procurement processes at this plant with the object of overall network optimization and cost reduction. The group has also closed its manufacturing facility or discontinuing its operations at Tarapur, Maharashtra and additionally relocated. In this regard, we have recognized INR23.5 crores as a non-recurring exceptional item. Other than this, there is INR2.7 crores hyperinflation-related impact, of course, driven by Turkey.

We had an exchange loss of INR8 crores in the current quarter, which is almost entirely driven by Turkish lira depreciation with US dollar. Our working capital now stands at INR366.8 crores, as compared to INR426.1 crores at the end of March. We will continue on further optimism in the working capital. Net debt is at INR367.8 crores against INR356.1 crores in March.

With this, I take a pause. Thank you all for your support, and I request if the forum can be opened.

Moderator: Thank you very much. Our first question is from the line of Shantanu Maheshwari, who is an investor.

Shantanu Maheshwari: We have seen a revival in Europe formulation business this quarter. What is driving this improvement in the business? Can you please elaborate?

Rajaram Narayanan: Is that the only question you have?

Shantanu Maheshwari: I have two more questions.

Rajaram Narayanan: Can you just put, for all the two questions together, so that I can just do it together.

Shantanu Maheshwari: The next one is the Indian formulation business seems to have grown at a healthy pace sequentially quarter-on-quarter. Should we expect this trend to continue? And my final question is, could you tell us a little bit more about the Turkey business situation and what efforts are we taking to address the challenges over there?

here?

Rajaram Narayanan: Thank you for this. So first, on the European formulation business. As you know, we have a business in Spain, which is both manufacturing as well as distribution. And then, of course, in countries like, Belgium and Netherlands and Sweden, we have a distribution business. So we have done two kinds of initiatives. The first has been, of course, from a resources improvement program. We have got out of low-end commodity businesses, which were very volatile in terms of margin and begun focusing our growth resources more on branded as well as on pharma-related products. The second piece over there has been reduction in the cost structure where we have simplified it, brought teams together, etcetera. And therefore, the large part of our business, which is really

SeQuent Scientific Limited

August 11, 2023

Page 6 of 11

in Spain, which used to be on the lower side of EBITDA. We are now beginning to see 2% to 3% kind of improvement, which has been kind of coming in the margins over there. And what is also helping is that we have accelerated the growth of whole range of health product, which is easy to sort of extend across multiple markets. So it's a portfolio which is growing as well as, of course, reduction of the portfolio in terms of low-margin products. So a combination of these two has now created a business, which is healthy and profitable, and more in line with the market trends.

Coming to the specific issue on India, yes, the Indian formulation business has grown well. We have two parts in this business, products which we manufacture and which we own the licenses for. But we also have a distribution business where we distribute for Zoetis, the products in the cattle range. We have seen these businesses grow for two reasons. One, of course, you must remember that on a like-to-like basis, the previous quarter, which is quarter 4, is generally a more muted quarter in the industry, the time when the business is a bit slower.

So you may see sequentially a better number. But at the same time, we have also launched two new products in the market, which have helped us get some additional sales in the quarter. We expect the India formulation business to grow on a full year basis continue to have steady growth. Of course, there will be ups and downs based on seasonality as well as the fact that we are also distributing for a principal. So it depends on some of the introductions from them as well. But I think on a bit more longer term, the India formulation business is a steady growth business with decent margins.

As far as Turkey is concerned, the first thing to remember is that Turkey is a very, very important market for the animal health industry in general. It is a top 10 market both for production animals as well as it's a very large emerging market for companion animals. What's happened in Turkey is the two, three issues. One, very, very high inflation, which has begun to impact both consumption and of course, has also impacted feed costs which go in for the feed, which is required for cattle. As a result of which, farmers in general have started going a bit slow in terms of medication or in terms of nutrition elements and additives. So inflation has impacted both the cost for farmers and it is also, to some extent, impacted demand.

But the second piece, which will come in is really on the foreign exchange. After the President has been elected very recently, there has been a change towards more well-known economic policy and a more accepted economic policy because of which the currency has been allowed to be devalued for a while. So we are now seeing that also impacting us.

So there are two actions which we are taking. One is, of course, speedily we have taken price increases so that we take advantage of the fact that there is an opportunity to counter the inflation.

The second piece is, of course, that we have also started looking at the basic

operating and cost

structure to ensure that we are efficient in such a volatile environment.

The third area which we are looking at key, which we have been seeing before, is that there is an opportunity for us to use Turkey as a base for exports, which hedges in terms of foreign exchange and at the same time, Turkey is also becoming a competitive place. We have a manufacturing plant, both for injectables as well as for other animal health medicines. And we

SeQuent Scientific Limited

August 11, 2023

Page 7 of 11

think that some of the exports which we have to other markets can be done out of Turkey. And these three actions should stabilize our business while we expect the market to recover in the short term.

Moderator: Thank you. Next question is from the line of Nikhil Shetty from Nuvama Wealth Research.

Please go ahead.

Nikhil Shetty: Sir, we can see you're doing lots of positive changes in the business on a product side and streamlining business. So we understand they are challenges on a demand front, but these recurring one-offs every quarter make us difficult to predict how things are shaping. So if you can help us to understand from when do you expect things to start to improve? And any guidance on revenue for FY '24, FY '25 and benefit because of project in '24 and '25?

Rajaram Narayanan: Yes, I think we've had two quarters. Now, it is last quarter and this quarter, where we've had different one-off which we have had to take in our results. Will this continue? No, I don't expect there to be any large unless there is a really adverse event because we have specifically done this in order to restructure our operations. These are not related really much to anything which is a macro issue. And therefore, our expectation is that this will now result in us getting the benefit of both margin improvement, lower costs starting from the next quarter.

We have said earlier that we expect to end the year and exit, we expect to exit the year at double-digit margin on EBITDA for the business. And at this stage, given our plans and the way the execution of these projects has happened, we continue to retain that confidence. So you should expect that by the end of the year, we should be able to get to double-digit EBITDA margin.

And then, of course, going ahead, we do have a plan which should take us to the higher end of teens as far as the EBITDA margins are concerned in the next two to three years. And I think we, at this point in time, remain with that confidence.

Now in terms of what should you sort of look at the EBITDA going ahead. I think if you look at this particular quarter and specifically, I mean, we've shown an EBITDA before ESOP of INR9.3 crores. And there are one-offs which are there. There are a combination of things that is a benefit, which will come from the discontinuation of operations of Tarapur, our API plant, German operations, which we announced at the end of last quarter. But most of the execution is happening now. And also the fact that we have some one-offs with related to the connectivity issues around API because we have restructured some of the business. So I think we should look more in the region of an equally INR8 crores to INR9 crores more in the area of what EBITDA would add up, and that's really what should be the base of which we continue.

Sorry, you had another question after that? Nikhil Shetty: Yes, yes. So you talked about double-digit margin. So is it a result of price hike or from the

streamlining of operation? And are we going to benefit because of the falling chemical prices?

Rajaram Narayanan: So there are a few areas in which we are working on the API side, in particular. So some of it is because of benefits we will get on in the area of procurement. Some of it, which is both, of

SeQuent Scientific Limited

August 11, 2023

Page 8 of 11

course, the absolute cost of the product. But also has an issue around so

me of the actions we are

taking to improve our procurement costs, etcetera.

But you have to remember that there is also a whole impact of portfolio as we begin to drive the portfolio towards higher margin, more towards companion animals and to higher-margin products. We should see that also giving us the acceleration in the margin. So it's not just coming because of cost pickups, it's also coming because of the shift which we are seeing in our portfolio. We did see a lower contribution of regulated markets this quarter, and that is primarily because some of the key regulated market shipments more back-ended for us in API. And that mix will also take us to a higher margin profile going ahead.

But I think you should look at our API business more on an annualized basis. And I think on a full year basis, we expect to become competitive and profitable in the second half of the year.

Nikhil Shetty: That's helpful. And just lastly, just wanted one clarity on INR21 crores pertain to domain expertise towards revamping of API manufacturing operations. So what is that? And can you throw some light on this?

P V Raghavendra Rao: Yes, there is a lot of work, which is going on in the manufacturing operations, so, whereas we are discontinuing operations at some of the sites like Tarapur. There is also some work going on in the existing operations that will continue in terms of resetting it for the future. So this expense pertaining, this onetime expense pertains to the resetting of the existing operations at the sites that will continue to help us grow.

Nikhil Shetty: And how much benefit we are going to get because of this?

P V Raghavendra Rao: This is all part of the overall umbrella of Project Pragati that we spoke about.

Moderator: Thank you. Our next question is from the line of Krishna Kothari, from – who is an investor.

Please go ahead.

Krishna Kothari: I had a few questions on the API business. So this quarter, the API sale has been low at INR81 crores. Is this the new average? And what should we expect for the rest of the year?

Secondly, any new contracts that we have received in your API business, which can materially add to your sales? And lastly, can you elaborate more on the Project Pragati and how it will impact the business? Thank you.

Rajaram Narayanan: So I'll start with the first piece. No, this is certainly not the resetting of average the API business

is something that we should look over a little longer period. We certainly, as we've said, have moved some amount of sales on account of the restructuring that we have done. We expect certainly to average around INR100 crores in this business. That's more the kind of average at

which we should be operating and we expect to be operating on a full year basis. And I think we should begin to see that coming in from next quarter itself. So it is a lower sales, but it's

something that's a one-off and then we expect it to continue more in the region of INR100 crores growing ahead.

SeQuent Scientific Limited

August 11, 2023

Page 9 of 11

The second question you have is on whether we have had any new contracts. Of course, we keep having new customers coming in for existing products every quarter. In terms of a new arrangement, we are right now, we have commercialized a new product with one of the top

animal health companies. But this will really fructify into a formal business more after one year or two years. At this point of time, it has been commercialized, validated, NBF being approved, and we think that this will also turn out to be a bigger opportunity for us going ahead. There are, of course, a few projects which are currently under discussion, something which we cannot disclose right now on a call.

The last portion of your question is on Project Pragati. It's a comprehensive program. It has four or five components. The first is really around the improvement of yields and efficiencies around some of our product

s, which make the cost of manufacturing lower and also make these products more competitive.

The second part of Project Pragati involves the overall cost structure of the operation in terms of the manufacturing footprint, etc. The third is in the area of procurement. The fourth is relating to consumables, raw materials, utilities, etcetera. So it's a hopeful comprehensive program. And the last part of it, of course, is on making sure that we are driving the higher-margin pipeline in this.

And so there are different components to Project Pragati. And each of them sort of manifest itself in different months during the course of the year. That is why it all takes us to be earlier confidence which we have, which is that by the time we complete the implementation of this project, we should be hitting double-digit margins for the company by the exit of this year.

Moderator: Thank you. Our next question is from the line of Darshan Shah, who is an investor. Please go ahead, sir.

Darshan Shah: So I have two questions on debt and margins in M&A thing. The first thing is, are you comfortable with the current level of debt? And what is the management target for the same?

Rajaram Narayanan: And what's the second question?

Darshan Shah: What is the management target for the same?

Rajaram Narayanan: So that's your full question or is there anything more after that? So that I would like to take the questions together.

Darshan Shah: Yes. This is the first question regarding debt. So if you're comfortable with the current level of debt and what is the management target for the same?

Rajaram Narayanan: Maybe I'll ask Raghav to speak to about this.

P V Raghavendra Rao: Yes, Darshan, we are comfortable, but yes, of course, we would like to take the debt further down and we are working towards that.

Rajaram Narayanan: Any targets, he is asking.

SeQuent Scientific Limited

August 11, 2023

Page 10 of 11

P V Raghavendra Rao: I would not like to call out the number, but we have a target in mind in terms of the debt-to-EBITDA ratio, Darshan and it will definitely trend down towards the end of the year.

Darshan Shah: Okay. Thank you. And my second question is, if you could elaborate on any plans for M&A and how do you intend to fund it?

Rajaram Narayanan: So we are always on the lookout for assets, which are investing both in terms of full acquisition, partnerships, licensing, any other kind of arrangement. It's just that we want to make sure that it's aligned with our strategy. We have a couple of focus areas. We are keen on the area of companion animals. We are looking at a few markets only, even though we have a presence everywhere. So some of our focus markets are markets like India. And the third piece of it is that it must be something where we can add value to this acquisition. And together, it should deliver more than what it can do individually.

As far as the nature of funding, etc., is concerned, I think any such acquisition for us will need to be very responsible. So we're not going to chase any toy as far as M&A is concerned. And we don't see an issue of having options of funding. It's the things which we can do on our own. And at the same time, we have a very strong backing from our lead promoters whenever something is required. So if there is an appropriate asset, we will definitely be able to go for it.

Moderator: Thank you. Our next question is from the line of Raj Oza, who is an Investor. Please go ahead.

Raj Oza: So in this quarter, you have indicated restructuring costs in addition to what was taken last quarter for Germany. So are we expecting more in the coming period? And when will we begin to see the benefits coming in. This is my first question.

And second question is, like, are there any risks you see that are likely in the next few quarters?

And what are we doing to mitigate or manage it?

Rajaram Narayanan: So these one-offs and costs are linked to

-- which we have for reshaping the manufacturing footprint for improving our margins for structuring our portfolio of products, etc. And therefore, these are not sort of unexpected one-offs. These are part of the plan to do. So in that context, we have do not expect, based on our current plans, any need for a large one-off of this size going ahead. Can we say that we will not get something, not -- anything? There's nothing planned, but we operate in a very volatile market right now and the economic conditions are such that one can never rule anything out. So I can't give you that kind of a guidance. But there is no planned one-off in the near future.

The second question you have is in terms of are we seeing any risks? I think for us, the risks are largely macro because I think operationally, we are getting to be a strong company in terms of being profitable, in terms of having a portfolio which is going to grow profitably. We have a good pipeline, both in formulations as well as in APIs, which is likely to get commercialized in the next one year to two years.

So all of those things are going on plan. The risks are largely macro as we are operating in multiple countries. And that's the only risk that we see if there's anything which is economically

SeQuent Scientific Limited

August 11, 2023

Page 11 of 11

unexpected anywhere. Although, we have taken a large amount of mitigation actions for that in terms of being prepared for any such situation.

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question-and-answer session.

I would now like to hand the conference over to the management for closing comments.

Rajaram Narayanan: Thank you for attending this call. And our presentation is, of course, now available. I'm really grateful to all our employees, investors, our Board and everyone who has been supportive of our journey.

We do believe that our plan, which is there of improving the profitability of the company and also directing all our efforts to growth in the coming years will help us in re-establishing a position as an admired company in the animal health space. Yes. We look forward to meeting you in the next quarter. Thank you.

Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office : 301, 3rd Floor, Dosti Pinnacle , Plot No. E7, Road No. 22, Wagle Industrial Estate , Thane (W), Mumbai - 400604, Maharashtra, India

Tel No.: +91-22-4111 -4777 | CIN: L99999MH1985PLC036685

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

November 13, 2023

To,

BSE Limited

Corporate Relationship Department National Stock Exchange of India Limited

Listing Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Exchange Plaza, Bandra -Kurla Complex,

Bandra (East),

Mumbai – 400 001 Mumbai – 400 051

Scrip code: 512529 Symbol: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and half year ended September 30 , 202 3

Dear Sir/ Madam,

Pursuant to Regulation 30 (6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for the quarter and half year ended September 30 , 202 3.

The same is also available on the Company's website at [https://www.sequent.in/pdf/financial/2023 - 2024/Sequent%20Transcript_Nov07_2023.pdf](https://www.sequent.in/pdf/financial/2023-2024/Sequent%20Transcript_Nov07_2023.pdf)

Kindly take the same on your record .

Yours faithfully,

For Sequent Scientific Limited

Krunal Shah

Company Secretary & Compliance Officer

Page 1 of 14

“SeQuent Scientific Limited Q2 FY '24 Earnings
Conference Call ”

November 07, 202 3

MANAGEMENT : MR. RAJARAM NARAYAN – MANAGING DIRECTOR & CEO , SEQUENT SCIENTIFIC LIMITED .

MR. SHARAT NARASAPUR – JOINT MANAGING DIRECTOR , SEQUENT SCIENTIFIC LIMITED .

MR. SAURA V BHALA– CHIEF FINANCIAL OFFICER , SEQUENT SCIENTIFIC LIMITED .

MR. ABHISHEK SINGHAL – HEAD OF INVESTOR RELATIONS , SEQUENT SCIENTIFIC LIMITED .

SeQuent Scientific Limited

November 07, 2023

Page 2 of 14

Moderator : Ladies and gentlemen , good day and welcome to SeQuent Scientific Limited Q2 FY'24 Earnings Conference Call.

As a reminder all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal the operator by pressing '*' and then '0' on your touchtone phone . Please note that the conference call is being recorded.

I now hand the conference over to Mr. Abhishek . Thank you . And over to you , sir.

Abhishek Singhal : A very good morning and thank you for joining us today for SeQuent Scientific's Earnings Conference call for the 2nd Quarter and Half Year Ended Financial Year 2024.

Today we have with us Mr. Rajaram Narayanan (Raja) - SeQuent's Managing Director & CEO ; Sharat Narasapur - Joint Managing Director; and Saurav Bhala - CFO to share the highlights of the business and financials for the quarter.

I hope you have gone through our results release and the quarterly Investor Presentation , which have been uploaded on our website as well as the stock exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations Team .

I now hand over the call to Raja, to make his opening comments.

Rajaram Narayanan : Good morning, everyone. A very warm welcome to all of you on this call for the Quarter 2 Earnings Call for the Financial Year '23 -24.

Joining me on this call is Mr. Sharat Narasapur - Joint Managing Director, and Mr. Saurav Bhala our new designated Chief Financial Officer. A bit about Saurav , for whom this is the first Investor Call here at SeQuent , Saurav brings again a wealth of leadership experience in Finance and Operations across pharmaceutical, chemical and FMCG sectors. Saurav was with the Godrej Group for 16 years with the last five of those as the CFO for Astec Lifesciences which is the NSE listed chemical manufacturing entity of the Godrej Group.

On the same lot I would also like to extend my thanks to Raghav our outgoing CFO who has to relocate out of Mumbai for personal reasons. And his contribution to the company has been immeasurable and we thank him for his service.

Moving on to the performance for this quarter :

SeQuent Scientific Limited

November 07, 2023

Page 3 of 14

In the last earnings call I had shared with all of you about the various initiatives around costs and commercial excellence across both API and formulations that have either been implemented or were in the process of being implemented during the last few quarters so that we could meet our priority of profitable growth. I am really pleased to share that we are progressing well towards that goal and the results of those initiatives are beginning to reflect in our financial performance.

Before diving into the specifics of our performance I would like to briefly touch upon the macro - environment, which is relevant to us, given our geographical spread across all our markets, inflation remains at elevated levels. While on the one hand this is putting pressure on the end's

consumer demand, it will be beneficial for companies which are competitive in costs and have a strong franchise of quality customers. We see our company getting ready to win in such an environment.

We also see some green shoots of recovery in demand. And this is evident in the sequential growth witnessed in some of our formulation markets. These indicators along with the reshaping of our operations on the ground seem to indicate that we should see momentum early in the

next

calendar year which is our last quarter of this fiscal.

As I have explained before our industry has two segments, medicines for Production Animals and medicines for Companion Animals. While the Production Animals business globally was impacted by high feed costs, input costs and issues related to war and farm productivity there seems to be some softening of input costs of late which would help in the revival of demand in a couple of quarters. At the same time the demand for Companion Animal medicines is beginning to accelerate and we too as a company are reshaping our portfolio to meet this trend. While Saurav will talk in detail on the quarter financials, let me share some headlines of our overall results and also give you a sense of the direction going ahead.

Our overall revenue in the quarter has come higher, growing at 3.8% sequentially and 2.5% year-on-year. We must note that this is after the discontinuation of some of our less profitable operations in Europe, plus, the growth of the retained and continuing business is higher and will begin to show an annualized positive impact by the end of the year.

We are also progressing well in our plans which have been designed to help us deliver consistent quality, profitable growth. And during the quarter, our EBITDA margins, pre-ESOP cost have expanded by 480 this year to 7.6%. This is in line with the direction we have given during our earlier calls on profitability.

Starting with the performance of our Europe operations, the actions that we have taken in the Europe market has begun to give positive results. And these are reflected in the margin expansion we are seeing in this quarter's financial results.

SeQuent Scientific Limited

November 07, 2023

Page 4 of 14

The portfolio reshaping which involved exiting certain unprofitable businesses and increasing our focus on growing certain attractive products lines is now largely complete and these positions us well for the next leg of growth.

We are on course to build a strong portfolio in gut health products as we expand these launches to other markets outside of Europe.

In Turkey, we continue to deal with high inflation and currency devaluation, but I am pleased to share that the price interventions that we put in place in Quarter 1 has started to yield results and these are reflected to some extent in our Quarter 2 financials.

Turkey is one of the leading markets in the world for animal health and our company has a strong presence there. We continue to take proactive measures both on cost excellence and further price intervention given that we are inherently strong in that geography. We are also launching new products in Injectables for Ruminant animals later in this year. Of course we remain cautious till the current economic initiative stabilizes.

The Formulations business in India has remain steady with sequential growth on the back of new products as well as expansions of the team on ground. The year-on-year decline is mainly on account of a high base quarter last year during the breakout of the Lumpy Skin Disease in Quarter '22-23. And also the short-term non-availability of one of our key product lines this quarter, which will be restored by the end of this year.

Coming to our API business :

We are midway through the implementation of Project Pragati which is a Comprehensive Cost Improvement and Commercial Excellence Program. The business has seen a healthy margin expansion this quarter on the back of the initial work.

During this quarter, our Vishakhapatnam facility underwent a US FDA inspection at the end of which we had one procedural observation and a response to which has been shared. The US FDA audit completion will continue to strengthen our presence in regulated markets while also opening new opportunities. This is truly a good achievement for the company.

While we make continuing progress on operational and

cost excellence, the market demand

continues to be a bit erratic, due to pricing pressures and high inventory levels amongst some API customers.

In line with our priority of high-quality revenues, we will remain disciplined in these kinds of situations and await a gradual pickup in volumes towards the start of the calendar year in 2024. Before I hand over to Saurav, I would like to emphasize that in spite of a volatile environment globally we are beginning to see sequential and profitable growth in most of our markets. While

Page 5 of 14

our priority this year is more focused on margin improvement, the foundation for acceleration has been set and we are well positioned for acceleration on the back of these operational improvements.

On the M&A front, we will continue to look for appropriate assets and partnerships. We believe that on the API side as well, we must keep our options open for inorganic growth to build scale, enhanced backward integration across promising products and accelerate investments towards R&D, talent and infrastructure in API.

I will now hand it over to Saurav for more details on the financial performance.

Saurav Bhala : Good morning, everyone. I am happy to be part of SeQuent's transformation journey and work closely with our exceptional teams to solidify SeQuent's position as a prominent global player in animal health sector. I will now briefly update on the key financial matrices of Q2 and H1 Financial Year '24 respectively.

Q2 Financial Highlights

Our total reported revenue for the quarter is Rs. 3,460 million up by 2.5% YoY and 3.8% QoQ. Formulation business contributed Rs. 2,532 million to the top-line with a growth of 5.2% YoY and 2.2% QoQ.

We have seen a good boost in our European operations driven by our strategic actions focused on our portfolio reshaping. Europe clocked a revenue of Rs. 1,191 million which is a growth of 30.7% YoY and 1.6% QoQ.

Our decision to implement substantial price increases in Turkey has helped us improve our margin effectively without impacting the sales much in that geography.

India business clocked a revenue of Rs. 273 million which is a growth of about 7.6% QoQ. We faced some headwinds in emerging markets that is basically due to unavailability of U.S. dollars to make the payments, in some key markets which we operate in. Our own emerging market has grown by 1.5% QoQ.

The API business revenue stands at Rs. 804 million against Rs. 908 million. Our own gross margins for the quarter are at 45.1% compared to 41.5% in previous quarter. Our gross margin has seen significant improvement driven by strategic shift in our product mix, various cost saving initiatives which we have initiated, and a very well executed price increases in some of our key markets like Turkey and Spain. This demonstrates our commitment to enhance profitability and financial health of the company.

SeQuent Scientific Limited
November 07, 2023

Page 6 of 14

In Q2, EBITDA excluding the ESOP and FX movement stood at Rs. 263 million which is at 7.6% of our revenue as against Rs. 150 million in Q2 Financial Year '23 which is at 4.4% of the revenue.

Through the various operational reorganizations driven in last few quarters we have been able to manage our operating cost pretty well. Our total operating expense was Rs. 697 million as compared to Rs. 713 million during the previous quarter.

Employee cost is Rs. 602 million, against Rs. 678 million in the previous quarter. The slight increase is due to a one-time settlement initiated as a part of the overall operational reorganization process.

H1 Financial Highlights

During H1 our total reported revenue is Rs. 6,792 million against Rs. 6,789 million last year H1. Our Formulation business contributed Rs. 5,014 million to the top-line with a growth of 3% YoY. API business is at Rs. 1,611 million against Rs.

1,794 million in last year H1.

In H1 EBITDA excluding ESOP and FX cost stood at Rs. 356 million which is 5.2% of the revenue as against Rs. 351 million last year which is almost from the same range, 5.2% of the revenue.

Other than this hyperinflation related impact driven by Turkey is in fact reflected in our Ind AS 29 adjustment which is showed in the financials also and that is Rs. 25 million in Q2 Financial Year '24 as against Rs. 33 million in Q2 Financial Year '23 and for H1, '24 the impact is Rs. 52 million against Rs. 74 million last year.

We have a exchange loss of Rs. 26 million INR in the current quarter, almost entirely driven by the depreciation in Turkish lira vis-à-vis exchange gain of Rs. 11 million in Q2 Financial Year '23.

Our working capital now stands at Rs. 3,595 million as compared to Rs. 4,261 million as on March 23 and that is majorly driven by our focus on effective working capital management.

Our net debt as of date is Rs. 3,591 million as against Rs. 3,561 million in March '23.

So, those are the key highlights. I, thank you all for your support. And I now request for the forum to be open for Q&A.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Dinal Jain, who is an Individual Investor. Please go ahead.

SeQuent Scientific Limited

November 07, 2023

Page 7 of 14

Dinal Jain : My questions are regarding the API business. So, API sales have been flat sequentially. When can we expect a recovery ? And what will a full number look like ? And secondly how many products are in the API pipeline and how are you expecting those to drive sales going forward?

Rajaram Narayan an: So, the API business is clearly, this is not the level at which this business will carry it self, at the current Rs. 80 crores to Rs. 81 crores levels . As I spoke about this, this is a business which is more likely to be closer to three -digit levels in terms of an average. And we expect that kind of a number coming closer to Rs. 100 crores to be reached soon. At this point of time some of the transformation initiatives that we have taken, have indeed subdued some of these sales. In addition to that of course there is some pricing pressure on some of our products because of which we have decided to stay away from low margin, low quality opportunities.

I am of the view that with the initiatives that we have, as well as the visibility that we have to some of the projects and contracts , we should be back closer to a level of Rs. 100 crores a quarter, which is what we have indicated earlier and we expect that to be reached definitely early next year.

Coming to the second question of how many products we have in our pipeline. So, I think every year we typically file three to four new dossiers, and these filings are normally in line with our R&D plan. So, at this point of time we would typically have between three to four projects which are in the pipeline for the next year. And of course, in line with our plan to have three to four every year, the further products are also under development .

Moderator : Thank you so much. The next question is from the line of Shantanu Maheshwari, who is an Individual Investor. Please go ahead.

Shantanu Maheshwari : So, my first question is on the Turkey business. The Turkey business seems to have improved this quarter given the macro challenges there , is its performance sustainable?

And the second question is on the India business. What is happening on the India formulations business front, is it meant to be one of the growth focus areas?

Rajaram Narayan an: So, on the first question on Turkey, I think the Turkish market is not completely out of the woods. But I think there is a sense of some clarity coming on both the economic policy as well as the market demand.

From our side, what we have done is to focus on three areas :

i) Is in the ar

ea of pricing because it's a high inflationary economy. And we have taken bold pricing decisions in that market because of our market presence and that has gone through very well. We believe that pricing will continue to be some lever which established companies like us, can continue to exercise. And therefore, I think we will be able to match as much of the inflation with some of our pricing decisions.

SeQuent Scientific Limited

November 07, 2023

Page 8 of 14

ii) The second part of it is really on exports. We have been saying before that Turkey is a base for exports. And we are seeing increase in our exports from Turkey. And that will form a natural hedge for foreign exchange for us in Turkey. So, that will take care of the exchange fluctuations which take place in Turkey. Having said that , after one initial sort of change in the exchange rate right after the elections we are beginning to see some sort of stability in the current Turkish foreign exchange situation.

iii) The third of course is that Turkey is a very large market for animal health. And it is important to keep innovating and launching new products . In a situation like this the smaller players tend to fallout of the market or get impacted and we are seeing that happen . And therefore, our market share is actually increasing in Turkey and that is on account of some of these initiatives , but also because we are launching new products. So, a combination of new product launches , pricing as well as exports, I think will keep this business pretty steady going ahead. But of course, given the situation there we are watching very carefully. We expect that this is a market where the results can only be positive going ahead.

On the second part of your question is what's happening on India formulations, the India formulation business for us is performing well. It is a combination of two parts, one is our own products and the second is a distribution business that we do one of the largest multinationals. On both these fronts we are continuing to grow in line and slightly ahead of the market. We are also launching new products so that's what you are seeing in the results.

So, this particular quarter there is bit of an aberration because last year in the same quarter there was a big breakout of the Lumpy Skin Disease in the ruminant animal markets because of which there was a disproportionate jump in medicine consumptions. That has eased a bit this quarter. And also one of our products which we distribute was out of stock for various manufacturing reasons and that is expected to come back in the next quarter end. And therefore we should begin to see that stability.

We are of course very confident that India will be a steady growing market and that 's something we have said before and we continue to stay by it. We will keep our eyes open for any kind of partnership opportunities to take this business further.

Moderator : Thank you. The next question is from the line of Darshat Shah from Sabnis Financials. Please go ahead.

Darshat Shah : So, one of the first questions I had was like there is a visible increase in gross margins during the quarter when I compare it to YoY and QoQ . And so just can you give me a sense of what are the major contributors to it and what are the steps you have taken to ensure that ?

Rajaram Narayan an: So, I think we have spoken earlier as well as in the last two calls that we have a few initiatives across the company to improve gross margin s and those have started now giving the results. This required some tough calls which we took in the last couple of quarters. So, if I really split it into
SeQuent Scientific Limited
November 0 7, 2023

Page 9 of 14

two, the API side we have a project called Project Pragati which is a comprehensive cost improvement program. And that is beginning to give us results as we are getting more competitive in our product pricing, in our cos

t structure and that is of course improving the gross margins of our API business.

The second part of it is really the mix of products we are selling; we are of course focusing more on quality customers as well as products which are the higher margin accretive. And therefore we are seeing the second sort of lever play out now.

The third is that on our formulations business, both in Europe as well as in Turkey it is a combination of getting out of low margin product mixes, focusing on higher margin products.

And also, on some aggressive pricing actions given that we are in an inflationary environment.

The last part of the course is there is better management at the end of procurement. So, there is some softening of prices as well which is coming to play for us, beneficial for us.

So, I would say that there is a very comprehensive set of actions. This is in line with what we have been speaking for the last couple of quarters that we intend to take our margins by the end of the year towards a double -digit kind of a margin. And that's the direction in this quarter as well it's going.

Darshat Shah : Next I wanted to know our increase in employee cost . So, have we had some key signings or management signings or something like that?

Saurav Bhala : So, Darshat , as I also touched upon briefly in my introduction, the employee increase is one - time expenses which we are paying to for all the operational reorganizations we are doing across our geographies. So, this is a one -time ex pense this is not a normal, and going forward we will see all this normalizing back to the normal level s. In fact, we will see improvement going forward post that restructuring.

Darshat Shah : Next I have just a couple of questions on strategy moving forward. So, in the Europe business you have guided that you moved out of some unprofitable businesses so just I wanted to know what will be a long-term strategy for this continent in Europe?

Rajaram Narayan an: So, Europe for us is important but at the same time it is a business that we need to run profitably.

So, we have two kinds of businesses , we have our own manufacturing operation, which is there in Spain, which is an important market for us. It's also one of the largest animal health markets in Europe. So, in Spain, we are having sort of restructured and rationalize d the p ortfolio, we are now of course expanding with new product launches. So, we continue to launch new products in Spain , in the area of ruminant animals which is Production Animals .

And in the area of Companion Animals, we have increased our distribution footprint. So, we are now distributing more Companion Animal products in the area of pet care. And we are also there
SeQuent Scientific Limited
November 0 7, 2023

Page 10 of 14

in Belgium, we are there in Netherlands, we are there in Scandinavia, and we are setting up some distribution opportunities in other markets in Europe as well. So, overall, for us in Europe, the first stage was to make sure we have a profitable portfolio. And now the next stage of it is of course to expand through new launches as well as new distribution arrangements.

Darshat Shah : And a follow up on that is that we have mentioned that we generally cater to two types of live stocks which are you know Companion and for the Food Consumption . So, just can you name a

couple of animals that you primarily or our products primarily cater to this could be you know cattle, horses, so just an idea of that?

Rajaram Narayan an: So, look this industry when we say Production Animals , this is meant essentially there is cattle, which is Bovine cattle ; and then there is Swine , and of course there are also other production animals which are used for food like poultry . And with companion animals of course it tends to be the typical pet like dogs and cats. Beyond that we are not more sophisticated than that, I mean if we just leave at that Production

Animals and Companion Animals.

Darshat Shah : So, my naturally extension to that question will be so what will be our geographical mix in terms of are we also going to focus on country such as Argentina, or Mexico or developed market such as China or even Australia because they also have a large bovine cattle , USA . So, how is that, is there something that is in plans for the company?

Rajaram Narayan an: We will probably come back to this at the end, if we have some time. I will take the question at the end.

Moderator : The next question is from the line of Nikhil Shetty from Nuvama Wealth Research. Please go ahead.

Nikhil Shetty : Can you provide some clarity on capacity utilization levels in API business and how Albendazole is doing ?

Sharat Narasapur : So, the capacity utilization has been about 70%-75%, its hovering around that. While you will notice that the volumes have picked up in some of the deworming molecules ; however , there is a pricing pressure , because of the reasons which Raja already elaborated .

Coming to Albendazole, yes, it's the same story, volumes are not as high as they used to be because of muted demand in Europe , otherwise the key businesses which are there in Albendazole remain intact .

Rajaram Narayan an: On the capacity front just to add, I think there are two parts, one is of course we are at 75% capacity. Also, some of the initiatives which we have done in Project Pragati, which is really on manufacturing excellence as well, that itself also has helped us to ensure that there is adequate capacity available for our products, for both this going ahead.

SeQuent Scientific Limited

November 07, 2023

Page 11 of 14

Nikhil Shetty: And I understand currently our focus is on cost and margin improvements, and you also provided guidance on the same for '24-25. It would be great if you could give us a sense on revenue growth for '24-25 as well because I believe targeted margin cannot be achieved solely based on the cost control measures.

Rajaram Narayanan: We have given you some indications earlier, but I think at this point of time it's very clear that this margin growth is a state we want to reach and quickly and then begin to accelerate our top-line growth as well. So, that we are able to actually get the leverage from it because that's when there is a real benefit. But I think to a bit more clearer guidance on the top-line growth, we will probably give it to you next quarter as we sort of play out the entire market scenario, but suffice to say that what we had said earlier that our ideal situation would be that we would be in double digit, early double digit top-line which is low teens in top-line and moving towards mid to high teens, in bottom line growth, that's really the structure that we would try to reach in the next two to three years.

Nikhil Shetty : And lastly if you can help us to understand overall how much cost we can save on an annual basis from these cost optimization measures we have taken?

Rajaram Narayanan: I wouldn't want to guide specifically on that, I am sure that when you would see the results of the forward quarter, we will then be able to annualize it and then make that estimate. At this point of time I can't give you that specific.

Nikhil Shetty : So, does this quarter include major portion or it will reflect in Q4?

Saurav Bhala: So, Nikhil this quarter has just started showing the benefits which is not a major reflection, the benefit majorly will start reflecting from Q4 onwards. Q3 will see that improving for the current quarter, but the major benefit, one part of it will start from Q4 and onwards. So, Q4 is when you should look at it more closely .

Moderator : Thank you so much. The next question is from the line of Vishal Manchanda from Systematix. Please go ahead.

Vishal Manchanda : A question on the API business, could you share if we are exploring any CMO opportunities there and what's the status of the CMO contract we had earlier got from a global innovator?

Rajaram Narayanan: Yes, CMO continues to be a key focus. The important thing is that we do have a couple of contracts which we have spoken about earlier. Some of these are taking a little longer to commercialize. So, we should begin to get some benefit from this towards the end of this year and then of course towards next year from a commercialization opportunity on the contracts that we spoke to you earlier about.

And of course there are other conversations which are also on and we see ourselves becoming more and more attractive as a company where large sort of global players are keen on partnering
SeQuent Scientific Limited
November 07, 2023

Page 12 of 14

with us for this, because with the recertification of a US FDA status, we definitely would be amongst the few fully dedicated, veterinary API companies around. And with the increasing need of companies across the world to diversify the supply footprint and move towards India that's something that we see as an emerging opportunity, but those things will take some time to play out next year.

Vishal Manchanda : So, we have been in a range in the API business say around Rs. 90 crores ballpark per quarter. So, any timelines when we expect to kind of breakout of this range and maybe do in excess of Rs. 100 crores per quarter and then build on from there?

Rajaram Narayanan: Certainly, you know next year we are looking and as we begin to start from Quarter 4 itself, we should look more at averaging at the three digits mark, at least on an annualized basis. And that's what we should look at the first sort of destination for us. And then when some of these CMO partnerships fructify we should see the next acceleration happening after a year.

Vishal Manchanda: And do we need capacity expansion next year or the year after?

Rajaram Narayanan: Certainly, for next year we do not see any need for capacity expansion because we have managed thanks for some of the work which we have done to debottleneck some of our operations to make sure there is capacity available. Of course, when you get a very large CMO contract you will begin to look at some capacity expansion and of course also when three or four of our new products begin to commercialize and get scale that's when we will need some capacity expansion, but not for next year.

Vishal Manchanda : And just one on Turkey, so this used to be a quite a profitable business for you at a point in time, is it still profitable after the price increase? And is this at the same level that it used to be earlier?

Rajaram Narayanan : We are beginning to reach closer to the level at which we were. And I think on a steady state basis, this business will be closer to the profitability that it used to be. Certainly in the constant currency term it is, the question really is to make sure that when it is translated in our currency then it becomes profitable and that's what the current efforts are. Because it's not just about pricing it's also about hedging for foreign exchange and making sure we are launching new products. But we expect it to come back to the kind of levels by next quarter. It's already actually beginning to come closer to that, but make sure it's the steady state it should be in the one or two quarters.

Vishal Manchanda : So, there might be geographies which are currently a candidate of turnaround in terms of they maybe loss making, so any opportunities that you see eminently within your portfolio that you can turn them around into good profitable businesses?

Rajaram Narayanan: I think we are generally most markets we have been, profitable, it's just that in some markets we lost profitability, it's not that we were having losses in any of those markets, but we lost some profitability in Europe that's more or less come back to the original levels. Turkey should c

ome

SeQuent Scientific Limited
November 07, 2023

Page 13 of 14

back to the original levels. So, we have to keep an eye on Brazil of course because at this point of time, that's the market which is important for us and we need to hold on to our performance there, but I don't see any big turnaround issue, but I think the bigger opportunity there is that now that we have settled to a new level of margins how do we accelerate our top-line and get the leverage, so our focus ahead is really going to get our top-line given that we would have reached a reasonable steady state of margins by the end of this year.

Moderator : Thank you. The next question is from the line of Mr. Nakul Joshi from Winshine Financials. Please go ahead.

Nakul Joshi : I have a couple of questions, starting with the revenue, EBITDA margins guidance for H2 and the full year. So, what would be our margin guidance as our margins have fluctuated quite a bit in the past.

Rajaram Narayanan: So, look we have given a sense that we should exit the year at double digit of margins and that's the guidance more or less we are holding onto. I think what it gives us is the confidence that we have in that direction. And that's at this point of time the only thing I can tell you about this year.

As far as revenue is concerned, as I said, it's a bit more complex for us right now, because there is a continuing business revenue which is really if you remove some of the restructuring which we have done, that is for growing at a much higher rate. And then if you net it off with some of the businesses that we have decided to close, the revenue will come down to low single digits. So, the revenue I expect will be more like a low single digit this year, because of the

restructuring , but going ahead on a continuing basis, because we would largely be left with the retail profitable business, we should expect this piece of it to accelerate. But as I said this is something that in the past also, we have indicated that over a three -year period we would like to be in the early teens as far as the top -line growth is concerned, and in the late teens as far as margin is concerned.

Nakul Joshi : And going forward, how do we see our debt position, are we comfortable with the current level of debt or are we looking for any restructuring?

Saurav Bhala : Yes, so Nakul currently our gross debt to equity is at 0.61 and our net debt to equity ratio is at 0.53. We would say we are okay with this, but our focus is on reducing that and we are looking at various options to bring it to a lower level. We hope that in coming quarters we will work on that direction and in taking these levels down .

Rajaram Narayanan: But generally , just to build on what Saurav is saying, I think we are fairly clear on where we stand right now with our debt situation and our actions are to make sure that we are always comfortable on this front.

SeQuent Scientific Limited

November 07, 2023

Page 14 of 14

Saurav Bhala : Yes, that's a priority.

Moderator : Thank you so much. The last question is from the line of Ms. Saloni Shah from SK Investors.

Please go ahead.

Saloni Shah : I just have one question, what are the implications of US FDA in context to the API business , could you just throw some light on that?

Sharat Narasapur : So, this is, see we have been inspected twice earlier and this was the third one. This was a routine GMP inspection . And in order to make sure that the firm is maintaining the GMP standards and is fit to sell its goods in U.S. this inspection was conducted. And that gives a tremendous amount of confidence to customers that we are there in the business and it also opens up new opportunities since the track record has been really good.

Rajaram Narayanan: Doing it for three consecutive sort of inspections I think this will give much more confidence to our customers that especially the customers who are

looking for new projects and opportunities ,

because they would like to work with organizations where there is a continuity of supply and quality. So, I think such kind of opportunity which we will unlock going ahead on this .

Moderator : Thank you so much. I would now like to hand the conference over to the Management for closing comments.

Rajaram Narayanan : Thank you very much to all of you who have attended this. And wish you all a very Happy Diwali from all of us at SeQuent. Thank you for staying with us and look forward to meeting you next quarter at the same Investor call.

Moderator : Thank you. On behalf of SeQuent Scientific Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office : 301, 3rd Floor, Dosti Pinnacle , Plot No. E7, Road No. 22, Wagle Industrial Estate , Thane (W), Mumbai - 400604, Maharashtra, India

Tel No.: +91-22-4111 -4777 | CIN: L99999MH1985PLC036685

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

February 22, 2024

To,

BSE Limited

Corporate Relationship Department National Stock Exchange of India Limited

Listing Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Exchange Plaza, Bandra -Kurla Complex,

Bandra (East),

Mumbai – 400 001 Mumbai – 400 051

Scrip code: 512529 Symbol: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and nine months ended December 31, 2023

Dear Sir/ Madam,

Pursuant to Regulation 30 (6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for the quarter and nine months ended December 31, 2023.

The same is also available on the Company's website at [https://sequent.in/pdf/financial/2023 - 2024/Sequent%20Scientific -Earnings -Feb15 -2024.pdf](https://sequent.in/pdf/financial/2023-2024/Sequent%20Scientific-Earnings-Feb15-2024.pdf)

Kindly take the same on your record.

Yours faithfully,

For Sequent Scientific Limited

Phillip Trott

Company Secretary & Compliance Officer

Membership No. F -7403

Page 1 of 16

"Sequent Scientific Limited

Q3 FY 2024 Earnings Conference Call "

February 15, 2024

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR –
SEQUENT SCIENTIFIC LIMITED
MR. SAURAV BHALA - CHIEF FINANCIAL OFFICER –
SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD OF INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited
February 15, 2024
Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to SeQuent Scientific Limited Q3 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.

Abhishek Singhal: Thank you, Ria. A very good afternoon, and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the Third Quarter and 9 months ended financial year 2024.

Today, we have with us Mr. Rajaram Narayanan, SeQuent's Managing Director; and Mr. Saurav Bhala, CFO, to share the highlights of the business and financials for the quarter. I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as stock exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out the Investor Relations team.

I now hand over the call to Mr. Rajaram to make the opening comments.

Rajaram Narayanan: Thank you, Abhishek. Good afternoon, everyone, and a very warm welcome to everyone on the call for the quarter 3 and 9-month earnings for the financial year '23-24. This is the first call of the new year, and I wish you all a very happy new year and a good start to 2024. Joining me on this call is Mr. Saurav Bhala, our Chief Financial Officer.

Now moving on to the performance of this quarter. Over the last few earnings calls, I have emphasized how we have been undertaking multiple initiatives towards making our business more competitive. I am pleased to share that many of those initiatives, particularly around improving profitability, have now begun to reflect in our financials.

Over the last few calls, I had indicated that we were working towards exiting the year with a double-digit EBITDA margin pre-ESOP costs. and I'm really pleased to share that we continue to improve our margin and the EBITDA margin pre-ESOP costs for this quarter stood at 9.2%. So EBITDA pre-ESOP costs also grew 15% sequentially and 9% on a year-on-year basis for the quarter.

So on the revenue side, however, we've been focusing on building a quality business with high-quality customers and a strong sustainable portfolio. Adjusting for the discontinued operations in Europe and the currency depreciation in Turkey, our sales have grown 1.3% on a quarter-on-quarter basis, if you translate to INR terms, and 2.5% on a constant currency basis. So with now most of the restructuring behind us, we feel confident that the business is ready for acceleration.

SeQuent Scientific Limited
February 15, 2024
Page 3 of 16

Before getting into more specifics on our performance, I would also like to touch upon the macro environment, which is relevant to us as we operate in multiple markets. In most countries, inflation continues to be a worry. And the recent geopolitical events have also made most businesses cautious. And at the same time, we are also seeing central banks and the economic industry intervening very aggressively to stimulate demand. We believe that at such time, companies like ours will have the opportunity to leverage our strong front-end presence and create even a more stronger competitive position in these markets.

As I explained earlier, our industry is in 2 distinct segments. There

are medicines for production

animals and medicines for companion animals. Over the last few years, the production animal business globally was impacted by high feed costs due to issues relating to water and farm productivity. And this, in turn, impacted the demand for medicines.

On the other hand, the demand for companion animal medicines have remained intact and are growing now as pet adoption, incidence of diseases and lifespan of pets is increasing. We are the leading animal health company from India with a presence across over 100 countries in both regulated and less regulated markets.

Our business is a combination of strength, our formulation business with a front -end presence in key growing animal health markets of the world and supported by a strong API back -end with an established USFDA -approved API facility, supplying primarily animal health APIs.

We have a unique platform in that sense. We believe that our back -end API ops will give us a good base to help us capture the growing and emerging opportunities, which are there in formulation; at the same time, help us supply to some of the largest customers independently while customizing for their requirements.

As mentioned in the last couple of calls, we have taken some decisive structural actions for long -term competitiveness on the back end of our API side as well as the formulation side. We believe that from here on, using a combination of both organic and inorganic opportunities, we will continue to have a unique play into some of the largest markets, adding value to all our stakeholders.

While Saurav will talk in more detail on the quarter 3 and 9 -month financials, I'll share with you some highlights of the overall results. Our overall revenues in the quarter came in lower, declining by 5% sequentially and 12% year -on-year. Our formulation business, post the Turkey hyperinflation adjustment, declined 1% sequentially and 3% year -on-year. However, these metrics do not consider the impact of some of the divestments and discontinuation that we have done of our loss -making unprofitable units as well as the adverse translation impact in the currency in Turkey.

So adjusted for this, our total revenues actually grew sequentially 2.5% over quarter 2 FY '24 in constant currency. In some areas, our performance has really picked up. For example, in the performance of our European operations, the sequential growth is at 6.5% and year -on-year performance at 20 -plus percent demonstrating the impact of the strategic actions that we

SeQuent Scientific Limited

February 15, 2024

Page 4 of 16

undertook a few years ago like the discontinuation of loss -making operations in Germany and also some smaller sales units elsewhere in Europe.

Demand has been driven by a sharper focus on more attractive and high -growth segments such as gut health, where we are now expanding to many global markets. Operating efficiencies, combined with a considerably stable product mix, have aided our margins in Europe, and this is reflected in the quarter's financial results. With this, we have reason to believe that the next leg of growth in our European operations is underway. In Turkey, the inflation has remained at elevated levels and currency devaluation has continued, although at a more predictable rate. I'm pleased to share that the decisive price actions we took in June last year have continued to yield positive results, reflecting in this quarter's performance. Turkey is one of the leading markets in the world for animal health, where we are among the top 3 players in the ruminant segment, and we are committed towards strengthening our position.

Turkey is now accelerating new launches and exports. Recently, we launched Tulaject, a generic of injectable tulathromycin in Turkey, and we would be building our portfolio with more launches in the coming year. The India formulation business recently launched

3 new brands

from our international portfolio. As I mentioned earlier, India is a priority growth market for us, and we continue to remain excited by the prospects.

In terms of quarter 3, '24 specifically, this was a weaker quarter due to the supply disruption in the availability of one important product, which we distribute, but we expect this to be resolved in the coming quarters as distribution gets restored.

Coming to our API business. We are focusing on quality business and decreasing low -value commodity operations while building competitiveness for long -term customers. We are seeing promising results from the implementation of Project Pragati, a comprehensive cost improvement and commercial excellence program. This has been our second consecutive year of healthy margin expansion in the API segment and we are positive about this program continuing to yield results well into the coming few quarters.

On the demand side, we are seeing customer interest increase in some parts of our portfolio. And in quarter 3, however, the orders were a little muted as for some of the products which we sell to our regulated market customers, the requirements have been postponed from quarter 3 to the current quarter 4. While our revenue performance during quarter 3 was muted, we have seen a marked improvement in gross margin and have visibility towards a much stronger quarter 4.

Before I hand over to Saurav, there are 3 areas I would like to emphasize. The first is growth. Some of our efforts on cost optimization and reshaping of the organization over the last few quarters are now providing us with a very stable, profitable platform to pursue growth opportunities.

These are signs that the demand is improving, and we are confident of our position to benefit from this recovery. We are excited about the growth prospects in our key markets and will continue to focus on growth.

SeQuent Scientific Limited

February 15, 2024

Page 5 of 16

The second important aspect is that of profitability. We are progressing well on our plans to deliver profitability improvement and expect further benefits to accrue with the pickup of demand as well and also the sort of cost optimization initiatives that have been set into motion internally.

During this quarter, our EBITDA margins pre-ESOP costs have expanded by 160 bps quarter-on-quarter to 9.2% and 180 bps year-on-year. We expect to exit the current financial year at double-digit EBITDA margins. On the M&A front, we believe that this is an exciting time to be in the front-end animal health sector as protein consumption in emerging markets is taking off, along with increasing focus on companion animal care.

M&A plays into some of these areas is a key part of our strategy, but it also rests on our API backing capability. One of the most important competitive advantages we see in such a situation will be in the scale of operations. We are seeing new pharma players lined for multiyear upstream opportunities with some API customers.

And in order to participate more meaningfully in the large and attractive opportunity in the animal health care sector and strengthening our position as a truly integrated global animal health platform, we are looking to further augment our R&D and backward integration capabilities on the API side as well in a way that allows us to move more upstream in the customer value chain.

I now hand over to Saurav Bhala, our CFO, for more details on the financial performance. Thank you. Over to you, Saurav.

Saurav Bhala: Thank you, Raja. Good afternoon, everyone. It's my pleasure to be here today and share insights into the consolidated financial performance of our company. I'll start with Q3 highlights. Our total revenue and EBITDA pre-ESOP cost for the quarter stands at INR3,294 million and INR302 million, respectively.

Formulation business contributed INR2,510 million to the top line

with a growth of 5.3%

quarter-on-quarter and 25% Y-o-Y in constant currency terms. We have seen continuous growth in our European operations, driven by strategic actions focused on portfolio reshaping. Europe clocked a revenue of INR1,269 million, which is a growth of 6.8% quarter-on-quarter and 13.3% Y-o-Y in constant currency terms.

India formulation business clocked a revenue of INR278 million, which is a growth of 1.7% quarter-on-quarter basis. We faced some headwinds in our emerging market operations, which is primarily due to U.S. dollar availability in those markets and which led to some volume loss and our tender business in Brazil operations also was impacted slightly.

Overall, the emerging market has a growth of 4.6% quarter-on-quarter in constant currency terms. The API business revenue for Q3 financial year '24 is INR690 million, against INR804 million of Q3 financial year '23, which is last year. This is primarily because many of our orders in Q3 current year have shifted to Q4. And whereas in last year, quarter 3 was one of the strongest quarters. So it is just a shift in the quarter. Overall, gross margins have improved by 310 basis points Y-o-Y from 42.1% in Q3 financial year '23 to 45.2% in Q3 financial year '24. The

SeQuent Scientific Limited

February 15, 2024

Page 6 of 16

improvements here are driven by various focused strategic actions, improving the sales mix optimization and a very well-executed price increase across various geographies.

Operating cost optimization is one of the key focus area as Raja has already highlighted, and in that through our focused initiatives for optimizing the cost and as well as enhancing the operational efficiency, we have successfully achieved a notable reduction in our operating expenses of INR116 million Y-o-Y, which is now at so which was at INR1,302 million in Q3 financial year '23 to INR1,186 million in Q3 financial year '24.

EBITDA improvements. So mix of above measures have resulted in significant improvement in our EBITDA margins by 180 basis points on a Y-o-Y basis, which has moved from 7.4% in Q3 financial year '23 to 9.2% in Q3 financial year '24.

Moving on to YTD performance highlights. Our total revenue and EBITDA pre-ESOP costs for

the quarter is at INR10,085 million and INR658 million, respectively. Our formulation business contributed INR7,520 million and API business contributed INR2,301 million to the revenue. Overall, EBITDA has improved by 50 basis points from 6% YTD '23 to 6.5% YTD financial year '24. Also, I would like to comment on few line items for better clarity of all. So in the exceptional item during the quarter, company has accounted for exceptional gain of INR54 million on account of monetization of various assets in our Germany operations, which is going under a restructuring and an exceptional loss of about INR26 million due to a cyber incident, which happened at one of our subsidiaries in Sweden. Other income during the company includes a gain of INR22.98 million on transfer of leasehold rights on our Ambarnath land in India.

Net monetary loss on hyperinflation economy continues and the same is on account of hyperinflation -related impact as required by Ind AS 29 for our Turkey operations, which is currently a hyperinflation economy. Exchange loss is primarily on account of Turkish lira depreciation against USD. Again, primarily because of being a hyperinflation economy, the fall is pretty significant.

Those were the highlights. I thank you all for your support. And I request for the forum to be open now for the Q&A. Thank you.

Moderator: Thank you very much. First question is from the line of Divyanshi Davi, an individual investor. Please go ahead.

Divyanshi Davi: So my first question is on the margin side. Your margins seem to have improved sequentially to 9%. So what are the contributing factors behind the same? And do you see s

ome improvement?

I mean, do you see this improvement to be sustainable? And what's the margin improvement on the API or the formulation side?

Saurav Bhala: Okay. I'll take that. The margin improvement, as I explained in my opening remarks also, is because of combination of factors starting from our sales mix optimization, which is focused towards high -margin products across geographies followed by various CIP initiatives which we have initiated in our API operation, which is also leading to the margin improvements that is at SeQuent Scientific Limited

February 15, 2024

Page 7 of 16

gross margin level. And below that, if you see, we have also focused on our overall opex cost optimization. So there is a significant reduction in our opex due to those efforts.

So all this cumulative is making our margin go up. And we believe the current level of margin is sustainable. And we have always been guiding and then also mentioned by Raja earlier in the call, we are looking at ending at double -digit margin towards the year-end. Thank you.

Rajaram Narayanan: I must add over here, the important part to know is that strategically, we are improving the quality of our business, whether it's in terms of API or whether it's in formulations, which really means focusing on high -value customers, high -value products and those which have a more sustainable road map ahead and opting out of wherever possible commodity kind of operations, which tend to put a lot more variability in the business and do not necessarily always stay to our strength. So we will see a quality of business improvement as being the primary driver of margin. Apart from of course the very intensive competitiveness program and cost as well as operations. Yes, thank you.

Divyanshi Davi: Okay. And sir, just a follow -up question. So what's the overall outlook on the revenue and EBITDA margin side for the next year? And so the mid-teen margin that was guided in the earlier calls, would we be able to achieve those?

Rajaram Narayanan: So I think what we have indicated earlier, we'll pretty much hold to that volume on the margin side. We had indicated that we would exit FY '24 more in the area of the double -digit margin. I think we are trending to that. As far as the next year is concerned, we have said that as we move towards the next year, we would like to move more towards an outer side of mid -teens in terms of margins and higher -teens as we go forward for 2 to 3 years.

And that's ballpark the direction in which we are proceeding and our plans are on that line. As far as top line growth is concerned, I think it's going to be a combination of where we are going to different markets and different businesses. So we will see our continuing business, and that's important because we are also discarding some nonprofitable or low -margin businesses. I think as continuing business, we should begin to start moving from mid -single digits to early teens before the end of the year. That's the kind of direction which will go.

Moderator: Next question is from the line of Amar from Lucky Investments.

Amar: Sir, number one, you indicated that now you're talking about API as a backward integration for your formulation business. What I understand here is that currently, we don't have any formulation which basically source s API from our own manufacturing. So, if you can elaborate on that. Secondly, when you're guiding for the double -digit margin in the current year exit, this is pre -ESOP or post -ESOP? And thirdly, sir, on an absolute basis, including the discontinued operations, what kind of growth we are targeting for next year?

Rajaram Narayanan: So we'll do one question at a time. So as far as API is concerned, we are not designing for seeding in APIs into our formulation businesses. That's not how we've built the business. The opportunity is there for us as we begin to build the business going ahead.

d. We are seeing that there is some opportunity to both create formulations from our API businesses as well as supply APIs to our existing formulation entity. So this will increase. It's small at this point of time, but that is an opportunity.
SeQuent Scientific Limited
February 15, 2024
Page 8 of 16

area of growth for us. And it will take some time for that to sort of materialize, but it's an important component of our strategy.

The second part of it, all our margins, which we've been talking on EBITDA basis is really we're talking about EBITDA pre-ESOP. That's a noncash component and ESOP is a part of our structure. And therefore, this guidance that we're giving you is always on EBITDA margins which are pre-ESOP.

And we have in the past indicated to you also on how we expect the ESOP costs to move over the next few years. On the last question on absolute growth including and nonincluding, I think for the immediate period ahead, we think the growth will be in more than single digits. But with the pipeline that we have as well as some of the new launches that we have, I think on a 2 to 3 year framework, we should be looking at early teens to mid-teens kind of a top line growth, for sure.

Moderator: Next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited.

Bharat Sheth: Congratulation to you and your team for successfully turning around the business. Sir, if I put it, I mean, my question is in 2 parts. If we look at, I mean, we have done a lot of discontinued a lot of several business unprofitable and going more for formulation and more qualitatively we have improved, which is a high price and sustainable kind of a business model. So in that, are we really through with all this exercise or still there is some exercise that we expect to have some kind of an impact, maybe 1 quarter, 2 quarter on the top line as well as the EBITDA side? If you can give some color on that?

Rajaram Narayanan: So thank you for this question. One always hopes that this is the end of it. As we see it, I think in the last 18 months, there have been several unexpected developments more on the macro level, if you look at it, what happened in Europe 2 years ago and what has happened in some markets like Turkey, etcetera.

And that has impacted both the formulation business where we have a front end and our customers who are there for API post-COVID. So I think the period of '22-'23 has gone around with most markets and most customers coming to terms post-COVID as well as the kind of economic challenges that these countries have had.

And this is true for all industries and all businesses. And therefore, all companies have had to reshape their operations, and those who have a higher exposure to some of these geographies or some of these businesses have had to take more drastic action. And we have, therefore, had to take some of these changes because these are all sound businesses before many of these unexpected events happened.

And therefore, we will have to readjust our business to make sure that we take into account some of these changes. And therefore, I think that given our outlook and given the fact that we have made these specific adjustments, and we've taken fairly hard calls, I think we should not have any serious exceptional issue in the next 2 to 3 years, at least as we sort of see the current. And we've also made our business very strong and resilient. And that's why it's very important to

SeQuent Scientific Limited
February 15, 2024
Page 9 of 16

have quality business and quality customers and because we tend to hang on with you much longer, even when you have disruptions.

So if you have business or a part of your business, which is depending on commodity kind of cycles or rapidly responds to some kind of inflationary pressure impact, then you tend to get more impacted than something exceptional happens. And therefore,

I think we have now structured our business where we have a good portfolio.

We have got out of assets which might have been depleting our value in the company. And I think we have now a set of strong products and customers who are here in the long term to remain with us. So I expect a little sort of surprise coming in the next 1 to 2 years, but we need some luck also along it, but we are well prepared for it.

Bharat Sheth: Sir, on the second side, is my understanding correct that you said in near term, maybe, say, 2, 3 quarters you'll grow in mid teens I mean single digit and after 2, 3 years, it will lead to early teen

to mid -teen top line. And then the same thing in margins, maybe from next year onward early teen to then going to a mid -teen kind of next 3 years' timeframe. Is that a fair understanding ?
Rajaram Narayanan: No, I think we've been guiding as below, and I think it's important that we said that in FY '24, we will exit at double -digit margins. We said as we move towards the next 1 year, we expect to move closer to mid -teen margins and thereafter, we expect to go to high -teen margins. Okay?
So that's the direction as far as margins are concerned.

As far as top line is concerned, I said that we've completed more or less the restructuring. I expect next year to be more in the single -digit top line growth. That's more because the arithmetic impact of what we are discontinuing or discontinuing next will play out a bit some part of next year. But thereafter, I expect it to be a mid -teen kind of a growth.

Bharat Sheth: May I ask our CFO to understand, see, what are we doing, I mean, to reduce the finance cost and depreciation will automatically come down as a percentage to sales once we start growing. But on this debt part, how we would like to play really?

Saurav Bhala: Sure. So on the debt part, since Raja explained how we have done a lot of restructuring. So various assets are getting monetized, which we are utilizing to optimize our debt structure to the best extent possible and while at the same time, investing around business growth. Also debt level is correlated to the kind of business growth we are foreseeing and that is how it will be correlated going forward as well also.

On the depreciation part, I think most of our capex has been done, and we are pretty ready with that. So depreciation, I don't see much of increase happening soon. There will be some maintenance capex to optimize and do some backward integration. So depreciation should be pretty on the same line or maybe a slight increase.

Bharat Sheth: So finance costs will keep on coming down or it will remain at this level, I mean?

SeQuent Scientific Limited

February 15, 2024

Page 10 of 16

Saurav Bhala: That depends on the overall guidance given or the rate movements by RBI, which is also dependent on the global factors. We all are hoping starting second half of the financial year, we should get some respite. So it is kind of dependent on that as well.

Bharat Sheth: Sir, but my question is reduction on the debt can also bring down . So for reduction of the debt, what exactly are we doing? You said after discontinuing Tarapur plant, are we handing of that asset? Or we will continue to hold the land parcel the way it is? And so what other asset that we have, which is the noncore and we may bring down the debt apart from bringing it down from the generating the profit of the company.

Saurav Bhala: No, sure. So I think I have explained that, but let me repeat that. So wherever we are seeing a noncore asset, which can be monetized, we are monetizing those assets. And that is being used either to trim down the debt, if possible, or to fund our operation, not to increase the debt at least. So either ways, the debt level is getting managed. If we don't repay, but we don't add on to the debt that itself is a kind of optimization of the debt level.

Rajaram Narayanan

: And I think it's also that with the kind of growth that we have seen, both in our margins and therefore, in absolute EBITDA and top line, we expect that we will be very, very prudent with any of the ratios which are there. And therefore, we don't expect that to move off. In fact, over a period of time, it will come down.

Bharat Sheth: Okay. And sir, last question on our presentation, what we offer API, formulations, and last piece is analytical services. So what exactly that suggests? And are we already doing some kind of services?

Rajaram Narayanan: No, so we have a subsidiary, which is called SeQuent Research Limited. Now because it's an independent, fully owned subsidiary, it provides testing and analysis services both in -house to our own business as well as to some other customers outside. So it's listed as a separate line item, it is not a strategic area for us. It is an in -house company which supplies services to our own business.

Moderator: Next question is from the line of Sachin Kasera from Svan Investments.

Sachin Kasera: Congrats on improved numbers. A couple of things I just wanted to say. One on the capex side. What are the type of capex plans we are having for the financial year '25? Any broad estimates that we are having?

Rajaram Narayanan: Do you have any other questions or that's the only one?

Sachin Kasera: I have 2, 3. I just thought I'd take up one by one.

Rajaram Narayanan: So can you put all the questions together, then we can just put them together?

Sachin Kasera: Sure. Second was in terms of the fact that you indicated that now that we are more or less done with the restructuring, every year, we'll see both improvement in terms of margin as well as the rate of growth. So does it mean that we should be able to repay some of our debt?

SeQuent Scientific Limited

February 15, 2024

Page 11 of 16

And finally, in terms of what are the values you share some aspirations in terms of revenue growth and margins? How about the return on capital, which is the most important parameter to the health of the business? Right now, obviously, because of the spreads and the restructuring, we are in the negative terrain. But what is the aspiration there over 2, 3 years period?

Rajaram Narayanan: So maybe I'll just go to the second piece of it, which is on margin. I think we've already margin and we have already indicated before, we are looking at ending this year in double digit. We will move more towards mid-teens by next year, and then the idea is that we should be moving towards high teens in EBITDA margins in the following years.

As far as revenue growth is concerned, we will still have some legacy, I would say, financials in next year. So we expect it to be in single-digit growth as far as top line is concerned. But thereafter this business is clearly set for mid-teen double-digit growth from the following year.

Sachin Kasera: That was not my question. My question was that if I understand that you indicated improving margins and improving growth, so does that mean that the free cash flow from operations will go up and we should be able to repay some of the debt or we have a high capex plan?

Rajaram Narayanan: Yes, I'll come to the second question. On capex, generally, we do not have any out-of-the-ordinary plan. We have our certain capacities, which are enough to meet what are immediate requirements. Though as I have indicated also that the place where we are looking for is in the area of back-end intermediate capacities, etcetera, as there are opportunities. But we expect, obviously, an improvement in the cash flow situation available after that.

So there's no extraordinary capex expected. Most of the increase in earnings should help us improve both from a debt side as well as improve our cash flow, yes? Obviously, like Saurav said, as we begin to dispose of some of the assets, those will be utilized both for

retiring some

of the debt that we may have, if required, and at the same time also funding any of our existing operations. So we don't see any significant capex requirement which is coming up over here.

Saurav, do you want to add anything?

Saurav Bhala: No, I think you have provided everything. So on the debt, I think the question Raja has already explained, but debt again, so our working capital requirement will go up once we increase our business size. So that will always be a combination of the business growth. So we are very conscious of our debt level, and there is internal benchmark we have on our debt equity levels. We monetize it very, very closely. And only depending on the business requirement, we will fine-tune it. So we'll do the best required on that area, be assured of that.

Sachin Kasera: Yes. But just to take it a little further. If I see our working capital is slightly close around 110 to 115 days. And from the type of growth that you are indicating, the incremental requirement there should not be more than like INR40 crores, INR50 crores according to me. And hence, this question, because see, our debt levels are currently fairly high for the EBITDA that we are generating? And hence, that is one of the key things investors are looking forward to that if we can reduce our absolute debt and you could give some indication on that front either in terms of debt-to-EBITDA targets that you are having or in terms of debt to equity, that would provide us

SeQuent Scientific Limited

February 15, 2024

Page 12 of 16

some more comfort on the balance sheet strength and our ability to see through some of the, maybe in case any stress that comes in the economy.

Saurav Bhala: Yes, sure. Sure.

Rajaram Narayanan: I think that we can take that in a one-on-one separately, we will be able to give you better answer.

Saurav Bhala: Yes. Yes, that would be better.

Sachin Kasera: Yes. And my other question was on the return on capital employed or return on equity. Are we having any on aspirations on that front apart from the improvement in growth and margins that you have indicated?

Saurav Bhala: Surely, that will improve. So, as we explained also in last few quarters, the entire thing is to improve our efficiency and EBITDA going up. If the EBITDA starts going up, which we are seeing in last 2 quarters, and we believe it will further continue, EBITDA going up will automatically drive all the parameters, including ROCE, ROE, etcetera.

Sachin Kasera: Okay. And just one question in terms of you have also mentioned about inorganic opportunities.

So what is the type of opportunities you are pursuing in terms of some indication on size like small opportunity, there could be a little larger ones and how will we fund it considering that our debt levels are fairly high? In that case, you may look in terms of raising some equity? Or how do you plan to fund that? Are we are comfortable even getting up some more or do we have some noncore assets that we can monetize for acquisition? If you could give some insights on that?

Rajaram Narayanan: So first on the kind of assets we are looking at. There are only 2 areas which interest us. One is anything which is in the companion animal side, if it's something which we can bolt on. That's an area we're of course doing organically as well, but that's one area which we could be interested

in the formulation side.

And on the API side, we certainly will look for any asset which helps us augment our portfolio or gives us a step jump in our R&D capability as well as any backward integration, which makes us more competitive, right? That's really the 2 core things.

We're not really looking for product supplementation only. We're looking primarily to look at where there can be a real step -up or which gives us an advantage in terms of time to market, etcetera, in terms of either R&D or in terms of cost improvement

t through backward integration

on API.

So that's really from the kind of assets we're looking at and in terms of the size, well, I think it's very clear, we are not going to leverage ourselves to beyond what we are currently at in order to do this, yes?

And so that brings us to the third question of where will raise funds. I think we have a strong belief from our principal shareholders as well as other companies who are interested in our success. And we believe that if required, we'll be able to raise any kind of capital, which is

SeQuent Scientific Limited

February 15, 2024

Page 13 of 16

required for that. But we're certainly not looking at leveraging ourselves unreasonably to fund any acquisition.

Moderator: The next question is from the line of VP Rajesh from Banyan Capital Advisors.

VP Rajesh: Sir, I have 2 questions. One is on your revenue guidance. Will that growth be primarily coming from the current business? Or you are expecting in that guidance from acquisition that you have been elaborating about?

And the second question is regarding the gross margin. So we have shown a significant improvement year -over-year. So when you talk about your EBITDA margin improving, is it going to be a factor of gross margin improvement? Or is it purely the operating leverage that will come about from revenue?

Rajaram Narayanan: Thanks. I'll leave the margin question to Saurav. But I'll answer the first one, which is on growth.

So the guidance that we are giving is most of the growth we are expecting from existing businesses. We expect a lot of the work which we have currently done to actually flow into revenue growth towards the end of next year. And therefore, going ahead that should get us into the kind of growth level, which I have indicated, but that will be from I mean I expect it to be designed around our current business. It's not designed around any kind of M&A.

M&A is not really only for growth. It's also, as I said, it needs to be strategic, it needs to give us R&D capability, it needs to give a backward integration capability. So immediately, we are not sort of jumping into M&A just because we want to add something to top line. The top line growth will come more from existing businesses. On margin, on gross margin and how it flows through, I think, Saurav can elaborate.

Saurav Bhala: Sure. On the margin, it will be a combination of various factors. Obviously, our gross margin will improve because, as Raja has already explained much in detail about the strategic restructuring of our portfolio, there are various price increases which we are taking proactively and also reshaping the overall portfolio to improve our margin profile.

Second is on the various CIP projects which we are driving, which helps us reduce our RM cost overall. So because of these 2 factors, our gross margin is improving and we believe it should continue in the current trend. We see some more improvements coming up in the next few quarters.

On the operating expense part, we have been very conscious to control the opex overall. And if you have compared or seen our financials, it is going down quarter -on-quarter. So now we have a base reduction in the opex, and we want to maintain that. So opex will also contribute its part.

Overall, on EBITDA level, it will be a mix of both. There will be increase in gross margins, and there will be optimization of opex. So both will drive the EBITDA margin up.

VP Rajesh: Understood. Saurav, if I may quickly ask a follow -up. Any guidance around the gross margin? From 45% today, where do you think it can go to the next 2, 3 years?

SeQuent Scientific Limited

February 15, 2024

Page 14 of 16

Saurav Bhala: See, the exact quantification will be difficult, but we can see 150 basis points increase in the next couple of quarters minimum. And then after that, we'll see it will further improve. But th

e

improvement would be consistent in the next few quarters.

Moderator: Next question is from the line of Kaustav Bubna from BMSPL Capital.

Kaustav Bubna: So just wanted to understand what your outlook is on the Turkey market? And is there any way

we are thinking of protecting our business in this market from the currency volatility?

Rajaram Narayanan: So thank you for asking this question. I think Turkey has been through a lot of challenges economically : one, because of inflation and two, because of surging direction of economic policy, which did not help as far as the currency is concerned in the current inflation setup.

What we've seen on the economic side is that the government certainly has brought in completely sort of more conventional approach to managing the economics. And therefore, we are seeing higher interest rates. We're seeing a bit more steadying at the rate of devaluation.

And inflation, of course, is continuing to be high, and that's being managed now with higher interest rates, which is quite the opposite of what was being done 2 to 3 years ago. So the sense we have over there is that things are a bit more predictable. The y are on the higher side, but they are more predictable. It's a very large market for us as well as for the industry.

Therefore, we want to take actions which are going to help us strengthen our position, and be there for a longer time in terms of improving our competitiveness. We have done Q3 very quick and fairly aggressive actions on that. We have been fairly aggressive on pricing, which was something which earlier was not part of the way in which most companies did it.

So we are seeing that benefiting us. It is helping us to hold on both to our market share, but at the same time, it is also helping us counter the inflation level there. And because we are a strong company over there, we are, in fact, somewhat benefiting from it because some of the fringe players in the market are the ones who are actually closing down or moving out so our market share is strengthening.

The second, the government is also intervening in terms of including the demand side. So we saw for a couple of years, a reduction in cattle population in Turkey as farmers began to opt out of rearing cattle because of inflation, but the government has now stepped up and have started importing cattle into the country and to restimulate the availability of farm animals in the country.

And we hope to see some pickup going up there, and that should help our business. And the third and most important thing for us as a company is that we have a strong manufacturing footprint in Turkey.

We have a good brand over there. And we are stepping up using Turkey as an export base for the company. That helps us in 2 ways. One of course it helps us in revenue, it helps us in getting good business. But at the same time, it also helps us hedge naturally for the foreign exchange risk which is there.

SeQuent Scientific Limited

February 15, 2024

Page 15 of 16

So our exports from Turkey are getting stepped up. And we think that very soon, we will be able to offer a natural currency hedge for the import and export based on our operations there, and therefore, should be less exposed to issues like devaluation and be able to be stronger compared to other companies that are there in the business.

So overall, I think we will see still some volatility, and that's not because there'll be a translation of currency issues, which may be there for the short term. I think from a fundamental business viability as well as running the business in Turkey, I think the market is now getting to stabilize.

So we are very careful in everything that we do.

Kaustav Bubna: Thank you so much for this detailed response. Really appreciate it. Best of luck for your future performances and hope you keep this turnaround strong.

Rajaram Narayanan: Thank you.

Moderator: Ladies and

gentlemen, in the interest of time, we will take last few questions. Next question is from the line of Jay Jain from Finnovate Financial Services Private Limited.

Jay Jain: I have a couple of questions. First, What are your plans on the China front, which was one of the regions that the company was showing interest in post the Carlyle acquisition? Are we focusing on that right now? And the second one is, when are we expecting to do more filings in the U.S. on the formulation side? And is there any time line on them commercialization of those filings?

Rajaram Narayanan: So firstly, on the China front, I think a lot has changed. And on China, from a n API point of view, China is more a competitor for us at this point of time. There are, however, opportunities for us to be able to export certain APIs to China.

And it still remains as and when we have an opportunity, we will move into supplying there, but it's not a strategic thing for us because much has changed in the opportunity, which was over there in China for us right now. So it's not something that we will be discussing as we don't have it on top of our priorities in the next couple of years.

On the second part, on the U.S. formulation piece of it, we've completed the validation, etcetera from Germany. We then took a pause for it because we closed the plant. We still have that live on our project list. As I said earlier, we are looking at a couple of FDA preapproved CMOs, which we have shortlisted. And this is something that we will be clearer in the next couple of

quarters once we have finalized our CMO in India.

And the completion of our dossiers, etcetera, is in progress, and we will be ready with the necessary tech packs, etcetera, which are ready for validation, I expect in the next quarter or so.

But whether we will go all the way into filing formulations, etcetera, will be something that we see it within a couple of quarters, which is the project having been delayed even the market opportunity may be different now. And the approach to doing this may be very different after 6 months. So we'll probably give you clarity on it only after about 6 months.

SeQuent Scientific Limited

February 15, 2024

Page 16 of 16

Moderator: We will take the last question from the line of from Saurabh Patwa from Quest Investment Advisors Private Limited.

Saurabh Patwa: Sir, just 2 questions. One is, can you just help understand on this ESOP cost. How do you see trending it over the next 2, 3 years? And second question was if an investor wants to have a detailed discussion, have you started meeting investors apart from the call?

Rajaram Narayanan: So I'll answer the second piece of it, and Saurav will take on the one in the ESOP. Saurabh, you can always write to us. We meet investors. We regularly do these calls, and as any investor you can certainly write to us if you have any clarification either on our results or on any other point of view that you have in the company, and we will be more than happy to share with you on that. If you want any further interaction, then please write to our investor cell and we'll take it up immediately after that. On the ESOP piece, Saurav, maybe you can give a glimpse on the trend, etcetera.

Saurav Bhala: Sure. So on the ESOP, generally, in all the companies, the scheme is generally the cost is front ended. First few years are very high in terms of ESOP cost and then it starts going down. Same is the case with us. First few years, which have already passed was high in terms of. If you see this quarter itself, Q3 last year versus this year, we are almost kind of getting about 40% saving. I think that trend will continue. And next year onwards, it would be very normalized cost because most of the funded cost has already happened in the last 2 years. So you will see a reduction there also.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the

day. I now hand the

conference over to management for closing comments.

Rajaram Narayanan: Thank you very much for attending this call. And I think you would have noticed that we are progressing in the right direction in line with what we have indicated, which is keeping our margins sort of moving upwards steadily and also building the capabilities which we need for further growth and expansion, both on API as well as on formulation and then using that foundation for triggering growth in the coming 2 to 3 years. So we look forward to seeing you again next quarter with the results. Thank you very much. And with that, we can close the call.

Saurav Bhala: Yes. Thank you. Thanks for your trust on us.

Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office : 301, 3rd Floor, Dosti Pinnacle , Plot No. E7, Road No. 22, Wagle Industrial Estate , Thane (W), Mumbai - 400604, Maharashtra, India

Tel No.: +91-22-4111 -4777 | CIN: L99999MH1985PLC036685

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

National Stock Exchange of India Limited

Listing Department

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East),

Mumbai – 400 051 May 20, 2024

To,

BSE Limited

Corporate Relationship Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai – 400 001

Scrip code: 512529 Symbol: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and Year ended March 31, 2024

Dear Sir / Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Audited Financial Results of the Company for the quarter and year ended March 31, 2024.

The same is also available on the Company's website at <https://www.sequent.in/pdf/financial/2023-2024/Sequent-Earnings-16May-2024.pdf>

Kindly take the same on your record.

Yours faithfully,

For Sequent Scientific Limited

Phillip Trott

Company Secretary & Compliance Officer

Membership No. F-7403

Page 1 of 15

"Sequent Scientific Limited

Q4 FY 20 24 Earnings Conference Call "

May 16, 2024

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR –
SEQUENT SCIENTIFIC LIMITED

MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER –
SEQUENT SCIENTIFIC LIMITED

MR. ABHISHEK SINGHAL – HEAD OF INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited

May 16, 2024

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to the SeQuent Scientific Limited Q4 and FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir. Abhishek: Very good morning and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the Fourth Quarter and Full Year Ended Financial Year 2024. Today, we will have with us Rajaram, SeQuent's Managing Director; and Saurav, CFO, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website, as well as stock exchange website. The transcript of this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to Investor Relations team.

I now hand over the call to Rajaram to make the opening comments.

Rajaram: Thank you, Abhishek. Good morning, everyone. A warm welcome to all of you on the call for the quarter 4 and financial year '23/'24 Earnings Call. Joining me on this call is Mr. Saurav Bhala, our Chief Financial Officer.

Before I move on to the performance for this quarter, I would like to extend my heartfelt thanks to Mr. Sharat Narasapur, our former Joint Managing Director, who has moved on from his role at SeQuent. His contributions to the company have been invaluable, and we thank him for his service. Sharat will, of course, continue on the Board of our subsidiary, Alivira Animal Health

Limited, as a Non-Executive Director. I also take the opportunity to welcome Mr. Vedprakash as Executive Director on the Board of SeQuent, responsible for API operations.

Coming to the performance for this quarter. I'm really pleased to share that we continue to progress well on the transformation journey that we have embarked upon last year. In the last couple of quarters, we have seen the results of our efforts reflect in the financial performance of the company.

In quarter 4, our EBITDA pre-ESOP cost came in at INR 411 million, which is the highest in the last 12 quarters. Our EBITDA margin pre-ESOP cost for the quarter stood at 11.4%, which is in line, in fact, slightly ahead of our guidance and the target of exiting the year at double-digit margins.

Even on the revenue side, if we adjust for some of the discontinued operations in Europe, and the current currency accounting impact in Turkey, our sales for the quarter could be considered to have been grown at 6% on a year-on-year basis in rupees terms and 11.4% year-on-year in constant currency terms.

SeQuent Scientific Limited

May 16, 2024

Page 3 of 15

I would really like to take this opportunity to thank all our employees and teams across and our partners who have worked really hard to make these results come alive for us and set us on the path of growth. With several optimization initiatives implemented over the last few quarters, we are now confident of accelerating our efforts towards higher growth in the coming year.

The macro environment is very important for us as we operate in multiple markets. While there is some volatility on account of inflation and currency issues in some pockets, there has been also some uptick in demand across the board. January to March typically see

some seasonality

impact on a year-on-year basis, but we've seen encouraging results from our European business.

And in Turkey, where we are one of the leading formulation players, while the inflation remains at elevated levels of over 60%, the government in Turkey has taken several actions, including rate hikes. While we see some early signs of a stable currency going ahead, we would need to remain very agile.

While Saurav will talk in detail on Q4 and full year financials, let me share some highlights of our overall results and also give you a sense of the direction going ahead. Our overall revenues in the quarter grew about 10% sequentially. On a year-on-year basis, the revenue declined by 1.5%, mainly on accounts of the higher base that we had in quarter 4, last year. And it also includes some of the discontinued businesses in our base. However, adjusted for the impact of discontinued business, as well as some of the currency accounting adjustments in Turkey, our quarter 4 revenues have grown by 6% year-on-year in reported terms and 11.4% in constant currency.

Starting with the European operations, our conscious efforts to position ourselves towards higher growth and higher-margin businesses, combined with improving demand sentiment and range-bound inflation, we have delivered another strong quarter in Europe.

The January to March quarter typically see some seasonality impacts, but our European operations have grown 7.9% on a year-on-year basis for the quarter. Our margins there, too, have benefited from a favourable business mix and continue to expand. Our priority is now firmly on driving growth in this market through further geographical expansion, innovative partnership arrangements and new product launches.

In Turkey, I'm pleased to share that the various decisive price and incentive actions that we have taken since last year, both in June and in January, have yielded very positive results and are reflecting in the quarter's performance. Turkey is one of the leading markets in the world for animal health. And we are committed towards not just maintaining, but also investing and strengthening our presence there and gaining market share.

By leveraging our inherent strength in that market in terms of our field force strong competitive positioning, we continue to take proactive measures on further price intervention opportunities and cost optimization. Our priorities in Turkey for the upcoming quarters, is to drive higher volume growth as the demand situation starts to normalize. Our India formulations business has continued to do well on the product launches that we have had recently and the expansion that we have undertaken, evidenced by a 9% year -on-year growth that we delivered in quarter 4. This

SeQuent Scientific Limited

May 16, 2024

Page 4 of 15

is despite a short -term non -availability of a key distribution product, which we expect to be reintroduced soon.

During the quarter, we also launched 3 brands in the market, which aided revenue growth. Eventually, like I said earlier, Jan to March tends to be a softer quarter due to seasonality. However, as I have mentioned, India is a strategic market for us, and we continue to remain excited by its growth prospects. To that effect, we have initiated large-scale business expansion plan for the India formulations business, the results of which will be visible in the coming quarters. Our priority in India is to achieve greater scale through this expansion. Coming to our API business. This has been a very strong quarter. In quarter 4, FY '24, we received and executed most of the regulated market orders that were expected and thereby resulting in a strong sequential growth of 39% and also a 2% year -on-year growth. I'm optimistic, looking at our current order book and our stable regulated market orders coming in through also allow us to be selective while participating in growth opportuniti

es in some of the more price-sensitive markets.

On the back of the various manufacturing and procurement, revamp initiatives we have implemented through the last few quarters, we continue to see a marked improvement in gross margins and expect to see the current trajectory to continue into quarter 1. More importantly, on the margin front, our API business stands to benefit from the annualization of savings of all the initiatives that we have implemented at various points last year.

Our priority for the upcoming year is to drive growth in the regulated market business through targeted engagements with our customers and also accelerate the backward integration of some of our front -end formulations using the API facilities that we have. We have, also, successfully completed audits from WHO and many other global customers. This will enhance our credibility as a preferred supplier.

Before I hand over to Saurav, there are three areas I'd like to emphasize. The first is growth. Having completed the reshaping of our portfolio and discontinued some product lines in our formulation business, we have set the base for high growth and importantly, quality growth.

Our expansion plans have commenced in quarter 4 of the last financial year, especially in India, and this will help us accelerate the top line. Second, on profitability. We are pleased to deliver in line with what we had guided. And in quarter 4, we delivered on our margin commitment of exiting FY '24 at double -digit margins. This is, of course, attributable to various operational and cost excellent actions we have taken as well as a superior portfolio mix.

That said, we expect further benefits to accrue. And if the demand were to pick up as well, the next set of cost optimization initiatives, that we have set in to motion internally, will benefit us. During the quarter, our EBITDA margin pre -ESOP cost have expanded by 220 bps quarter -on-quarter to 11.4% and 790 bps year -on-year.

The third is the area of business development and M&A. We believe that the animal health sector is in an exciting and dynamic phase as can be seen from some of the multiyear contracts that

large global innovators are entering in with Indian as well as global players. On the companion

SeQuent Scientific Limited

May 16, 2024

Page 5 of 15

animal side, there is a growing focus on pet care and we are looking out for opportunities in our strategic markets such as India and Brazil.

On the API front the generalization and outsourcing of new drugs over the next few years combined with the need for innovators to diversify the supply chain creates an excellent growth opportunity for us to play into. And in order to capture these opportunities we would be looking to augment our capabilities to build a stronger R&D base and manufacturing competitiveness.

I will now hand it over to Saurav for more details on the financial report.

Saurav Bhala: Thank you, Rajaram. Good morning, everyone. It's my pleasure to be here today and share some key insights into the financial performance of our company for quarter 4 and financial year 23 - 24 respectively.

Starting with quarter 4 financial year '24 highlights. Our total revenue and EBITDA pre -ESOP cost for the quarter stands at INR3,612 million and INR 411 million respectively. Formulation

business contributed INR 2,476 million which is about 69% of the total sales. European operations delivered strong growth driven by our strategic actions focused on overall portfolio reshaping and despite price increases.

Europe clocked a revenue of INR 1,236 million. Emerging markets delivered a revenue of INR 1,007 million and our Indian formulation business delivered a revenue of INR 232 million. The API business contributed INR 959 million which is 27% of the top line in this quarter. I'm happy to share that our gross margin has improved by 660 basis points that is from 39.5% in quarter

4 financial year '23 to 46.1% in quarter 4 financial year '24.

This increase is driven by various strategic actions taken over the last quarters which includes sales mix optimization, various operational excellence initiatives and a very well executed price increase across geographies we operate in. Through focused initiatives aimed at optimizing our overall cost structure and which remains to be a key focus area for us has enhanced our operational efficiencies and also helped us successfully achieve a notable reduction in our overall operating expenses. Y-o-Y savings is about INR 65 million, that is from INR 1,321 million in quarter 4 financial year '23 to INR 1,256 million in quarter 4 financial year '24.

The above measures have resulted in significant improvement in our EBITDA margins. Y-o-Y, the improvement is about 790 basis points that is from 3.4% in quarter 4 financial year '23 to 11.4% in quarter 4 financial year '24.

Now I move on to overall year highlights that is the highlight of financial year '23-24. Our total revenue and EBITDA pre-ESOP costs for the financial year is INR 13,697 million and INR 1,068 million respectively. Our formulation business contributed to INR 9,997 million and API business contributed INR 3,260 million to our top line ..

Overall, our EBITDA has improved by 250 basis points that is from 5.3% in financial year '23 to 7.8% in financial year '24. Highlighting some of the items which need some explanation. In exceptional items, you will see expense book in this current quarter which is primarily on account of the consultancy fees we gave to our partners for the cost optimization initiatives the

SeQuent Scientific Limited

May 16, 2024

Page 6 of 15

impact of which has been very significant in improving our operational efficiencies and that will help us improve our base further.

And there were some writings also on account of our Germany operations where earlier we have provided, but we were able to liquidate various assets and some writings have happened on account of that. In other income during the quarter company also realized a gain of INR 22 million on transfer of leasehold rights in one of our Ambarnath land which was not a very operative asset. So we liquidated that.

Net monetary loss on hyperinflation economy which is Turkey is shown under IndAS 29 adjustment which continues because the situation in Turkey. Turkey is amongst one of the 3 or 4 countries in hyperinflation as of now, so that still continues. Our working capital stands at INR 4,201 million as on March '24 as compared to INR 4,354 million as of March '23.

Net debt as on date, as on March 31, '24, is INR 3,789 million against INR 3,654 million in March '23. Net debt-to-EBITDA ratio has seen an improvement and which stands at 3.55 as on March '24 versus 4.70 in March '23. These are the key highlights from my side. I thank you all for your continued support and may I request a forum to be opened for any questions now.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Vilina Jain who is an individual investor. Please go ahead.

Vilina Jain : My first question is on the API business. So it is good to see that our API business revenue is closer to INR 100 crores quarterly run rate. What has been the driver of sequential revenue growth? And can you maintain this momentum in the coming financial year? Also, are there any new contracts that you have received in your API business which can materially add to your sales ?

Rajaram: Thank you, Vilina . Yes, first of all, I think it's good to see the API business accelerating. I think we've delivered over INR 90 crores in this quarter and we do expect that we will begin to come closer to the INR 100 crores run rate.

But as you know that the API business is a B2B business and if there are going to be some variations across di

fferent quarters depending on the stocking levels that our customers may have as well as what is the success of their end products in the market, but directionally, I think I can say that we are beginning to see acceleration in our API business.

So now what has gone behind this, I think a couple of reasons. One we are a very strong regulated markets player nearly 70% of our business comes from markets which have -- which are from Europe or the US and in these kinds of customers tend to give a lot of premium and reference for suppliers who are quality suppliers as well as the developments which we do on our products

in partnership with some of these customers.

So that has really contributed quite a bit to the orders which we have got for the quarter which is gone by as well as we expect that these relationships and these preferences from these customers should help us going ahead.

SeQuent Scientific Limited

May 16, 2024

Page 7 of 15

Any new -- the second part of the question on do we have any new contracts. Yes, we are expanding our customer base. I think we are having new customers who have joined our current set of customers who we cater to with our products. Some of the older contracts, which we had signed, which are getting commercialized as well as we speak in this year. And we also have, of course, a lot of conversations going on. I cannot specifically disclose any one contract or two contracts, obviously, for confidentiality reasons right now.

Vilina Jain: Got it. And secondly, gross margin has improved nearly by 100 basis points on a Q-o-Q basis.

What are the drivers of the same? And by when can we get back to the historical 50% margin?

Rajaram: So I think gross margin for us is a combination of three or four things, which Saurav alluded to some time ago. On the API front, it is on account of, one, the initiatives which we have undertaken last year with project called Project Pragati, which involves cost optimization, operational efficiency, procurement, so it's a comprehensive program, which was undertaken.

And that's one driver of improved margins.

The second driver of improved margins on our formulations business has been the reshaping of the portfolio itself. We have driven business growth with -- on portfolio, which are high growth, higher margins, and at the same time, we have also discontinued less attractive segments that we participate in. So that's really the two main drivers for this.

And I think the third one would be our whole cost optimization efforts that we have undertaken as well. Yes, that's the mix. Now the other part of the question is, do we get back to 50% historical levels. I can't give you any forward guidance on this. I think we've continued to give you guidance on our EBITDA margins pre-ESOP that we would exit last year at a double-digit margin, which we have. And directionally, we are looking at that improvement going forward. Of course, the initiatives that we have when you annualize them from last year should see an improvement in our gross margin.

Moderator: The next question is from the line of Naman, who is an Individual Investor.

Naman: First question pertains to the EBITDA margin, and I'm happy to see that you have touched the double-digit guided margins, which we are given. Can we expect to sustain these margins for the next financial year on a full year basis? And by when can we reach the mid-teens margins, which we have indicated in the earlier calls?

Saurav Bhala: Thanks for the question. We believe, based on the projects that we are undertaking and the structural changes we had done, the margin of Q4 should be sustainable next year as well. Only add-on would be there are some quarterly fluctuations because of the season and production exchanges, which will happen. But the margin, to our mind, has continued. And we are working further to improve it. So our expectation is from low-teens

to the mid-teens is where the journey is, which we are taking ahead.

Naman: And secondly, on the overall outlook of the business as in over next few the years, over the 3-year period, how are we seeing a top line growth on a guidance basis? And lastly, on the debt side, that when can we expect the debt to start coming down? And what levels of debt-to-EBITDA are we comfortable as an organization?

SeQuent Scientific Limited

May 16, 2024

Page 8 of 15

Rajaram: So I'll take the first part on the next 2 to 3 years. Saurav just said, we do expect next year our EBITDA margins to be the low to mid-teen range in terms of what we will exit. And we hope that we're able to do better. But that's, of course, what is the band in which we would like to give the guidance right now.

In terms of how we are going ahead, we have said that over a 3-year period, we would like to come towards the high teens range in terms of EBITDA margin, and we would like to grow our top line in double digits for the next -- on a 3-year basis. That's what as far as our top line and our margin line is concerned. Now coming on to the question on debt, do you want to give some...

Saurav Bhala: Yes. So on debt, the levels, we don't see decreasing very immediately because as you understand, the businesses are expected to grow strongly. We are looking at a lot of -- so debt would be kind of funded for two things. One is to fund the working capital increase with the business growth, there are some requirements on that.

And also, as Raja has already mentioned, we are looking at various opportunities that the market is presenting. So debt, as of now, based on today's projections, we remain to be at the same level.

Having said that, debt -to-EBITDA will go down strongly. Even in my initial speech, I have said, already mentioned, last year it was at 4.23x. Now we are at 3.55x. And as the business performance improves with the EBITDA and margin improvement, we see debt -to-EBITDA level going down consistently.

Moderator: The next question is from the line of Chintan Chheda from Quest Investment Advisors Private Limited. Please go ahead.

Chintan Chheda: Congrats on a good set of numbers. Sir, my first question is related to the API business. So the deworming portfolio, which had gone down during COVID, is that fully recovered? Or there is some more headroom for improvement over there?

Rajaram: Do you have any -- do you have a second question? Then I can take it together .

Chintan Chheda: Yes. And secondly, sir, if you could just shed some more details about the API portfolio, I like what is the filing and development pipeline for us? And thirdly, for this API business, say, from this quarter's base of INR96 crores, right , say over the next three to five years, how should we look at the growth?

Rajaram: Okay. Thank you for this. So let me start with the first one, Chintan. Yes, it's been a good set of results. We hope to hold it as we continue with our plan. First on the deworming portfolio, there are different markets where this portfolio exists and we are not seeing any further reduction in the deworming portfolio, which is what seemed to be a trend a little while ago. In fact, we are seeing an uptick happening on the deworming portfolio.

There is, of course, a shift in the kind of markets where the portfolio is growing. And also in the deworming portfolio, there are different sets of molecules. It's not just one. So on a total aggregate basis, this is a portfolio which -- where we are very strong and at the same time, it is also a portfolio which is seeing volume growth.

SeQuent Scientific Limited

May 16, 2024

Page 9 of 15

The other important thing is that we have -- a lot of our cost optimization initiatives have been in this portfolio and those have given us more competitiveness and improved margin, which allows us to expand our volume. So I would say, this is -- from

an outlook point of view, this

portfolio is a steady portfolio right now.

The second, in terms of our new filings, our typical rate is that we do about three to four every year. Last year, it was a bit back ended where we filed more in the last quarter, we did two filings. We expect typically around three to four filings happening every year.

But in terms of the choice of the products that we will file for, we will have a bias towards companion animal products rather than production animal APIs. And we have already with us three to four filings, which will happen next year. Most of it are in companion animals. And that's the area where we believe that there is an opportunity for faster and more sustainable growth.

The third question on the API volume for the next three to five years, I don't think I can give you specifics on where the INR96 crores will go. I think on an overall basis, it is fair to say that a three-digit number per quarter is what we certainly aspire to have consistently in the next 12 to 24 months. But beyond that, it would, of course, depend on how fast we are able to commercialize some of the new products which we have launched and are planning to launch. And in the API business, the first one or two years of the launch tends to be fairly muted in terms of volumes as the validation get completed, etcetera, and then the acceleration starts. It will also depend, of course, a bit on how the pricing environment is.

We would hold on to volumes, but if the pricing environment remains what it is right now, which is the pressures continue, then of course you could have volume growth and a bit of lower price growth. So ballpark, I would say that a three -digit per quarter number is what we are aspiring for in the next 12 to 24 months average.

Chintan Chheda: Perfect. Got that. And secondly, on the ESOP side, so are we looking to issue any new ESOPs? And for the next couple of years, how should we look at this cost?

Rajaram: So on the -- whether we've got to issue -- see, we constantly keep looking at issuing ESOPs to our employees. But there is an overall pool, which is reasonably sort of fixed. So we don't expect the cost impact to be anything dramatic or additional from what we have. But maybe Saurav can tell us a bit around how do we see the next two to three years ? It is a declining trend based on its impact.

Saurav Bhala: Yes. So as Raja has already mentioned, ESOP generally, the impact is very high in initial few years, which we have seen in the last couple of years. And since last two quarters, the trend has already, if you see, has started going down. We believe that based on our current calculation, yes, the trend continues and our ESOP cost keeps on coming down.

Having said that, one thing to be kept in mind is the way business is growing, we would look to increase our management strength and add on to some leadership positions. If that happens -- as and when that happens, there will be some ESOP impact to the extent.

Moderator: The next question is from the line of Divyanshi, who's an individual investor. Please go ahead.

Divyanshi: So I have two questions. Firstly, the Europe revenues are back to single-digit growth after the last two quarters of strong growth. So what is the reason behind the same? And what is the growth rate that you're targeting for overall Europe business over the next couple of years? That's the first. And second, you've indicated in your earlier calls that you're looking at strategic M&A.

So could you provide an update on the same? Would we have any M&A activity in the near term?

Rajaram: So the first question on Europe. In fact, our Europe business has started. It's, in fact, performing better than it was. And we have begun to see strong growth in Europe. If you remove some of the portfolio decisions which we have taken last

year, then our growth would, in fact, be closer to double digit as we go ahead. Europe continues to be strong. Spain is performing well. Markets in Belgium, Netherlands continue to do well.

So going ahead, we certainly look for the European business to be always in the higher single digit, early double digit kind of growth unless, of course, there are any surprises. But right now, our portfolio is strong and building on that.

The second part of it in terms -- is to remember that in Europe has been a big contributor to our margin improvement profile. And it went through a serious challenge post the Ukraine war had started. But now things have stabilized. And therefore, we are seeing that flow into our results of this year. And I think in the coming financial year, we should begin to see even better performance in Europe.

The second part of it on strategic M&A, we are looking for different opportunities to expand our business. Some of it is around licensing. Some of it is around strategic partnerships. M&A is part of our growth plan. We are constantly evaluating targets, including some in India.

And as far as the nature of targets are concerned, we are open both to targets and formulations as well as any opportunity on the API side, which allows us to -- which is complementary to our business in terms of supporting us for, for example, in the area of acceleration of R&D or acceleration of manufacturing synergies. And so that's something we are actively looking at. But of course, we will need to make any such move very, very responsibly. It has to be something that is accretive to our business. And this company has been built on acquisitions in the past, and that is an important part of our journey so far. So it continues to remain as our priority.

Moderator: The next question is from the line of Rishika Mehra, who is an individual investor.

Rishika Mehra: I have two sets of questions. One is on the emerging market, that the business has been weak since last few quarters. So when do we expect growth to come back in the business? And is there any update regarding the pricing and the currency situation in Turkey, that being one? And the second one is on the India business that we've seen some growth year-on-year in quarter four.

However, it has been down sequentially? So when do we expect the revival in the business? What kind of growth are we targeting for India business? And what would be the drivers for this year? That's it.

Rajaram: Thank you for this question. On emerging markets, it's a large set of countries. So it's a bit -- we would have to deconstruct it in terms of our big markets and in terms of the smaller markets. If you look at -- and I'll combine the first and the second question because it involves Turkey. So one of our big markets in emerging markets is Turkey. In Turkey, we have seen some stabilization in terms of the economic policies which we have put in, etcetera. And therefore, even though there has been high inflation, our actions in terms of price increase, in terms of portfolio optimization and also stepping up efforts for volume growth have helped us grow the Turkey business, and there has been a significant improvement in terms of margin as well.

Of course, in Turkey, it makes no sense to only talk about top line growth because the inflation itself is at 60% year-on-year. So suffice to say that we are able to take our pricing increases to completely compensate for any inflation. And therefore, that helps us keep the margin in place as well as the top line. And the reason we are able to do that in Turkey is because we have a very strong competitive position in terms of market presence.

I mean our portfolio, the fact that we have one of the large teams over there, we are in the top 5 players over there as far as the production animal segment is concerned.

d. So in Turkey, pricing

is one of the drivers right now to compensate for inflation. But at the same time, we are also looking at expansion in volumes.

The second part of the emerging markets is, a big country for us, is Brazil. After 3 or 4 years of

very strong performance earlier, Brazil has seen pressures. And some of that is a bit short term because our business, which is there in Brazil, has a component of contracts and tenders. And sometimes you get a tender, you lose the tender. And those kind of variations have impacted some of the aggregates in emerging market results.

But one important thing, which has happened in emerging markets, is really the Middle East, North Africa segment, countries like Egypt, etcetera, where we have faced a currency challenge in recent times. It's not that there is an order challenge in terms of business or sales, but releasing money from the Central Bank to be able to pay the suppliers has been a bit difficult for all the importers. So we're seeing some pressure there as well in emerging markets.

But the way to look at emerging markets is to take them as 1 large bundle and begin to accelerate wherever there's an opportunity and derisk ourselves when we go through these kind of challenges. And therefore, I would say that emerging markets will be a mix for a while. And the fact that the larger market sector, Turkey etcetera, for us are growing, we'll make sure that at an aggregate level, we will do well.

The India business, which is the third question which you have asked, is very strategic and important to us. India has a large population of production animals, which is cattle and dairy.

And we are a mid-sized player in India, and therefore, the opportunity is for us to really grow very fast here. We have grown well last year. As you know, we have 2 parts of our business: one which we distribute for one of the large internationals, and we also have a part of the business which we manufacture our own brands.

SeQuent Scientific Limited

May 16, 2024

Page 12 of 15

On the distribution side of the business, we had a couple of supply challenges from the principal, and that is hopefully getting restored and we should continue to maintain that momentum. On our own brand, we are, of course, growing very fast, well ahead of the market in double digits. And going ahead, therefore, we should expect that the India business should be a double-digit growth business for us.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited.

Bharat Sheth: Congratulations on excellent turn around. Okay. Secondly, I mean, your overall 3 years perspective, what you have said. So first of all, I mean, API, we are operating at what capacity API business? And if we have to dissect, I mean API, say, last year, we did around INR325

crores if we continue to maintain run rate of around INR95 crores to INR100 crores. So I understand that our first -- I mean, growth will be in the first year itself largely then relatively in second and third year, it will be kind of a muted growth in API business. Is that fair understanding?

Rajaram: Can you just complete your question, Mr. Bharat Sheth. The first one is on API capacity, which you asked about how much are we utilizing. I didn't get the question on your -- very clearly on the numbers you are talking of -- can you just repeat the second part of your question?

Bharat Sheth: On API last year, I mean, in FY '24, we did around INR325 crores kind of a run rate annualized.

And if we take around INR95 crores to INR100 crores quarterly run rate then it was out somewhere a INR400 crores kind of a thing in the '25 itself. So then first that, I believe that the growth will be muted kind of a growth? Or if you can give a little more color? And second thing, in API, how do we plan to improve the EBITDA margin? So we may get some lower -end margin and will keep

on increasing higher -end products, whichever generate higher end margin?

Rajaram: Thank you for your questions. So the first one, in terms of API capacity utilization. We are today at about 70% to 75% is what we use. And that -- we have capacity with us, as for our current portfolio, is something that we largely have at least for another year. We do have plans to reshape some of this capacity. So it's not necessarily increasing the capacity, but it is also about using the right product mix in this. And our project in terms of manufacturing excellence has also allowed us to get more out of the capacity that we have.

So in terms of how we look at the year ahead, yes, last year was, of course, a difficult year. I would not annualize the INR95 crores, INR100 crores straight away into next year and say that it to be INR 400 crores. I think that's closer to what we want to reach when we exit the year. So expectation is certainly that we should be ballpark anywhere between INR 80 crores to INR 100 crores average per quarter. Some quarters will be INR 100 crores, some quarters may be closer to INR80 crores, INR 82 crores. That's because this is the phase in which we are also introducing new products. And then going ahead, of course, we certainly expect to be at the INR 100 crores plus range from the following year.

Then coming on to the way in which we improve EBITDA margins. There are 2, 3 levers for that. The first is, of course, at the gross margin level itself. And there, there is -- there are

SeQuent Scientific Limited

May 16, 2024

Page 13 of 15

initiatives in terms of reduction of some of our costs with CI, cost improvement program and also in terms of some optimization efforts that we do in procurement. The second area is really enough product mix, which we have. Because that is an important part as we begin to get more and more confirmation of businesses from the regulated markets, which is where our historical sort of advantage has been and strength has been. So as that mix improves, we would tend to get customers to value U.S. FDA production and the certified production from our side. We should get the product mix and regulated market is the second way in which we include our margin. And third, of course, is that scale itself gets you better margins as we begin to expand our production capacity volumes over there. And I think Saurav will talk to you about cost optimization. Yes.

Bharat Sheth: Okay. Great, sir. Sir is that fair understanding over three period our revenue mix will be more tended toward India, which is one of the largest, I mean, focused market and regulated market on the formulation side. Because emerging market, we keep on taking some kind of a tailwind. So it tends to have muted kind of growth in our aspiration to grow double-digit over the next 3 years. Is that fair understanding?

Rajaram: I think there are 3 -- you split them into 3 areas. One is the regulated markets for the API business is our focus. But we must remember that the emerging markets are very fast-growing end product markets, for many marginals. And therefore, those markets also do provide an opportunity. We need to be competitive in those markets and some products. And when you have a leverage because of your regulated market supplies, you can be competitive in the emerging markets as well. So it's not a market that we're going to ignore. It's just that we will not be selling at any kind of price and compete just for that. Margins are going to be important.

The second part of it is that India is important for us from a domestic formulation business. It is something that we are expanding. It's a big market. It is fairly underpenetrated in terms of medication for animals. And we also have a good advantage in terms of having overseas formulation facilities. So unlike many other generic players, we are able to import fast. Recently, we launched 3 products from

from international range, which was there in Turkey and Spain, and we've brought them into India. So we have some advantage of bringing it at speed and introducing at India. And the European business, of course, is an important business. So it's a combination of all our presence in regulated markets and India gives us the leverage to be able to compete in emerging markets as well.

That's probably the good part of our business is that we're dependent on only the emerging markets, which even though they may have a high demand, have some risks at sometimes in currency, et cetera.

Bharat Sheth: Okay. Sir, any color on our entry into the U.S. formulation market?

Rajaram: I think the U.S. formulation piece, as we have said before, is on hold for us. We will look at our strategic priorities. As I said earlier, we are looking at M&A. We are looking at business development. And we hope that in this 6 to 9 months, we are able to make some more choices

around where we want to grow for fresh investment. At this point in time, it's on hold. Although

SeQuent Scientific Limited

May 16, 2024

Page 14 of 15

like we have said before, development part of it is largely complete and we hold the tech packs, et cetera, are all fully available with us to be able to expand.

Bharat Sheth: Okay. The last question for you. Understand, I mean, however, whatever project you have taken, I mean, for restructuring and for growing in a better way, is now all over. So any exceptional further do we expect like we had book accrual of women expert advisory fee for API given the manufacturing. So is there any kind of further any one-off thing do we expect or more mostly, it is over?

Rajaram: Well, there's no planned one-off as of now, yes. Because I think most restructuring is sort of the, is that right? Saurav, you want to?

Saurav Bhala: Yes. And just to add, Bharatji, we believe the expense part is already fully captured. The benefit would keep on accruing and keep on increasing. So that would be a positive surprise, hopefully.

Bharat Sheth: On the debt, sir, can you give some color last -- I mean, quarter we said that we mean update for a whole NTT as the one and we -- Central Bank also, we did some restructuring in the borrowing. So now how do we see that cost of borrowing going ahead?

Saurav Bhala: Borrowing, as I've already indicated in my earlier slide, we expect it to be at the level. But the debt-to-EBITDA level and other metrics will keep on improving with our EBITDA improving, is what we forecast as of now.

Bharat Sheth: And what is the cost of borrowing at the moment? And how do we see it going ahead?

Rajaram: Sorry?

Bharat Sheth: Cost of borrowing? So interest rate that we are exiting growing?

Saurav Bhala: Probably all those questions because -- can be taken offline also.

Moderator: We will take the last question from the line of Kaustav Bubna from BMSPL Capital. Please go

ahead.

Kaustav Bubna: So basically, I wanted to understand when you talk about mergers and acquisitions, you already have around INR400 crores, INR500 crores of debt on your balance sheet. So how do you look at this leverage angle when you consider mergers and acquisitions? Because our interest costs are pretty high. It's not really helping our profitability when we are making acquisitions because we're taking on debt to do this. So given where we are right now, how do you look at mergers and acquisitions?

Rajaram: So look, if there is an opportunity, I think we -- there are different ways of doing that. We would not lose out on a really good opportunity. We do have a very strong prime promoter with us, who is always encouraging us to look at any kind of growth. And therefore, there are different ways of doing it if we ever come to that stage.

I think -- but we are not averse to getting a strong business development opportunity which comes in. As I said very clearly, it will be

something very responsible and more importantly,

SeQuent Scientific Limited

May 16, 2024

Page 15 of 15

something which is accretive. And we are supported well in terms of our primary promoter on this.

Kaustav Bubna: So just last question on this. When you talk about double-digit growth aspirations over the last -- over the next three years, does that include are you factoring in acquisitions or acquisitions will be on top of that? Are you talking about organic double-digit growth from here? Or are you talking about...

Rajaram: Yes. We're only talking organic right now because -- Kaustav, because we don't have -- we don't have close visibility on the inorganic part of it. It's just that we continue to scan and we continue to look at accretive opportunities. But right now, everything that we've spoken about is, call it, purely on the organic front.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Rajaram: Thank you very much. Thank you for being on this call. It is, as I've said before and we've shared, a good quarter for us. It is encouraging the way our efforts are now playing out. We do hope to sustain going ahead. And our plans currently give us the confidence that the guidance that we have given, we will be able to hold on and deliver on that. Thank you very much for being on this call.

Moderator: On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office : 301, 3rd Floor, Dosti Pinnacle , Plot No. E7, Road No. 22, Wagle Industrial Estate , Thane (W), Mumbai - 400604, Maharashtra, India

Tel No.: +91-22-4111 -4777 | CIN: L99999MH1985PLC036685

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

National Stock Exchange of India Limited

Listing Department

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East),

Mumbai – 400 051 August 21, 2024

To,

BSE Limited

Corporate Relationship Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai – 400 001

Scrip cod

e: 512529 Symbol: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter ended June 30, 2024

Dear Sir / Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for the quarter ended June 30, 2024.

The same is also available on the Company's website at <https://www.sequent.in/pdf/financial/2024-2025/SeQuent-Earnings-Aug16-2024.pdf>

Kindly take the same on your record.

Yours faithfully,

For Sequent Scientific Limited

Phillip Trott

Company Secretary & Compliance Officer

Membership No. F-7403

Page 1 of 15

"Sequent Scientific Limited

Q1 FY '25 Earnings Conference Call "

August 16, 2024

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR –

SEQUENT SCIENTIFIC LIMITED

MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER –

SEQUENT SCIENTIFIC LIMITED

MR. ABHISHEK SINGHAL – HEAD OF INVESTOR

RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited

August 16, 2024

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to the SeQuent Scientific Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star,

then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.

Abhishek Singhal: A very good morning, and thank you for joining us today for SeQuent Scientific's earnings conference call for the first quarter and full year ended financial year 2025. Today, we will have with us Raja, SeQuent's Managing Director; and Saurav, CFO, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website, as well as stock exchange website. The transcript of this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Raja to make the opening comments.

Rajaram Narayanan: Thank you, Abhishek. Good morning, everyone. I'm Rajaram Narayanan, Managing Director of the company. A very warm welcome to everybody on the call for the quarter 1 FY '24/'25 results.

Joining me on this call is Mr. Saurav Bhala, our Chief Financial Officer.

This is the first quarter of a new financial year, and I am delighted to share that it has started well for the company. We continue to strengthen our performance and are on course to delivering our plans as per the guidance that we have shared with you over the last few calls. Our transformation program, which was rolled out late last year has continued to deliver. And all our businesses are becoming more competitive as a result of initiatives we have taken to deliver a better product mix, introduce new products, embed operational efficiencies and increase our investment on R&D and talent.

Coming to the performance of the quarter. In quarter 1 FY '25, our consolidated revenues came in at INR3,902 million during the quarter, which translates to a strong revenue growth of 17.1% when compared to the same quarter last year, that is Q1 FY '24. Sequentially as well, this represents a revenue growth of 8% compared to the previous quarter. This quarter -- this growth continues to be quality growth, which is seen in the margin and the EBITDA numbers.

During the last quarter, the company recorded an EBITDA pre-ESOP of INR483 million, which is the highest recorded quarterly EBITDA pre-ESOP in the last 3 years. This translates to an EBITDA pre-ESOP margin of 12.4%, which continues to show an increasing trend in line with our targets and guidance.

While Saurav will go into more details, I'll share some key highlights. The formulation business which accounts for 3/4 of our revenues and is spread over multiple geographies show a strong SeQuent Scientific Limited

August 16, 2024

Page 3 of 15

growth of 21.1% versus quarter 1 last year. Let me give you an overview of some of the reasons.

So there was strong growth in Europe, particularly in Benelux countries as there was increased demand due to outbreak of virus diseases.

Our teams are very agile. And with the help of our partners, we have managed to support the local government in making vaccines available. The continuing work on adoption of new treatments such as phytosolutions have helped volume g

rowth in home and export markets for our European companies.

Our strong presence at the front end in many of these markets helps us to build strong relationships with innovators for distributing select products. This is a stream of business development which we intend to pursue further. On the whole, the margin improvement initiatives in Europe around portfolio rationalization, pricing and new products that provide a strong momentum to the results.

Coming to emerging market. In Turkey, the government actions on inflation and currency have resulted in an improving climate for investments. This, in turn, has helped the environment in Turkey to move towards more predictability. Our business has taken judicious price increases while accelerating introduction of new products and extensions. And as we have indicated earlier, Turkey is emerging as a good base for exports. We have recently received the EU GMP certification for our manufacturing facility in Turkey.

We continue to accelerate exports to other emerging markets from Turkey, which, in turn, helps in heading on our foreign exchange requirements in addition to, of course, driving operational efficiencies. Turkey is one of the large markets for animal health, and we have a very strong presence in the market in Turkey. And the priority in the coming quarters, it should drive volume growth while maintaining a strong discipline in operations.

Our business in other emerging markets has been stable on the whole, BSM positive, and in some places, some challenges. Our formulations business in India is poised for growth. We have expanded our team as we have initiated earlier, and now the team is on ground, and this should begin to deliver results towards the second half of the year. India is a key market for

development, and we are pursuing this plan aggressively in terms of products on NAM presence as well as the R&D.

Now coming to the other large business, which is API, which accounts for 1/4 of our total revenues. The API revenues for the quarter grew at 14.4% in comparison to the same quarter last year. This is a strong performance coming on the back of a strong prior quarter. Our margin improvement plan has been rolled out well under the name project Pragati, to which I have alluded a few times. This is a comprehensive program across all work areas in API to deliver operational excellence.

Sales from regulated markets remain strong. We are also seeing some positive signs in the demand for anthelmintic drugs, which is an area where we have substantial experience and expertise. Importantly, we are preparing ourselves for the future. The Vizag API facility has received a positive review at the EIR, which is Establishment Inspection Report.

SeQuent Scientific Limited

August 16, 2024

Page 4 of 15

We've also received preliminary certification from new markets like Japan. And we are in the process of finalizing prequalification registrations for supply for WHO products. All of these further strengthen our preparedness for new opportunities. So overall, it has been a good start to the financial year. The animal health market remains attractive, driven by the increasing demand for protein, higher awareness of diseases and increasing pet ownership.

Of course, there are many challenges in the environment, geopolitical events, transformation and technology and the of course socioeconomic undercurrents. Our company has learned to be agile and responsive to the things that we can control. And I believe that this capability will serve us better and go for long.

I wish to, first of all, thank all our employees for their resilience and commitment to grow and deliver. Our employees, our business partners and investors have had a big role to play in this improving performance. We are now poised for accelerated growth while improving margins. The increasing interest in animal health across the world reaffirms our belief that the company

is operating in a growing market and is positioned for a larger play in the sector.

We will also continue to evaluate opportunities for strategic partnerships or inorganic actions, both in formulations and in APIs. We remain focused and confident that our actions and plans

will deliver consistent, profitable and sustainable growth in the coming years. I'll now hand over to Saurav, our CFO, who, with his team, has been at the forefront of the efforts that I've spoken about. Over to you, Saurav.

Saurav Bhala: Thank you, Raja. Good morning, everyone. It's my pleasure to be here today and share key insights into the financial performance of our company for Q1 '25. Our total revenue and EBITDA pre-ESOP, for the quarter, is INR3,902 million and INR483 million, respectively. Our

formulation business contributed INR3,002 million and API business contributed INR924

million. Our European operations have shown robust growth, largely pulled by new business opportunities and results of our portfolio restructuring over the past few quarters. Europe achieved revenue of INR1,571 million, reflecting a 34% year-on-year increase or growth. Emerging markets reported revenue of INR1,187 million, marking a 36% year-on-year growth in constant currency terms. This increase was driven by the decisive price actions estimated in Turkey. India formulation business clocked a revenue of INR244 million.

Moving on to margins. I'm pleased to share that our gross margins have improved by 3.60 percentage, rising from 41.5% in Q1 financial year '24 to 45.1% in Q1 financial year '25. This increase is attributed to several operational efficiency optimization areas as shown over last few quarters, such as optimizing the sales product mix, effectively applying price increases across geographies and improve operational efficiencies in our key business segments.

Happy to inform you that our target initiatives to optimize our cost structure and drive operating leverage have successfully led to a notable reduction in our operating expenses despite absorbing inflationary pressures across regions globally. We have managed to achieve a 1.1% reduction in our opex on a Y-o-Y basis. That is INR1,291 million in Q1 financial year '24, to INR1,276

million in Q1 financial year '25, reflecting our commitment to driving profitable growth with clear focus on operational excellence. The above merits have resulted in significant improvement in our EBITDA margins pre-ESOP. On a Y-o-Y basis, the increase is 9.60% from 2.8% in Q1 financial year '24 to 12.4% in Q1 financial year '25. And on a quarter-on-quarter basis, the increase is about 1% from 11.4% in Q4 financial year '24 to 12.4% in Q1 '25.

SeQuent Scientific Limited

August 16, 2024

Page 5 of 15

million in Q1 financial year '25, reflecting our commitment to driving profitable growth with clear focus on operational excellence.

The above merits have resulted in significant improvement in our EBITDA margins pre-ESOP.

On a Y-o-Y basis, the increase is 9.60% from 2.8% in Q1 financial year '24 to 12.4% in Q1 financial year '25. And on a quarter-on-quarter basis, the increase is about 1% from 11.4% in Q4 financial year '24 to 12.4% in Q1 '25.

We also successfully completed our term loan restructuring process, moving away from multi-geography multibank structure. This restructuring has resulted in simplifying our borrowing structure and covenant. It has also helped us in creating the additional lines available to support our business growth needs across geographies in the time to come.

I thank you all for your continued support. And now I'll request for the forum to be open for Q&A.

Abhishek Singhal: Steve, can we take the Q&A, please?

Moderator: Your first question is from the line of Jegadees Sharma, an individual investor.

Jegadees Sharma: Congratulations on an excellent set of numbers. I just have a few questions. First question is, could you just throw some light on the reasons behind the increase in EBITDA margin in this quarter? And what can we expect -- can we expect this to increase for the rest of the year? This is my first question.

Rajaram Narayanan: Can you -- do you have any more questions, Jegadees? We'll take them altogether. Anything else that you have?

Jegadees Sharma: Great, sir. Then my second question is what is the

reason behind the high growth in Europe?

And in which markets you are growing in Europe? This is my second question. And you were talking about the businesses in Turkey. So you have said the environment is more stable, right? So the performance is going to be sustainable? Or what is our long-term market strategy in Turkey? This is my third question.

Rajaram Narayanan: Okay. Thank you very much. I think this will help answer a lot of, probably, clarification on the things we have spoken. So first of all, on increasing EBITDA margin in the quarter. I think -- if you remember, we have already indicated last year that towards the end of FY '24, we would be moving to double-digit margins. So we had achieved 11-plus percent, even in quarter 4. So to that extent, a 12.4% margin is an increasing trend, and it is the benefit which is coming through from both some of the actions and of course, some of the growth that we are seeing in the market. So the EBITDA margin improvement is across all the sectors.

In the API business, we have seen, of course, the leverage play in because when you have sales which are higher, you do have that advantage coming in on account of your operational initiatives that you have taken. So the margin improvement initiatives in the API business, coupled with the top line which has come in and the product mix, that's one reason why we are

SeQuent Scientific Limited

August 16, 2024

Page 6 of 15

seeing it. As Saurav told you, the gross margins have been steadily moving up, and we have kept costs under control.

On the formulation side, EBITDA margin is largely driven by new markets. One is Turkey, where we have, of course, seen the currency a bit more stable, and therefore, price increases and volume increases are beginning to play out well. The second place where we have seen this growth is, of course, in Europe, where we had already begun to see, for the last couple of quarters, an improving margin trend. So some of that leverage has helped.

And of course, in this quarter, there has been accelerated demand on some animal health products, because there are -- animal health business is typically also driven by periodic outbreaks which happen in diseases, and these tend to vary year-to-year in terms of the intensity.

And this quarter, there have been a couple of viral diseases which have been more intense.

And therefore, we've had the opportunity to supply vaccines to some of the European markets, particularly in Belgium and Netherlands, which, of course, has allowed us to take some market share in those markets and gain some top line as well. And that's the other reason why we are seeing improved performance in Europe.

So there are a combination of these things, which has resulted in increased EBITDA margin.

But I think the way you've got to look at it is to look at it over a period of a year. And I think what we should stick by is that what we have indicated earlier, which is we will move towards ending the year more in mid-teens. And therefore, there will be some ups and downs, of course, of opportunity. But directionally, we will move towards a mid-teen margin by the end of the year. Yes. I hope that also takes care.

Yes, in terms of sustainability of performance in Turkey, at this point, of time, the government interventions over the last kind of couple of -- more than 2 quarters actually, has been consistent. Inflation is gradually coming down. Interest rates are going up, and there has been increase in the interest in -- for investment in Turkey.

And the policy is also more stable. And therefore, it allows a large company or a company with a big market share presence like us to take more predictable, stable actions in that market. So while things are substantially better than what they were a year ago, we have to still be very agile, and we are taking the right kind of actions on pricing and volume in that market.

Moderator: The next question is from the line of Vilina Jain , an Individual Investor .

Vilina Jain : Firstly, congratulations on a good set of numbers. I have a couple of questions. So I just wanted to understand a bit better, what is happening on the India formulation business, which is meant to be one of the growth focus areas. And you had mentioned earlier about some discontinued product. So have the supply started for the same? Secondly, there is a mention of vaccine business. Are we manufacturing vaccines? And thirdly, have you seen the full impact of all the costs and some of the initiatives will we see more during this year?

Rajaram Narayanan: Thank you, Vilina . So the first question on India formulations, as we have said before, India is an important market which we are doubling down on and -- for our formulations business. So

SeQuent Scientific Limited

August 16, 2024

Page 7 of 15

we have a reasonable strength, but I think there's an opportunity, which we find, to scale up here quickly. So the first thing we have done is to scale up our on -presence. So in -- towards the end of last quarter, we had begun an expansion on this field, and we have expanded our team by almost 40%, and we will follow this up with more expansions towards the end of this year.

So the India formulation business today, which is run at an annualized sales of around INR120 crores to INR140 crores, we expect that this should definitely accelerate in another 12 to 18 months. So the people are on ground. We have a very good portfolio, and now it's really about making it available to a larger number of veterinarians and farmers.

The third is, of course, to launch new products, which we have begun. We have the strength of being able to quickly import products which are manufactured by some of our overseas companies as well, which are appropriate for the market. So those select products, we have begun registering in India. So I think this will be a business that is long term, sustainable and has enough opportunities. Because in India, we are still really talking, at this point of time about the production animals and that's largely cattle for dairy.

But the Companion Animal segment is still to grow. It is nowhere near the size which is there in the comparable market. So that's another area which to grow that we now need to sort of build the foundation, and that's what we have started, at this point, of time. The question on the discontinued product. Yes, we are also distributors for one of the largest companies for a select range products.

And one of the large SKUs was not available for most of last year. We have confirmation that this will begin to come back into supply because their production facilities have had an issue, and we think that will come back before the end of the year. So what you're seeing right now is a bit of the base effect of having had it for a quarter and not having had all of it this quarter. But irrespective of that, we are focused on growing the rest of the portfolio. And when that comes in, that'll only add to it towards the end of the year.

Are we -- the question on vaccines, we're not in the manufacturing of vaccines. But because we have a very strong presence in market in the front end in many countries, we are looking at vaccines as being an interesting area to distribute. And there are many companies which have innovative vaccines, but they don't necessarily have the front end to be able to distribute these products.

And so the reference to vaccines, which you see in this quarter is the distribution that we have started for one of our partners who's a strong player in Europe. And we have, therefore, taken that to market in this quarter. And that's what we are seeing on vaccines right now. Sorry, what was your third question?

Whether all the costs have come into play, at this point, of time. I think this is the year where we will a

nnualize a lot of it because most of the activities in terms of cost initiatives are towards second half of next year -- of last year. So we should get annualization benefits. But having said that, we've already commenced version 2.0 of the program because this is a continuous journey.

SeQuent Scientific Limited

August 16, 2024

Page 8 of 15

So we have a next set of initiatives, which will again roll out, and we need to keep doing that every year to get the benefit. Yes. I hope that answers your question.

Vilina Jain : Yes, it does. Thank you.

Moderator: The next question is from the line of Chintan Chheda from Quest Investment Advisors.

Chintan Chheda: Sir, my first question is related to the formulations business. So can you give a split between the volume and price growth during the quarter? Secondly, we were expecting some kind of a 10%, 12% growth in FY '25 on our overall business. So with the strong start to the year, should we expect a better growth for the full year? And next is, we have seen a very high interest cost during this quarter. So is there any one -off? And what is the net debt as of 30th June?

Rajaram Narayanan: So I'll take the first 2 questions and ask Saurav to answer the -- next to the -- take third and fourth

on interest and net debt. So firstly, on the volume and price, it's a bit of a combination of different markets where it is on the formulation side. I would say that on the Turkey business, most of the growth would be entirely priced, but on the other hand, in the European business, we have probably about 3% to 4%, which would be on price, and the rest of it would be largely volume. Yes. So in an aggregate basis, I don't have the number off hand, but I mean, we look at it as market -by-market because the nature of our markets are such where we have strong sort of price increases on account of inflation and in other markets, we don't. So the general direction for that going ahead would be that we would expect a stable scenario of 3 sort of -- if you look at it top line, it should grow back at 10% to 12%. It should be 1/3.

About 1/3 on volume, about 1/3 on pricing and about 1/3 coming from new products and launches. That's a good sort of mix which we would expect for this kind of a business going ahead in the future. But given the inflation in Turkey, at this point of time, it'll start exactly playing out in that way, but that would be over soon.

The second question you have is on, we had given a volume, a top -line growth of 10% to 12% for full year. Yes, we have started well at 21.1%. But I think that I would not want to sort of say that this immediately would translate into a higher than 10% to 12% growth at this point, a bit early. Let's watch for another quarter or so because some of it is also because of the base that we had at quarter 1 last year. But I think directionally, all that I can say is that we are on course to deliver what we have guided, which is a top line of low double digits and maintained EBITDA exit for this year.

Yes. I think Saurav, on interest and net debt, if you have.

Saurav Bhala: So debt level, more or less, remains same as March, slight increase of INR10 crores or INR11 crores. The cost has gone up because I explained in the last call and during this call also, we have undertaken a large term loan restructuring process. By simplifying the structure, wherein earlier, we had multiple banks in multiple geographies lending at various covenants and managing that was a challenge.

SeQuent Scientific Limited

August 16, 2024

Page 9 of 15

Now the current structure is one bank serving all our requirements across the globe. Also we expect next couple of years of requirement. And we have also created the additional lines in case we see the need for future business support. So interest has slightly gone up because of that. And this is a short -term phenomenon. I think the interest

rate increase, which you have seen will

remain so of that amount will remain for this next few quarters, and then it will start going down.

Rajaram Narayanan: On net debt. Net debt, yes.

Saurav Bhala: Net debt has gone down by about INR12 crores because our cash flow from operations had been pretty strong in this quarter. Because Q4 was strong, this quarter is strong so cash flow remains to be fairly strong.

Rajaram Narayanan: And directionally, I think also...

Saurav Bhala: Yes. Net debt should be lower.

Chintan Chheda: Okay, great sir. Thanks a lot and all the best.

Moderator: The next question is from the line of V.P. Rajesh from Banyan Capital.

V.P. Rajesh: Congratulations on delivering on the project that you had described a few quarters ago. So really happy having to see that net debt. Five questions. Just a quick follow -up on the interest rates. So if you're consolidating, you would expect the interest rate will come down. And then the second related question is, is it a floating debt? Or is it a fixed interest cost debt? So that is the first one. Second, on the capex side, if you can give an update as to what we are going to be spending this year. And third, on the M&A side, we have been thinking about recent acquisitions and talked about it in the previous calls. So any update on that? And last 2 questions are first, on the business side. Right now we are 75% formulations. So once you actually get to a steady state, what kind of contribution you are looking between formulations and API? And lastly, on the margins for both of those.

Saurav Bhala: Sure. Thanks for the question, Rajesh. I'll take first and then I'll ask Raja to address the next two.

On the interest rate, it is not a fixed rate. It is a floating rate. So as soon as the interest rates start going down, you will see a decrease in the rate of interest applicable to our loans. And on the amount also, interest amount, we don't see any substantial increase on or borrowing. So that's why in my earlier statement, I said the interest rates would be more or less similar to what you are thinking in this quarter for short period, for this year, and then it will start going down.

Second, on the capex. We have done most part of our investments in the last few years where we have created the base which will support our business operations growth as required for the next few years. Having said that, there are various opportunities which we are seeing in our global formulation. So the capex for the current year is going to be subdued, but it's supposed to be around INR50 crores to INR60 crores for the current financial year across the board. Raja, your take on M&A?

Rajaram Narayanan: Yes. So I'll take your other 3 questions, Rajesh, thank you. For the first on M&A, I think we have always been on the lookout, but in the last -- in fact, just about 18 months ago, we were pretty close to completing a transaction which was there and then we could not take it further, which we spoke about in our earlier call. But we are very serious about looking at opportunities to grow inorganically, provided, of course, there is a strategic fit, and more importantly, it's a disciplined acquisition in terms of what we can do.

We look both for -- on the formulation side, we would be focusing on opportunities which may be there on companion animals largely. The kind of transactions, which are, right now, possible on the formulation side, would not be full-fledged companies, but it could be assets which are around brands, which could be around licensing, things of that -- sort of that's where we are right now. As you can see, we are investing heavily into BD partnerships because of the kind of market access that we have in many places with our existing portfolio. So it could be bolt-on brands and partnerships. That's one kind of M&A;

on the API side, we are looking at.

On the API side, our primary interest would be if there is anything which helps us strengthen or shorten the time-to-market in terms of R&D or give us advantages in terms of scale and intermediates or any other kind of in-house -- in-housing of operations, which makes us more profitable in companion, yes. So we are constantly on the lookout. We feel that after the last 12 months of fixing some of the things which are in-house, we are at a stage where we should be ready to take those on.

On the shape of the business, 75-25 on formulation, API. I really don't think we have -- it's more an outcome of how different times, different businesses grow. We used to be -- I think we've also been 65-35 at some point of time. We have become 75-25 now. But my sense is you should expect that the business -- the formulation business will be anywhere between 70% to 75% and the rest of it would be API, depending on which quarter it is and how -- because there's also seasonality in these businesses, which is there. But what is good is that growth of the business have started to stabilize and grow.

We expect, from the margins on these, we really don't look at the individual segment margins. We don't disclose them, but I think both of them are consistently growing. And there isn't too much of a difference between the 2 versus the average margin of the company right now. So they're both a little bit above and a little bit below the average gross margin of the company.

Moderator: The next question is from the line of Bhavesh Gandhi from Yes Securities.

Bhavesh Gandhi: Yes. So one question on my side is when we are calling out a mid-teens margin journey by end of the current year, what sort of revenue expansion is this implicit in -- when we are falling out this sort of a margin number? So that's one question. And other one which I had, on the quarter 1, revenue growth in formulations especially, since we had called out and rationalized a lot of portfolio on the formulation side through last year and we got a strong growth number this year, so does that mean that all the excess growth is attributed only to the disease outbreak? And the underlying growth is still whatever you're expecting, around 8%, 10% on the formulation side?

Those are 2 from my side.

Rajaram Narayanan: Thanks, Bhavesh. So first, we've been indicating a little bit more of a 2- to 3-year journey. And I think on a 2- to 3-year basis, what we've indicated is that in FY '24, we would close that double-digit margin. In FY '25, we should be around mid-teens. And thereafter, our target is, very quickly, high teens margin, right? So that's really what we have indicated in terms of EBITDA margin, and we have said that over a 3-year period, we expect the top line to be in the early double digit growth.

So I think on a 2 to 3 year basis, that's basically what we should be and this year could play out on that average right now. I know we started well in the quarter and I'm hoping that we'll be able to take advantage of the momentum and go ahead, but these are also -- there is something that, I think, in these businesses, it's also -- some of it has got to do with the basis of the same quarter last year, etc.

But we would be confident to say that early double-digit top line and a mid-teens margin by the end of the year is what should be expected for this year, if not better. And the rest, for going ahead, we've already given an indication. So at this point of time, the plans are going in that direction. On the other part of it, on formulations, on base growth versus the thing, look, the base growth is very clearly an important driver.

And in every formulations business, there are 2 kinds of base growth related. One is after discarding the portfolio, so I think on a continuing portfolio of last year versus this

year, the

volume growth would continue to be, I would imagine, between 5% to 7% on most of these markets. Then there is some pricing growth. And of course, we have got some spike for this particular quarter, which has come with some additional sales, which we have done on account of being available in that thing.

I think it's very important to understand this area of disease because it is not that the disease outbreak does not happen every year. It happens every year. The intensity of it varies. Sometimes it works for a particular product we have. Sometimes it works for a particular product we don't have. Second, there are other companies which serve this opportunity. And what has happened for us is that we have entered this segment now, this segment of vaccines.

So the opportunity we had not got it would have been by somebody else, and this has therefore also given us a chance to start pretty much a new line of activity, which is to be distributing vaccines. And right now, it is one vaccine, and we expect to hopefully add some more for other innovators as we go along in the next 12 to 24 months.

So yes, there is some spike over this thing. But that's how the animal has portfolio or in fact, any of the disease-related therapies play out. There will be spikes and there will be downs at different times. But on a full year basis, I think it would continue to hold to the guidance that we have given.

Bhavesh Gandhi: Okay. That was helpful. And with your permission, I had one more. So on the India business, I don't know if you called out when can you expect the Zoetis product solution to be back. So I think in the previous call, we outlined it to be online by July/August, so anything -- any update on that front?

SeQuent Scientific Limited

August 16, 2024

Page 12 of 15

Rajaram Narayanan: Yes. So first of all, we are distributing for Zoetis, a range, and it is just that one of the products which was, of course, reasonably large and that portfolio was the one which was not available. We expect it on the second half of the year to come back. I had indicated August. It could spill into the second half of the year.

Moderator: The next question is from the line of Bharat Sheth from Quest Investments.

Bharat Sheth: Let us go back earlier over the 3 years successful journey on relative 2, which is, I mean, clocking sales now into mid-teens kind of top line growth and high teens kind of EBITDA margin. So just to understand you a little bit and what will be the growth profile also end of the third year?

So first, to understand this a little bit, what would be the debt profile also end of the third year?

Sir, would it be -- if you can give a little more color to how this is going to play out, like, early manufacturing days, distribution base as well as new vaccine and animal contribution to the top line and product portfolio and geography expense and any kind of strategy, if you can give a little more color? And last, so far, Turkey has been stable, but what are our internal initiatives to lock it and remain on the stable place?

Rajaram Narayanan: So thank you, sir, for this. I'll -- probably because there is clearly a long-term strategy and maybe I'd be happy to have a one-on-one discussion with you sometime when you can call in and we can explain a bit more on beyond the call on how it would play out over 3 years, although in different pockets, we have done that.

Now as far as the business is concerned, I think the first phase, which was making sure that we have got a margin structure which is competitive, I think we had started that journey. This is a treadmill. We can't sort of ever say that we have completed it. So we started a journey. We will be on it. On the second part of it, which is on beginning to drive top line, we have started that now in Europe and in Turkey and in India.

So how does this play out? As we have said that there are a couple

of growth areas for us. One

is in terms of more products in the companion animal side, whether it's APIs or whether it is in the area of formulations. That is not yet fully developed. It is less than 5% of our business at this point of time. And we would like that to grow substantially to at least, as I have indicated in the past, coming to 15% over a 3- to 5-year period, right? So that's what we really want to take it to. The second part of it is in terms of which businesses will grow. Well, I think both the businesses have an opportunity to grow in early double digits. But among the 2, it will really depend on where we make some inorganic moves. And whichever kind of licensing or acquisition comes faster, I mean that particular business will probably accelerate a bit more than the others.

The third part of it, as far as Turkey is concerned, I think it will be premature to say that everything is behind us. But what I must say is that we have taken actions which are appropriate for that kind of an environment, which is relatively high, which is high inflation, unpredictable in terms of currency. And those actions which we took almost 1 year ago has begun to help us when the economy has started stabilizing.

SeQuent Scientific Limited

August 16, 2024

Page 13 of 15

Unlike some other companies which opted to completely scale back and either exit, because we are there, we have improved our market share. And as the market is stabilizing, I think we will continue to gain market share. Having said that, it is not a steady market yet. But it's a high opportunity market. It is amongst the largest in the world, and we are also very strong over there. So we have to learn to create, in a n agile manner, in that market.

So I think it's going to be us being more responsive to that. So far, it has been good for us. We hope that we will continue to maintain this going ahead. But this is something that we will monitor quarter -to-quarter going ahead yes. On the last part of it , which is really on the long - term debt situation, while you get sort of the chance to get specific numbers if we have, but directionally, we don't think this should be an issue for us in the next 2 to 3 years, yes?

Saurav Bhala: Yes. So Mr. Bharat giving specific numbers is difficult. But as Raja said and as I also mentioned, we are at the highest level. And going forward, we see, as the business grows really, really well and operating cost flow increases, our debt should keep on going on steadily. Next 3 years, depending on how the business performs, our understanding is that debt would be substantially lower and the interest cost would be very negligible as compared to where we are. That's what we can share at this point.

Rajaram Narayanan: Yes. Thank you, sir. But as I said, more on the strategic part, I think on 3 to 5 years. We can always have a discussion on that one on one and anyone wants to do that. Yes. Last question, if we can just go on before we close.

Moderator: The last question is from the line of Sachin Kasera from Svan Investment Managers.

Sachin Kasera: Congrats on a good set of numbers. I had first 2 questions on the business side. On Turkey, you mentioned about certain export opportunities. So if you could dwell up on that as to what type of export opportunities are there from Turkey that can be meaning ful over a short to medium term? And secondly, if you could talk a bit about your U.S. business strategy?

Rajaram Narayanan: Sorry, what's the second question?

Sachin Kasera: On the U.S. business strategy.

Rajaram Narayanan: Oh okay. So let me answer the second question quickly. After we have closed our German operations and which was around 18 months ago, which was meant to be developed eventually as a U.S. FDA plan. I think we have, at this point of time, put that project on hold, as I said in the last quarter as well. We do have an opportunity in terms of

having exis ting completion of
dossiers, et c.

As well as having identified CMOs for that, but it is, for us, a lower priority at this point of time as we are growing in some of the other markets that we are. The -- and therefore, I think from a short -term point of view, which I would say is the next 12 to 24 months, it's unlikely that we will do any kind of acceleration on the U.S. project.

On the first part of it, on Turkey, as far as exports are concerned, Turkey is an important location and base for exports to Middle East, North Africa. And we are seeing the exports of that business

SeQuent Scientific Limited

August 16, 202 4

Page 14 of 15

grow out and grow every year. It serves us 2 purpose: Of course, commercially, it is an attractive business; but also, it helps us hedge any foreign exchange requirements that the Turkish bu siness has for its own imports.

So we are seeing that business grew, right now, quite substantially. In fact, in first quarter, I think we have almost doubled the business versus the same time last quarter. I've indicated in the past broadly that we, today, export about 50% of what we import equivalent value, and that is something we intend to neutralize and make our exports equal to impor ts in the next 12 to 18 months.

And that would of course, hedge us naturally from any kind of foreign exchange exposure, but also, it's a useful market opportunity for us. The other positive news for us because of the efforts from the Turkish business is that our plant is now certified EU GMP, which means it's end - supply from our Turkish facility to the European Union as well.

And that's an opportunity which has opened up. Because in the past, we had a plant in Germany, which closed down which used to supply from these products to other countries in Europe by -- because Turkey has now got certified for European supply, we would be in a position to reactivate some of the discontinued business from Germany and launch it or reintroduce it from Turkey. It will take us 6 to 12 months to do that, but that's very clearly a big positive upside for us after 12 months.

Sachin Kasera: I had a couple of questions, a follow -up on finance and one on M&A strategy. You have mentioned about the fact that we are looking at opportunities in terms of acquisitions and M&A, but consider that our bench is a little bit leveraged right now, so is tha t something we'll do maybe sometime later? Or in that synergy, we may look at some sort of equity fund raise to be able to manage that? And a couple of questions on the finance is that we used to operate at 80, 90 days

of working capital? We are now at 110 to 120 range. So can we go back to those old days that used to have 3, 4 years back? Or it's now 115, 120 a new norm for us?

Rajaram Narayanan: So I'll answer the first one on the ability to make the M&A effective. But clearly, we are not going to be undisciplined. Our balance sheet does not allow us to do anything which is of a large scale. Having said that, we have a very committed investor with us and our -- and there is nothing that's prevent us from taking any advantage of any opportunity which comes through a different model, yes. So our principal promoter continues to be very supportive.

And if there is any opportunity which comes, I don't think finance will be a challenge for us. It may not be something that, on the first instance, we may do ourselves. But for small bolt-ons, which are required in terms of partnerships, et c. Which are not too expensive, I think we'll be able to do that. But even large transactions, there are different structures which we're available to do without it necessarily being funded from our balance sheet right now. On the second part on working capital, I think Saurav.

Saurav Bhala: Yes, I'll take that. So on working capital, you are actually seeing there is increase, but that increase has to be taken in co

ntext of our geographical spread across the group. And because of the geographical situation in the last few years, where we see various diseases, you do non -
SeQuent Scientific Limited

August 16, 2024

Page 15 of 15

availability of containers, delays and dispatches, delays in transit time, all has impact on the working capital.

Our focus on the working capital remains very, very strong. And we are trying to optimize all the ways possible geography-wise. But the situation may not improve very, very soon. And we must resume the working capital to be range bound. I'm going down gradually as the situation improves or eases. That's how we are looking at the situation as of now.

Rajaram Narayanan: Okay. I think -- thank you very much. I think it's come to the end of the call. So I just want to thank everybody who is on the call for joining us, and thank you for supporting us through this entire period. I look forward to seeing you in the call, the next quarter earnings call, yes. I wish you a good day. Thank you very much.

Saurav Bhala: Thank you. Thanks for your support.

Moderator: On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2024

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office : 301, 3rd Floor, Dosti Pinnacle , Plot No. E7, Road No. 22, Wagle Industrial Estate , Thane (W), Mumbai - 400604, Maharashtra, India

Tel No.: +91-22-4111 -4777 | CIN: L99999MH1985PLC036685

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

National Stock Exchange of India Limited

Listing Department

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East),

Mumbai – 400 051 October 04, 2024

To,

BSE Limited

Corporate Relationship Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai – 400 001

Scrip code: 51

2529 Symbol: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for proposed strategic merger with Viyash Lifesciences

Dear Sir/ Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the conference call transcript held on Tuesday, October 1, 2024, The Company officials discussed the proposed strategic merger with Viyash Lifesciences

The same is also available on the Company's website at <https://www.sequent.in/pdf/Arrangement/SequentScientificLtd-Oct01-2024.pdf>

Kindly take the same on your record.

Yours faithfully,

For Sequent Scientific Limited

Phillip Trott

Company Secretary & Compliance Officer

Membership No. F-7403

Page 1 of 14

"SeQuent Scientific Limited

Transaction Update Conference Call "

October 01, 2024

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR – SEQUENT SCIENTIFIC LIMITED

DR. HARI BABU BODEPUDI – CO-FOUNDER , DIRECTOR AND CHIEF EXECUTIVE OFFICER – VIYASH LIFE SCIENCES

MR. RAMAKANT SINGANI – CHIEF FINANCIAL OFFICER – VIYASH LIFE SCIENCES

MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER – SEQUENT SCIENTIFIC LIMITED

MR. ABHISHEK SINGHAL – HEAD OF INVESTOR RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited

October 01, 2024

Page 2 of 14

Moderator: Ladies and gentlemen, good day and welcome to the SeQuent Scientific Limited Transaction Update Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note th at this conference is being recorded.

I now hand the conference over to Mr. Abhishek Singhal. Thank you and over to you, sir.

Abhishek Singhal: Thanks, Sagar. A very good evening and thank you for joining us today for the SeQuent and Viyash Merger Transaction Update Conference Call . Today we have with us Mr. Rajaram, SeQuent Managing Director and CEO and Dr. Hari Babu, Co-Founder, Chairman and CEO of Viyash Life Sciences. The transcript for this call will be available in a week's time on the company's website. Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risk pertaining to the business. We request you to kindly restrict the discussion for this call to the transaction announced.

After the end of this call, in case if you have any further questions, please feel free to reach out to the Investor Relations team. I now hand over the call to Mr. Rajaram to make the opening comments.

Rajaram Narayanan: Thank you, Abhishek. Good evening, everyone. Today we have the opportunity to throw more light on the announcement which was made on the 27th of September regarding the proposed merger between SeQuent Scientific Limited and Viyash Life Sciences Limited. I'm really delighted that Dr. Hari Babu, the Co -Found er, Chairman and CEO of Viyash Life Sciences, is here on the call with me today.

Dr. Hari Babu is well known in the industry for his experience and expertise in the area of pharmaceuticals globally. Over the last 35 years, he's been a Scientist, a Technologist, Global CXO, and an Entrepreneur . I'm also joined by Saurav Bhala, CFO of SeQuent , and Mr. Ramakant Singani , CFO of Viyash . This is a significant step in the journey of the company as we move forward on our SeQuent 3.0 plan to secure a leadership position in animal health with end-to-end capabilities. The proposed merger will create a unique and differentiated platform to serve global markets and pharmaceutical clients.

The combined entity will have access to over 150 countries with a strong R&D, IP, and product development capabilities apart from state-of -the-art manufacturing facilities. The combined

entity will have 5 x higher R&D talent pool and 9 x more in terms of USFDA -approved manufacturing facilities, which will form a strong operating backbone to serve our customers better.

The entity will also have a more robust financial profile as reflected in its margin and balance sheet. The merger will be accretive to SeQuent in revenue growth and margin in the very first year itself and de-leverage the balance sheet. The transaction would be at a valuation that is at a significant discount, in fact 44% discount to the current trading multiples of SeQuent , and we believe that it will be value accretive for SeQuent shareholders.

SeQuent Scientific Limited

October 01, 2024

Page 3 of 14

The process we have followed to arrive at this announcement as well as the swap ratio has adhered to the highest standards of governance. Throughout the process, we have worked with highly reputed leading advisors and valuation agencies. The proposed merger is subject to receipt of customary, statutory, and regulatory approvals, including from shareholders, Stock Exchanges , NCLT competition commission, etcetera. Upon the scheme becoming effective, all shareholders of Viyash will be issued shares of SeQuent in the ratio of 56 shares of SeQuent

for every 100 shares of Viyash. The new shares of

SeQuent so issued will be traded at the National Stock Exchange and the Bombay Stock Exchange. I will now request Dr. Hari Babu to introduce himself and talk to us about the Viyash business and its outlook. Over to you, Dr. Hari.

Hari Babu Bodepudi: Thanks , Rajaram and good evening, everyone. So, my name is Dr. Hari Babu of course industry known as Mylan Hari Babu. So, I have been with industry almost last 30 years, of course, after completing my PhD in Organic Chemistry started in API R&D then I handled various functions Quality Regulatory and joined in Matrix in early 2000 and grew naturally with the company. Almost 20 -25 years with Matrix Mylan together. Started actually as a Head of take -ups and Head of Quality , then India's Chief Operating Officer , CEO.

So finally ended up as a Global Chief Operating Officer for Mylan, so there I have seen actually beginning of the Matrix, there was a small company to the big global company actually, where I handled almost 25,000 people. So, a lot of excitement, I did a great job.

Then after that, I decided to quit Mylan. Then started Viyash sometime in 2019. So before starting, I debated myself, I actually debated with a couple of people. What should we do? How can we strategize differently? Since this market is so crowded, if you do the same as what others are doing, how can you differentiate? How can you grow the company? So, we had actually a lot of debates and had a thought process to start these things. The intention of building the right quality company.

So, the intention of building this company was, day one thesis was, build the right company with

small company execution capability, with big companies, regulatory, quality, R&D, IP capability. That's how we thought we can differentiate the company. So, in that process, we acquired a couple of companies. One started with an internet company, then a few API manufacturing facilities. Then we partnered with Carlyle. The reason was with Carlyle partnering was actually to build a big platform.

Today's scenario, unless you have a scale, it's very difficult to grow. And also face all adventures in between. Unless we have scale and financial strength, it's very difficult to do that. That's how we worked together. We partnered, then we acquired a couple of other companies like Symed. That was one of the biggest acquisitions.

Then one of the formulation company. All put together, we thought actually we can build the right integrated pharmaceutical company. That's the thesis initially. Then first one, two years, this all was done in 2021. We completed all these activities by the end of 2021. And first year, two years, we spent a lot of time to understand these companies because they're different entities, SeQuent Scientific Limited

October 01, 2024

Page 4 of 14

different styles of working. We thought let's first understand and address whatever are the things required to build the right company. That's how we took almost two years to reassess, to rebuild the company. That's how we rebuilt our entire team, our senior management team. Entire team is new. I picked up personally from various industries. All pretty actually very well experienced guys in big pharma.

We started building the team. Then we built R&D capabilities. Then most important to grow and differentiate all quality and DHS, R&D are very essential to differentiate and grow. That's how we spent a lot of time, a lot of resources for two years to rebuild these entities. A couple of divestments also done part of optimization.

Then finally, we ended up having nine high quality USFDA approved facilities. All if you see, every facility is USFDA approved. That's a minimum thing. Of course, majority of API factories are approved by all of the regulatory agencies. So, with that, I feel probably actually we have a strong platform

form build with respect to team, with respect to culture, with respect to R&D, our quality.

It's a fantastic job was done by team first two years and built a right base at 2024. I feel actually starting point for us 2024 is the right base to grow. That's how we started growing from '24. You can see the numbers, how we have grown. We have a fantastic opportunity to grow further. We still learned a couple of things, whatever we acquired, integrate business, we don't say somewhere, wherever is a long-term opportunity, we try to build the business with high-end markets like innovators, backward integration, or actually a little more advanced intermix for the new products.

Then API, we stepped up a lot. API, we started growing very well last two years. So, API is the biggest vertical for us today. Formulation also, we started growing, of course, in between there were advanced, actually now we started rebuilding that. With these three companies, we were able to do many things. One is wherever we are strong on the Internet, we are able to do forward integration. Wherever we are strong in API, where it requires either forward integration to pre-stores or backward integration to Internet, all was initiated. A couple of things are done already or in the process of doing. All these things work pretty well. Today, we have a strong base. We have a great customer base. If you see our presentation, we sell almost 150 countries.

All kinds of countries, we do that, whether it is highly regulated, developed countries, or even the very low-end countries, but we are able to compete in every market. The regulated markets

we are able to compete with respect to IP or R&D skill set. At the same time, with the small markets, \$100 markets, we are able to compete with our cost efficiencies.

It started growing, 150 countries, a lot of products. You can see almost 60-plus products are commercial products, and at least I can say 5 to 10 products we are the market leader. We have good market share globally, and it's very sustainable. It's not a one-year market leader. It's demonstrated a couple of years actually showing growth and sustainability on that.

SeQuent Scientific Limited

October 01, 2024

Page 5 of 14

We have a strong product mix with large volume or mid-volume or technology-driven, all kinds of things. We have good product mix, commercial 60-70 products, and of course another 30-40 products intermediate, and pre-stores, we have about 30 NDAs, so all kinds of products. R&D, you know, you must have seen that 200 resources in R&D with high-end analytical capabilities is able to do 10-12 products in a year.

It's a fantastic journey so far, but I see even better journey near future, and I strongly believe coming together with SeQuent, we have a lot of synergies on various things like business

development, expanding market, or utilizing better whatever we have capabilities like R&D or manufacturing. That, I think, is going to give a lot of synergies together, and I think I am very excited to work together. I see it's a big growth opportunities for company, and of course, end of the day, it gives value to the investors and shareholders.

With that, thank you so much, Rajaram, to give this opportunity.

Rajaram Narayanan: Thank you, Dr. Hari. It's indeed a pleasure to have you here and have this conversation. I will now invite Saurav Bhala, CFO, to share the details of the proposed transaction. Saurav?

Saurav Bhala: Thank you, Raja, and Dr. Hari. Let me run through the deal structure and the merger ratio. You would be happy to note we have done a very extensive due diligence and valuation exercise, taking help of leading firms and investing class experts in domestic M&A as follows.

Our deal advisors are J M Financials. Commercial diligence has been done by Bain & Company, Financial and tax diligence has been done by KPMG, Legal

diligence and advisors are AZB &

Partners. Valuation jointly done by KPMG on behalf of Sequent and PwC on behalf of Viyash.

Fairness opinion has been provided by ICICI Securities.

Based on the recommendations of Valuers and Fairness Opinion Providers and also an independent review by our Board, the approved merger ratio as sanctioned by the Board is all the shareholders of Viyash will be issued shares of Sequent in the ratio of 56 shares of Sequent for every 100 shares of Viyash based on the approved swap ratio.

We believe this merger is structured to deliver stronger combined growth and deliver long-term value to all the stakeholders. The benefit would start flowing from year one and will keep on improving over the years with the various energy effects coming into place.

The merger is anticipated to conclude over next 12 to 15 months, subject to the various regulatory and other approvals required. In the indicated timeline, we would require key approvals from Stocks Exchanges, Stock Credit, our esteemed shareholders like you, NCLT, CCI and others. I would now request Abhishek to initiate the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Amresh Kumar from Geosphere Capital. Please go ahead.

Sequent Scientific Limited

October 01, 2024

Page 6 of 14

Amresh Kumar: Hi, sir. Thank you so much for the opportunity and congratulations on this transaction. Sir, I just wanted you to elaborate a little bit more on the synergistic part of the deal. How we are going to help Sequent and vice versa. Given that what I understand is we are since largely a human API company, and we are an animal health company. So how are we going to help each other going forward? So that would be my first question, sir.

Rajaram Narayanan: Do you have more questions, Amresh? You can put all of them together.

Amresh Kumar: And the second question is what will be the role of our promoter going forward after this transaction is over?

Rajaram Narayanan: Sorry, just repeat the second one. What would be the ...

Amresh Kumar: Role of our promoter or the Carlyle after this transaction is over?

Rajaram Narayanan: Okay. And so, you have two questions, right?

Amresh Kumar: Yes.

Rajaram Narayanan: Okay. Thank you very much, Amresh. I'll answer this and I will also then invite Dr. Hari Babu if he has any comments. So, I think the first thing is that if you really look at the way we need to look at Sequent growth in the next 5 to 10 years, there are clearly a couple of shifts happening in the market. I think the first is that in the animal health space, there has been an increasing move from the growth of the livestock business and it's now moving more and more towards the growth of companion animal business, which is really the pet care piece of it. Some years ago, 40% of the developed market used to be in pet care.

Today, it's well over 50%. And therefore, as the market for companion animal treatments keeps growing faster than what it is for farm animals, we also are looking at what do we need to do to build the necessary capabilities that are required to win in such a market. And it is a fact that the product treatments, etcetera, which are required for companion animals increasingly are converging and are becoming closer to the kind of capabilities which are required from human pharma.

And so clearly, we need capabilities in R&D, chemistry, manufacturing, which at this point of time are not there within Sequent adequately. So that's really the first piece where we've been looking for an opportunity to find a partner for this. The second part of it is that even in the farm animal space, increasingly there is a lot more stringent demand in terms of requirements from regulators, but also that you need far more competitiveness in terms of cost of supply.

And

for Sequent, it was important to build capabilities where we could be more competitive on costs by in-housing as many of our intermediates and early stage requirements. So, when we

looked at this, clearly we see a synergy with a company like Vi yash because Vi yash is a company which has a very, very differentiated play in the pharma market. It has a huge amount of capabilities in R&D.

SeQuent Scientific Limited

October 01, 2024

Page 7 of 14

It has a track record of launching innovative products, working with some of the best companies in the world, and at the same time also having a large manufacturing base with USFDA facilities. So clearly that's something which comes in very useful for SeQuent ambition. And on a standalone basis also, Vi yash is a fast -growing company of equal size as SeQuent , and which has established itself in a niche and differentiated way in the overall human pharma market. The last piece of it, of course, is that financially also it is a very accretive deal because if you really look at this margin in every respect, it is accretive on revenue. It's accretive on margin. It deleverages our balance sheets. And at the same time, we've also completed the share swap in a very comparable discount because it is significantly discounted to the current trading multiples. I think it's about 44% discount to the current multiples of SeQuent . So even for all our shareholders, it is a very value -accretive transaction which is being proposed. So, I think when you put all of this together, there are clearly big advantages for SeQuent . And of course, there are also significant benefits for Viyash as a company. I'll probably ask Dr. Hari to elaborate a bit on what is it for Viyash in this .

Hari Babu Bodepudi: I think Raja Ram addressed most of the part. I'll just add a little bit to that. As I mentioned in my introduction, after doing a lot of hard work and research to optimize Vi yash, we built a fantastic platform and started growing from 2024. You can see that 2024 to 2025. It was strong R&D capability, manufacturing network and manufacturing facilities that they approved and all other approved things. And we see that growth continues strongly from 2024.

It will continue, whatever you can see, from 2024 to Q1 FY 25. So that growth will continue definitely next three to five end of things . Of course, we are continuously adding the products of tech -led platforms. Coming to the synergies, as Raja Ram indicated, there are several synergies to SeQuent . The biggest thing was R&D support from Vi yash, manufacturing network to SeQuent where we can add a lot of value for backward integration capabilities. And when it comes to Vi yash synergies, whatever customer base SeQuent is having today, most of the day business goes to innovative business.

That relationship can add value to Vi yash. That's how we see the big synergies. In addition to the management teams, of course, support each other. There's a lot of synergies. Other than general synergies like material procurement and manufacturing scale utilization or optimization, all these are actually synergies. Other than that, there's a big synergy that comes from the business perspective, customer relationship for both the companies.

We do a few products with a few innovators whereas SeQuent do a few other innovators. And our large focus is going to be on that business. We see good synergies, at least mid-term to long -term perspective.

Rajaram Narayanan: Thank you, Dr. Hari . So, I'll come to the second question, which is the role of the promoters, which is Carlyle. So yes, I mean, Carlyle are the promoters in both these companies. And I think the fact that they have supported this proposed transaction at the Board level indicates, of course, their long -term commitment for both the companies to grow the business when they come together.

SeQuent Scientific

Limited

October 01, 2024

Page 8 of 14

And I think the nature of the terms of the transaction also reconfirm that there's a lot of value which gets created to all our shareholders on this. Yes. Maybe we go to the next question. Is that fine, Amresh?

Amresh Kumar: Yes, that's very pretty clear. Thank you so much.

Moderator: The next question is from the line of Ratika, who's an individual investor. Please go ahead.

Ratika: Thank you for the opportunity. I had a question around the outlook of the capacity and capex requirements for Viyash . And are all the plans utilized? And also, what about SeQuent, if you can highlight the capacity utilization and SeQuent as well.

Hari Babu Bodepudi: Viyash's current capacity utilization is close to 70%. And we don't see any additional capex requirement for the near future. Of course, a little bit is required for optimizing the capacities to suit for new products. But we don't expect big cap ex near future to manage Viyash . Of course, when you combine these companies, when you start working together, if there is additional requirement requires for SeQuent , we need to work out. But at this point, we don't see any much capex requirement for the next, I can say, two years at least.

Rajaram Narayanan: Thank you. I think that Dr. Harish answered on behalf of SeQuent as well. That's the situation

on SeQuent . Do you have any other questions, Ratika?

Ritika: Thank you.

Moderator: Thank you. The next question is from the line of Nikhil Shetty from Nuvama Wealth . Please go ahead.

Nikhil Shetty: Yes, thanks for the opportunity and congrats for this merger. So, prima facie, this looks interesting. But I have a few questions. So, what is the synergy benefit in terms of cost? So, I can understand some of the raw material which we are procuring from others , probably we will procure from the emerging entity. So, what kind of cost benefit can we see in terms of the EBITDA?

And my second question is on the amortization part. We have a substantial intangible asset, I believe, because we don't have access to the balance sheet. But we can see the significant amount in getting amortized every year or every quarter. So, if you can throw some light on that. Thank you.

Hari Babu Bodepudi: Let me answer the first question, the cost synergies . So, I can say short term there could be some procurement since two companies are buying, maybe some common raw materials, that's the one actually, maybe long term savings. And the biggest saving what we are looking at, as I said, R&D and manufacturing capacity utilization.

So, when you say procuring intermediates from Viyash, looking at the regulatory scenario, of course, we need to do a little more deep dive, understanding what kind of markets they've filed, how long it takes. But once we do that, definitely, it's going to be good synergies, that's where SeQuent can benefit at least 100 base points to 250 base points kind of thing. But we see big SeQuent Scientific Limited

October 01, 2024

Page 9 of 14

term and long term, it's going to be the good synergies. But short term, we need to work out because SeQuent as well as Viyash is working totally under regulatory environment. You may know sometimes regulatory takes a little longer time. But we are going to work together as fast as we can get there.

Ramakant Singani: Sure. Nikhil, as you rightly mentioned, yes, we do have a significant amount of amortization in our P&L and we do have this amortization continuing for about two years. FY25 and FY26 will continue at around that 90- 95 crores is the amortization per annum. FY27 will have part of the period. So, we are left with about two years and roughly a quarter more in terms of cleaning up the amortization.

Nikhil Shetty: And sir, if I may squeeze one more question. So even if you look at the overall EBITDA, I believe for both the businesses,

we are targeting roughly 20% odd EBITDA margin in a couple of years. So, I believe because of the cost benefits and operating leverage and with a better

product mix, probably we 'll be able to reach that. But what about the bottom -line part? Because I'm concerned more about the bottom -line part and how it is going to look like.

Rajaram Narayanan: Are you saying at a post -PAT level?

Nikhil Shetty: Yes.

Saurav Bhala: Yes. So generally, with the EBITDA, which as you are saying, so we are also expecting it to move to higher teams. That will certainly flow in the PAT level too. And the PAT would see substantial improvement, vis a vis what we are projecting this year onwards

Hari Babu Bodepudi: Maybe I can add a few things. If you see both balance sheets, one is amortization, whatever tangible funds you close that. And we are going to be a debt -free company soon unless we go and invest today. Looking at our EBITDA, it can be debt -free very soon. So, our financial cost is going to reduce substantially. And the depreciation for this size of the company, FY25 together 3,000 flows, whatever the depreciation other than this one -time amortization, it's not much. So, with that, definitely PAT levels will continue to grow. In addition to that, both sides, I think there are some accumulated losses , we need to work on that. But I think it's going to be the good, bad percentage as well as it's going to generate good free cash flow, I can say that. So that's where we can invest on various things, that are organic or inorganic.

Moderator: Thank you. The next question is from the line of Bhavesh Gandhi from YES Securities . Please go ahead.

Bhavesh Gandhi: Yes, thank you for the opportunity. So, I had two questions, one to Dr. Haribabu and then the second one to Mr. Rajaram . So first, on the Viyash margin side, if I look at Viyash as a business, and it was primarily mentioned its API is the largest vertical. So, if I look at EBITDA margins today of Viyash and compare it to some of the other listed entity API companies, then clearly, I think there may be a room to take up EBITDA margins of Viyash towards the 20% range. And for that to happen, what is the nature of products that we can introduce or kind of supply on a B2B basis to customers? Any sense on that would be helpful in terms of new product launches, and especially on the complexity and capability side.

SeQuent Scientific Limited

October 01, 2024

And a second question to Mr. Rajaram. So, with this merger, we are kind of essentially big picture combining an animal, pure animal health with a pure human API. So is this a kind of a tacit acknowledgement that in a way, animal health is kind of only so much to offer on the production animal side, like you said, things are shifting to companion and those things. But essentially, as SeQuent model, business model sense today, would the merger is kind of an indirect kind of harbinger of things to come on the animal side? Yes, those were two questions from my side. Thank you.

Rajaram Narayanan: I think I'll answer the second one before we get because I think that's very clearly this merger is in fact, a reconfirmation of the fact that we are hugely confident about the future of animal health. And I think what is being done through this merger is to build the necessary capabilities and capacity, which is required to turbocharge that part of the company, vertical, which is there. Because as I said before, it is important that we begin to invest in R&D and capacity if we want to win in the way in which the market is moving in the future. And it's something that obviously will happen in five to 10 years. In the short term, we will, you know, continue to work on our current plans, but in the long term, make such investments. And the post merger is a part of our business substantially. So, I don't think it is in any way an acknowledgment

gement of anything other than the fact that we want to recommit ourselves in the right way to the growth in animal health.

Yes. And maybe I'll just give Dr. Hari Babu on the Viyash margin question.

Hari Babu Bodepudi: So, coming to Viyash margin, if you look at the last three, four years, Viyash, Viyash margins and EBITDA margins, Viyash operates three segments. One is intermediate, API and foundation. So, if you look at our API segment, Viyash margins is much better than ours actually compared to companies. Since we operate three verticals, that's where actually we are moving from actually the low-end margin business to high-end business. So that's how slowly intermediate API business is growing.

Last two years, API business has grown almost double, whereas intermediate business we optimized. Intermediate business is going to be more focused on utilizing for API requirements.

And the remaining business is going to move to other high-end business like trying to work with innovators or complex products, advanced intermediates for new products. That's how intermediate business is coming down.

API business is growing slowly. Gross margins are improving, and EBITDA percentage also is improving. Other fact is, since our capacity utilizations are gradually increasing, our office percentage is slowly coming down. So that's where we can see better margins coming future. That's how you can see '25 or '24, from 12%, 13% to it's reached to 21%, 17%. And we are pretty confident it's going to grow.

I am very confident actually this gross margin as a EBITDA will grow further. So, API, I can say we are better than even industry, generic industry APIs. The mix is changing. Gradually you're moving to new products more than API. If you see a lot of new products are coming in SeQuent Scientific Limited

October 01, 2024

Page 11 of 14

our pipeline, whatever we did last two, three years R&D development, large number of products filed, it started getting approvals now. Really the approval started from last two quarters.

So, every month, every quarter, we see at least one or two products. And we see there's a good opportunity to grow and improve margins. I hope I think that was helpful.

Bhavesh Gandhi: Yes, that was helpful. So, one more follow-up to that, to the API business. So, if I look at the presentation broadly, I think top five, six products for Viyash contribute about 30%, 33% of revenue, if I'm not mistaken, broadly INR 300 crores out of INR 1,300 crores revenue. So, it implies that there is a kind of a long tail of products, presumably on the API side. So, post this, I mean, would there be some -- any rationalization of products, any removing of low margin products in API, which we wish to exit? Are there any margin levers from that factor?

Hari Babu Bodepudi: So, let me put it two ways. One is I think that five products, 30% is put together. Correct me -- The API formulation, the top five products for company, few formulation products, few intermediate products few APIs. That's where it contributes 30% of the overall revenue. Your API itself, top five products, it contributes about 40%, 40% to 50%, 40% at least. And our API products, we have 60 commercial products. I can say majority products were gross margins are pretty good.

So, our uniqueness in this business is the product, it's not very high volume products where it contributes INR 10 crores to INR 20 crores of many products. Margins are good, competition is low, but margins are pretty good. I don't see any optimization is required on that. And if most of the products where we had little low gross margins, we worked and improved a lot. And whatever products we have I think it's a fantastic even as in top 15 products around 60%, 70%. Okay. But because these products, there are a few validation products, when you see quantities,

all these things put together, it's w

orking like that. But I don't see any products we are going to take out. Whatever products, two, three products we took out last year, but whatever we are doing, all are profitable products. When it comes to intermediate, as I told you, we are optimizing intermediate business.

We downsized to almost all, and we acquired intermediate business was INR 500 odd crores.

Now it's almost out. We are trying to move into better gross margin products.

Bhavesh Gandhi : Thanks . I'll join the queue. I had one more. Thank you.

Moderator: Thank you. The next question is from the line of Prachi Sharma, who's an individual investor.

Please go ahead.

Prachi Sharma: Hello. Good evening, sir. Just two questions from my end. So, I just wanted to know what will the management structure be like for the combined entity? And my second would be if you could highlight maybe what could go wrong or what are the risks associated with this merger? Yes, that would be really helpful?

Rajaram Narayanan: Thank you, Prachi. I think clearly the theme of going ahead is continuity. I think all the management is going to continue fully committed into this role. This is a very complimentary

SeQuent Scientific Limited

October 01, 2024

Page 12 of 14

merger which is proposed. And clearly, we see going ahead everyone in their expertise, adding value and going ahead on this job. So, we see the continuity of structure.

Of course, as we build this over the next 15 months, there will be some necessary structural adjustments which may need to be done to suit whatever is the requirement for the future. But otherwise, right now the focus really is on continuity and making sure that we take advantage of this merger to build the business bigger and faster.

On the second point risks to this entire thing, I think clearly there is a lot of equity in both the companies. And the risks as I see, could be largely around being able to execute well. Yes , I think that's really the principle thing that we all need to make sure that it's all the plans that we have get executed well. Dr. Hari, anything from your side on these two .

Hari Babu Bodepudi: I don't see anything the truth inside, there could be some major risks. I don't know what actually can go anywhere in the regulatory scenario. In fact, looking at two entities where there is no overlap, whether it is market or product, we don't see any risks on that perspective, but going forward since both entities are growing strongly own way and the risk could be getting synergies, actually to what extent, when.

That requires external approvals since we're handling an entire regulatory business. Whatever we anticipate, the timeframe that could be the risk, but that's where Rajaram mentioned execution is so critical to get there.

Rajaram Narayanan: Thank you. We will go to the next question. Thank you, Prachi.

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth: Hi. Good evening, sir and congratulations to you and Mr. Raja Babu as well as the team of both the company for creating such a large platform. Hello?

Management: Yes, Bharat Sheth. Thank you. So good to hear you. Thank you. We can hear you.

Bharat Sheth: At this point we have guided around say 12%, 13% kind of growth in high teens EBITDA by 27 which is giving around INR2,000 crores of top line and a proceed of around 3%. So, I have to take it further with combined entities. How do we see if you can give some broader picture, size, what would be the top line and EBITA FY27 or 28 whatever is comfortable you are. So, if you can give some because qualitatively you have said all the things, but if you can, I mean, try to work out in quantitative number, how do we really see this merge entity?

Rajaram Narayanan: Thank you about that. So, clearly as we have said, it is a accretive both in terms of revenue and

in terms of margin and that should continue. So right now, we have been guiding that top line will be growing around 12%, 13% and the EBITDA would be more closer to high teens by 27-28. What we expect is that after the merger and we really make everything execute it well, it could definitely be 150 to 200 basis points higher than what we have guided at any point of time.

SeQuent Scientific Limited

October 01, 2024

Page 13 of 14

And of course, from a top line point of view, therefore, it should be closer to INR 4,000 crores on that time. We, of course, haven't built in synergies, we haven't built in some other plans which could be taking this higher, but I think at this point of time, we can be confident enough to say that given that in the very first quarter, both the companies together are already at an annualized INR400 crores plus run rate on EBITDA.

We should be expecting that by 27-28, we would be in the 20%-odd range for EBITDA margins

and of course INR4,000 crores plus in the area of top line. But these things have to be worked out. So, it will clearly be accretive and we'll get some benefits which will come later from synergies.

Bharat Sheth: And is that fair understanding that even the depreciation in 27-28 as well as the interest will come down significantly from what current level of merged entity here?

Rajaram Narayanan: I think Dr. Hari has made that clear because we will be moving to becoming a debt-free company soon. And that therefore would obviously reduce our finance costs, etc which are required at least for the current plan that we have. And obviously on the other aspect as well, the other lines would improve as we come closer to 27-28.

Bharat Sheth: Thank you and all the best sir and look forward to your longer term as well.

Rajaram Narayanan: Thank you Bharat.

Moderator: The next question is from the line of Kaustav Bubna from BMSPL Capital. Please go ahead.

Kaustav Bubna: Yes. Thank you so much for taking my question. So basically, I have two questions on opportunities. So, the question has always been when SeQuent was only SeQuent that when will SeQuent enter the US markets in terms of animal formulation? So, I wanted to ask, does this merger help us in any way enter the U.S. market in terms of animal formulation? That's the first question. Is there a plan around that?

And the second question is, now since this entity will be merged, can we participate in a big way over the next many years and be key beneficiaries of the Biosecurity Act in the U.S.? So, these are my two questions.

Rajaram Narayanan: I'll answer the first part. I think at this stage, it's too early to say whether we have a clear entry strategy for the U.S. on animal formulation. Of course, both the companies are fairly strong in the U.S. market. So, those are things which I think over the next period of time, both the companies will work out on what are some of the opportunities. It's not something we overrule right now, but it has to be taken, more carefully by looking at it. I think on the biosecurity please, Dr. Hari, if you. And on the U.S. please as well.

Hari Babu Bodepudi: So, I think Biosecurity Act, of course, you guys know, still it has to be passed from senator thing, but if it goes through, I see that's one of the good opportunities for SeQuent. There's large companies that are looking, the alternative majority is coming from China. That's where they're looking the alternative.

SeQuent Scientific Limited

October 01, 2024

Page 14 of 14

India is the best opportunity, of course. So, I think that's going to play a big role if everything goes well for SeQuent. Since there's a large backup of U.S. on R&D as well as manufacturing. That goes, I think that's an opportunity, but it's very difficult to quantify actually, but maybe going forward 5 to 10 years, 7 years, it's going to be one of the great

opportunities for this group together.

Because now together it's visible in a bigger way. All these things, Biosecurity Act, most of the things going to go to visible companies where there's a strong R&D manufacturing backup. We will have that. So, that's a good opportunity definitely. So, we will continuously work on that. That's one of the pieces to do this. That's one of the great expansion opportunities for together that.

So, coming to the second one, SeQuent, enter into the formulation. We are revisiting our human health formulation also with that. We'll work out the strategy. So, what kind of things required for SeQuent U.S. entry? Since this major entity is going to be a strong cash flow. So basically, to enter U.S., it requires a little longer gestation period.

And investments also a little high, because they have to build the right facility and defer all those things. Looking at all those things, investment versus opportunity, definitely come back on that. So, we are going to do strategy exercise soon. Maybe, I don't know, before or after. Actually, we'll do mostly probably immediately after closing. So, we'll come up with that. We want to do that. But actually, we'll just assess investment versus opportunity.

Kaustav Bubna: Thank you so much, for those detailed answers. Best of luck.

Moderator: Thank you. Ladies and gentlemen, we'll take that as our last question for today. I now hand the conference over to the management for closing comments.

Rajaram Narayanan: Okay. Thank you very much, for attending this call. It is a very exciting period in the journey of both the companies. And we look forward to keeping you updated as in the coming sort of calls on how the entire merger transaction process is going, as well as on the performance of the two companies. Thank you for staying with us. And thank you for your confidence. Good evening and have a good break tomorrow.

Hari Babu Bodepudi: Thank you so much, guys, for asking questions. So definitely, this is going to help us to refresh and rethink whatever is required. I'm looking forward to work with you all. Thank you very much.

Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you

for joining us. You may now disconnect your lines.

Call: Nov 2024

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office : 301, 3rd Floor, Dosti Pinnacle , Plot No. E7, Road No. 22, Wagle Industrial Estate , Thane (W), Mumbai - 400604, Maharashtra, India

Tel No.: +91-22-4111 -4777 | CIN: L99999MH1985PLC036685

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

November 22, 2024

To,

BSE Limited

Corporate Relationship Department National Stock Exchange of India Limited

Listing Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Exchange Plaza, Bandra -Kurla Complex,

Bandra (East),

Mumbai – 400 001 Mumbai – 400 051

Scrip code: 512529 Symbol: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and half year ended September 30 , 2024

Dear Sir/ Madam,

Pursuant to Regulation 30 (6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for the quarter and half year ended September 30 , 2024.

The same is also available on the Company's website at <https://sequent.in/wp-content/uploads/2024/11/SeQuentScientific-Earnings-Nov14-2024transcript.pdf>

Kindly take the same on your record.

Yours faithfully,

For Sequent Scientific Limited

Phillip Trott

Company Secretary & Compliance Officer

“SeQuent Scientific Limited

Q2 & H1 FY '25 Earnings Conference Call ”

November 14 , 2024

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR –
SEQUENT SCIENTIFIC LIMITED
MR. HARI BABU BODEPUDI – WHOLE -TIME DIRECTOR
AND CHIEF EXECUTIVE OFFICER – VIYASH LIFE
SCIENCES
MR. RAMAKANT SINGANI – CHIEF FINANCIAL
OFFICER – VIYASH LIFE SCIENCES
MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER –
SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD OF INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited
November 14 , 202 4

Moderator: Ladies and gentlemen, good day, and welcome to SeQuent Scientific Limited Q2 and H1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.

Abhishek Singhal: Thank you, Dev . A very good morning to all of you, and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the second quarter and half year ended financial year 2025. Today, we have with us Mr. Rajaram, MD and CEO, SeQuent Scientific; Dr. Hari Babu, Whole -Time Director and CEO, Viyash Lifesciences; Saurav, CFO Sequent; and Ramakant, CFO of Viyash Lifesciences, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on the website as well as the Stock Exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion will be forward -looking in nature, and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Rajaram to make his opening remarks.

Rajaram Narayanan: Thank you, Abhishek. Good morning, everyone. A very warm welcome to everyone on the call for the Quarter 2 FY '24, '25 results. This is a significant quarter update as we share the progress on the performance of SeQuent and also update you on the strategic merger with Viyash Lifesciences. I'm delighted to be joined on the call by Dr. Hari Babu, Whole -Time Director and CEO of Viyash; and also joining on this call is Saurav, our CFO, Sequent; and Ramakant, CFO of Viyash.

We are now halfway through this financial year, and I'm happy to share that we continue to improve our performance in most markets and businesses. Coming to the performance of the quarter. In quarter 2 FY '25, our consolidated revenues came in at INR368.6 crores during the quarter, which translates to revenue growth of 6.6% when compared to the same quarter last year that is quarter 2 FY '24.

At the end of the first half, revenue stands at a healthy 11.7% growth versus the first half of last year. This growth continues to be quality growth, which is seen in the margin and EBITDA numbers. If you look at the EBITDA pre -ESOP numbers for this quarter, it came in at INR44.7 crores, which represents nearly a 70% growth over quarter 2 last year.

And when we consider the first half of the year, the EBITDA comes in at INR93 crores, which represents a 160 -plus percent growth over the first half of last year. So we are trending well, SeQuent Scientific Limited

November 14 , 202 4

not only in terms of consistent improvement but also in line with the broad guidance that we have given.

While Saurav will go into more detail, I will share some qualitative highlights and more details are, of course, available in the investor presentation. When we look at the external factors, there is always the geopolitical and macroeconomic aspects to keep in mind. We have a strong presence in the developed and regulated markets of U.S. and Europe, where there is general

stability. We, therefore, see a favorable environment for our business.

Our formulations business, which is spread over many countries has had a good quarter and a good first half for the fiscal year, growing in double digits overall and in most geographies.

We are expanding phyto -solutions range to more markets and have also introduced new products for companion animals. There has been strong growth in Europe, especially in our distribution business, and we are beginning to slowly get price increases in an inflationary environment.

Coming to emerging markets. We are seeing a more predictable and steady currency scenario in Turkey, and the government actions are also more calibrated and predictable. We have, therefore, accelerated our efforts to launch a few more products in the coming year, apart from taking judicious price increases.

As we indicated earlier, we have received EUGMP certification for our manufacturing facility in Turkey. So we have started validation of the first load of injectable products for exports from this facility. Our exports from Turkey help us in hedging foreign exchange requirements in addition to driving operational efficiencies. So this has been a good first half for exports from Turkey.

Our business in Brazil, which has seen flat to declining performance last year has begun growing this quarter as we refreshed the product portfolio and expanded to other LatAm markets. And as we have shared earlier, we have expanded our formulations team in India, and this is the first full quarter of that impact. And the India formulations business has also delivered strong double -digit growth.

Now coming to the API business. API revenues for the quarter were slightly below planned as we had to postpone a few quarter -ending shipments to carry forward to the next quarter. But our margins continue to improve, and we have successfully completed many customer audits for continuing businesses as well as for commencing new supplies.

The plants in Vizag and Mahad have received important recognitions for safety and quality from government authorities, customers and industry bodies. Some details are available on this in the investor presentation.

It is here that I wish to bring your attention to the proposed merger with Viyash Lifesciences. The merger will have a transformative impact on the company. In terms of R&D, supply chain and manufacturing, the combined entity will have significant scale, for instance, a sixfold increase in R&D strength and a fivefold increase in capacity.

SeQuent Scientific Limited

November 14 , 202 4

Viyash is a very strong performer in all aspects of the business. And you would have seen in the investor presentation the excellent results of Viyash on a stand -alone basis as well as the impact on the combined entity. Clearly, this is a highly accretive merger, which will drive strategic advantages for the business. Dr. Hari will later provide a more detailed perspective on this.

So we are now poised for accelerated growth while improving margins. There is increasing interest in animal health, both for production animals and for pets. In addition, there is a growing demand for India to participate as an important source of products and services, be it APIs, formulations or CDMO opportunities. We remain focused and confident that our actions and plans will deliver consistent, profitable and sustainable growth in the coming years.

I will now hand over to Saurav to share the financial details of SeQuent and then invite Dr.

Hari to share the highlights of Viyash performance. Over to you, Saurav.

Saurav Bhala: Thank you, Raja, and good morning, everyone. It's a pleasure to be here today to provide key highlights into our financial performance for both the Q2 and H1 financial year '25. We'll also update on the progress of our strategic M&A announced for the composite scheme of amalgamation with Viyash Group and SeQuent Research Limited, one of our wholly -owned subsidiary, which marks an exciting phase in our journey towards long -term growth and value creation for all the stakeholders.

Starting with the SeQuent financial highlights. For Q2 financial year '2

5, total revenue is at

INR3,686 million with EBITDA pre -ESOP of INR447 million. For the first half of financial year '25, our total revenue is INR7,589 million and EBITDA is INR930 million. I'm pleased to report a strong year -on-year growth of 6.6% for Q2 and 11.7% for H1 financial year '25.

Our EBITDA growth is particularly impressive with a 70% increase in Q2 and a 161% increase in H1 on a year -on-year basis. These results reflect our ongoing commitment to drive operational excellence and profitability.

Q2 financial year '25 revenue highlights. In Q2, our formulation business generated INR2,836 million in revenue, accounting for 79% of our total revenue, while API business contributed

INR773 million accounting for 21% of our top line.

Our European operations delivered robust growth with revenue of INR1,335 million, reflecting a 5.5% year -on-year growth on a constant currency basis. Emerging markets reported revenue of INR1,160 million, up by 26.5% year -on-year basis in constant currency. This growth is driven by selective price and targeted price increases and volume recovery in our Turkey market, which is one of our key global formulation markets. The Indian formulation business posted revenue of INR341 million, reflecting a strong 25% year -on-year growth.

Gross margin improvements. We are pleased to report an improvement in our gross margins, which increased by 190 basis points in Q2 rising from 45.1% to 47%. For H2 -- H1, the margin improvement improved by 265 basis points from 43.4% to 46%. This growth can be attributed to several strategic initiatives, including sales mix optimization, and implementing targeted price increase across geographies.

SeQuent Scientific Limited

November 14 , 202 4

Cost optimization, in line with our focus on improving operational efficiency, successfully reduced operating expense despite facing inflationary pressures across geographies. We achieved a 1% year -on-year reduction in our operating expense for both Q2 and H1, respectively, demonstrating our disciplined approach towards cost management.

EBITDA margin improvements, these actions have led to a significant improvement in our EBITDA margins pre -ESOP , which increased by 452 basis points in Q2 from 7.6% in Q2 financial year '24 to 12.1% in Q2 financial year '25. And by 700 basis points in H1 from 5.2% in H1 financial year '24 to 12.3% in H1 financial year '25 reflecting our continued focus on driving profitability.

Other income and financial items. During the Quarter 2, we recognized a gain of INR31 million on the transfer of leasehold rights for our Tarapur facility in India. We also recorded a net monetary gain due to impact of hyperinflation in Turkey as required, Ind AS 29.

Balance sheet highlights. On the balance sheet, we saw a very modest increase in working capital, which rose to INR425 million, up from INR4,201 million as of 31st March '24. This increase reflects a strategic decision to support the planned growth in our Turkey and Spain business, resulting in inventory levels for short term.

In terms of leverage, our net debt -to-EBITDA ratio improved to 2.3x as on 30th September '24, compared to 3.55x as of 31st March '24. On an absolute basis, our net debt stood at INR3,774 million, a slight decrease from INR3,378 million as of 31st March '24.

Our improved leverage position gives us -- capacity to manage future business growth investments. And navigate any potential economic uncertainties, positioning us well for long - term growth and value creation for all our stakeholders.

Moving on to update on our M&A progress. I'm pleased to report that we have made good progress on the composed scheme of amalgamation. This scheme has been approved by our Board of Directors, involved a merger of Viyash Lifesciences Private Limited and its subsidiary, as well as SeQuent Research, a wholly -owned subsidiary, SeQuent Scientific Limited.

The co

mpletion of the merger remains subject to necessary regulatory approval for which the process has started and is progressing well as per the plan. Here are a brief timeline of key milestones achieved as on date. Board of -- Board approved the scheme on 26th September 2024. BSE filing of the scheme was done on 16th October '24, and the scheme has got listed on the BSE website.

NSE filing of the scheme was done on 17th October '24, and the same is listed on NSE website. In addition, we have also started the process to relocate our registered offices as follows: SeQuent Scientific Limited from Thane to Hyderabad, SeQuent Research Limited from Mangalore to Hyderabad. For the above merger process, we incurred a cost of INR43.2 million during Q2 and H1 of financial year '25, which are accounted for and disclosed as an exceptional item in the reported financials.

SeQuent Scientific Limited

November 14 , 202 4

In summary, our strong financial performance in Q2 and H1 highlights the success of our strategic initiatives, operational efficiencies and continued focus on profitability. Progress on our M&A activities further strengthens our position for long -term growth and expansion. We remain dedicated to delivering value for all our stakeholders, and we are confident in our path towards sustained growth.

With this, I now hand over the call to Dr. Hari Babu to share further details on the performance highlights of Viyash. Thank you.

Hari Babu: Thank you, Saurav, and Raja. Good morning, everyone. I'm very glad to share Viyash's financial performance and also strategic initiatives today. So coming to financial performance, Viyash recorded strong performance in Q2 FY '25. Our revenue grew by 10% year -on-year to INR363 crores and strong EBITDA growth by 33% year -on-year to INR63 crores. Viyash had EBITDA margins of 73% with an improvement of almost 3% year -on-year.

Coming to first half of FY '25, Viyash revenue grew by 5% year -on-year and again, a strong EBITDA growth by 30% year -on-year. Viyash had a strong first half '25 EBITDA margins of again 17.2%, which is almost improvement of 3.3% from last year. And we also generated INR100 crores of free cash flow.

I think this is a big achievement for this year, mainly driven by optimization in working capital and also low capex . As we mentioned earlier also, we have actually strong infrastructure in manufacturing and also we have some free capacity. That's how we were able to reduce capex . Our net debt to LTM EBITDA ratio is 0.7%, even after actually investing to acquire 5% residual stake in first half.

The financial performance is driven mainly by focusing on high -margin API products. And also, as we mentioned earlier, we rationalized a couple of intermediate business, which are not sustainable products and also a continuous cost optimization of various projects, both API as well as intermediates. And also business growth is mainly supported by investments what we did the last couple of years, where we did a lot of investments and resources in R&D as well as operations.

With that, actually, it started resulting now new product filings as well as launches. So I think these are the recorded filings. First half, we are able to do 19 products globally. Of course, 17 are API and 2 FDFs we filed all over the world, start from U.S., Europe, China, everywhere in the world.

And also, we were able to launch 2 products in first half. And the second main key focus area where we did last couple of years, innovative business. Even though we were doing innovative business for their life cycle management, with our strong R&D strength and operating platform, we are able to develop 2 more innovative business -- and after struggling last 2, 2.5 years hard work, now we are able to validate and supply validation quantities for 2 innovators. One is API, we did last quarter and also we did one intermediate last quarter.

r.

These 2 are basically part of their life cycle management, where they do large volume commercial products. And we expect approvals for these things start from maybe next 1, 2, 3
SeQuent Scientific Limited
November 14 , 2024

years because it requires a lot of regulatory filing from this side, and it's going to generate business from -- after 1 year intermediate, but most of the API business is going to generate maybe after 2 years, right?

In continuation to this, of course, we have a few products also in pipelines, strategic tie -up with innovator as well as large pharmaceutical players. And also, as we continuously mentioned, this is an R&D -focused company. So we have always strong product portfolio and pipeline. So today, at any point of time, today, we have 25 products in our pipeline, and we completed 9 products validations in first half.

And with our regulatory and quality focus, we were able to manage multiple audits continuously. I think last 6 months, there were 99 customer audits from various countries, and our team was able to handle successfully all audits. And also, we have received 2 EIR -- clean EIR from U.S. FDA, which was audited last quarter of FY '24. These are the 2 clean EIR. And also, we are expecting a few more inspections soon, but our team is fully geared up to manage all those things.

And first half of FY '25, we have received 6 regulatory approvals, 2 in U.S. and 3 in Europe. These are a mix of both FDA as well as a couple of CEPs. And also, we received product from China. And diverse revenue from strong portfolio. So our portfolio is always we say it's differentiated from all other generic companies that shows actually a strength of sustainability maintaining profits.

Our top 10 products contributes almost 62% of our API revenue. And this is mainly because of our products are either innovative based or a little bit complex. And also, we are able to maintain sustainable growth because of fully backward integrated and complex products. And these 10 products, if you see last 2 years from FY '20 to '24, it has grown over 20% CAGR, last 2 years.

And also out of 10 top APIs, 6 products, we are global leaders with 50% plus market share. And our portfolio is always either complex or fully backward integrated with the high share of revenue from regulatory markets. Most of our commercial products, we are very strong in regulatory. That's how we are able to sustain the gross margins. And innovator relationships. We have strong innovator relationship. I think we have 4, 5 innovators who always we do

business, but it's mostly part of their life cycle management.

We are continuing to do both innovators as well as strong relationship with the big innovator companies. And team, our team is very strong. It's all our globally experienced team and average experience, I can say, more than 20, 25 years, each one. And most important, all these guys are very well exposed to every global market to handle either R&D complex development or manage highly complex regulatory environment and also business team is very qualified team managed all over the world. And of course, all our quality and regulatory teams are pretty strong globally.

With this, let me update a little bit about our combined performance of merger entity. For Q2 FY '25, combined revenue of the 2 entities grew by 8% year -on-year and most important,

SeQuent Scientific Limited

November 14 , 202 4

EBITDA grew by 46% year -on-year. The combined business had an EBITDA of INR108 crores with 14.7% margins with 380 basis points improvement year -on-year.

Going to FY -- first half of FY '25, combined revenue of the 2 entities grew by 9% year -on-year and EBITDA grew by 67% year -on-year. The combined business had an EBITDA of INR214 crores with 14.6% margins with 510 basis points year -on-year improvement. So the combined net debt today, net debt -to-EBITDA ratio

is 1.4x, and it's going to improve continuously.

As we had indicated previously, the merger will create a global integrated end -to-end pharmaceutical business, both in animal health as well as pharmaceuticals, human health. The combined business will have, as Rajaram mentioned earlier, it's 6x larger R&D time, R&D team is almost 200 people in Viyash and 5x more capacity and 10 more U.S. FDA -approved sites.

As you guys know, Viyash, all our sites are fully FDA -approved sites. We believe there are potential synergies in 4 core areas. That's the strength of, of course, Viyash and SeQuent. The first one is manufacturing with the strong capability of Viyash manufacturing and procurement. That's where actually we can have a lot of synergies for SeQuent. And also business perspective, since both companies are having relationship with big pharmaceutical companies, including innovators, we strongly believe we can expand sales footprint for both companies.

And R&D with Viyash coming in, strong R&D, this is going to help SeQuent a lot in R&D perspective to develop new products as well as launching. Others, of course, indirect costs since our base is going to grow largely this indirect cost, direct procurement, all it's going to have large synergies. And of course, we started putting together what kind of synergies, and we'll start acting very soon on those things within the regulatory purview.

As Saurav mentioned merger scheme, merger scheme has been filed already with the exchanges. We started addressing their queries. And we expect this maybe next 12 months -- 12 to 15 months, as I explained earlier, I think it's on track. With these things, I can say with the combined platform, we are going to have a strong business potential. We started working together. Of course, within the regulatory purview, we are going to put together what kind of synergies, when can we act, when we are going to see those synergies will come to you guys soon.

With that, thank you so much, and we are happy to answer any questions. Now I hand over to Abhishek to you. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Ritika who is an individual investor.

Ritika: I actually have three questions. One is, would you be undertaking any acquisitions in the future? And what kind of businesses would that be in? Secondly, Carlyle invested 4 years ago, I think. So what are their plans for exit? And third would be what is the plan to reduce your debt and also your finance cost?

SeQuent Scientific Limited

November 14 , 202 4

Rajaram Narayanan: Thank you very much, Ritika. So obviously, this is a big merger for us, and it has been -- this itself is something that has to get executed over a period of time. But would we be open to any kind of acquisitions and opportunities, whether they are small brands, whether they are small partnerships or even strategic large opportunities? Yes, we will be.

It needs to fit in with the areas which we want to grow. And we have spelled it out very clearly that we are looking for growth in certain specific areas in animal health. We are looking at opportunities to deepen our capabilities. And also in terms of the entire companion animal area is the place where we would be open to taking any acquisitions.

So yes, we are. But obviously, we need to be very disciplined in the way we will make these choices. It is not something that we are intending to do merely to pursue growth. As far as Carlyle plans, frankly, they are the promoters in this. I would imagine that they are fully -- since they are the principal shareholders in both the companies, and this merger would indeed also go through with the support of Carlyle.

They are fully invested in this particular operation. But I wouldn't be able to speak on their behalf, except, of course, say very clearly that we have

enormous support from the promoters

in all respects, including the execution of this merger as well as benefits that we would get after this particular merger. On the third area, which is to reduce debt, I think you're already seeing that we have, as a result of this merger, in terms of leverage, we would be coming down quite substantially. But I'll ask Saurav to comment a bit on the debt side of it.

Saurav Bhala: Yes, sure. Thanks. So our debt -to-EBITDA level is already going down. As I explained, it was at 3.55x as on 31st March '24. As on 30th September '24, we are down to 2.30x. And with the improvement in EBITDA, the debt or the gearing ratio is going to go down. Overall debt level, I believe, would remain same for next few quarters, where there's a lot of investment happening in terms of working capital to support the business expansion.

Also, it's important to note that is on a stand -alone basis. If you see on a combined basis, even today, our debt EBITDA is below 1.50x if you combine SeQuent and Viyash financials. And that brings us to a very comfortable position in terms of overall debt level and the gearing ratios. Thank you.

Rajaram Narayanan: Thank you. Maybe I'll ask Dr. Hari to also comment a bit on the first question, which is on any plans on the acquisition because I think that given the current merger, he would also have a perspective on that.

Hari Babu: Sure, Raja. This is a continuous process either expanding the business or expansion goes through various things, right? One is going into the new capability development like new product acquisition or new acquisitions or mergers. This is a continuous process, but definitely, we look at continuously, but may not be bigger acquisition soon, but we are going to add multiple areas on capabilities and products. And also if we get opportunities, we are always open to acquire products.

That's a continuous thing. And coming to that one, financial strength, if you see combined entity, we are going to be very financially strong company. It's going to soon, maybe I don't

SeQuent Scientific Limited

November 14 , 202 4

know exactly, at least 1, 2 years, it's going to be debt -free company. But the intention is not to maintain debt -free company, how can you invest further and grow business? That's a continuous process.

Moderator: The next question is from the line of Nikhil Shetty from Nuvama Wealth.

Nikhil Shetty: And sir, could you clarify is there any seasonality in our formulation numbers as the sequential figures appear lower? And also what is the primary driving the growth in the Indian formulation? Are there any recent product launches or it is largely due to the field force expansion?

Rajaram Narayanan: Thanks. So first of all, there is seasonality in specific markets. But on an overall basis, it's not really seasonality. I think sequentially, you will see some reduction in quarter 2 compared to quarter 1 because as we had indicated, we had had an extraordinary sales of vaccines in the first quarter on account of a breakout of the Blue tongue disease, which happened in Europe. And that was something which gave us quarter 1 a bit of a jump. But having said that, all the other businesses on a year -to-year basis are growing in double digits. And that's why I would say that the growth of the businesses are intact.

The second part of it is -- but yes, in market by market, you will find some seasonality, which will come in. But this particular quarter being slightly lower than the first quarter, but still growing in double digits is on account of additional sales that we got in Europe in the first quarter. Second question on the India formulations growth. It is not entirely on account of addition of new people that has just started giving us the impact because, as you know, it takes time for the new locations to get full potential of sales.

It is on account of more aggressive promotions

. It is also on account of 3 new products, which

we had launched last year. which are now getting the full scale of sales. You would recall that I've spoken about 3 products which we had imported -- started importing from Turkey and we've launched it in India. So we're also getting some growth on account of that.

But the impact actually of the new people on ground would be more evident towards quarter 4 because that's the kind of time around which you begin to reach full real capacity for what you have invested in terms of people. So it takes about a year to get the full potential of the region.

Thank you, Nikhil.

Nikhil Shetty: Yes. So it would be helpful to understand the extent of API sales that have shifted to Q3 and the reason behind the shift and what quarterly run rate you expect for H2?

Rajaram Narayanan: Look, I won't get into the exact number, but we would typically have liked to be more in the region of INR85 crores to INR88 crores is the kind of number which we should have been in quarter 2. So you can make some kind of estimate of how much might get carried forward. I think we are right now looking, as we had indicated earlier that between an INR85 crores to INR95 crore run rate is what should be a sort of steady state for us. At this stage, there's no reason to believe why we will not be that.

SeQuent Scientific Limited

November 14 , 202 4

Nikhil Shetty: Yes, that's helpful. And lastly, sir, regarding exceptional items, are there any remaining expenses related to the Viyash merger? Or have all costs have been reported in Q2? And could you explain why esop cost is higher this quarter? I believe it was expected to be lower.

Rajaram Narayanan: So I'll answer the second one piece of it. As you know, there is a total plan for esop, which was approved in 2020. And we have now nearly completed the allocation of all that was not granted. And so with that, we have nearly completed all the grants which were there. So it's one, the balance grants, which have been provided in this particular quarter as well as some change in the vesting conditions, which have -- which will not impact on the totality of the cost, but would accelerate a bit into the early year and not impact the total impact on the total cost of the esop.

The second question in terms of exceptional items. Obviously, the merger process is on. So there will be costs which will come. But this is what is typical to any kind of a merger. We will make those estimates as we go along. I wouldn't want to give a clear guidance on that right now.

Moderator: The next question is from the line of Bharat Sheth from Quest Investments.

Bharat Sheth: Congrats to the whole team of the SeQuent this year. Sir, my question is now since announcement 2 months has already passed, but I mean, so before official merger is announced in April, so operational, what are the benefits that we look -- I mean, try to get in, say, over the next 12 months to 2 years' time that can help us, I mean, understanding broader aspect? That is first question.

Rajaram Narayanan: So what's the other question, Sir? What else, what are the other questions? I just take all the questions together so that I'll be able to answer.

Bharat Sheth: And we have been getting understanding that a lot of -- I mean, animal health care are looking India for CDMO business. as well as custom manufacturing. So in that place, how we'd like to play out over the next 2, 3 years? And third, on the financial side, sir, if I look at, I mean, our H1 formulation growth reported to be 16%. But if we look at constant currency, which is 24% and since you -- in your opening remarks, you said that Turkey has stabilized. So how do we see second half growth?

Rajaram Narayanan: So thank you, Mr. Sheth for the 3 questions. I'll take the third one, which is on the constant currency growth and on the formulation. So at this point of time, what you can see is that

there

is growth in constant currency as well as there is growth in the reported currency in both -- in almost all the markets, right? So I think that gives us a sense that -- and there is not so much of a difference between the 2 growth numbers, which means that there is no adverse movement in currency other than what is normally would be a depreciation, which may happen here or there.

So to that extent, I think going ahead also in the second half, we are confident and also hopeful that there will be growth both in constant currency as well as in the reported currency on the -- in all the markets. In Turkey, specifically, since you have asked, in recent times, which is the last 2 quarters, we have seen that the currency is relatively more stable.

SeQuent Scientific Limited

November 14 , 202 4

And also there are no ad hoc sort of announcements and initiatives, which we used to see about 2 years ago. So to that extent, I think we can begin to be looking at a business where we are focusing on growing volumes, making sure we are launching new products and not get too impacted other than, of course, inflation, but that's where we bring in price increases.

There are 2 other questions, which actually I will request Dr. Hari to give his perspective on it. The first being on now that the merger is a little over a month from an announcement, how do we see the next 12 months in terms of synergies and things coming together. And also the second one, which is on the CDMO opportunities, which could be coming up in animal health. Thank you, Dr. Hari.

Hari Babu: Yes. Thank you, Raja and Saurav. Coming to synergies, we started working with the synergies. And as I explained, there are 4, 5 core areas where we are looking at the synergies, R&D, manufacturing sales and other indirect costs, whatever. These synergies will be both short term, midterm and long term. We started working. Of course, since we just filed 2 months back, still we need to understand what extent we can share this to public.

But as soon as we can, we will share, but we are working very seriously both teams. But definitely, it's going to be the good synergies, both short term and midterm. But most important long term is our focus. So we can share you guys as soon as we can because still we need to work what kind of things we can share to the public.

And the second thing is CDMO. There's a lot of initiatives happened both sides. Already, we started interacting, okay? Without conflicting anything whether CCA or regulatory purview, we started interacting. And we see some good opportunities coming in CDMO business with Viyash capability already we started working with one CDMO business very actively. But these CDMOs will take a little longer time.

It's mostly midterm opportunities thing. And Viyash also there's a large number of products going on, both CDMO with big pharma as well as CDMOs with big generic companies also, we are trying to work with big generic companies in different ways. Instead of just selling and buying mode, we are working with a few partners.

That's how you see that just in 2 years for any company, it's not easy to build a relationship with innovator and complete all their requirements, which includes big EHS activities and quality and developing products as expected by them. It's not like generic whatever process you can do, it's not the same way to CDMO.

So we are very successful to develop 3 products with them to innovators. Already we validated and supplied one intermediate and one API. These are the big products which is going to happen that. So it's going to be a large CDMO business next 3 to 5 years, but CDMO revenues will start coming maybe in the medium-term kind of thing. I hope I answered your questions.

If you have any further question on this, I can...

Bharat Sheth: Apart from that contract manufacturing, which SeQuent already has and SeQuent has got some a

pproval. So how do we can, I mean, transfer because SeQuent is facing some kind of a SeQuent Scientific Limited
November 14, 2024

manufacturing capacity constraint also. So that can be transferred to our facility in 2 years? And how long that will take?

Hari Babu: So there are 2 aspects in that. One is how fast you can expand or transfer existing business. Still, we want to maintain that animal health identity in that site. Whatever SeQuent requires immediate needs up to penultimate stage. Up to n-minus-one stage is same, whether it is human health or animal health. That's where we have a large capacity. You can see our intermediate facilities are approved by FDA.

That's where we can do quick transfers. That's what we call, if it is US FDA CB -30. All other regulatory approvals, of course, based on the market normally takes 6 months to 1 year. Some things can happen in 6 months, something can happen in 1 year. So we are evaluating all those things. The short-term approach is whatever intermediates, they need, additional demand, those things can be transferred immediately to Viyash manufacturing sites.

And also second thing where we procure key starting materials from external sources. If there is a synergy, those things also we'd like to transfer to Viyash. Of course, the additional capability to build SeQuent for short-term needs. So already, we are working together, how can we expand final stage APIs by supporting Viyash from intermediates.

So these things are happening. It's not only contract manufacturing, it's contract development as well as manufacturing. And also now SeQuent is going to pursue aggressively on generic animal health products. Today, most of the SeQuent business is going to innovator 70%, 80%. And there are a lot of opportunities coming even from generic animal health. That's where we are going to focus on these things. All we are working on, I think maybe take some time. We can share you as soon we can.

Bharat Sheth: Then the next question?

Rajaram Narayanan: Hello. There's a next question?

Moderator: The next question is from the line of Kiran D from Tabletree Capital.

Kiran: Sir, this question is to Dr. Hari. Sir, I mean, we have tried searching for more information on Viyash licenses, but beyond knowing that Linezolid is one of the products, we hardly know anything about Viyash. We are not able to find any information. So if you could just elaborate in detail about -- some of our customer segments, what we do, how much is our domestic revenue, how much is our export revenue?

Are we doing ARVs, anti-infectives, oncology, which segments? So if you could just elaborate on the Viyash business on product segments, customer segments and what percentage of

domestic export revenue, innovator segments? If you could just -- again, this is like a very strategic level of information that I'm looking for, Dr. Hari.

Hari Babu: Sure. Thank you for that. But I can give you very high -level things, guys. I cannot go into very detail, but I can give you a very high -level thing. So Viyash operates very large portfolio in API today. So we have about 60 commercial products, and we operate almost close to 150

SeQuent Scientific Limited

November 14 , 202 4

countries. So we sell everywhere in the world. Our majority business, of course, API business in Europe, major business, almost 30 -plus percentage we do, but we are growing very fast in the U.S.

And we do business in LATAM . We do business in China. And our large business is coming from exports and mostly from regulated markets. So regulated markets, the definition that somebody says U.S., Europe, Japan, Australia, but if you look at the markets like emerging markets, China, Brazil also works under highly regulated markets. Once you enter with the client, it's very difficult to change those markets.

In fact, U.S. is much easier than those markets. So our major r

evenue comes from regulated

markets, U.S., Europe, LatAm, China. And now last 2 years, we started working with Japan. If you ask me straight, where we don't have much business today is Japan. That's where we are working very seriously. Fortunately, we are able to tie up with a few customers last 6 months, 1 or 2 products.

And our India domestic to domestic market is very little. We don't sell much for domestic to domestic. See, even though our numbers reflects India sales, it mostly goes into the regulatory markets. You know very well, most of the Indian companies control U.S. as well as Europe generic market. So that's how they buy from us and convert and sell it to U.S. Europe. So it's going to the mostly regulated markets.

So we have 60 commercial products and almost 20 products under, either filed or under approval stage. That's the use case. And always, our pipeline is around 20%, 25%. We have very strong portfolio team. And of course, R&D, we have strong R&D around 175 people in AP R&D. They are capable to do at least INR10 crores, INR12 crores in a year. That's how we are able to do that.

And when it comes to product segment, we are everywhere. Most of the things, API business requires general facilities for most of the areas, except a few areas like fermentation or hormones or oncology. Other than hormones, fermentation, we are everywhere. So this product segmentation is -- we are in all categories, whether CNS, diabetics, every area we are there, in fact, to all those things. And new area where we started is oncology. We have FDA - approved facilities.

Oncology, one facility, we mostly used to do for contract manufacturing, one of the big companies. But other facility, we refurbished and requalified this quarter. That's oncology capability -wise, it's one of the big facility. We have 2 modules on that, modules are ready now. We just qualified all equipment.

So now validations are going to start in that oncology. And also, if you can see our portfolio, current portfolio, almost 50% are in oncology. Our strategy to develop last 2, 3 years products, we did mix of 2, 3 categories. One is to maintain sustainability, whatever is the top line bottom line. Second is how can we grow midterm by developing either large volume products where we have strength on intermediates or where we have strength on formulation, go to backward integration. That's how we focus in one category.

SeQuent Scientific Limited

November 14 , 202 4

And third category is most going towards a little more complex areas, which includes oncology. That's how we moved out slowly from mature products to little complex products or little late launches like NCE -1 or a little more complex. So that's how our current portfolio is 50-plus percentage are all new molecules, either complex or oncology. So it's going to be a big oncology portfolio we are going to build next 1, 2 years.

So markets, that's how we do 150 -plus products we have commercially but all over the world. And this is not the only Linezolid company, as I explained earlier. I don't know how many companies really have this strength. Our 10 products give 60 -plus thing. So it's very well diversified. It's not depending on one product like Linezolid. All products contribute a lot and all products gross margins are pretty good.

And the second point, what I mentioned, out of 10 top products, 6 products, we are the market leader. It's not only -- of course, Linezolid, we have our own patent. We are the market leader. Other than Linezolid, we have 5 other products. We are the market leaders in the regulatory

market. Of course, these 6 products are everywhere in the world. That's how we can differentiate. So we have a very strong portfolio. That's how we are moving on that. If you have any further question, I can answer -- sorry?

Kiran: So the follow-up question then is, sir? Sir -- yes, sir. Go ahead.

Hari Babu:

Sorry, another 2 things you asked, antiretroviral. Even though we filed a few products when we built this company, our intent was to go to a fully integrated platform antiretroviral. Since we had intermediates, we have strong capability on both manufacturing as well as understanding the market. But we realized looking at the competitive profile, how the market is going on. So we decided to drop antiviral products soon.

So that's how we rationalized a couple of products. Why our topline has not grown too much from last year first half to this, only 5%, whereas EBITDA has grown drastically. That's one of the reasons we rationalized a few antiretroviral intermediates. In fact, we lost almost INR150 crores, INR200 crores topline. We downsized that commodity business.

And moving towards more complex or more new products. That's how all our intermediate business, we are moving out from commodity, large volume where small guys can compete differently. We are moving to either innovative players or big generic companies where we can tie up long. And also doing a little more complex regulatory environment for new products because that's where we see the growth opportunity for intermediates, if you tie up with the regulatory and regulatory expectations are also growing day by day for intermediates.

That's where we see opportunity for us. That's how intermediate business is growing. And the third business segment, finished doses. So we have a manufacturing site in U.S. We do business only for U.S. at this point. But we are working actually how can we expand other markets, but that's going to happen next 3 to 5 years.

Kiran: A follow-up question. I just have a follow-up question, sir. In terms of revenues, we have reached -- again to Dr. Hari. We have leased about INR700...

SeQuent Scientific Limited

November 14, 2024

Moderator: Sorry to interrupt Mr. Kiran, please fall back in the queue for further questions. The next question is from the line of Kaustav Bubna from BMSPL Capital.

Kaustav Bubna: So last time we spoke about the potential opportunities from this U.S. BIOSECUR Act. So just wanted to understand what's the update on -- how is this progressing? What is the update? Has it been approved? When will the benefits start flowing in? Could you give some updates over there?

Hari Babu: I don't see the current update, but what I heard actually is still it has to be approved in one house. Since now Trump coming in, everybody is expected that it is going to approve in other house also soon. But we have to wait and see. But more than approval, we see there's a positive trend last 1, 1.5 years. That's how CDMO companies are able to expand capacities and able to get.

And also, we also see some opportunities from big companies. So one is that when they are going to approve all those things. But irrespective of that, we see that positive trend coming with this to India. I think that still the Senate approval is pending. So maybe after the new government of Trump come in, they do that.

Kaustav Bubna: Okay. So basically, the Senate approval is remaining. And so I mean, you all are in the know - how, you all are close to this matter. Do you think there's a risk with Trump taking office? Or do you think it will aid the passing of this act?

Hari Babu: I cannot comment that level. But at a personal level, I don't see any risk it's going to happen. But official approval, nobody knows, but business is going to come to India. That's what I can tell you.

Moderator: The next question is from the line of Prashantkumar Hazariwala, who's an individual investor.

Prashantkumar : Congratulations for good improvement in EBITDA operating margin. But my question is like when we will see this kind of impact in profit after tax because when we come down to the profit after tax, there is nothing much left into the -- for the profit. So how do you see this? Like when exactly we can expect that we will get to some good level of profit after tax?

Rajaram Narayanan: Yes. I think -- thank you for this question. You should also look at it in the way in which post the merger, what we -- how the financials would move. And therefore, all that at this stage, I can say is that the way the business plans will emerge, we expect that at a PAT level, we would be beginning to accelerate on the delivery at that level very soon, yes, much earlier than we would have been able to do on a stand-alone basis on SeQuent.

Prashantkumar : So like for Sequent, when will -- what we had a plan for SeQuent? If we don't consider merger, what was the plan for SeQuent for about after tax...
Rajaram Narayanan: I think we are already beginning to move in that direction. If you see that in quarter 1 of FY

'25, we had begun to turn positive on PAT. And by the fourth quarter of this year, we would begin to get the growth coming in. And therefore, FY '26 is where most of the incremental SeQuent Scientific Limited
November 14 , 202 4

growth, which would come into margin and EBITDA would flow through straight into the PAT, yes, Saurav...

Saurav Bhala: And just to add, there is already a very significant improvement in the PAT. H1 financial year '25, there was a negative PAT of INR588 million. H1 '25 debt is a positive of INR199 million, strong trend reversal and a growth of 134%. All this business upgrades takes time, and we -- directionally, we are already there, and we keep on going strongly in the direction.

Prashantkumar : So all right. And so what kind of cost -- esop cost we will have for next 1 or 2 years? Like how do we see this cost? Because it is dampening our profit after tax all the time and it's driving all -- it's not finishing. I don't know why, it's not like before 2, 3 years, we have started, but still it keeps on going on. how do we see esop cost?

Saurav Bhala: It is improving, and it will keep on improving, but unfortunately, we don't give forward guidance on specific numbers for a couple of years.

Rajaram Narayanan: All that I can say -- is that what I said earlier is that the scheme grant, which is the total number of shares which were approved for grant more or less have been exhausted with the last round of grants which happened this quarter, yes. So therefore, obviously, we should see that in the next 2 to 3 quarters, it should directionally start moving downwards.

Prashantkumar : So any ballpark number, like estimates in like INR1 crore, INR2 crores, right kind of thing? What kind of cost we can consider quarterly?

Rajaram Narayanan: We expect it to increase. It should begin to come down. And I think it's by the next quarter, we'll begin to give some more clarity on the rate at which it will come down.

Moderator: Due to time constraint, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Rajaram Narayanan: Thank you. Thank you, everybody, for participating in this call. And I hope that we've been able to provide you insights on our business performance and also the way ahead as a result of the proposed merger with Viyash. We are excited with the prospects and the journey ahead.

We've already begun to see the results. And we thank you all for supporting the company. We will now end this call and wish you all a good day ahead. Thank you.

Saurav Bhala: Thank you.

Hari Babu: Thank you everyone.

Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office: 301, 3rd Floor, Dosti Pinnacle, Plot No. E7, Road No. 22, Wagle Industrial Estate , Thane (W), Mumbai - 400604, Maharashtra, India

Tel No.: +91-22-4111- 4777 | CIN: L99999MH1985PLC036685

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

February 17, 2025

To,

BSE Limited

Corporate Relationship Department National Stock Exchange of India Limited

Listing Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Exchange Plaza, Bandra -Kurla Complex,

Bandra (East),

Mumbai – 400 001 Mumbai – 400 051

Scrip code: 512529 Symbol: SEQUENT

Subject: Transcript - Q3FY25 Earnings Call pertaining to Unaudited Financial Results (Standalone and Consolidated) for the quarter and nine months ended December 31, 2024

Dear Sir/ Madam,

We refer to our intimation dated February 13, 2025 regarding audio recording of Earnings call pertaining to the Unaudited Financial Results (Standalone and Consolidated) for the quarter and nine months ended December 31, 2024 . In this regard, pursuant to Regulation 30 read with Part A of Schedule III and Regulation 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Transcript pertaining to the said earnings call for your reference.

The same is also available on the Company's website at <https://sequent.in/wp-content/uploads/2025/02/SequentScien-Earnings-Feb13-2025.pdf>

Kindly take the same on your record.

Yours faithfully,

For Sequent Scientific Limited

Yoshita Vora

Company Secretary

Page 1 of 17

“SeQuent Scientific Limited

Q3 FY '25 Earnings Conference Call ”

February 13, 2025

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – SEQUENT
SCIENTIFIC LIMITED
DR. HARI BABU - WHOLE -TIME DIRECTOR AND CHIEF
EXECUTIVE OFFICER – VIYASH LIFE SCIENCES
MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER –
SEQUENT SCIENTIFIC LIMITED
MR. RAMAKANT – CHIEF FINANCIAL OFFICER –
VIYASH LIFE SCIENCES
MR. ABHISHEK SINGHAL – HEAD OF INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited
February 13, 2025
Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the SeQuent Scientific Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Singhal. Thank you, and over to you, sir.

Abhishek Singhal: Thank you, Rajaram. A very good morning to all of you, and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the third quarter and 9 months year ended financial year 2025. Today, we have with us Mr. Rajaram, MD and CEO, SeQuent Scientific; Dr. Hari Babu, Whole -Time Director and CEO, Viyash Life Sciences; Mr. Saurav Bhala, CFO, SeQuent Scientific; and Mr. Ramakant, CFO, Viyash Life Sciences, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion will be forward -looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Rajaram to make his opening remarks.

Rajaram Narayanan: Good morning, everyone, and a very warm welcome on the call for quarter 3 financial year '24 - '25 results. We are now in the final quarter of this financial year, and I'm delighted to report that the company has continued to accelerate its performance on top line and on margins.

I will share the performance of the quarter in more detail as well as the progress on the merger with Viyash Life Sciences, which was announced in September 2024. I'm joined on the call by Dr. Hari Babu, Whole -Time Director and CEO of Viyash Life Sciences; and also joining on this call is Saurav, Chief Financial Officer of SeQuent; and Mr. Ramakant, CFO of Viyash.

Coming to the performance of this quarter, in quarter 3 FY '25, our consolidated revenues came in at INR3,908 million, which is the highest sales in any quarter in the last 3 years. This translates to a growth of 18.7% compared to the same quarter last year, that is quarter 3 FY '24.

At the end of the first 9 months of the year, revenue growth stands at 14% versus the first 9 months of last year. This growth is on the back of strong efforts on margin improvement through a combination of pricing, product mix and cost management. EBITDA pre-ESOP, for this quarter came in at INR494 million, represents approximately 64% growth over quarter 3 last year. When we consider the first 9 months of the year, EBITDA, pre -ESOP, at INR1,424 million, represents a 116% growth over the first 9 months of last year.

SeQuent Scientific Limited
February 13, 2025
Page 3 of 17

Our cumulative PBT at the end of 9 months has also grown to INR280 million, which is nearly 150% growth over the same period last year. Clearly, the momentum is evident in the results, and we are, therefore, confident of systematically improving on all parameters going ahead. I will share some qualitative highlights and more details are available in the investor presentation. There are obviously some developments globally, which are geopolitical in nature. While we are alert to the event, our focus is on our operations and our customers. Starting with our formulations business. Our operations in emerging markets led by T

urkey

continues to grow in healthy double digits, both in local currency as well as in reported sales. Additionally, we are growing exports out of Turkey and our recent EU certification at the factory in Ankara will start giving us more opportunities. The formulations business in Europe is growing in volume as we introduce new products for Europe and other markets. In Latin America, we have extended our operations beyond Brazil and into Mexico and Peru. In addition, we continue to build a global platform for gut health products based on natural actives, which are increasingly getting preference as users and regulators get stricter on the irrational use of antibiotics.

I had said last quarter that we are doubling down on India as a key market to accelerate growth in formulations. Our initiative project Udaan to reach more veterinarians with an expanded field force is now yielding results, again, with double -digit growth everywhere. We will increase our reach again next quarter and that should prepare the foundation for higher growth in the next year when the impact is annualized.

Coming to APIs. We see a positive swing in some therapeutic areas, especially in the deworming category. Our API revenues for the quarter have grown sequentially as well as versus the same period last year. Our factory in Mahad has received additional WHO pre -qualification approvals, and this should position us well for supplies to new formulators.

During the quarter, we also completed 1 new CEP filing. Our margins continue to hold or improve and we continue to drive the next phase of margin expansion with our new CIP initiatives. As discussed during the merger announcement, we will be very well positioned in R&D as a result of the merger with Viyash. You will hear more about this as and when we are in a position to share more information.

As we head towards the completion of this financial year, I am very glad that the tough decisions we took last year on creating a more profitable product mix, closing a high -cost operation in Europe, and driving cost improvement programs systematically have now helped us reach a place from where we can accelerate growth.

Our balance sheet is becoming stronger. And with the merger, it would be substantially strengthened to support an aggressive play in areas like health care for companion animals. I will now hand over to Saurav to share the financial results of SeQuent Scientific Limited and then invite Dr. Hari to share the highlights of Viyash and the consolidated entity. Over to you, Saurav.

SeQuent Scientific Limited

February 13, 2025

Page 4 of 17

Saurav Bhala: Thank you, Raja. Good morning, everyone. It's a pleasure to be here today to provide the key highlights into our strong financial performance for both quarter 3 of financial year '25 and 9 months of financial year '25 as well. I will also share the update on the progress of our strategic merger with Viyash Group and SeQuent Research, one of our wholly owned subsidiary. Starting with Q3 financial highlights for SeQuent, we achieved a total revenue of INR3,908 million for Q3 '25, delivering a strong year -on-year growth of 18.7% and a quarter -on-quarter growth of 6%. Our formulations business recorded INR3,008 million in revenue, registering a growth -- year-on-year quarter 3 growth of 19.2%, and a quarter -on-quarter growth of 8.9% on a constant currency basis.

The API business posted INR812 million in revenue, demonstrating a year -on-year growth of 16.1% and a quarter -on-quarter growth of 4.5%. The gross margins improved by 300 basis points on a year -on-year basis, rising from 45.2% to 48.2%. There was also a 120 basis improvement on a quarter-on-quarter basis from 47% to 48.2%.

Our EBITDA, pre -ESOP, for the quarter amounted to INR494 million, reflecting a strong year -on-year growth of 63.8% and a quarter -on-quarter increase of 10.5%. The EBITDA margins,

pre-ESOP, stood at 12.6%, delivering a healthy improvement of 340 basis points on a year -on-basis. Our PBT registered a very strong growth in Q3 of 444% from INR15 million last financial year Q3 to INR81 million in the current quarter.

Coming to the highlights of -- for the 9 months ended financial year '25, for the first 9 months of financial year '25, we achieved a total revenue of INR11,497 million, reflecting a year -on-year growth of 14%. The formulations business recorded INR8,849 million in revenue, contributing a year -on-year growth of 21.9%. And the API business posted INR2,509 million in revenue, reflecting a year -on-year growth of 7.8%, both on a constant currency basis.

The gross margin improved by 280 basis points from 44% to 46.8%, driven by focused strategic actions on our -- such as sales mix optimization initiatives and very selective price increase across regions to maintain our margins.

EBITDA delivery stood at INR1,424 million, which is a significant growth of 116.5% year -on-year basis. Our EBITDA margins, pre -ESOP, increased by 590 basis points on a year -on-year basis, increasing from 6.5% in 9 months financial year '24 to 12.4% in 9 months ended financial year '25, setting our strong focus on driving profitable growth across segment.

On a YTD basis, our PBT also grew very strongly by 149%. Coming to other key items. In Q3

financial year '25, we recognized a net monetary gain of INR5 million on account of the hyperinflation accounting adjustment as required under Ind AS 29 for our Turkey operations, which is -- which remains to be in a hyperinflation economy.

During Q3 '25, a forex loss of INR52 million was reported, primarily driven by the sudden depreciation in currencies of Brazil, BRL, and euro depreciation against the USD. Large portions of this forex loss is unrealized in nature and is required to be accounted following the relevant accounting standards. Further, the impacted currencies, as mentioned earlier, we have already started seeing a partial reversal in the subsequent month.

SeQuent Scientific Limited

February 13, 2025

Page 5 of 17

Regarding the tax and PAT, I need to highlight in Q3 last financial year '24, a onetime significant tax benefit was recognized in our Turkey operations due to change in hyper accounting methodology as mandated by Turkey's regulatory requirement. This has resulted in a onetime exceptional tax benefit for -- which was accounted in financial year '24, but would pertain to prior years from financial year -- including financial year '21, financial year '22 and financial year '23.

If we exclude this onetime Turkey exceptional tax benefit in last financial year, then even the PAT has shown a very strong growth of almost about 65% on a like -to-like basis for Q3 financial year '25.

Coming to update on the merger process progress. The merger scheme, which was approved by our Board of Directors, involves the merger of Viyash Life Science Private Limited and its subsidiaries as well as SeQuent Research, one of our wholly owned subsidiaries with SeQuent Scientific Limited. I am pleased to report that we have made good progress so far on the merger process as follows. The Board approval, as communicated last time, was received on 26th September, after which the process started.

The Competition Commission of India has already approved our application and the approval was received on 21st of Jan 2025. The scheme is under review by the exchanges and SEBI and that is going very fine. We expect the SEBI approval with changes to come soon. And hence, we remain on the guided time line for completion of the merger process.

In summary, our strong financial performance in Q3 and 9 months for the financial year '25 underscores the success of our strategic initiatives, focus on driving operational efficiencies and our unwavering focus on profitability. The progress we have made in our M&A act

ivities further

strengthens our foundation for long -term growth and expansion. We remain committed to delivering value for all our stakeholders and are confident in our trajectory towards the sustained growth.

With that, I now hand over the call to Dr. Hari to provide the details on the performance highlights of the Viyash Group. Thank you.

Hari Babu: So thank you, Saurav and Raj, for the update. I'm very happy to share we have strong consistent performance and also update on the merger scheme. Viyash recorded strong performance in this quarter with acceleration in revenue growth and margin expansion year -over-year. Our core strength remain R&D, manufacturing, IP and also business development activities.

These have been supplemented by efforts made over the last 24 months in development of high -margin complex products and also promoting those products, rationalization of low -margin business, which includes intermediate and continuous cost reduction program on the various products.

For this quarter, Q3 FY '25, our revenue grew by 19% year -on-year to INR384 crores and adjusted EBITDA grew by 68% to INR68.5 crores to the corresponding quarter last year. Viyash had EBITDA margins of 17.8%, which is almost more than 5.2% of corresponding quarter last year. Our 9 months FY '25, our revenue grew by 10% and EBITDA grew by again 42%. And

SeQuent Scientific Limited

February 13, 2025

Page 6 of 17

our 9 months EBITDA margins of around 17.4%, again, which is almost more than 3.9% over last 9 months.

So 9 months adjusted EBITDA is INR189 crores. In line with previous quarters, we have generated INR38 crores of free cash flow in this quarter, and INR177 crores of free cash flow in the last 9 months. Borrowings reduced by INR28 crores in this quarter and INR122 crores in the last 9 months. And of course, our net debt -EBITDA ratio is continuously coming down, which is at 0.4x now.

We want to reiterate that a lot of costs below EBITDA, particularly exceptional items, which are mostly related to merger activities. And one of the amortization of acquisition of intangibles when we acquired a few companies, actually, we had amortization intangibles, are largely

noncash and nonrecurring. So Viyash adjusted PAT, we presented in the investor presentation is an indicator of our steady -state stand-alone property -- properties, sorry. And also, it's reflected in our cash flows and continuous debt reduction.

Business growth is supported by investments in multiple strategic areas and a strong operating base, which we'll cover now. Our business has strong momentum across portfolio selection, validations, filings, launches and adding more geographies and more customers.

New product launches and filings. We launched 2 new products in this quarter in the U.S.A. and have filed 3 products in this quarter for U.S. and Europe. And as you know, our portfolio is very strong. We have 25 products in pipeline across different stages, and we completed 4 validations in last quarter. And also, we received 5 regulatory approvals in this quarter from various agencies. And these are in addition to what we do, CDMO and also CMO for big pharma as well as big generic companies.

We had touched upon our complex portfolio, market leaders, focus on innovative relationships. And our management team is continuously focused on cost improvement, of course, continuously adding new products and geographies in this quarter.

And now let me take you through merger update. For FY '25 Q3, combined revenues of 2 entities grew by 19% and EBITDA grew by 66%. And the combined EBITDA stands at INR118 crores this quarter, with 15.2% margins. For 9 months, combined revenue grew by 12% and EBITDA grew by 67%.

And combined EBITDA for 9 months is INR332 crores with 14.8% margins, of course, with improvement of 4.3% from last year. The combined net debt -EBITDA ratio is now 1.2%. It's continuously c

oming down, whereas in last quarter, it was 1.4. It's coming down to 1.2. And quarter-on-quarter, you can see that it's continuously coming down.

So now we have started to plan integration of 2 companies and realizing synergies, and we have received CCI approval as Saurav mentioned, and started prioritizing our 3 key synergies with multiple life areas. Of course, we also mentioned in a couple of are as in the investor presentation, and a few of them are like R&D. We strongly believe we have strong R&D strength and IP focus. Definitely, it's going to accelerate development for animal health products and which can realize very quick, I can say.

SeQuent Scientific Limited

February 13, 2025

Page 7 of 17

And of course, optimization is a key for entire group since we have large network, multiple sites, 15 sites all over the world. And our network optimization and also combined procurement can create a big synergies -- and in 12 to 15 months, we can say.

And coming to the business, we should be able to leverage our key relationship from both companies. Of course, we already started seeing from last quarter, a few companies started actually giving us more business from both sides. It has a couple of Viyash contacts actually adding business to SeQuent. At the same time, as we mentioned earlier, a couple of big pharmas also started approaching Viyash and a few products.

Others, of course, all other areas supporting functions, we started integrating. Maybe next 6 to 8 months, we are going to complete this integration activity. And most probably, all the synergies we are going to present sometime in Q1 FY '26 to our Board, and we'll share to the investors.

So the merger scheme, as Saurav mentioned, we already received CCI approval, and we're waiting for SEBI approval some -- and we are expecting sometime this month or next month.

Once we receive SEBI approval, we'll go to NCLT and it may take another 6 to 8 months. And I think overall activity is going to be complete by September or October, as mentioned earlier.

So with this, I will open for questions or clarifications. Thank you, everyone.

Rajaram Narayanan: Rituja, we can take the Q&A, please.

Moderator: Thank you very much. The first question is from the line of Jagdish Sharma, an individual investor. Please go ahead.

Jagdish Sharma: Congrats for an excellent quarter, especially on sales and EBITDA. I have a few questions. The first one is like what is our driving growth in the emerging markets and Europe? My second question is like are margins improving in all our business segments? My third question is, will we cross INR1,500 crores of sales in FY '25? And my last question is like what is -- why is our PAT is not moving at par with our EBITDA this quarter? And what is our plan for it?

Rajaram Narayanan: So these are the 4 questions?

Jagdish Sharma: Yes, sir.

Rajaram Narayanan: Okay. So let me answer some of them. So firstly, first, what is driving growth for us, both in emerging markets and Europe? It's the work which has been done in, as I said earlier, on the product mix as well as new launches and pricing. Specifically, if you look at it, our biggest market and emerging markets is Turkey.

And in Turkey, we have stabilized the business, and we are seeing growth coming both on volume as well as on pricing. In addition, exports, which is a priority in Turkey because it is a

good base, and we have a strong manufacturing unit there. Our exports have started growing out of Turkey to the neighboring North Africa, Middle East region.

As far as Europe is concerned, the volume growth has started in Europe. We are also launching -- in fact, we have launched new products in the area of companion animals and that is getting

SeQuent Scientific Limited

February 13, 2025

Page 8 of 17

us growth. And in both these markets, growth typically keeps happening because in the first

phase, you launched within the country.

And then in subsequent quarters, you start expanding it to the other markets. So you would launch in Spain, which is where we have the base, and then we start expanding it to other countries in Europe and sometimes even outside of Europe. So that's how -- once you launch a product, you are able to, over the next 2 to 3 quarters, get your growth by expanding it. So that's really the reason why we're getting the growth over there.

The second piece in terms of margins, I think we have shared before, margins are a combination of product mix. They're a combination of some work which has been done in the area of cost improvement program, and, of course, pricing, particularly. In an inflationary economy, we've managed to get prices without actually having any volume impact of significance.

The third question, will we reach INR1,500 crores in India on SeQuent? I obviously can't give you any guidance on that. But mathematically, if you look at it, I think you can calculate what the fourth quarter could be, assuming that it is pretty much close to the current one. So we should be getting past that, at least in terms of the direction we are in right now.

I think the last one you have is on why is our PAT, and I think Saurav explained that. It was -- one is that in the same quarter last year, we had had an exceptional gain in terms of a tax benefit in Turkey on account of local accounting requirements. And therefore, if you really look at it, it is more an impact of that base, which is why it is looking like the PAT has declined. But otherwise, on a stand-alone basis, I mean, if you exclude for that, PAT is, in fact, also improving. Nevertheless, I think going ahead, our focus is as we look at both finance costs as well as our capital investment, which we will be through the synergy of the merger improving, we should be able to consistently improve on our PAT.

Moderator: The next question is from the line of Shivani from Monarch Network.

Shivani: Congratulations on the good set of numbers. Sir, a couple of questions. One, I wanted to understand that what is the seasonality pattern. We have -- while we are seeing growth in emerging markets quarter-on-quarter, in Europe and Indian market, the growth was slightly muted. So one, I wanted to understand that.

And secondly, if you can also give me a split between -- split of growth from product launches, volume and price. Third, I wanted to understand the Zoetis product status in Indian market. And lastly, what is the weight of companion animal health products in our portfolio?

Rajaram Narayanan: Okay. So first question on seasonality. I think seasonality is there in every individual country. If there's no seasonality as such across the sector, so therefore, you will find different impacts coming on that. For example, in India, typically, the seasonality is there because quarter 3, you tend to have a reduction in terms of some of the prevalence of diseases as well as the requirement for these medicines.

SeQuent Scientific Limited

February 13, 2025

Page 9 of 17

So you will find typically sequentially quarter 3 tends to be lower. But I think year-on-year, you will continue to see the growth because of the activities that we are doing. And the same thing applies in other countries as well. It is a combination of when the -- what's the kind of mix you have, whether you have companion animals, whether you have production animals.

So there is always seasonality in this in different countries. But I think what we should be focusing on really, we should be looking at is on a year-on-year growth, which is coming in the respective markets. And we are happy to say that, that is something which is consistently coming over there.

The second question on volume, new products and price. Pricing typically has been different. I think in most countries, we would be expecting a

pricing growth of between 3% to 5% on a full

year basis. And in markets like Turkey, of course, it would be substantially higher going well because of the high inflation because the inflation there is well into 40% plus. And therefore, we obviously take prices much more.

So typically, in our basket, if you look at it -- if you say that we grow between 10% to 12%, you should have about 1/3 in each of this. So you tend to have about 4% to 5% coming from pricing,

about 4% to 5% coming from volume. And then at this point of time, about 2% to 3% coming from new products.

That's the typical combination which is there in this business. But our effort is really to accelerate the contribution of new products. Last quarter, we began to see a higher combination coming from -- contribution coming from new products because of some of the launches which we have done have now begun to roll out to other markets.

On the Zoetis distribution status, yes, we've been -- there has been a product which was discontinued by Zoetis some time ago due to manufacturing issues. And therefore, that is still impacting us in terms of part of the base. But we understand from our partners that they have made alternative arrangements to resume manufacturing of that product.

And therefore, we expect it to come back somewhere in the next 2 to 3 quarters because it is rearrangement of some of their manufacturing facilities and, therefore, they have put a stop to that for some time. But that should continue and come back to us in 2 to 3 quarters. But obviously, we are -- our growth is without that. So we are now beginning to grow even the business, which is without the Zoetis distribution at a much, much faster rate than what we had earlier.

On the contribution of companion animals, varies country to country, depending on whether it's distribution or not. India, we don't have companion animals. In Europe -- in some parts of Europe, it is as high as 30% to 40%. So when I would say on an aggregate basis, it is probably between 5% to 8% companion animals' contribution right now on the front. Thank you.

Moderator: The next question is from the line of Harshit Dhoot from Dymon Asia Capital.

SeQuent Scientific Limited

February 13, 2025

Page 10 of 17

Harshit Dhoot: Just a few questions, sir. So the emerging market did phenomenal business during the quarter.

So can we assume that this run rate is sustainable going forward as you have launched your products in the multiple new countries? This is the first question.

And the second question is, as we have started manufacturing from the Turkey and we have started exporting from that market, so what kind of the cost benefit that we are getting? And what -- how should we foresee the gross margin going forward?

And the third thing, we are hearing the bulk cases have started to rise again. Do we have exposure there, specifically in the U.S. markets because we report the Europe, emerging markets and all?

So are we having exposure there? And the last thing that you highlighted earlier, the margin expansion will continue with the new CIPH initiatives. So can you please throw some light on that?

Rajaram Narayanan: So I couldn't hear you very clearly, but I think the first question of yours is that if the emerging market growth, is it sustainable? And what would it continue, right?

Harshit Dhoot: Yes. Yes, sir, because its quarterly run rate was very strong, right? From INR115 crores, INR120 crores, we have jumped to around INR137 crores. So this quarterly run rate is sustainable?

Rajaram Narayanan: So I think we are -- more than the run rate, I think the fact that we should be growing in double digits in emerging markets is what we should anticipate going ahead on a quarter-on-quarter basis. There will obviously be some variations depending on which of the emerging markets is seasonal, non-seasonal at that time. But -- and again, our emerging

markets are founded on a very strong basis.

Turkey is a very strong manufacturing and local export base for us, so is Brazil. So these are both part of the emerging markets that we have. So it's not just a trading operation for us. Therefore, we expect that you should -- we should grow at double digits in emerging markets year-on-year. On a sequential basis, I guess, we'll hopefully show continuing growth all the time. On the second part, on Turkey manufacturing, it's -- of course, there is cost competitiveness having in Turkey. But Turkey, we already have an existing plant. Our growth is coming for 2 reasons. One, we have used Turkey as a base to start exporting to regional North Africa and Middle East markets, which are fast-growing animal health markets, particularly for the portfolio, which is presently available in Turkey. And we have an injectable manufacturing plant, which is not many companies have an injectable manufacturing plant in that region. And therefore, that's an area which is for us growing.

Second is that we closed our operation in Germany last year. But some of the products from Germany are being transferred to Turkey. So we do not want to lose the market opportunity for those products. So one time, we do have a drop in sales, which used to be earlier from Germany. But now we expect those sales to be revived out of Turkey. And therefore, some of that will come back and that's how we see growth coming from Turkey.

Gross margins, I think in Turkey, as you begin to get volume, you should get some advantage because at this point of time, the currency is not sort of declining as sharply as it used to, say, 2

SeQuent Scientific Limited

February 13, 2025

years ago. And the government policies generally have also been very prudent, and we are seeing, therefore, a stability in that market.

I didn't understand the question on U.S. markets, whether the current situation is impacting us?

Harshit Dhoot: No, no. So sir, do you have exposure in the U.S. market, because we are hearing that bird flu cases have started to increase there? So are we catering to the bird flu segment as well?

Rajaram Narayanan: What segment? So we don't do any formulations to the U.S. at all, okay? From SeQuent, there is, of course, a strong business, which Viyash has, and I'll ask Dr. Hari to talk about it on the exposure to the U.S. But we do not -- on the API side, of course, we have a U.S. FDA plant in Vizag, and we have 9 of them in Viyash. So there is APIs which are going to the U.S. But at this point of time, I'm not seeing any big risk on that. Dr. Hari, on the U.S. part?

Hari Babu: I think instead of seeing risk, we can see the opportunity for us. So human health, we have U.S. presence, of course. Good part is we have a manufacturing site in the U.S. If at all there is a positive, that will be upside for U.S., if any actions comes from Trump.

Other area where we can see a lot of potential for animal health. So U.S. generic is catching up a lot for animal health that we see last 6, 8 months. Lot of clients are asking actually to launch those. I think we can see the U.S. potential for API, selling API -- animal health API business to the U.S. And also maybe in future, we are going to explore formulation for animal health also. And we don't see any risk at this point. We have a small exposure of U.S. formulation. But definitely, that will have some additional advantage for that.

Harshit Dhoot: Okay, sir. So do we also cater the bird flu segment as well?

Hari Babu: No. Bird flu not right now.

Rajaram Narayanan: No.

Harshit Dhoot: Okay. And on, sir, opex part. This quarter, it was a bit higher side. So you described it in the PPT that because of this inflationary environment in Turkey and spending for the domestic market, so from what -- how should we see the opex part going forward? It will kick into the revenues going forward and

then it will normalize on the margin part? How should we see that?

Rajaram Narayanan: I think clearly, going forward, we expect that as the merger proceeds and as the scale improves, opex as a percentage should start moving down, at least for what is not business development - related opex, right, from the normal sort of G&A and things like that. But I think here, there has been a onetime thing. It's not exactly one time because there has been a union wage settlement, which has happened in Turkey because of which the base has got revised. And then it remains steady for union arrangements for a long period of time. So that's why there's a bit of change in the opex.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment.

Bharat Sheth: Mr. Rajaram and Hari Babu, congratulations on good performance. Sir, first of all, I have one question on -- some of the questions on SeQuent. Now export out of Turkey has already started, SeQuent Scientific Limited

February 13, 2025

Page 12 of 17

so how do we see going ahead that can play as a natural hedge so that, I mean, the currency fluctuation really do not affect us?

Rajaram Narayanan: So is there any other question, Bharat bhai?

Bharat Sheth: Yes, yes. And second is now when we have started also in -- expanded our footprint to Mexico and Peru in South America. And third, you have stated in your opening remarks that now we'll see the accelerated growth. So if you can give some color on the SeQuent part, that will be of great help. And then I have some strategic questions. I'll come back.

Rajaram Narayanan: Okay. So the first question on Turkey, this thing, yes, we import APIs and some packing materials, et cetera, into Turkey, either directly or indirectly. And our exports today have -- from this -- last quarter onwards, actually started exceeding the imports that we have. And therefore, we now have a pretty natural hedge as far as currency is concerned, and we expect the exports to keep growing well ahead of our imports.

So while, of course, that does not mean that we will not have currency fluctuations during an in - quarter thing. But on an annualized basis, we are protected from that. And that has been an effort now for some time. And so that, of course, will keep growing in our view on exports on Turkey, yes. So that's -- unless something very adverse happens, the business is now naturally with exports more than imports.

The second question, Bharat bhai, you had is on what we are expanding and what is going to be the growth. Yes, I think we are now in a position -- we have been guiding for a while that we expect to do double -digit growth on the business, both on top line and on margins, EBITDA, we were looking to move closer to 15%. I think we are now in a position where our top line should grow double digit more and more comfortably as we began to expand into some other countries. I can't -- Mexico, Peru, et cetera, were not part of our agenda earlier. But now we have started

using Brazil as -- because it's stabilized over there as a base for the rest of Latin America. And these are strong markets for animal health. So these will come. We'll probably share a bit more when we have stronger sort of base. Right now, it's early quick improvements that we are getting in these markets.

I will leave you to ask the other questions to Dr. Hari, the strategic ones you had.

Bharat Sheth: Yes, Sir, I mean now over the past 9 months, our growth was a little -- I mean, kind of a high double -- high single digit or low double digit. From this quarter onward, we have -- our growth is high teens. So how do we see -- I mean, from here onward, we are -- I mean, growth as well as EBITDA margin, whatever we have expanded, where do we see?

Hari Babu: So let me start with Viyash. So you must have seen actually year -on-year, it's close to 20% growth on top line. And EBITDA margins

are very high. As I explained in my previous quarter

meetings also, if you can see our opex percentage versus the top line, opex remains stable. Why?

Because our utilization is keep on growing quarter -on-quarter. Since opex remains same, our EBITDA margins are continuously growing.

SeQuent Scientific Limited

February 13, 2025

Page 13 of 17

So this is going to continue definitely in the next couple of years. Why? Because still our capacity utilization is around 60%. And we have at least, if not 100%, 20%, 25% free capacity to add product. And also, as you know, API business, every year, 10%, 15%, we can improve capacity without adding any capex while doing cost optimization. So this will continue.

Definitely, we'll grow double digit. Absolutely, no issue on that.

And also our recent investments last 12, 24 months, you must have seen a lot of products have been developed and filed. And recently, we also added onco portfolio. A lot of products are coming in the onco portfolio. And in addition to that, we also started developing a few things for CDMO, especially for big pharma and also the big generic. That's continuously adding.

Last 2 quarters, it's added reasonable in addition to whatever our internal products we filed. Last 9 months, we must have added at least 6, 8 products under the CDMO or CMO activity. So that activity is growing. So Viyash is going to grow continuously, definitely double digit. And EBITDA will be stabilized at some point of time, may not be 60%, 70% level, but it will be always better than the top line growth next couple of years.

And when it comes to combined, and definitely, I can say combined company growth. As we mentioned, the synergies -- a couple of synergies, we are very actively working on that. So while improving the capacity utilization, same as Viyash, combined entity also margins are going to grow because we don't need to add any additional people or much capex. Of course, there will be some optimization capex continuously. But it's going to benefit combined entity near term, midterm as well.

And the synergies, whatever initiated, definitely, it's going to contribute in midterm. A couple of things may not contribute in short term, whatever the sales expansion or whatever synergies, optimizing a few things. So it's going to show maybe in 12 or 18 months. So we are pretty confident this will continue to grow. Next 3 years, actually, definitely, we'll be a very strong growing company combined entity.

Bharat Sheth: Hari Babu?

Hari Babu: Yes, sir. Yes.

Bharat Sheth: In current year, I mean FY '25, we will be -- combined entity will close somewhere around INR3,000 crores. And for '27, we were looking for kind of INR4,000 crores. So with this kind of now background and you're having -- coming both the company more closer, so do we see that there is an upside room to grow above INR4,000 crores at the end of '27 because the kind of portfolio, geographic expansion and newer -- higher growing category is helping us?

Hari Babu: Normally, okay, as a principle, we don't give guidance, but we can expect very strong growth in FY '26 -'27. Definitely, '27 is going to be much, much stronger because whatever initiatives, it takes 24 months. Already, we started those initiatives. But FY '26 also, we'll be growing very strong, both top line and bottom line. I can't disclose the number, what is that, but we'll reach our expectations.

SeQuent Scientific Limited

February 13, 2025

Page 14 of 17

Moderator: Sorry to interrupt. May I request Mr. Bharat Sheth to return in the queue. We have participants waiting for their turn. The next question is from the line of Thomas from AlphaCredit.

Thomas: Would it be possible to provide some more color...

Moderator: Sorry to interrupt. May we request you, Mr. Thomas, to speak a bit louder? We are unable to hear you.

Thomas: So currently, the SeQuent margins are cl

oser to 12.5%. If you could provide some color on what will help to ensure that it moves closer to the 15% band over the next 12, 15 months? That was one. And two, on Viyash, as we hope to have higher growth, the new opportunities, which we are looking on the CDMO space is more in the area of human health or we are exploring more in the area of animal health? If any color could be provided?

Hari Babu: Okay. I will answer both. SeQuent margins improvement, 12.5% right, to high teens, whatever we are talking. So it's actually -- gradually, it's going to increase in the next 12 to 18 months. A lot of initiatives have been made in SeQuent, okay? Viyash is going to help a lot in R&D as well as manufacturing. And SeQuent continuously doing cost optimization. There are 2 parts. One is optimizing, manufacturing network and R&D, it's going to create a value, which will definitely improve margins.

And also utilizing manufacturing network. So we see a couple of opportunities to grow API business, especially in a lot because the most important area we are focusing next 12 to 18 months is the API improvement. Formulation is doing pretty good. So we are pretty confident actually in the next 12 to 18 months, SeQuent is going to grow more than 15%, 16%. And the 2 fronts, one is optimizing those things and helping from Viyash perspective.

The second question you were asking Viyash, actually, the CDMO and CMO. So as you see, we initiated CDMO last 1.5, 2 years, with big pharma -- mostly life cycle management with big pharma. Already, we supplied a few products, in fact, 3 products, which are the large volume products. We supplied and also they started qualifying our products. But you know innovators, it takes normally 2 to 4 years depending on the market.

So we started validating, they started filing. So that business is going to start in FY '26, a few advanced intermediates as well as API. But definitely, FY '27, it's going to contribute substantial amount on those things. Those products are going to qualify as per their global requirement as a primary source. That means whatever they have business, we are going to get major chunk from that.

In addition to that, a couple of areas, especially complex molecules, we tied up with a few big generic companies, okay? Even though it looks like generic, but it's not generic, it's a generic plus one where it requires lot of chemistry involvement as well as side things. So we tied up with few molecules with them.

So most of those things are coming for launch after 27. These are complex molecules always, you know. Either actually limited competition molecules where there were no players, or NC minus one kind of thing. So we are working with a few big generic companies on CMO. And SeQuent Scientific Limited

February 13, 2025

Page 15 of 17

also there are a few part of [Gen 0:50:58] development projects at R&D and manufacturing, and also marketing.

So these things are going to contribute big from FY27. Of course, even this year also it's contributed well on validation quantities. We did at least seven, eight products validation for in these areas. So it's continuously to grow, because one advantage with this is when you tie up with big companies, you have advantage to launch early. Anchor customer to launch day one. That will boost a lot for companies. So we can see a lot of activities, CDMO, CMO, in these areas next two years.

Moderator: Thank you. The next question is from the line of Himanshu Binani from Anand Rath.

Himanshu Binani: Congratulations on a good set of numbers.

Moderator: Sorry to interrupt you, Mr. Binani. We are unable to hear you, sir. Your voice is breaking.

Himanshu Binani: Congratulations on a good set of numbers. So sir, I have like a few questions largely for the margin side. So just wanted to have a sense in terms of how do you guys actually calculate the contribution of new

products in that particular quarter. So in your opening remarks, you highlighted that the contribution has been like somewhere around 2 - to 3-odd percent. So these are the products which are actually launched during this last quarter? Or how do you see that? So is it the products which are getting launched over the last 1, 2 years?

And the second question is largely on the margin side. So maybe if you can like help us understand in terms of the margin or the gross margin differential between the new launch product and the traditional ones?

Rajaram Narayanan: Are you asking specifically for SeQuent or for both the companies?

Himanshu Binani: Sir, both the companies.

Rajaram Narayanan: Okay. So maybe...

Hari Babu: So I think one is that 2% may be related to SeQuent, right? But overall, actually, the new products, there are 2 things. One is when you supply validation quantities, margins is one thing. When you launch new products, margins is other thing. So in that, if I look at the margins for our API business, Viyash perspective, there are 2 types of launches.

One is matured product launches. And the other one is the new product launches like you are entering day 1 for developed markets. So matured product launches, it's more or less same as

our average regular manufacturing product. So when it comes to new product day 1 launches, those launches are much better than the average mix of regular products. So it's both. Actually, we do both. Actually, a few products, Viyash, we do day 1 launch and also a few products. If we are lucky, we may get exclusivity, still we are hoping actually a few exclusivities soon. Those margins are pretty good. But day 1 margin product launches, margins are much better than at least maybe I can say more than 10% from the existing base. I think

SeQuent Scientific Limited
February 13, 2025
Page 16 of 17

SeQuent also is more or less applicable thing, whatever we launch, the new product launches are better than...

Rajaram Narayanan: Yes. Typically, new product launches tend to be improving the margin. That is the direction. Second, on formulations in general, we look at -- it takes about 24 months to -- from the launch in the first market to registration and expansion in the last targeted market, which we will have, right? So when we talk about growth coming from new products and formulations, it's typically from sales of the product from 24 months before to now. That's the broad period taken for registering sales. So the product should have been launched in or introduced first time in the last 24 months.

Moderator: The next question is from the line of V.P. Rajesh from Banyan Capital.

V.P. Rajesh: Congratulations on a good set of numbers. My question is more around the synergies and more qualitatively. Just trying to understand on the distribution side, what kind of synergies do you expect? And on the manufacturing side, meaning like if you use the same facilities both for human products as well as the animal product? And similarly on the distribution side, if you can elaborate a little bit more if the selling process or the distribution partners are same? So that's really what I was trying to get a better handle on?

Hari Babu: Okay. Thanks for that. I think 2 parts. One is distribution. Since both businesses' distribution channels are different, we don't see much synergies in near term in distribution, especially formulation distribution. When it comes to API distribution, definitely, there's a cross-selling opportunity. We started seeing for both companies where Viyash have 2 business, generic actually is a lot of traction coming from that, [inaudible 0:56:48]

Moderator: I'm sorry to interrupt you, sir, we are unable to hear you clearly. Can you please repeat?

Hari Babu: Okay. Is it clear now?

Moderator: Yes.

Hari Babu: Okay. I'm sorry for that. I don't know. So I started with the distribution. Formu

lation distribution,

since both companies' distribution channels are completely different, we don't see much synergies in the near term. Long term, once we start establishing or promoting human health, formulation in these countries are different. But at least near, midterm, we don't see much synergies for distribution and formulation.

When it comes to API distribution or sales, but definitely we see a lot of synergies in that cross-selling. Already, we see some of the important things are going up. Since animal health business has started catching up in U.S. generic, we see a lot of cross-selling opportunities for animal health. Same way when we started talking to big pharma, especially CDMO, and we see some opportunities for Viyash on that perspective.

Okay, the second question, other synergies, definitely short term, midterm, we see a lot in especially API, R&D, manufacturing, sales as well as other functions. So already, we started integrating R&D. We have started helping SeQuent in R&D, both new products development as

SeQuent Scientific Limited

February 13, 2025

Page 17 of 17

well as optimizing existing products. That's going to add a lot of synergies very soon. Then manufacturing, we are going to -- is it clear now? Am I audible?

Moderator: Yes. In between, again there was a disturbance.

Hari Babu: I don't know, a lot of noise is coming somewhere. So when it comes to manufacturing, this is a bigger area since we have large manufacturing network, large procurement setup and large supply chain or distribution thing. And we see a lot of synergies in that. So a couple of things, network optimization and procurement synergies, whether actually buying together or definitely optimizing some of those things. And definitely, shared service or support functions, we are going to bring together.

There will be some optimization on those areas. But these are the major areas, R&D, manufacturing, support functions. We can't give the exact number, but I see there's a large potential. It's not only closing the site. One is, how best we can utilize more. But definitely, if it's required, actually, we'll optimize 1 or 2 sites also to benefit that. We can see substantial synergies in these areas next 18, 24 months.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Rajaram Narayanan: Thank you for attending this call. It is -- we're very happy that this has been a strong quarter, and you are seeing the direction moving up. And I think we will have more to report on both the business as well as the progress of the merger. And as Dr. Hari said earlier, we will have more granular sort of details in terms of some of the synergies and other plans that we have going ahead. So we look forward to seeing you at the next call, and thank you, and have a good day.

Hari Babu: Thank you, guys. Thank you.

Saurav Bhala: Thank you all.

Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office: 3rd Floor, Srivalli's Corporate, Plot No. 290, SYN 33 34P TO 39, Guttala Begumpet, Jubilee Hills, Hyderabad - 500033, Telangana

Office: 301, 3rd Floor, Dosti Pinnacle, Plot No. E7, Road No. 22, Wagle Industrial Estate, Thane (W), Mumbai - 400604, Maharashtra

Tel No.: +91 9391139986 / 22-4111 4777 | CIN: L99999TS1985PLC196357

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

National Stock Exchange of India Limited

Exchange Plaza,

Bandra-Kurla Complex,

Bandra (East),

Mumbai - 400 051 May 29, 2025

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001

Scrip code: 512529 Scrip code: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call

Transcript for the quarter and Year ended March 31, 2025

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Audited Financial Results of the Company for the quarter and year ended March 31, 2025.

The same is also available on the Company's website at:

Financial Overview - SeQuent

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,

For Sequent Scientific Limited

Yoshita Vora

Company Secretary & Compliance Officer

Page 1 of 18

"SeQuent Scientific Limited

Q4 FY25 Earnings Conference Call"

May 21, 2025

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR

AND CHIEF EXECUTIVE OFFICER– SEQUENT

SCIENTIFIC LIMITED

DR. HARI BABU BODEPUDI – WHOLE TIME DIRECTOR

AND CHIEF EXECUTIVE OFFICER – VIYASH LIFE

SCIENCES

MR. RAMAKANT SINGANI – CHIEF FINANCIAL

OFFICER – VIYASH LIFE SCIENCES

MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER –

SEQUENT SCIENTIFIC LIMITED

MR. ABHISHEK SINGHAL – HEAD OF INVESTOR

RELATIONS – SEQUENT SCIENTIFIC LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to SeQuent Scientific Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.

Abhishek Singhal: A very good morning to all of you and thank you for joining us today for SeQuent Scientific's earnings conference call for the fourth quarter and full year ended financial year 2025.

Today, we have with us Mr. Rajaram, MD and CEO of SeQuent Scientific; Dr. Hari Babu, Whole-Time Director and CEO, Viyash Life Sciences; Mr. Saurav, CFO, SeQuent Scientific; and Mr. Ramakant, CFO, Viyash Life Sciences, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange website. The transcript of this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Rajaram to make his opening remarks.

Rajaram Narayanan: Thank you, Abhishek and good morning, everyone, and a very warm welcome to all the participants. Joining me on this call is Dr. Hari Babu, Whole-Time Director and CEO of Viyash Life Sciences, along with Saurav Bhala, the CFO of SeQuent and Mr. Ramakant, CFO of Viyash.

You would have gone through the results and the investor presentation, which was released yesterday for the financials of quarter 4 and full year financial year '24-'25. My colleagues on the call and I are delighted to share with you more details and answer your questions today. Coming to the performance of this quarter, I'm pleased to announce that we continued our strong performance and closed the last quarter of FY '25 with revenues of INR4,017 million, which is INR401.7 crores, reflecting a double-digit growth of 11.2% over the same quarter last year. I'm also happy to share that this quarter's revenue has been the highest in the last few years and continues on the trend of sequential growth that we are seeing every quarter. This performance came in with a 38.7% growth in our pre-ESOP EBITDA, which grew to INR56.9 million crores or INR569 million, which translates to a margin of 14.2%, which is broadly in line with the guidance that we have given for the exit margin for the year.

SeQuent Scientific Limited

May 21, 2025

Page 3 of 18

The company sustained the strong momentum during the year as a result of various initiatives that it has undertaken over the last 18 months to strengthen the business fundamentals and prepare us for the next phase of growth.

Coming to the performance for the full year, financial year '24-'25, our revenues grew at a healthy 13% to reach INR15,516 million, which is INR1,551.6 crores. And at an EBITDA pre-ESOP of INR199 crores, that's a very, very healthy growth year-on-year. While Saurav will talk a bit more about the financials in more detail, let me cover some aspects of the business. Our formulations business, which is the largest part of the company, continues to trend very well. It sustained the high base of the last quarter. And on a year-on-year basis, it has grown in healthy double digits, nearly 20%, and that was driven by a strong performance across all geographies.

In Europe

, the growth in the year was led by new sales avenues, which were created, especially in vaccine partnerships, higher exports from Europe, as well as the expansion of the fast-growing CytoSolutions segment. In emerging markets, the 26% growth was supported by a change in product mix towards better margin products, organization restructuring in Mexico, higher export volumes from Turkey, along with some very judicious price increases across the board.

We believe that our position in these local markets, where we have teams over there, allow us to maintain a unique position in the key animal health markets of those countries and the regions which they are present in, and that remains a strategic priority for us in the long run as well.

We've also initiated groundwork for the entry of the CytoSolutions portfolio in the Latin American region.

The formulations business in India is a top priority for us. It has continued to do well on the back of field expansion that we undertook during the year, and that has resulted in a 13% year-on-year sales growth, which we expect to accelerate in the coming year. To further our presence,

we have identified the next set of levers, which are required to build this business, and it includes a second phase of field expansion in the early part of FY '26, as well as new product introduction. We believe this will go a long way in building a very strong foundation for deeper penetration in India, while also providing a platform for our brand-building efforts.

On the API front, I'm quite pleased with the transformation in the business. The strength is visible in the improvement of margins and sequential recovery. We expect to see the acceleration from quarter 1 this year. Importantly, the fundamentals for growth are in place.

We filed 2 VMFs during the year, and our sales from our top customers, the top 10 customers grew vis-a-vis last year, and the contribution has increased from 51% to 54% during this year. We also received WHO prequalification for albendazole and many prestigious awards for safety and quality. The long-term relationship that we have with our global formulation companies helps us partner them in new product efforts, and we expect to see some of the new business materialize in FY '26.

With the forthcoming merger, we expect the benefits of R&D and manufacturing to flow in, thus enabling us to grow faster and build new segments such as companion animals. I would like to

SeQuent Scientific Limited

May 21, 2025

Page 4 of 18

take this opportunity to thank the entire team of SeQuent Alivira and all the stakeholders involved for their efforts and the support that they have provided this year, which has resulted in a strong performance for the year, but more importantly, created the platform for future growth.

I will now hand over to Saurav to share the financial details of SeQuent and then invite Dr. Hari to share the highlights of the Viyash performance. Over to you, Saurav.

Saurav Bhala: Thank you, Raja. Good morning, everyone. It's a pleasure to join today and share key highlights into the strong financial performance of SeQuent Scientific Limited for quarter 4 and for the entire financial year financial year '24 and '25. I'll also provide an update on the progress of our strategic merger.

Starting with the Q4 highlights for SeQuent Scientific Limited. In Q4 '25, we recorded a total revenue of INR4,017 million, reflecting a strong growth of 11.2% year-on-year basis and a 2.8% growth on a quarter-on-quarter basis. Our formulation business reported a revenue of INR3,015 million, delivering a 22% year-on-year growth. The API business generated INR869 million in revenue, delivering a 7% growth on a quarter-on-quarter basis.

Gross margin saw a notable improvement of 420 basis points on a year-on-year basis, increasing from 46.1% to 50.3% in quarter 4. On a sequential basis, margins improved by 210 basis points, up from 48.2

% to 50.3%.

Our EBITDA pre-ESOP for the quarter was INR5,691 million, reflecting a robust growth of 38.7% year-on-year basis and a 15.5% rise on a quarter-on-quarter basis. The EBITDA margin stood at 14.2%, up by 280 basis points year-on-year basis and 160 basis points on a quarter-on-quarter basis. The profit after tax for the quarter stood at INR103 million, improving substantially from INR13 million in Q4 of last financial year, which is a very remarkable growth of about 712%.

Now coming to financial highlights for the entire financial year '24-'25. For the full year, the total revenue delivered is INR15,514 million, marking a 13.3% year-on-year growth. The formulation business contributed INR11,858 million, registering a 19% increase on a year-on-year basis. The API business reported a revenue of INR3,378 million, reflecting a growth of 4% on a year-on-year basis.

Gross margins for the year improved by 320 basis points from 44.5% in the last financial year to 47.7% in the current financial year, driven by the various strategic initiatives, including our sales mix optimization, geographical expansion, deeper market penetration and selective pricing actions across geographies.

EBITDA pre-ESOP delivered is INR1,993 million for the financial year '24-'25, delivering an impressive 18.6% growth on a year-on-year basis. The EBITDA margin expanded by 500 basis points, increasing from 7.8% in financial year '24 to 12.9% in financial year '25. This reflects our consistent focus on driving profitable growth.

SeQuent Scientific Limited

May 21, 2025

Page 5 of 18

We achieved a significant turnaround in PAT or profit after tax, improving from a loss of last year to a profit of INR322 million, a remarkable growth of 208.9%. Now coming to the update on the merger process. I'm pleased to share we have made meaningful progress on the strategic merger of Viyash Life Science Limited and its subsidiaries, along with one of our subsidiaries, SeQuent Research Limited into SeQuent Scientific Limited.

The milestone achieved so far are as follows: We got the Board approval for the merger on 26th September '24. We got the Competition Commission of India approval on 21st Jan '25. The stock exchange approval is currently under progress and is at an advanced level. We expect the approval soon. Upon receiving the exchange approval, the scheme will be submitted to NCLT or National Company Law Tribunal for the final clearance.

In summary, our performance for Q4 and the full financial year '24-'25 reflects the strength of our strategic plan and execution excellence, focused on driving the profitable growth as a central theme. We are more confident than ever for the stronger growth continuity in the coming quarters based on the robust foundation created. We remain committed to creating enduring value for all our stakeholders.

With this, now I hand over the call to Dr. Hari, who will take you through the performance highlights of Viyash Group. Thank you.

Hari Bodepudi: Thank you, Saurav, and Rajaram. Congratulations to SeQuent team, entire team, for great performance. And good morning, all, guys. Let me take you through the Viyash performance now.

Viyash recorded strong performance in Q4 with the acceleration in revenue growth and margin expansion year-on-year. As you know, our core strength remain R&D, manufacturing, and intellectual property.

For Q4 FY '25, revenue grew by 15% to the corresponding year last quarter of INR370 crores and adjusted EBITDA grew by 93% over last year same quarter to INR65.3 crores. Viyash had strong EBITDA margins of 17.6%, continuously improving that EBITDA.

For full financial year, consolidated revenue of INR1,458 crores represents growth of 11.2% when compared to FY '24 revenue of INR1,311 crores. Adjusted EBITDA for the full year FY '25 INR254.6 crores represents a growth of 52.4% compared to FY '24 EBITDA. And EBITDA percentage improved from 12.7%

in FY '24 to 17.5% for FY '25.

During the year, financial year FY '25, the business has generated healthy free cash flow of around INR201 crores. This shows that actually the company balance sheet. And also, we repaid borrowings, about INR145 crores during FY '25. So with this repayment, our current debt actually remains at around INR74 crores and net EBITDA ratio is around 0.3x.

We want to reiterate that a lot of costs below EBITDA, particularly exceptional items and amortization of acquisition intangibles are largely noncash or nonrecurring and steady-state PAT margins, excluding exceptional items this year should be above 10%. And also this is reflected SeQuent Scientific Limited

May 21, 2025

Page 6 of 18

in our free cash generation of INR200 crores in FY '25. Business growth is supported by investments in critical areas and a strong operating base, which we'll cover now.

Our business has strong momentum across portfolio selection, validations, filings and launches. New product launches and filings, we filed 4 new products in last quarter, and also we filed 3 products in this quarter. Strong portfolio selection, of course, we have strengthened R&D and portfolio. So we have 25 products in our portfolio, which includes a lot of NC minus 1 and also CCT. We completed 4 validations this quarter, and we got 6 regulatory approvals from various countries.

Operating base. We look at our business across 3 segments, and these are covered on Page 18.

For API++, as you know, we have a well-diverse portfolio of 70-plus products commercially, which includes high value and most of the products are a little bit differentiated and medium volume products. And also this reflects our top 10 products has grown at 23% CAGR over the last 3 years and an average of very strong material margin of about 58%.

As you know, we have a global customer base across 150-plus countries. And we have an extremely backward integrated manufacturing setup with cost leadership and have cleared multiple regulatory audits over the last decade. And even this week, there's a Europe audit is going on at one of the site, it's going pretty well. So we are capable to handle multiple inspections, whether USA or Europe, any country, and strongly capable to manage everything. As the business has grown, we have leveraged our innovator and large generic customers to build our development business. This is a key area for our future growth. We have added almost 10-plus development contracts over the last 2 years, which includes couple of products like the life cycle management for innovators, as well as a few contracts with complex generic companies.

We have a few small formulation business, as you know, in the U.S. with local manufacturing. We are moving that business to complex portfolio and integrating with our API to get cost leadership.

Now moving to combined performance and merger benefits. For Q4 FY '25, combined revenue of the 2 entities grew by 13% year-on-year and EBITDA grew by 63% year-on-year. The combined business had an adjusted EBITDA of INR120 crores in Q4 with 15.8% margin. For

FY '25, combined revenue of the 2 entities, 12%, and EBITDA grew by 66% year-on-year. So the combined business had an adjusted EBITDA of INR450 crores with 15.1% margin. The combined net debt EBITDA ratio is now at 1x compared to 1.2x in last previous quarter. As updated last quarter and also now Saurav updated the merger status, we have started to plan for integration of the 2 companies and realizing synergies. We had received CCI approval, of course, as explained by Saurav. And most important, we have made substantial progress in R&D and manufacturing, and we'll present a granular action plan and estimated synergy value to the Board -- we are going to present to the Board sometime in first half of FY '26.

SeQuent Scientific Limited

May 21, 2025

Page 7 of 18

We had said last quarter that R&D w

ill be a big win for both companies and integration is going very well. And we expect the merger process to close, as explained by Saurav in 12 to 15 months, mostly by end of this year.

Thank you. I think with this, we can now open for questions.

Abhishek Singhal: Can we take the Q&A, please.

Moderator: The first question comes from the line of Amey Chalke with JM Financial.

Amey Chalke: Congrats to the management on good numbers this quarter. First question I have, basically, the previous call, we have been mentioning that we would get to a double-digit kind of a growth and kind of a mid-teens margins. This quarter, we have already achieved that. Going ahead in FY '26, what would be the outlook for the growth and margins, sir?

Rajaram Narayanan: Thank you, Amey. I mean, yes, we had guided that we would -- and that's on SeQuent alone, right? We had said that we would come closer to a mid-teen margin and double-digit growth as we exited this year, and I'm happy that we have reached there.

Clearly, right now, we will not be able to tell you a guidance for next year, but I think we have already laid out the plan that by FY '27, we are looking for SeQuent to come closer to high teens kind of a margin. And we would, of course, Viyash with its performance would be more in the -- closer to the 20s range as far as the margins are concerned. And therefore, I think over the next 24 months, we should be seeing the company reach there.

In terms of top line growth, of course, a healthy double digit, which should be anywhere in the mid-teens is what we are expecting to do over the next 2 years. Dr. Hari, would you add to this?

Hari Bodepudi: Yes.

Rajaram Narayanan: Over to you.

Hari Bodepudi: Over. Just to add to Rajaram, what he mentioned, I can tell you guys, whatever we achieved this quarter is pretty sustainable, okay? And of course, whatever our guidance FY '27, what Rajaram mentioned, we are pretty confident to do that. We may do a little better than that. So we are pretty confident in achieving sustainable growth.

Rajaram Narayanan: You would have seen in our investor presentation also that the pillars which are there for growth. We have already, as Dr. Hari has just mentioned, the synergy plan as well as the benefits of the merger will begin to flow in during this next 1- to 2-year period. And therefore, obviously, the businesses in terms of the results which we have right now should be not only sustainable, but they're also likely to do better.

Amey Chalke: Sure. But just to clarify, this 18% of high teens kind of margin, what you said would be on stand-alone, right, before the merger as in the -- not including the merger synergies, right?

Rajaram Narayanan: I think it's a bit early for us to comment. But very clearly, we are -- on a combined basis, the company, which we had guided earlier also, should be looking closer to about -- I think we are

SeQuent Scientific Limited

May 21, 2025

Page 8 of 18

today right now about INR3,000-plus crores in terms of top line. And we are heading towards closer to a INR4,000 crore kind of figure, if not better, in terms of top line in the next 2 to 2.5 years.

And we would be looking, therefore, at a margin profile, which should be closer to 20% on a combined basis at least. And I think that now we'll keep updating you as the year progresses. But that's a reasonable thing to sort of move forward with.

Amey Chalke: The second question I have, is there any plan for us to enter into CDMO business? And what are the opportunities considering the combined company in the CDMO side?

Rajaram Narayanan: Dr. Hari, I think would be best, yes, on that.

Hari Bodepudi: Yes, absolutely. This year, that's one of the key focus, actually expanding CDMO business as well as complex products development. As you see in Viyash, already we do CDMO business. We have business with the innovators. We do business with the innovators, 5, 6 clients

. And

also, we entered another 5, 6 development agreements with complex generics because the CDMO there are two, three things, right?

One is innovator business. Life cycle management already we are there in the commercial. And we are working with the new products. And the second thing is most important, we see where the opportunity for CDMO for complex generics.

There are many specialty companies in Europe, U.S. They have only focus on marketing and portfolio. They always look for partners for R&D development as well as manufacturing. We see a lot of interest. Already, we signed 3 contracts in the last 6 months, and it's working pretty well.

And this year, we are going to focus a lot on expanding in the CDMO. And you can see substantial sales in the next year. I think that's a great upside for the next 2, 3 years for this company because we are fully established to meet any CDMO customer expectations with respect to the EHS quality or R&D. All we have their capabilities. We are strengthening teams this year, and you can see a lot of growth next year so. Strengthening up is a key focus areas for us.

Moderator: Next question comes from the line of Shiwani with Monarch Network.

Shiwani: Congratulations for the excellent set of numbers. My first question is on tax rate. For SeQuent in Q4 FY '25, the tax rate was at the higher range of 35%, 36%. Any specific reason for that?

Saurav Bhala: So tax rate for SeQuent is a combination of various sum of parts across the geographies. And there are impacts which happens for the full year, which gets accounted in Q4. So there are slight adjustments which happen for Q4. But on an overall year, if you see, it remains to be on a normal range. And I think that is going to be the new normal going ahead also.

Shiwani: Just to add on that, so what is the tax rate that we should build in for the next -- this year and the next year?

SeQuent Scientific Limited

May 21, 2025

Page 9 of 18

Hari Bodepudi: About 30%; 25% to 30% in that range.

Shiwani: 25% to 30%, right? Okay. My next question is I also wanted to get some clarity on the new launches in the companion animal health segment that we are looking at. So I think that currently, we have less than 10% companion animal health products. So just wanted to understand that how to look for this segment and what can be the contribution of the overall portfolio?

Rajaram Narayanan: Thank you. So right now, the businesses which are more geared towards companion animals for us are in Europe as well as in Latin America. Over there, we are -- we have a range which is coming out now in the area of anesthetics, which gets commercialized during this year. And that is the area which we are building very fast for companion animals. Apart from that, there are nutritionals in Latin America, which are getting launched. We are also looking at India seriously in the area of companion animals in developing a product portfolio.

So I think we should see launches coming every quarter, certainly in Europe and more towards end of the year in Brazil and in India. Our target would be that we should double the contribution of companion animals in the next 3 years in our portfolio.

Shiwani: Can I continue?

Rajaram Narayanan: Yes, please.

Shiwani: My next question is for Viyash. So Q-on-Q, Viyash revenue, we saw a decline of 3% and also there was a slight drop in the margin also. Is there any specific underlying reason for the same?

Hari Bodepudi: So the sequential quarter drop is mainly because there's some inventory buildup in finished product in U.S. Shiwani. We have U.S. formulation facility. So the customer, they build a little more inventory in previous quarters. So that's the phasing issue. So that's how the drop from the 3% is basically from formulation. But there is no gross margin drop on those things.

Moderator: Next question comes from the line of Jegadees, an individual investor.

Jegadees: Congrat

ulations for a great set of numbers. Could you please explain a bit about the growth you are seeing in Europe? And what are the products we sell in Europe? And how is the outlook for Europe in the coming quarters or year?

Rajaram Narayanan: Yes. So I'll talk about the formulation piece. So our Europe business has a large setup, which is in Spain, which is both for manufacturing and marketing in Spain as well as manufacturing and marketing for countries in Europe, but we manufacture them in Spain. We have 4, sort of, broad product categories over there. We have the antimicrobials. We have the anesthetics. We then have the pain killers. And finally, we have the dermatology and nutritional products.

Now our growth, which we are seeing in Europe is on account of 2 reasons. One is that we have a range which is for gut health, which is called phytosolution, and that's the range which is expanding fast because there is more and more preference in the use of natural additives for feed animals. So that's one area which is we are growing. The second is in the area of anesthetics,

SeQuent Scientific Limited

which are used for -- largely for surgery and the hospital procedures for companion animals. That's the piece which is growing for us.

We also are a distribution business for some companies. So we have recently tied up for -- because we have a very strong front end in countries in Europe because that's an important capability to have, where we have feet on street over there in some countries in Belgium, Netherlands, in Spain, where people are able to contact doctors and veterinarian clinics. So we've also become a channel and a partner for vaccines for food production animals. And that's a business which started last year for us, and we think that's the other piece which will be growing. So I think based on the infrastructure where we have, we should be able to add more and more products for the infrastructure. So that's the primary driver of growth for us. Apart from the other thing, of course, in margins, we are -- because this is a better product mix than the traditional low-end antibiotics, the margins are improving in Europe because the quality of the product mix is changing.

So that's really the 2 sort of drivers for growth, which are there in Europe. We are, of course, not present in a few very large markets like France or U.K. And the distribution opportunity for our existing products in those markets would be the next obvious headroom for us to be able to go. Jegadees: My second question is like how is our business in Turkey doing? And have we been impacted by the recent political issues?

Rajaram Narayanan: So as far as the business in Turkey is concerned, it has had challenges which were there earlier in foreign exchange and economy. And those have largely been addressed because of some of the actions that we took in terms of improving our exports from there in terms of price increases, et cetera. And of course, the country situation also improved quite significantly in terms of the economic condition relating inflation dropped, et cetera. So that operating business over there, we -- it has come back and is doing well.

In terms of the current sort of conversations which are there around Turkey, we have to remember that the business in Turkey, which we have is a local operation. It's a local entity. It is in Turkey for Turkey. And therefore, it is meant really for sales and distribution within Turkey as well as some of the neighboring markets.

There is no real dependence either on India or India's dependence on Turkey as far as the business is concerned because it is managed completely locally. So we don't see any impact on that at all from the current sort of news, which is going around on that. But it's purely a local in Turkey for Turkey business.

Jegadees: My last question is, could you give us any guidance for Viyash stand-alone s

ales or margin for
FY '26.

Rajaram Narayanan: Yes, Dr. Hari.

Hari Bodepudi: I think as Rajaram mentioned, we don't give guidance, but I can tell you, yes, we have pretty sustainable growth, whatever the margins we see today. It will continue. And definitely, next 1,

SeQuent Scientific Limited

May 21, 2025

Page 11 of 18

2 years, FY '26, '27, we also mentioned earlier it's going to cross 20% EBITDA margins. So it's a pretty consistent sustainable growth level.

Moderator: Next question comes from the line of Thomas Priju with AlfAccurate.

Thomas Priju: So I just wanted to clarify, we are talking of margins for SeQuent. We are talking of 20% plus margins for Viyash and close to 20% margins at the combined level by FY '27 at ESOP level or post ESOP level?

Rajaram Narayanan: So all the conversation that we have all the comparisons are right now at a pre-ESOP level. Everything we do on a pre-ESOP level.

Thomas Priju: So how much should we budget for FY '26 for ESOP for both SeQuent and Viyash and if possible, even for FY '27?

Rajaram Narayanan: We can give you a bit on what we know right now for SeQuent because the other pieces, I think we would like to share only after we complete the merger process. But for SeQuent, you should expect around INR30 crores, INR32 crores to be the ESOP cost for next financial year.

And it's, of course, on a declining basis, that's what it will be. They are trending down. And on the rest, we -- I think once the formalities are completed, that is when we would. But I think as Dr. Hari also indicated, fundamentally, this is a business that is moving very clearly on a sustainable basis to close to 18% to 20% kind of a business with a higher skew on the positive side of 20% for Viyash and maybe a point below or 2 points below for SeQuent.

Thomas Priju: Understood. So we are looking at more than a 300 bps expansion in terms of SeQuent and maybe 200 bps in case of Viyash. Is it possible to provide some color on what is the underlying factors which will lead to this margin expansion?

Rajaram Narayanan: I think on SeQuent, we've been giving it the first, I'll give a chance to Dr. Hari to sort of explain on the Viyash side and the API part of it, and then we'll add a top-up on the SeQuent part, yes.

Dr. Hari, on the margin expansion, please go ahead?

Hari Bodepudi: No, as you'll see in our investor presentation, we have 2 initiatives, especially we do every year, 10, 15 products development and file. And most of the products are the slightly differentiated or complex products. So year-on-year, when you are developing 10, 12 products, and we are able to launch at least 6 to 8 products. And all these products are new products and margins are reasonably good.

And the other thing, margin expansion for Viyash basically, our current capacity utilization is around 60%, 65%. When the revenue is growing, our opex percentage is continuously coming down. That's where you can see from last 2, 3 years. It's continuously coming down our opex. It straight goes to bottom line margin.

So there's two, three things. One is our opex reduction. The second thing is all our new products, whatever we developed and filed expected approval. And the third thing is, as I mentioned, we are expanding business a lot in CDMO and other few complex areas. I think this will generate SeQuent Scientific Limited

May 21, 2025

Page 12 of 18

good business in FY '27, '28 and the margin will be much better than what we anticipate. These are the 3 areas I can say that.

Rajaram Narayanan: I think that -- thank you, Dr. Hari. And that pretty much would be the typical model anyway. So I think even for the formulations business, it's largely going to be driven by an improvement in the mix of what we sell because I think that's a big driver for growth in formulations as we improve the quality of the product mix with higher margins, which are a combination of the kind of therapies y

ou are in as well as more and more as you move towards companion animals, the margins are substantially better.

And second, of course, is a set of new product introductions and innovations in these markets, which we are already sort of seeing that momentum come in, in FY '25. So the key -- these are going to be the key 2 drivers for growth for the formulations business.

Thomas Priju: And does the slightly hostile environment with Turkey currently at the diplomatic level affect our business in any way in that country?

Rajaram Narayanan: No. I mean, I think I just answered on that question. The business in Turkey is in Turkey for Turkey. It's a local company, which had been acquired by us. It's a robust business within Turkey and for the neighboring markets. I think there is no commercial exchange in terms of exports, imports, et cetera, of materiality between Turkey and India. I mean, our Turkish business and India. And therefore, we don't see any impact at all coming from this. It is completely an international operation for that part of the world.

Thomas Priju: On the Viyash side, in terms of CDMO, are we trying to develop a CDMO work with innovators on the ingredient side or on the final API side, is it possible to provide some color on what is the sort of CDMO work we are trying to develop?

Rajaram Narayanan: So today, what we do in CDMO, there are 2 parts. One is with innovators, we do APIs and also a few key starting materials. Whatever we signed a few things, a few starting materials, most of these are for their life cycle management. Once the patent comes out, they try to move their manufacturing from okay, expensive countries to India.

That's where we are able to get a few contracts. Few products, 2, 3 APIs, we are their global supplier for that. And second thing is we are able to get some contracts for advanced intermediates from innovators. That will continue.

The second part where we have initiated last year, it's working pretty well. CDMO with complex generic or some specialty company. There are quite a number of companies in especially Europe. They identify the product, but they look for CRO or CDMO players. So we are able to attract that business. And the advantage of that business is even unlike with innovator business, we are able to get actually revenue for even R&D development as well as validation.

And most important, actually, we are able to negotiate with some profit share during their commercial sales. So that's a pretty well model. We are able to attract 2, 3 contracts already, and this is going to continue. And also large generic, okay?

SeQuent Scientific Limited

May 21, 2025

Page 13 of 18

Large generic companies, they are struggling with their cost. That's where they are looking for CDMO players, not for matured products, contract manufacturing side. They are looking for some CDMO players for the complex API. That's where we are able to partner a few generic companies actually, a few things, partner with co-investment taking risk together and taking profits also together.

And a few things purely in CDMO play, we partner with them with R&D and manufacturing and contract with manufacture. So basically, these 3 areas for next 1, 2 years. Innovators, we are going to do more and more life cycle management business, both API intermediaries. And most important, the complex API specialty companies, that's all for those next. So this year is the building phase for next level, whatever is Phase I, Phase II, maybe we'll start from end of 2026. That's where we are trying to build a little more infrastructure for that. Hope I answered your question.

Moderator: Next question comes from the line of Sajal Kapoor with Antifragile Thinking.

Sajal Kapoor: Happy to see the gross margin recover and cross the 50% mark. However, our EBITDA conversion into cash flows for SeQuent it stays too low. I mean, not just for F '25, but this has been very low a

round 45-odd percent EBITDA to OCF operating cash flow for almost 4 years now, and mainly due to cash getting stuck in things like receivables and higher than normal inventory. So the question really is how can we fix this in the future?

Rajaram Narayanan: Saurav?

Saurav Bhala: Thanks for the question. Your observation is right, it has been low. But if you see quarter-on-quarter, we have been focusing and improving very specifically on that area. In fact, last financial year, there was a significant operating cash flow, which got generated after, I think, 2 years, which you mentioned. And with a clear focus on optimizing our working capital across the geographies and various other initiatives we are taking. This remains to be an area where we'll keep on improving quarter-on-quarter. And next year is going to be substantially better than the last year.

Moderator: Next question comes from the line of Bhavesh Gandhi from Yes Securities.

Bhavesh Gandhi: So one question on the SeQuent API business. So any color or update here in terms of what we see the outlook over the next 2 years in terms of growth drivers and any push and pull that we are seeing in this business that will be helpful because it is still a meaningful business for us.

Rajaram Narayanan: Yes. So I'll just first say, yes, it is an important business for us. And we have been looking firstly on the revenue side to start sort of coming and crossing the INR100 crores a quarter kind of a mark. I think we expect to get into that zone next year, yes.

There is a lot of work which is going on with the help of the team with Dr. Hari and the Viyash team working both on the R&D and on the improvement for the pace at which we're introducing new products. So we certainly expect that this business will begin to accelerate towards the second half of next year.

SeQuent Scientific Limited

May 21, 2025

Page 14 of 18

In terms of the direction of the business, I think there are 2 clear areas. One is that future growth will come from acceleration of new products. We have some in the pipeline, which are due to be commercialized. And the second is, of course, to make sure that our operating efficiencies are much better.

That is something which is an inevitable outcome of the merger because I think we will get benefits coming in there. Of course, these will take a couple of quarters before you begin to sort of get that in. Having said that, there's a big shift in the interest in the company from the innovators and from large companies after we've announced the merger.

So we have more companies now coming to us to have conversations around new projects. And I think that is going to be where we will get growth coming from because with the infrastructure of Viyash, we should be able to give much more confidence around some of the new projects. On the existing business, we are seeing an upside, which is coming right now on the alendazole business, which we have, which is an important product for us because there is a requirement with the WHO part of the demand, which is increasing. And we are one of the few companies which has the prequalified approval for WHO as well as the kind of grade that we supply, which meets the quality requirements.

So I think there's an inherent momentum which is coming on our existing business, which will take us through for next year. But at the same time, I think in the second half of the year, you'll begin to see a more acceleration coming with our announcements on new product development, et cetera. So that's really the direction in which we will go. Dr. Hari, you want to add anything on this?

Hari Bodepudi: I think you covered very well.

Rajaram Narayanan: I think it's also important just to add that on the sheer margin profile, this business has substantially improved in the last 18 months. So I think we are on a healthier gross margin profile on the business, and we, therefore, see that, t

hat gives us the leverage to sort of build on this business faster going ahead.

Moderator: Next question comes from the line of Bharat Sheth with Quest Investment Advisors Private

Limited.

Bharat Sheth: Congratulations on excellent performance and turnaround. And more about that is that setting up of new platform for accelerated growth in both top line as well as EBITDA side. If I have to think now from, say, you have up to '27 kind of a guidance. But if I have to think beyond that, so say, 3 to 5 years perspective, how should we think about that?

Rajaram Narayanan: Yes, that we are working now maybe next 6, 9 months, we are going to get that 3 to 5 years plan. And if possible, we'll try to give guidance.

Bharat Sheth: Okay. And sir, second thing, if you can give some color -- up to '27 you have given EBITDA side. But below the EBITDA, say, for any noncash item on nonrecurring or depreciation and interest, as well as on the balance sheet side, that will be more helpful, sir.

SeQuent Scientific Limited

May 21, 2025

Page 15 of 18

Saurav Bhala: Yes. Definitely, we can give detail later. But if you see our balance sheets are going to strengthen day by day. So coming to Viyash balance sheet, even today, it's very strong balance sheet. When I mentioned actually, we were able to pay debt INR145 crores this year. And this year, FY '26, Viyash is going to be debt-free company and we'll have some free cash.

And Viyash another thing is actually also that EBITDA below items, as we mentioned. A couple of things actually. One is the regular depreciation, that's not abnormal. The second thing is depreciation related to the goodwill. That's going away in FY '27. Actually, you can see almost INR100-odd crores in this year, okay? That's going away in FY '27.

And SeQuent balance sheet also, if you see actually, it's improved a lot this year, even that debt-to-EBITDA ratio has come down to 1.9. But once we complete merger, day 1 itself, actually, it's going to be more or less debt-free or very little debt. And all our interest costs are going to go down a big thing. Interest cost, you can see Viyash is still around INR25 crores, INR30 crores and SeQuent is a little higher. All these things will go away, and we have leverage to do, a lot of new things. That's what we are going to think from next year.

Bharat Sheth: We'll see you once we are ready with our 3, 2-year site plan and to remain associated with our company for a longer period.

Rajaram Narayanan: Yes, Bharat. Thank you.

Bharat Sheth: Thank you very much, sir.

Rajaram Narayanan: Good times just started.

Moderator: Next question comes from the line of Harish with Monarch Network Capital Limited.

Harish: My question was on the line. Can we narrow the margin expansion down to a particular product sale when you talk about albendazole-based or certain other API-based products. So is it possible to narrow it down?

Rajaram Narayanan: No, because I'm saying these are one day -- I think it's an ongoing business. So we can't really give you a split between one. I mean there is clearly margin improvement comes from a variety of reasons, right? I mean, one, it comes from -- like if you look like Dr. Hari said, in the API business, it will come from the new R&D pipeline, which is over there, the new CDMO arrangements, which will be there. There is no -- there's enough surplus capacity, and therefore, there will be an opex leverage, which will come from there.

In the case of formulations, there are 2 clear routes -- 3 clear routes. One is we already have close to 1,000 FDFs of fixed dose formulation filings everywhere. So we have the ability to have geo expansion as and take the same products to different markets. Second is new products. And the third is change the composition of the product mix so that a larger part of higher-margin products are part of that.

So these are the levers. The real thing is about have we got the -- have w

e built the strength to

execute this because I think all of these things have come in place. And last year is an evidence

SeQuent Scientific Limited

May 21, 2025

Page 16 of 18

that companies, we are able to execute it. So I think you should really look at it as the way we look at it, which is that these are the 3 big levers for us to drive it. Yes.

Harish: Yes. Okay. Understood. I have one more question. So you talked about the vaccine opportunity that we have in Europe. Can you please expand on that?

Rajaram Narayanan: So we have -- the vaccine opportunity, some of it is opportunistic and some of it becomes consistent once you launch the first vaccine, right? So we have a field strength. So we have physically salespeople who today are doing distribution for our products in Belgium, Netherlands, Spain, a small team, which is there in Italy.

So these are teams which are doing traditionally selling our own products, but there are vaccine companies which need a front end to be able to launch and distribute vaccines beyond just the 3 or 4 large multinationals, the other vaccine developers need an opportunity to do that.

So we have tie-ups where we work with the local agriculture or the government authority as and when there is a disease outbreak. And we are able to source vaccines which are appropriate for that particular disease. Recently, in Belgium, there was an outbreak of something called a Bluetongue disease, which is for sheep. We have a large presence over there. The government required vaccines, and this is -- and we were able to distribute that.

Based on that, we have now got tie-ups for additional vaccines with the same company, and we are looking at opportunities to be able to do that. So we're not in the manufacturing of vaccines, but we are one of the important front-end distributors as well as marketers of vaccines in Europe.

Harish: Understood, sir. And I had one more question regarding the Zoetis distribution that we had stopped. So any update there in the India business?

Rajaram Narayanan: No, no. So we have not stopped. We continue to distribute for Zoetis, the cattle product, which is -- and we are the sole distributors in India for that. Not just distributors, we actually have taken over that entire front-end part of the business. There was an important product there, which was pretty large. I think it was almost INR12 crores to INR14 crores of sales, which got discontinued by Zoetis.

And we're expecting that to get back in the coming financial year. And that was discontinued by Zoetis because of supply problems they had at their manufacturing site. And therefore, it was not available. So now we are working to relaunch that product in India, and that will, of course, be incremental as and when it comes, but we are waiting for them to confirm it. But otherwise, the rest of the business of Zoetis continues and is growing for us. Okay. I think we'll take one more question. One last question.

Moderator: Next question comes from the line of Kiran with Table Tree Capital.

Kiran: I have 2 questions, one on Viyash and one on the combined entity. The question on Viyash essentially is, sir, do we see -- I mean, we have grown year-on-year about 11% in revenue. And I'm just focusing on revenue because given your pedigree, we are sure the efficiencies will be squeezed, right?

SeQuent Scientific Limited

May 21, 2025

Page 17 of 18

So on the revenue, do we have a confidence of growing by 20% on the revenue base that we currently have, which is around INR1,500 crores over the next 2 years as year-on-year. The reason why I'm asking this question is, sir, not for guidance per se because top 10 products of Viyash, we are close to 45%, 50% market share globally. So I don't know if you have the ramp to grow at 20% year-on-year in Viyash. So that's my first question on Viyash.

Hari Bodepudi: Okay. If you see our presentation also, as we mentioned, our top 1

0 products, we've grown

almost 23% last 3 years CAGR. That shows our strength on the existing products. Why 11% last 2 years? You know we acquired these companies 3 years back. And not many new products we got when we acquired. All the new product development or the new arrangements with new clients are happening last 1, 2 years. And also, you can see a lot of new products developed and filed. And the cycle time to develop file is generally 3 to 5 years kind of thing.

So that's whatever we developed last 2, 3 years, it started coming commercialization while maintaining our existing product growth, strong growth. With the new product additions, definitely, we'll grow much better than what we have today. And you can see a lot of new products every year. Last year, I think we were in top 10. We were in fifth place of filing total number of DMF. And last 11 months, we did 15, 20 audits, including 5, 6 FDA audits. That shows our strength of new products, why FDA is coming actually, that's one of the reasons we are filing more products.

So the new products, whatever we filed, it's going to grow next 2, 3 years. That's a big thing, while maintaining our existing products of growth. So that's where we are confident to grow much better than what we have today on the top line. Of course, bottom line, it will continue because, as I mentioned, our operational leverage, whatever our capacity utilization is 60%, 65%. And continuously adding some capacity this year also, we are adding some capacity for a few products which are coming for launch that's where we can see growth.

Kiran: Sir, the CDMO leg of FY '27, would it take us to a 20% revenue growth, sir? Is that a fair assumption?

Hari Bodepudi: 20% in CDMO, yes. So I think if I put it today, whatever we do innovators and few generic companies, today, it's working out at 5%, 6% of our revenue, but it's going to grow substantially. But how much it's going to contribute in 20% growth, we have to work. That's one of the area, of course.

Kiran: One last question on the combined entity, sir. So we have -- in FY '25 in the presentation, we have exceptional items of about INR102 crores. I understand all of this is noncash, but just trying to understand how we see through FY '27. So exceptional item, we've seen INR1 crore or INR2 crores. Then we are seeing amortization of acquisition intangible INR100 crores. So this is combined of INR200 crores, are all of this going away from FY '27? FY '26, do we still expect

some expenses to come here and FY '27, both of these items will be 0. Is that a fair assumption?

Hari Bodepudi: This amortization acquisition related to INR100 crores, right? That's going to go away in FY '27. I think it will go completely in FY '27. It will remain in FY '26 because -- it may come down, but it's going away completely in FY '27. But the remaining INR102 crores -- sorry?

SeQuent Scientific Limited

May 21, 2025

Page 18 of 18

Kiran: Yes, sir. It's INR102 crores.

Hari Bodepudi: INR102 crores, I'm just looking at. Saurav, can you help me where is this INR102 crores?

Saurav Bhala: Slide 22, sir.

Hari Bodepudi: Slide 22, INR100 crores is for this amortization.

Saurav Bhala: The balance, doctor is for the provision to --

Hari Bodepudi: Yes, yes, let me, it's INR102 crores. Yes, this INR102 crores majority are related to merger things. One is we have some accelerated share warrants. And also, there were actually some merger-related expenses and a few things actually related to actually what is the contractual obligation for these mergers. So all this INR102 crores also will go to maximum.

Kiran: FY '26, it will repeat or FY '27, it will go away?

Hari Bodepudi: No, no, FY '26, it will go away, majority. These are actually -- this is purely onetime.

Amortization-related will go in '27, it will remain '26. But this exceptional item, INR1 crores or INR2 crores, right now, it will go in FY '26.

Rajaram Narayanan: That's the

last question. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Rajaram Narayanan: Thank you very much for attending this call. It's been a very exciting and successful year for the company as well as how we are moving into the next financial year with the merger, which is on the cards. So we look forward to giving you an update next quarter and look forward to your continued support in asking these questions as well as participating on these calls. Thank you very much.

Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Page 1 of 18

"SeQuent Scientific Limited

Q4 FY25 Earnings Conference Call"

May 21, 2025

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER– SEQUENT
SCIENTIFIC LIMITED

DR. HARI BABU BODEPUDI – WHOLE TIME DIRECTOR
AND CHIEF EXECUTIVE OFFICER – VIYASH LIFE
SCIENCES

MR. RAMAKANT SINGANI – CHIEF FINANCIAL
OFFICER – VIYASH LIFE SCIENCES

MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER –
SEQUENT SCIENTIFIC LIMITED

MR. ABHISHEK SINGHAL – HEAD OF INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited

May 21, 2025

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to SeQuent Scientific Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.

Abhishek Singhal: A very good morning to all of you and thank you for joining us today for SeQuent Scientific's earnings conference call for the fourth quarter and full year ended financial year 2025.

Today, we have with us Mr. Rajaram, MD and CEO of SeQuent Scientific; Dr. Hari Babu, Whole-Time Director and CEO, Viyash Life Sciences; Mr. Saurav, CFO, SeQuent Scientific; and Mr. Ramakant, CFO, Viyash Life Sciences, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange website. The transcript of this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Rajaram to make his opening remarks.

Rajaram Narayanan: Thank you, Abhishek and good morning, everyone, and a very warm welcome to all the participants. Joining me on this call is Dr. Hari Babu, Whole-Time Director and CEO of Viyash Life Sciences, along with Saurav Bhala, the CFO of SeQuent and Mr. Ramakant, CFO of Viyash. You would have gone through the results and the investor presentation, which was released yesterday for the financials of quarter 4 and full year financial year '24-'25. My colleagues on the call and I are delighted to share with you more details and answer your questions today.

Coming to the performance of this quarter, I'm pleased to announce that we continued our strong performance and closed the last quarter of FY '25 with revenues of INR4,017 million, which is INR401.7 crores, reflecting a double-digit growth of 11.2% over the same quarter last year.

I'm also happy to share that this quarter's revenue has been the highest in the last few years and continues on the trend of sequential growth that we are seeing every quarter. This performance came in with a 38.7% growth in our pre-ESOP EBITDA, which grew to INR56.9 million crores or INR569 million, which translates to a margin of 14.2%, which is broadly in line with the guidance that we have given for the exit margin for the year.

SeQuent Scientific Limited

May 21, 2025

Page 3 of 18

The company sustained the strong momentum during the year as a result of various initiatives that it has undertaken over the last 18 months to strengthen the business fundamentals and prepare us for the next phase of growth.

Coming to the performance for the full year, financial year '24-'25, our revenues grew at a healthy 13% to reach INR15,516 million, which is INR1,551.6 crores. And at an EBITDA pre-ESOP of INR199 crores, that's a very, very healthy growth year-on-year. While Saurav will talk a bit more about the financials in more detail, let me cover some aspects of the business.

Our formulations business, which is the largest part of the company, continues to trend very well. It sustained the high base of the last quarter. And on a year-on-year basis, it has grown in healthy double digits, nearly 20%, and that was driven by a strong performance across all geographies.

In Europe

, the growth in the year was led by new sales avenues, which were created, especially in vaccine partnerships, higher exports from Europe, as well as the expansion of the fast-growing CytoSolutions segment. In emerging markets, the 26% growth was supported by a change in product mix towards better margin products, organization restructuring in Mexico, higher export volumes from Turkey, along with some very judicious price increases across the board.

We believe that our position in these local markets, where we have teams over there, allow us to maintain a unique position in the key animal health markets of those countries and the regions which they are present in, and that remains a strategic priority for us in the long run as well.

We've also initiated groundwork for the entry of the CytoSolutions portfolio in the Latin American region.

The formulations business in India is a top priority for us. It has continued to do well on the back of field expansion that we undertook during the year, and that has resulted in a 13% year-on-year sales growth, which we expect to accelerate in the coming year. To further our presence, we have identified the next set of levers, which are required to build this business, and it includes a second phase of field expansion in the early part of FY '26, as well as new product introduction. We believe this will go a long way in building a very strong foundation for deeper penetration

in India, while also providing a platform for our brand-building efforts.

On the API front, I'm quite pleased with the transformation in the business. The strength is visible in the improvement of margins and sequential recovery. We expect to see the acceleration from quarter 1 this year. Importantly, the fundamentals for growth are in place.

We filed 2 VMFs during the year, and our sales from our top customers, the top 10 customers grew vis-a-vis last year, and the contribution has increased from 51% to 54% during this year. We also received WHO prequalification for albendazole and many prestigious awards for safety and quality. The long-term relationship that we have with our global formulation companies helps us partner them in new product efforts, and we expect to see some of the new business materialize in FY '26.

With the forthcoming merger, we expect the benefits of R&D and manufacturing to flow in, thus enabling us to grow faster and build new segments such as companion animals. I would like to

SeQuent Scientific Limited

May 21, 2025

Page 4 of 18

take this opportunity to thank the entire team of SeQuent Alivira and all the stakeholders involved for their efforts and the support that they have provided this year, which has resulted in a strong performance for the year, but more importantly, created the platform for future growth.

I will now hand over to Saurav to share the financial details of SeQuent and then invite Dr. Hari to share the highlights of the Viyash performance. Over to you, Saurav.

Saurav Bhala: Thank you, Raja. Good morning, everyone. It's a pleasure to join today and share key highlights into the strong financial performance of SeQuent Scientific Limited for quarter 4 and for the entire financial year financial year '24 and '25. I'll also provide an update on the progress of our strategic merger.

Starting with the Q4 highlights for SeQuent Scientific Limited. In Q4 '25, we recorded a total revenue of INR4,017 million, reflecting a strong growth of 11.2% year-on-year basis and a 2.8% growth on a quarter-on-quarter basis. Our formulation business reported a revenue of INR3,015 million, delivering a 22% year-on-year growth. The API business generated INR869 million in revenue, delivering a 7% growth on a quarter-on-quarter basis.

Gross margin saw a notable improvement of 420 basis points on a year-on-year basis, increasing from 46.1% to 50.3% in quarter 4. On a sequential basis, margins improved by 210 basis points, up from 48.2

% to 50.3%.

Our EBITDA pre-ESOP for the quarter was INR5,691 million, reflecting a robust growth of 38.7% year-on-year basis and a 15.5% rise on a quarter-on-quarter basis. The EBITDA margin stood at 14.2%, up by 280 basis points year-on-year basis and 160 basis points on a quarter-on-quarter basis. The profit after tax for the quarter stood at INR103 million, improving substantially from INR13 million in Q4 of last financial year, which is a very remarkable growth of about 712%.

Now coming to financial highlights for the entire financial year '24-'25. For the full year, the total revenue delivered is INR15,514 million, marking a 13.3% year-on-year growth. The formulation business contributed INR11,858 million, registering a 19% increase on a year-on-year basis. The API business reported a revenue of INR3,378 million, reflecting a growth of 4% on a year-on-year basis.

Gross margins for the year improved by 320 basis points from 44.5% in the last financial year to 47.7% in the current financial year, driven by the various strategic initiatives, including our sales mix optimization, geographical expansion, deeper market penetration and selective pricing actions across geographies.

EBITDA pre-ESOP delivered is INR1,993 million for the financial year '24-'25, delivering an impressive 18.6% growth on a year-on-year basis. The EBITDA margin expanded by 500 basis points, increasing from 7.8% in financial year '24 to 12.9% in financial year '25. This reflects our consistent focus on driving profitable growth.

SeQuent Scientific Limited

May 21, 2025

Page 5 of 18

We achieved a significant turnaround in PAT or profit after tax, improving from a loss of last year to a profit of INR322 million, a remarkable growth of 208.9%. Now coming to the update on the merger process. I'm pleased to share we have made meaningful progress on the strategic merger of Viyash Life Science Limited and its subsidiaries, along with one of our subsidiaries, SeQuent Research Limited into SeQuent Scientific Limited.

The milestone achieved so far are as follows: We got the Board approval for the merger on 26th September '24. We got the Competition Commission of India approval on 21st Jan '25. The stock exchange approval is currently under progress and is at an advanced level. We expect the

approval soon. Upon receiving the exchange approval, the scheme will be submitted to NCLT or National Company Law Tribunal for the final clearance.

In summary, our performance for Q4 and the full financial year '24-'25 reflects the strength of our strategic plan and execution excellence, focused on driving the profitable growth as a central theme. We are more confident than ever for the stronger growth continuity in the coming quarters based on the robust foundation created. We remain committed to creating enduring value for all our stakeholders.

With this, now I hand over the call to Dr. Hari, who will take you through the performance highlights of Viyash Group. Thank you.

Hari Bodepudi: Thank you, Saurav, and Rajaram. Congratulations to SeQuent team, entire team, for great performance. And good morning, all, guys. Let me take you through the Viyash performance now.

Viyash recorded strong performance in Q4 with the acceleration in revenue growth and margin expansion year-on-year. As you know, our core strength remain R&D, manufacturing, and intellectual property.

For Q4 FY '25, revenue grew by 15% to the corresponding year last quarter of INR370 crores and adjusted EBITDA grew by 93% over last year same quarter to INR65.3 crores. Viyash had strong EBITDA margins of 17.6%, continuously improving that EBITDA.

For full financial year, consolidated revenue of INR1,458 crores represents growth of 11.2% when compared to FY '24 revenue of INR1,311 crores. Adjusted EBITDA for the full year FY '25 INR254.6 crores represents a growth of 52.4% compared to FY '24 EBITDA. And EBITDA percentage improved from 12.7%

in FY '24 to 17.5% for FY '25.

During the year, financial year FY '25, the business has generated healthy free cash flow of around INR201 crores. This shows that actually the company balance sheet. And also, we repaid borrowings, about INR145 crores during FY '25. So with this repayment, our current debt actually remains at around INR74 crores and net EBITDA ratio is around 0.3x.

We want to reiterate that a lot of costs below EBITDA, particularly exceptional items and amortization of acquisition intangibles are largely noncash or nonrecurring and steady-state PAT margins, excluding exceptional items this year should be above 10%. And also this is reflected SeQuent Scientific Limited

May 21, 2025

Page 6 of 18

in our free cash generation of INR200 crores in FY '25. Business growth is supported by investments in critical areas and a strong operating base, which we'll cover now.

Our business has strong momentum across portfolio selection, validations, filings and launches.

New product launches and filings, we filed 4 new products in last quarter, and also we filed 3 products in this quarter. Strong portfolio selection, of course, we have strengthened R&D and portfolio. So we have 25 products in our portfolio, which includes a lot of NC minus 1 and also CCT. We completed 4 validations this quarter, and we got 6 regulatory approvals from various countries.

Operating base. We look at our business across 3 segments, and these are covered on Page 18.

For API++, as you know, we have a well-diverse portfolio of 70-plus products commercially, which includes high value and most of the products are a little bit differentiated and medium volume products. And also this reflects our top 10 products has grown at 23% CAGR over the last 3 years and an average of very strong material margin of about 58%.

As you know, we have a global customer base across 150-plus countries. And we have an extremely backward integrated manufacturing setup with cost leadership and have cleared multiple regulatory audits over the last decade. And even this week, there's a Europe audit is going on at one of the site, it's going pretty well. So we are capable to handle multiple inspections, whether USA or Europe, any country, and strongly capable to manage everything. As the business has grown, we have leveraged our innovator and large generic customers to build our development business. This is a key area for our future growth. We have added almost 10-plus development contracts over the last 2 years, which includes couple of products like the life cycle management for innovators, as well as a few contracts with complex generic companies.

We have a few small formulation business, as you know, in the U.S. with local manufacturing. We are moving that business to complex portfolio and integrating with our API to get cost leadership.

Now moving to combined performance and merger benefits. For Q4 FY '25, combined revenue of the 2 entities grew by 13% year-on-year and EBITDA grew by 63% year-on-year. The combined business had an adjusted EBITDA of INR120 crores in Q4 with 15.8% margin. For FY '25, combined revenue of the 2 entities, 12%, and EBITDA grew by 66% year-on-year. So the combined business had an adjusted EBITDA of INR450 crores with 15.1% margin. The combined net debt EBITDA ratio is now at 1x compared to 1.2x in last previous quarter.

As updated last quarter and also now Saurav updated the merger status, we have started to plan for integration of the 2 companies and realizing synergies. We had received CCI approval, of course, as explained by Saurav. And most important, we have made substantial progress in R&D and manufacturing, and we'll present a granular action plan and estimated synergy value to the Board -- we are going to present to the Board sometime in first half of FY '26.

SeQuent Scientific Limited

May 21, 2025

Page 7 of 18

We had said last quarter that R&D w

ill be a big win for both companies and integration is going very well. And we expect the merger process to close, as explained by Saurav in 12 to 15 months, mostly by end of this year.

Thank you. I think with this, we can now open for questions.

Abhishek Singhal: Can we take the Q&A, please.

Moderator: The first question comes from the line of Amey Chalke with JM Financial.

Amey Chalke: Congrats to the management on good numbers this quarter. First question I have, basically, the previous call, we have been mentioning that we would get to a double-digit kind of a growth and kind of a mid-teens margins. This quarter, we have already achieved that. Going ahead in FY '26, what would be the outlook for the growth and margins, sir?

Rajaram Narayanan: Thank you, Amey. I mean, yes, we had guided that we would -- and that's on SeQuent alone, right? We had said that we would come closer to a mid-teen margin and double-digit growth as we exited this year, and I'm happy that we have reached there.

Clearly, right now, we will not be able to tell you a guidance for next year, but I think we have already laid out the plan that by FY '27, we are looking for SeQuent to come closer to high teens kind of a margin. And we would, of course, Viyash with its performance would be more in the -- closer to the 20s range as far as the margins are concerned. And therefore, I think over the next 24 months, we should be seeing the company reach there.

In terms of top line growth, of course, a healthy double digit, which should be anywhere in the mid-teens is what we are expecting to do over the next 2 years. Dr. Hari, would you add to this?

Hari Bodepudi: Yes.

Rajaram Narayanan: Over to you.

Hari Bodepudi: Over. Just to add to Rajaram, what he mentioned, I can tell you guys, whatever we achieved this quarter is pretty sustainable, okay? And of course, whatever our guidance FY '27, what Rajaram mentioned, we are pretty confident to do that. We may do a little better than that. So we are pretty confident in achieving sustainable growth.

Rajaram Narayanan: You would have seen in our investor presentation also that the pillars which are there for growth. We have already, as Dr. Hari has just mentioned, the synergy plan as well as the benefits of the merger will begin to flow in during this next 1- to 2-year period. And therefore, obviously, the businesses in terms of the results which we have right now should be not only sustainable, but they're also likely to do better.

Amey Chalke: Sure. But just to clarify, this 18% of high teens kind of margin, what you said would be on stand-alone, right, before the merger as in the -- not including the merger synergies, right?

Rajaram Narayanan: I think it's a bit early for us to comment. But very clearly, we are -- on a combined basis, the company, which we had guided earlier also, should be looking closer to about -- I think we are

SeQuent Scientific Limited

May 21, 2025

Page 8 of 18

today right now about INR3,000-plus crores in terms of top line. And we are heading towards closer to a INR4,000 crore kind of figure, if not better, in terms of top line in the next 2 to 2.5 years.

And we would be looking, therefore, at a margin profile, which should be closer to 20% on a combined basis at least. And I think that now we'll keep updating you as the year progresses. But that's a reasonable thing to sort of move forward with.

Amey Chalke: The second question I have, is there any plan for us to enter into CDMO business? And what are the opportunities considering the combined company in the CDMO side?

Rajaram Narayanan: Dr. Hari, I think would, I think would be best, yes, on that.

Hari Bodepudi: Yes, absolutely. This year, that's one of the key focus, actually expanding CDMO business as well as complex products development. As you see in Viyash, already we do CDMO business.

We have business with the innovators. We do business with the innovators, 5, 6 clients

. And

also, we entered another 5, 6 development agreements with complex generics because the CDMO there are two, three things, right?

One is innovator business. Life cycle management already we are there in the commercial. And

we are working with the new products. And the second thing is most important, we see where the opportunity for CDMO for complex generics.

There are many specialty companies in Europe, U.S. They have only focus on marketing and portfolio. They always look for partners for R&D development as well as manufacturing. We see a lot of interest. Already, we signed 3 contracts in the last 6 months, and it's working pretty well.

And this year, we are going to focus a lot on expanding in the CDMO. And you can see substantial sales in the next year. I think that's a great upside for the next 2, 3 years for this company because we are fully established to meet any CDMO customer expectations with respect to the EHS quality or R&D. All we have their capabilities. We are strengthening teams this year, and you can see a lot of growth next year so. Strengthening up is a key focus areas for us.

Moderator: Next question comes from the line of Shiwani with Monarch Network.

Shiwani: Congratulations for the excellent set of numbers. My first question is on tax rate. For SeQuent in Q4 FY '25, the tax rate was at the higher range of 35%, 36%. Any specific reason for that?

Saurav Bhala: So tax rate for SeQuent is a combination of various sum of parts across the geographies. And there are impacts which happens for the full year, which gets accounted in Q4. So there are slight adjustments which happen for Q4. But on an overall year, if you see, it remains to be on a normal range. And I think that is going to be the new normal going ahead also.

Shiwani: Just to add on that, so what is the tax rate that we should build in for the next -- this year and the next year?

SeQuent Scientific Limited

May 21, 2025

Page 9 of 18

Hari Bodepudi: About 30%; 25% to 30% in that range.

Shiwani: 25% to 30%, right? Okay. My next question is I also wanted to get some clarity on the new launches in the companion animal health segment that we are looking at. So I think that currently, we have less than 10% companion animal health products. So just wanted to understand that how to look for this segment and what can be the contribution of the overall portfolio?

Rajaram Narayanan: Thank you. So right now, the businesses which are more geared towards companion animals for us are in Europe as well as in Latin America. Over there, we are -- we have a range which is coming out now in the area of anesthetics, which gets commercialized during this year. And that is the area which we are building very fast for companion animals. Apart from that, there are nutritionals in Latin America, which are getting launched. We are also looking at India seriously in the area of companion animals in developing a product portfolio.

So I think we should see launches coming every quarter, certainly in Europe and more towards end of the year in Brazil and in India. Our target would be that we should double the contribution of companion animals in the next 3 years in our portfolio.

Shiwani: Can I continue?

Rajaram Narayanan: Yes, please.

Shiwani: My next question is for Viyash. So Q-on-Q, Viyash revenue, we saw a decline of 3% and also there was a slight drop in the margin also. Is there any specific underlying reason for the same?

Hari Bodepudi: So the sequential quarter drop is mainly because there's some inventory buildup in finished product in U.S. Shiwani. We have U.S. formulation facility. So the customer, they build a little more inventory in previous quarters. So that's the phasing issue. So that's how the drop from the 3% is basically from formulation. But there is no gross margin drop on those things.

Moderator: Next question comes from the line of Jegadees, an individual investor.

Jegadees: Congrat

ulations for a great set of numbers. Could you please explain a bit about the growth you are seeing in Europe? And what are the products we sell in Europe? And how is the outlook for Europe in the coming quarters or year?

Rajaram Narayanan: Yes. So I'll talk about the formulation piece. So our Europe business has a large setup, which is in Spain, which is both for manufacturing and marketing in Spain as well as manufacturing and marketing for countries in Europe, but we manufacture them in Spain. We have 4, sort of, broad product categories over there. We have the antimicrobials. We have the anesthetics. We then have the pain killers. And finally, we have the dermatology and nutritional products.

Now our growth, which we are seeing in Europe is on account of 2 reasons. One is that we have a range which is for gut health, which is called phytosolution, and that's the range which is expanding fast because there is more and more preference in the use of natural additives for feed animals. So that's one area which is we are growing. The second is in the area of anesthetics,

SeQuent Scientific Limited

May 21, 2025

Page 10 of 18

which are used for -- largely for surgery and the hospital procedures for companion animals. That's the piece which is growing for us.

We also are a distribution business for some companies. So we have recently tied up for -- because we have a very strong front end in countries in Europe because that's an important capability to have, where we have feet on street over there in some countries in Belgium, Netherlands, in Spain, where people are able to contact doctors and veterinarian clinics. So we've also become a channel and a partner for vaccines for food production animals. And that's a business which started last year for us, and we think that's the other piece which will be growing. So I think based on the infrastructure where we have, we should be able to add more and more products for the infrastructure. So that's the primary driver of growth for us. Apart from the other thing, of course, in margins, we are -- because this is a better product mix than the traditional low-end antibiotics, the margins are improving in Europe because the quality of the product mix is changing.

So that's really the 2 sort of drivers for growth, which are there in Europe. We are, of course, not present in a few very large markets like France or U.K. And the distribution opportunity for our existing products in those markets would be the next obvious headroom for us to be able to go. Jegadees: My second question is like how is our business in Turkey doing? And have we been impacted by the recent political issues?

Rajaram Narayanan: So as far as the business in Turkey is concerned, it has had challenges which were there earlier in foreign exchange and economy. And those have largely been addressed because of some of the actions that we took in terms of improving our exports from there in terms of price increases, et cetera. And of course, the country situation also improved quite significantly in terms of the economic condition relating inflation dropped, et cetera. So that operating business over there, we -- it has come back and is doing well.

In terms of the current sort of conversations which are there around Turkey, we have to remember that the business in Turkey, which we have is a local operation. It's a local entity. It is in Turkey for Turkey. And therefore, it is meant really for sales and distribution within Turkey as well as some of the neighboring markets.

There is no real dependence either on India or India's dependence on Turkey as far as the business is concerned because it is managed completely locally. So we don't see any impact on that at all from the current sort of news, which is going around on that. But it's purely a local in Turkey for Turkey business.

Jegadees: My last question is, could you give us any guidance for Viyash stand-alone s

ales or margin for

FY '26.

Rajaram Narayanan: Yes, Dr. Hari.

Hari Bodepudi: I think as Rajaram mentioned, we don't give guidance, but I can tell you, yes, we have pretty sustainable growth, whatever the margins we see today. It will continue. And definitely, next 1, SeQuent Scientific Limited

May 21, 2025

Page 11 of 18

2 years, FY '26, '27, we also mentioned earlier it's going to cross 20% EBITDA margins. So it's a pretty consistent sustainable growth level.

Moderator: Next question comes from the line of Thomas Priju with AlfAccurate.

Thomas Priju: So I just wanted to clarify, we are talking of margins for SeQuent. We are talking of 20% plus margins for Viyash and close to 20% margins at the combined level by FY '27 at ESOP level or post ESOP level?

Rajaram Narayanan: So all the conversation that we have all the comparisons are right now at a pre-ESOP level. Everything we do on a pre-ESOP level.

Thomas Priju: So how much should we budget for FY '26 for ESOP for both SeQuent and Viyash and if possible, even for FY '27?

Rajaram Narayanan: We can give you a bit on what we know right now for SeQuent because the other pieces, I think we would like to share only after we complete the merger process. But for SeQuent, you should expect around INR30 crores, INR32 crores to be the ESOP cost for next financial year.

And it's, of course, on a declining basis, that's what it will be. They are trending down. And on the rest, we -- I think once the formalities are completed, that is when we would. But I think as Dr. Hari also indicated, fundamentally, this is a business that is moving very clearly on a sustainable basis to close to 18% to 20% kind of a business with a higher skew on the positive side of 20% for Viyash and maybe a point below or 2 points below for SeQuent.

Thomas Priju: Understood. So we are looking at more than a 300 bps expansion in terms of SeQuent and maybe 200 bps in case of Viyash. Is it possible to provide some color on what is the underlying factors which will lead to this margin expansion?

Rajaram Narayanan: I think on SeQuent, we've been giving it the first, I'll give a chance to Dr. Hari to sort of explain on the Viyash side and the API part of it, and then we'll add a top-up on the SeQuent part, yes.

Dr. Hari, on the margin expansion, please go ahead?

Hari Bodepudi: No, as you'll see in our investor presentation, we have 2 initiatives, especially we do every year, 10, 15 products development and file. And most of the products are the slightly differentiated or complex products. So year-on-year, when you are developing 10, 12 products, and we are able to launch at least 6 to 8 products. And all these products are new products and margins are reasonably good.

And the other thing, margin expansion for Viyash basically, our current capacity utilization is around 60%, 65%. When the revenue is growing, our opex percentage is continuously coming down. That's where you can see from last 2, 3 years. It's continuously coming down our opex. It straight goes to bottom line margin.

So there's two, three things. One is our opex reduction. The second thing is all our new products, whatever we developed and filed expected approval. And the third thing is, as I mentioned, we are expanding business a lot in CDMO and other few complex areas. I think this will generate

SeQuent Scientific Limited

May 21, 2025

Page 12 of 18

good business in FY '27, '28 and the margin will be much better than what we anticipate. These are the 3 areas I can say that.

Rajaram Narayanan: I think that -- thank you, Dr. Hari. And that pretty much would be the typical model anyway. So I think even for the formulations business, it's largely going to be driven by an improvement in the mix of what we sell because I think that's a big driver for growth in formulations as we improve the quality of the product mix with higher margins, which are a combination of the kind of therapies y

ou are in as well as more and more as you move towards companion animals, the margins are substantially better.

And second, of course, is a set of new product introductions and innovations in these markets, which we are already sort of seeing that momentum come in, in FY '25. So the key -- these are going to be the key 2 drivers for growth for the formulations business.

Thomas Priju: And does the slightly hostile environment with Turkey currently at the diplomatic level affect our business in any way in that country?

Rajaram Narayanan: No. I mean, I think I just answered on that question. The business in Turkey is in Turkey for Turkey. It's a local company, which had been acquired by us. It's a robust business within Turkey and for the neighboring markets. I think there is no commercial exchange in terms of exports, imports, et cetera, of materiality between Turkey and India. I mean, our Turkish business and India. And therefore, we don't see any impact at all coming from this. It is completely an international operation for that part of the world.

Thomas Priju: On the Viyash side, in terms of CDMO, are we trying to develop a CDMO work with innovators on the ingredient side or on the final API side, is it possible to provide some color on what is the sort of CDMO work we are trying to develop?

Rajaram Narayanan: So today, what we do in CDMO, there are 2 parts. One is with innovators, we do APIs and also a few key starting materials. Whatever we signed a few things, a few starting materials, most of these are for their life cycle management. Once the patent comes out, they try to move their manufacturing from okay, expensive countries to India.

That's where we are able to get a few contracts. Few products, 2, 3 APIs, we are their global supplier for that. And second thing is we are able to get some contracts for advanced intermediates from innovators. That will continue.

The second part where we have initiated last year, it's working pretty well. CDMO with complex generic or some specialty company. There are quite a number of companies in especially Europe. They identify the product, but they look for CRO or CDMO players. So we are able to attract that business. And the advantage of that business is even unlike with innovator business, we are able to get actually revenue for even R&D development as well as validation.

And most important, actually, we are able to negotiate with some profit share during their commercial sales. So that's a pretty well model. We are able to attract 2, 3 contracts already, and this is going to continue. And also large generic, okay?

SeQuent Scientific Limited

May 21, 2025

Page 13 of 18

Large generic companies, they are struggling with their cost. That's where they are looking for CDMO players, not for matured products, contract manufacturing side. They are looking for some CDMO players for the complex API. That's where we are able to partner a few generic companies actually, a few things, partner with co-investment taking risk together and taking profits also together.

And a few things purely in CDMO play, we partner with them with R&D and manufacturing and contract with manufacture. So basically, these 3 areas for next 1, 2 years. Innovators, we are going to do more and more life cycle management business, both API intermediaries. And most

important, the complex API specialty companies, that's all for those next. So this year is the building phase for next level, whatever is Phase I, Phase II, maybe we'll start from end of 2026. That's where we are trying to build a little more infrastructure for that. Hope I answered your question.

Moderator: Next question comes from the line of Sajal Kapoor with Antifragile Thinking.

Sajal Kapoor: Happy to see the gross margin recover and cross the 50% mark. However, our EBITDA conversion into cash flows for SeQuent it stays too low. I mean, not just for F '25, but this has been very low a

round 45-odd percent EBITDA to OCF operating cash flow for almost 4 years now, and mainly due to cash getting stuck in things like receivables and higher than normal inventory. So the question really is how can we fix this in the future?

Rajaram Narayanan: Saurav?

Saurav Bhala: Thanks for the question. Your observation is right, it has been low. But if you see quarter-on-quarter, we have been focusing and improving very specifically on that area. In fact, last financial year, there was a significant operating cash flow, which got generated after, I think, 2 years, which you mentioned. And with a clear focus on optimizing our working capital across the geographies and various other initiatives we are taking. This remains to be an area where we'll keep on improving quarter-on-quarter. And next year is going to be substantially better than the last year.

Moderator: Next question comes from the line of Bhavesh Gandhi from Yes Securities.

Bhavesh Gandhi: So one question on the SeQuent API business. So any color or update here in terms of what we see the outlook over the next 2 years in terms of growth drivers and any push and pull that we are seeing in this business that will be helpful because it is still a meaningful business for us.

Rajaram Narayanan: Yes. So I'll just first say, yes, it is an important business for us. And we have been looking firstly on the revenue side to start sort of coming and crossing the INR100 crores a quarter kind of a mark. I think we expect to get into that zone next year, yes.

There is a lot of work which is going on with the help of the team with Dr. Hari and the Viyash team working both on the R&D and on the improvement for the pace at which we're introducing new products. So we certainly expect that this business will begin to accelerate towards the second half of next year.

SeQuent Scientific Limited

May 21, 2025

Page 14 of 18

In terms of the direction of the business, I think there are 2 clear areas. One is that future growth will come from acceleration of new products. We have some in the pipeline, which are due to be commercialized. And the second is, of course, to make sure that our operating efficiencies are much better.

That is something which is an inevitable outcome of the merger because I think we will get benefits coming in there. Of course, these will take a couple of quarters before you begin to sort of get that in. Having said that, there's a big shift in the interest in the company from the innovators and from large companies after we've announced the merger.

So we have more companies now coming to us to have conversations around new projects. And I think that is going to be where we will get growth coming from because with the infrastructure of Viyash, we should be able to give much more confidence around some of the new projects. On the existing business, we are seeing an upside, which is coming right now on the albendazole business, which we have, which is an important product for us because there is a requirement with the WHO part of the demand, which is increasing. And we are one of the few companies which has the prequalified approval for WHO as well as the kind of grade that we supply, which meets the quality requirements.

So I think there's an inherent momentum which is coming on our existing business, which will take us through for next year. But at the same time, I think in the second half of the year, you'll begin to see a more acceleration coming with our announcements on new product development, et cetera. So that's really the direction in which we will go. Dr. Hari, you want to add anything on this?

Hari Bodepudi: I think you covered very well.

Rajaram Narayanan: I think it's also important just to add that on the sheer margin profile, this business has substantially improved in the last 18 months. So I think we are on a healthier gross margin profile on the business, and we, therefore, see that, t

hat gives us the leverage to sort of build on this business faster going ahead.

Moderator: Next question comes from the line of Bharat Sheth with Quest Investment Advisors Private Limited.

Bharat Sheth: Congratulations on excellent performance and turnaround. And more about that is that setting up of new platform for accelerated growth in both top line as well as EBITDA side. If I have to

think now from, say, you have up to '27 kind of a guidance. But if I have to think beyond that, so say, 3 to 5 years perspective, how should we think about that?

Rajaram Narayanan: Yes, that we are working now maybe next 6, 9 months, we are going to get that 3 to 5 years plan. And if possible, we'll try to give guidance.

Bharat Sheth: Okay. And sir, second thing, if you can give some color -- up to '27 you have given EBITDA side. But below the EBITDA, say, for any noncash item on nonrecurring or depreciation and interest, as well as on the balance sheet side, that will be more helpful, sir.

SeQuent Scientific Limited

May 21, 2025

Page 15 of 18

Saurav Bhala: Yes. Definitely, we can give detail later. But if you see our balance sheets are going to strengthen day by day. So coming to Viyash balance sheet, even today, it's very strong balance sheet. When I mentioned actually, we were able to pay debt INR145 crores this year. And this year, FY '26, Viyash is going to be debt-free company and we'll have some free cash.

And Viyash another thing is actually also that EBITDA below items, as we mentioned. A couple of things actually. One is the regular depreciation, that's not abnormal. The second thing is depreciation related to the goodwill. That's going away in FY '27. Actually, you can see almost INR100-odd crores in this year, okay? That's going away in FY '27.

And SeQuent balance sheet also, if you see actually, it's improved a lot this year, even that debt-to-EBITDA ratio has come down to 1.9. But once we complete merger, day 1 itself, actually, it's going to be more or less debt-free or very little debt. And all our interest costs are going to go down a big thing. Interest cost, you can see Viyash is still around INR25 crores, INR30 crores and SeQuent is a little higher. All these things will go away, and we have leverage to do, a lot of new things. That's what we are going to think from next year.

Bharat Sheth: We'll see you once we are ready with our 3, 2-year site plan and to remain associated with our company for a longer period.

Rajaram Narayanan: Yes, Bharat. Thank you.

Bharat Sheth: Thank you very much, sir.

Rajaram Narayanan: Good times just started.

Moderator: Next question comes from the line of Harish with Monarch Network Capital Limited.

Harish: My question was on the line. Can we narrow the margin expansion down to a particular product sale when you talk about albendazole-based or certain other API-based products. So is it possible to narrow it down?

Rajaram Narayanan: No, because I'm saying these are one day -- I think it's an ongoing business. So we can't really give you a split between one. I mean there is clearly margin improvement comes from a variety of reasons, right? I mean, one, it comes from -- like if you look like Dr. Hari said, in the API business, it will come from the new R&D pipeline, which is over there, the new CDMO arrangements, which will be there. There is no -- there's enough surplus capacity, and therefore, there will be an opex leverage, which will come from there.

In the case of formulations, there are 2 clear routes -- 3 clear routes. One is we already have close to 1,000 FDFs of fixed dose formulation filings everywhere. So we have the ability to have geo expansion as and take the same products to different markets. Second is new products. And the third is change the composition of the product mix so that a larger part of higher-margin products are part of that.

So these are the levers. The real thing is about have we got the -- have w

e built the strength to

execute this because I think all of these things have come in place. And last year is an evidence

SeQuent Scientific Limited

May 21, 2025

Page 16 of 18

that companies, we are able to execute it. So I think you should really look at it as the way we look at it, which is that these are the 3 big levers for us to drive it. Yes.

Harish: Yes. Okay. Understood. I have one more question. So you talked about the vaccine opportunity that we have in Europe. Can you please expand on that?

Rajaram Narayanan: So we have -- the vaccine opportunity, some of it is opportunistic and some of it becomes consistent once you launch the first vaccine, right? So we have a field strength. So we have physically salespeople who today are doing distribution for our products in Belgium, Netherlands, Spain, a small team, which is there in Italy.

So these are teams which are doing traditionally selling our own products, but there are vaccine companies which need a front end to be able to launch and distribute vaccines beyond just the 3 or 4 large multinationals, the other vaccine developers need an opportunity to do that.

So we have tie-ups where we work with the local agriculture or the government authority as and when there is a disease outbreak. And we are able to source vaccines which are appropriate for that particular disease. Recently, in Belgium, there was an outbreak of something called a

Bluetongue disease, which is for sheep. We have a large presence over there. The government required vaccines, and this is -- and we were able to distribute that.

Based on that, we have now got tie-ups for additional vaccines with the same company, and we are looking at opportunities to be able to do that. So we're not in the manufacturing of vaccines, but we are one of the important front-end distributors as well as marketers of vaccines in Europe.

Harish: Understood, sir. And I had one more question regarding the Zoetis distribution that we had stopped. So any update there in the India business?

Rajaram Narayanan: No, no. So we have not stopped. We continue to distribute for Zoetis, the cattle product, which is -- and we are the sole distributors in India for that. Not just distributors, we actually have taken over that entire front-end part of the business. There was an important product there, which was pretty large. I think it was almost INR12 crores to INR14 crores of sales, which got discontinued by Zoetis.

And we're expecting that to get back in the coming financial year. And that was discontinued by Zoetis because of supply problems they had at their manufacturing site. And therefore, it was not available. So now we are working to relaunch that product in India, and that will, of course, be incremental as and when it comes, but we are waiting for them to confirm it. But otherwise, the rest of the business of Zoetis continues and is growing for us. Okay. I think we'll take one more question. One last question.

Moderator: Next question comes from the line of Kiran with Table Tree Capital.

Kiran: I have 2 questions, one on Viyash and one on the combined entity. The question on Viyash essentially is, sir, do we see -- I mean, we have grown year-on-year about 11% in revenue. And I'm just focusing on revenue because given your pedigree, we are sure the efficiencies will be squeezed, right?

SeQuent Scientific Limited

May 21, 2025

Page 17 of 18

So on the revenue, do we have a confidence of growing by 20% on the revenue base that we currently have, which is around INR1,500 crores over the next 2 years as year-on-year. The reason why I'm asking this question is, sir, not for guidance per se because top 10 products of Viyash, we are close to 45%, 50% market share globally. So I don't know if you have the ramp to grow at 20% year-on-year in Viyash. So that's my first question on Viyash.

Hari Bodepudi: Okay. If you see our presentation also, as we mentioned, our top 1

0 products, we've grown

almost 23% last 3 years CAGR. That shows our strength on the existing products. Why 11% last 2 years? You know we acquired these companies 3 years back. And not many new products we got when we acquired. All the new product development or the new arrangements with new clients are happening last 1, 2 years. And also, you can see a lot of new products developed and filed. And the cycle time to develop file is generally 3 to 5 years kind of thing.

So that's whatever we developed last 2, 3 years, it started coming commercialization while maintaining our existing product growth, strong growth. With the new product additions, definitely, we'll grow much better than what we have today. And you can see a lot of new products every year. Last year, I think we were in top 10. We were in fifth place of filing total number of DMF. And last 11 months, we did 15, 20 audits, including 5, 6 FDA audits. That shows our strength of new products, why FDA is coming actually, that's one of the reasons we are filing more products.

So the new products, whatever we filed, it's going to grow next 2, 3 years. That's a big thing, while maintaining our existing products of growth. So that's where we are confident to grow much better than what we have today on the top line. Of course, bottom line, it will continue because, as I mentioned, our operational leverage, whatever our capacity utilization is 60%, 65%. And continuously adding some capacity this year also, we are adding some capacity for a few products which are coming for launch that's where we can see growth.

Kiran: Sir, the CDMO leg of FY '27, would it take us to a 20% revenue growth, sir? Is that a fair assumption?

Hari Bodepudi: 20% in CDMO, yes. So I think if I put it today, whatever we do innovators and few generic companies, today, it's working out at 5%, 6% of our revenue, but it's going to grow substantially. But how much it's going to contribute in 20% growth, we have to work. That's one of the area, of course.

Kiran: One last question on the combined entity, sir. So we have -- in FY '25 in the presentation, we have exceptional items of about INR102 crores. I understand all of this is noncash, but just trying to understand how we see through FY '27. So exceptional item, we've seen INR1 crore or INR2 crores. Then we are seeing amortization of acquisition intangible INR100 crores. So this is combined of INR200 crores, are all of this going away from FY '27? FY '26, do we still expect some expenses to come here and FY '27, both of these items will be 0. Is that a fair assumption?

Hari Bodepudi: This amortization acquisition related to INR100 crores, right? That's going to go away in FY '27. I think it will go completely in FY '27. It will remain in FY '26 because -- it may come down,

but it's going away completely in FY '27. But the remaining INR102 crores -- sorry?
SeQuent Scientific Limited
May 21, 2025
Page 18 of 18

Kiran: Yes, sir. It's INR102 crores.

Hari Bodepudi: INR102 crores, I'm just looking at. Saurav, can you help me where is this INR102 crores?
Saurav Bhala: Slide 22, sir.

Hari Bodepudi: Slide 22, INR100 crores is for this amortization.

Saurav Bhala: The balance, doctor is for the provision to --

Hari Bodepudi: Yes, yes, let me, it's INR102 crores. Yes, this INR102 crores majority are related to merger things. One is we have some accelerated share warrants. And also, there were actually some merger-related expenses and a few things actually related to actually what is the contractual obligation for these mergers. So all this INR102 crores also will go to maximum.

Kiran: FY '26, it will repeat or FY '27, it will go away?

Hari Bodepudi: No, no, FY '26, it will go away, majority. These are actually -- this is purely onetime.

Amortization-related will go in '27, it will remain '26. But this exceptional item, INR1 crores or INR2 crores, right now, it will go in FY '26.

Rajaram Narayanan: That's the

last question. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Rajaram Narayanan: Thank you very much for attending this call. It's been a very exciting and successful year for the company as well as how we are moving into the next financial year with the merger, which is on the cards. So we look forward to giving you an update next quarter and look forward to your continued support in asking these questions as well as participating on these calls. Thank you very much.

Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office : 3rd Floor, Srivalli's Corporate, Plot No. 290, SYN 33 34P TO 39, Guttala Begumpet, Jubilee Hills, Hyderabad - 500033 , Telangana

Office: 301, 3rd Floor, Dosti Pinnacle, Plot No. E7, Road No. 22, Wagle Industrial Estate, Thane (W), Mumbai - 400604, Maharashtra

Tel No.: +91 9391139986 / 22-4111 4777 | CIN: L99999TS1985PLC196357

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

August 13, 2025

To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Exchange Plaza,
Bandra -Kurla Complex,
Mumbai - 400 001 Bandra (East),
Mumbai - 400 051

Scrip code: 512529 Scrip code: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and Year ended March 31, 2025

Dear Sir/ Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Earnings Call Transcript with respect to the Unaudited Financial Results of the Company for the quarter ended June 30 , 2025.

The same is also available on the Company's website at:

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For Sequent Scientific Limited

Yoshita Vora
Company Secretary & Compliance Officer
Encl: A/a

"SeQuent Scientific Limited
Q1 FY '26 Earnings Conference Call "
August 11, 2025

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER– SEQUENT
SCIENTIFIC LIMITED
DR. HARI BABU BODEPUDI – WHOLE TIME DIRECTOR
AND CHIEF EXECUTIVE OFFICER – VIYASH LIFE
SCIENCES

MR. RAMAKANT SINGANI – CHIEF FINANCIAL
OFFICER – VIYASH LIFE SCIENCES
MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER –
SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited
August 11, 2025
Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the SeQuent Scientific Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you and over to you sir.

Abhishek Singhal: Thank you, Manav. A very good morning to all of you, and thank you for joining us today for SeQuent Scientific's earnings conference call for the first quarter of financial year 2026. Today, we have with us Mr. Rajaram, MD and CEO of SeQuent Scientific; Dr. Hari Babu, Whole-Time Director and CEO of Viyash Life Sciences; Mr. Saurav Bhala, CFO, SeQuent Scientific; and Mr. Ramakant Singani, CFO, Viyash Life Sciences, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the Stock Exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Rajaram to make his opening remarks.

Rajaram Narayanan: Thank you, Abhishek, and good morning, everyone, and a very warm welcome to all the participants today. Joining me on the call is Dr. Hari Babu, Whole-Time Director and CEO of Viyash Life Sciences. And I also have with me Saurav Bhala, CFO for SeQuent; and Mr. Ramakan, CFO of Viyash.

We released the results of the first quarter last Friday and the details are available on our website.

I hope you've had an opportunity to go through the presentation. The consistent improvement in results over the last few quarters signals that there is more behind the numbers. It signals a transformation in the way we have operated and deliver value. We have moved beyond consolidation and course correction into a phase of accelerated growth as we shape a future-ready company.

Coming to the performance for this quarter, I am pleased to announce that we have continued our strong performance in the first quarter of FY '26 with revenues at INR4,414 million, reflecting double-digit year-on-year growth of 13.1%. This performance has come in with strong margins. There was nearly a 25% growth in pre-ESOP EBITDA, which touched a new high of INR602 million and at a margin of 13.6%, which is in line with the recent performance of mid-teens EBITDA.

This improvement in financial performance, along with the forthcoming merger, provides us ample headroom to support investments in existing segments as well as support new SeQuent Scientific Limited

August 11, 2025

Page 3 of 17

opportunities for growth. We are also seeing a substantial improvement in our profit after tax, underscoring strong control on all line items.

While Saurav will delve deeper into the financials, let me briefly cover the business aspects. Our formulation business, which accounts for 75% of our business, continues to deliver broad-based growth. It sustained a sales growth of 13% versus last year and 11% on a sequential basis quarter-on-quarter.

This was driven by a strong performance across all key geographies. In Europe, the business year-on-year grew at 4% despite having a very high base. Sequentially, it was a 20% growth. This upswing in performance was led by a higher companion animal

sales and increased exports

from Europe. We successfully concluded the GMP approval of our Spanish manufacturing facility, which now prepares us for introducing new products in the next few quarters.

In emerging markets, the 25% year-on-year growth was supported by higher exports along with some judicious price increases, changes in the product mix for delivering better margin sales.

We've also expanded our Mexico business. We now have established a strong presence in Mexico, which is a large market for animal health. Our Turkey business continues to grow, helped by a stable macro environment situation and acceleration of exports from Turkey. Our India formulations business has progressed well in a quarter that is relatively subdued due to seasonality. The business delivered a sales growth of 8% over quarter 1 FY '25 on the back of field expansion, which was done last year. India remains a key priority for driving our growth ahead. And in order to strengthen our presence, in this quarter, we concluded the second phase of field expansion to support our brand building efforts. This will result in stepped-up revenues in India as the full impact of the expansion sets in.

On the API front, we are seeing results of all the initiatives taken in the last 6 quarters. The business gained momentum, touching the INR100 crore mark for the quarter and delivered growth of 14% year-on-year and 21% for the sequential quarter. This has been achieved with competitive margins and an improved product mix. The sales of our top 10 customers came in at over 60% and we continue to have most of our sales realization in hard currency.

We have received a new EU CEP approval during the quarter, in line with our plans to continuously add new markets and new products. The demand for our high-quality WHO-grade albendazole has been very strong. Finally, the proposed merger with Vijaya Life Sciences is proceeding on track and we will answer any queries during the Q&A session.

I would like to take this opportunity to thank the entire team of Sequent and Alivira and all the stakeholders involved for bringing to reality a strong start to this financial year.

I will now hand over to Saurav to share the financial details of Sequent and then invite Dr. Hari to share the highlights of the Vijaya performance. Over to you, Saurav.

Saurav Bhala: Thank you, Raja. Good morning, everyone, and thanks for joining us today on the call. It is my pleasure to present Sequent Scientific Limited's financial results highlights for the first quarter.

Sequent Scientific Limited

August 11, 2025

Page 4 of 17

of financial year '25-'26, a quarter marked by strong execution, strategic progress and sustained momentum.

Q1 financial year '25-'26 key highlights as follows: Total revenue is INR4,414 million, delivering a healthy growth of 13% year-on-year and 10% quarter-on-quarter basis. Formulation revenue is INR3,379 million, growing 13% year-on-year and 11% quarter-on-quarter. API revenue is INR1,054 million, growing 14% year-on-year and 21% quarter-on-quarter basis. Our gross margin improved by 180 basis points year-on-year, rising from 45.1% to 46.9%. The adjusted EBITDA is INR602 million for the quarter, marking a robust growth of 24.7% year-on-year basis and a 5.7% on a quarter-on-quarter basis. On a year-on-year basis, the Q1 adjusted EBITDA margin expanded by 126 basis points from 12.4% to 13.6%. The profit after tax for the first quarter is INR176 million, delivering a strong growth of 93.7% year-on-year basis and 69.7% quarter-on-quarter basis.

Coming to merger update. On the strategic merger with the Vijaya Group, I'm pleased to share we have cleared key regulatory milestones. The Competition Commission of India and Stock Exchanges have provided their approvals and the required NCLT filings are complete. The NCLT has called for a shareholders' and creditors' meeting, which

is scheduled on August 30,

2025, keeping us well on track to complete the merger process as per the estimated timelines of 12 to 15 months from the merger announcement date of September 2024.

In conclusion, our strong operational execution and strategic momentum in Q1 financial year '25-'26 affirms our commitment to profitable growth and value creation for all the stakeholders.

With the good progress of our merger process with Vijaya Group, going ahead, we are well positioned to [inaudible 0:09:33] synergies and deliver long-term sustainable performance. We remain vigilant to the market dynamics and continue to prioritize innovation, focus on cost efficiency and drive profitable growth.

Thank you for your attention. I will now hand over to Dr. Hari for sharing insights into the Vijaya Group's performance. Thank you.

Hari Babu Bodepudi: Thank you, Saurav and Raja. And first of all, congratulations for your great performance. And good morning, everyone. So let me take you through Vijaya and also combined performance now. Vijaya recorded strong performance in Q1 with revenue growth and margin in expansion year-on-year.

For Q1 FY '26, revenue grew by 4% to INR353 crores and adjusted EBITDA grew by 19% year-on-year to INR68 crores. Vijaya had EBITDA margins of 19.5%, which is an improvement of almost 2.4% year-on-year. The current margins are in line with our medium-term aspiration of 20-plus margins. In line with previous quarters, Vijaya generated strong free cash flow in this quarter also. So now our current net EBITDA ratio is less than 0.3 with adequate headroom for growth.

So now coming to the key operational updates. So we had five regulatory inspections last quarter.

In fact, one day, we had two US FDA audits in two sites and one Europe audit in the same month and other few other regulatory inspections, all went through very well. I think this shows the SeQuent Scientific Limited

August 11, 2025

Page 5 of 17

strong quality culture of Viyash. The two sites, both US FDA audits, we received EIS now. Both are actually [VI 0:11:36]. So that means actually the outcome was very good. In addition to that, regulatory audits, we had a large number of customer audits, which are very important for regulatory markets. We faced almost 30-plus audits in the quarter.

And coming to the R&D, which is most important for our growth. As you guys know, Viyash built based on R&D capability. So we validated three products last quarter. And we filed almost 12 products for various countries, which includes Europe, US, Korea, Saudi, most of the countries. And also, we have filed five finished dose products in US. And coming to the regulatory approvals, we received five approvals for API. From that one US product and three for CEP Certificate of Portability and one more for Europe. And also, we received finished one dose product approval in last quarter.

Coming to the launches, we launched two FDFs in US last quarter and also two APIs in various markets. And R&D pipeline, as you see, continuously, we have a strong pipeline. And currently, we have around 20-plus products on the pipeline and we are actually expected 10 to 15 products development as well as filing this year as anticipated.

Coming to the combined performance. Combined both companies have grown very strongly last quarter. For Q1 FY '26, combined revenue of two entities grew by 8.7% year-on-year, and most important, EBITDA grew by 21% year-on-year. The combined business had an adjusted EBITDA of INR129 crores with 16.2% margins with an improvement of 1.7%. The combined net debt to EBITDA is around 0.6x lower than actually 1x last previous year corresponding quarter.

As updated last quarter, we have started to plan for integration of the 2 companies and realizing synergies. Of course, as Saurav explained, we received the CCI approval, SEBI approval. Now it's process is going

through the NCLT and we anticipated approval as expected.

Coming to the synergies, whatever we explained in previous call also. So the 4 areas what we focus, first -- main was R&D always. As we explained last quarter, R&D already integrated, both teams are working together. And also, we started portfolio discussion on combined.

So in R&D, there are two, three important things. One is, of course, product portfolio is very key for the growth. Second one is the cost improvement. So third one is manufacturing, of course. So R&D already, we started collaborating, working together. We initiated portfolio, and it's a lot of improvements we can see next few quarters.

Cost improvement also we initiated last couple of years. Of course, it's a continuous process. And UK, we already started seeing the margin improvement for both companies. That's a part of cost improvement. And coming to the manufacturing, this is the large synergies we are expecting.

Already, we started qualifying the products wherever the free capacity, a couple of products already initiated. But you know the regulatory process, it takes some time, 12 to 24 months. The process is continuing and we are doing very actively on that perspective. And procurement

SeQuent Scientific Limited

August 11, 2025

Page 6 of 17

synergies, already we started negotiating combined wherever there are common materials and it's working very well on that perspective.

Sales, as I explained last quarter also, there are synergies for both sides since SeQuent is operating most of the API business with innovators. That's where we see opportunity for Viyash to improve the business with innovators, started working. I think it's going to materialize in the next few quarters on that.

And mostly synergy is -- I can say it's happening. It's better than what we anticipated. But the regulatory framework, whatever it allows us, we are working on that, but it's working very smoothly. Both teams are working very closely. And also, we started working on strategic direction, both organized structure as well as next 3 to 5 years combined company, what we want to do. That type thing will come up in next 2, 3 quarters.

With that, thank you. I'll hand over back to Abhishek. Thank you guys so much.

Abhishek Singhal: We are good for Q&A now. Can you please open the floor for Q&A now.

Moderator: We have our first question from the line of Shiwani from Monarch Network Capital.

Shiwani: Yes. Congratulations on good results. I have two questions, one for SeQuent and one for Viyash.

So I'll begin with SeQuent question. So my question is that if we see the geographical mix, year-on-year, Europe and India has been a single-digit growth, whereas we see emerging market

growth has been around 25%, which is good.

So I wanted to understand what's happening across the geography. And in emerging markets, I understand that we have added a few more markets. So if you can give a sense on how we are seeing the market panning out, especially with geopolitical issues also? And what is way forward for these markets?

Rajaram Narayanan: And the second question on Viyash?

Shiwani: I'll take the second question after this one, if that's okay?

Rajaram Narayanan: Okay, fine. So thank you, Shiwani, for the question. Yes, overall, I think we've started hitting a good double -digit growth. And some of the differences are that emerging markets, of course, the growth is coming because there is an opportunity to expand to new markets. There's also exports, which comes from -- one of the things we are doing is that we've created export bases, both in Turkey as well as in Spain, which is there for serving other markets which are nearby. So exports is doing it.

Emerging markets, we also added Mexico. We are adding new markets. So that's in general the momentum which is there in emerging markets and I think we should expect that

business to

keep growing in double -digits.

I think on Europe, it is -- what you might have seen now is more a function of a large base, which was there at the same quarter last year and that is why you might see a single -digit growth.

SeQuent Scientific Limited

August 11, 2025

Page 7 of 17

But we have in the recent quarters also delivered double -digit growth on Europe as we have added more products, particularly when we started the distribution of vaccines.

So we do expect that Europe is more a function of which quarter we end up having a large disease outbreak or a vaccination season. But on a full year basis, we still think that that's a market which should come close to double -digit growth in any case.

The last bit about India, I think India was prioritized around a year ago. And we have begun to see double -digit growth even in India. We should be -- in fact, there are quarters when we have done over 20%. We have now added field force in India. We had a substantially smaller footprint in India in terms of number of people on the field.

We had less than 100 people just a year ago. We now have about nearly 200 people on ground. And therefore, as the quarters sort of begin to realize the full impact of the people we have added, we expect this market also to begin to go into double -digits.

So I think -- and also, I think you'll remember that there is a seasonality factor which varies quarter -to-quarter in different countries. So there are some quarters where some country may be on a lower market growth, while the other markets may be higher. So -- but on an average, I think we expect this business to consistently move into double -digit growth.

Shiwani: Sure. Just a follow -up. When we say seasonality, you also mentioned that India business was impacted because of the seasonality factor. So what is the seasonality factor in Q1, if you can clarify that?

Rajaram Narayanan: Typically, what happens is that a lot of animal health medicines -- and India is largely a dairy cattle business and it tends to get affected to some extent by the rural economy, which is over there. And also the outbreak of diseases depends to some extent on the kind of climatic conditions that might happen in that particular quarter.

So you could have a situation where the same quarter last year may have had an outbreak of a disease because of which there was a substantially higher spike in the sale of medicine, while the same quarter this year may not have seen the same outbreak in di sease and that might happen a couple of months later. So I think there's a bit of a variation which tends to take place quarter -on-quarter. But on a full year basis, I think the secular trend should be in double -digits always.

Shiwani: Sure, sure. I also have one more question for SeQuent, which is for API business. You did mention that albendazole sales have improved and it's seeing strong demand as well. What about other APIs? I mean, how is the API business performing and what to expect? Because API business have been slower initially.

Rajaram Narayanan: So we're getting the growth in both. I think we have signaled albendazole because albendazole, there is a demand coming in from WHO recently because we were prequalified for supply to formulators who are supplying for WHO. -- tenders and their requirement. But otherwise, even on some of the other APIs, which we make, which are non -albendazole APIs, there has been -- this quarter, there has been a growth even in those APIs.

SeQuent Scientific Limited

August 11, 2025

Page 8 of 17

But I think the most important thing for us is that we need to accelerate our new product introduction and R&D as far as the other APIs are concerned outside of just albendazole and the

anthelmintic range. And that's the effort which is going on. So it has been a good performance for us, driven both by albendazole as well as the non

-albendazole range. But I think going ahead for us, the larger drive will be on the non -albendazole range.

Moderator: We have our next question from the line of Vishal Manchanda from Systematix Group.

Vishal Manchanda: Sir, congratulations on a good set of numbers. Just wanted to understand on the API business, after a long time, we have exceeded the INR100 crores number on a quarterly basis. Can we sustain this run rate?

Rajaram Narayanan: Yes, I think this is a rate which we've been aspiring for. We've also done this in the past. We did have some surprises and setbacks in the past, which we have spoken about. So I think INR100 crores is the rate which we would be targeting. And with the merger around the corner and more inputs coming in, in terms of the R&D pipeline, there's no reason why in the next few quarters we should not be sticking to this kind of a run rate or more.

Vishal Manchanda: Right. And even on the gross margin front, there has been an improvement on a Y -o-Y basis, while there is a drop on a Q -o-Q basis. So could you explain this like the Q -o-Q drop and Y -o-Y growth? Is there some seasonality element here?

Rajaram Narayanan: Yes. So there is -- in general, I think we are having a margin improvement, which is happening on account of initiatives, both on the cost line as well as on the product mix, right? And both these have given us margin improvement, both in formulations and on APIs. So that's why you see a quarter -on-quarter -- year-on-year growth.

Sequentially, some of it is also because of product mix. We did have a substantially higher profitability mix, which was specific to last quarter and that got a bit reduced. It was not there this quarter. So you will find that the line is still in the area of 48%, 49%, but you could have some sort of swing between the last quarter and this quarter. But directionally, if you take it over 3, 4 quarters, we would continue to be moving towards the 50% line on gross margin.

Vishal Manchanda: Right. And like any focus areas in terms of the animal health formulation business that -- so in terms of whether pet is a more focus area for you? And any geographies that you're specifically focusing on in terms of building the formulation business?

Rajaram Narayanan: Yes. I think we have looked -- said that companion animal is a priority. We are looking at it in 2 ways. One is wherever we have a front -end presence already, like in Europe, we have begun to distribute for some other companies and also launch some products of our own. But I think if you want to make it bigger, we'll have to look at a slightly more aggressive move, which is always under consideration for us in the next year or so.

Having said that, we are also doubling down heavily on India because this is a market for domestic growth, which is very crucial for us. But for us, the big advantage is wherever we have a front -end business, which is India, lots of markets in Europe, Brazil and Turkey. In these

SeQuent Scientific Limited

August 11, 2025

Page 9 of 17

markets, we would focus on introducing new product range, largely in the area of companion animals.

Vishal Manchanda: Okay. And we are still looking for the injectable -- growth in the injectable business as an area to build margins and maybe accelerate top line?

Rajaram Narayanan: So injectables, we have a factory, which is there in Turkey. That plant has now got an EU GMP, and therefore, we will expand supplies from Turkey into European markets also for injectables.

These injectables are largely for food production animals and not so much for companion animals.

But the injectables, obviously are -- there are fewer companies which are in injectables and the margins are obviously better than that. So yes, we will be growing injectables fast. We are, of course, looking at other opportunities and other markets in this area right now.

Vishal Manchanda: Okay.

And just one final one on -- if I can just ask one more. On albendazole, we always had a US VMF on albendazole. So was that not good enough or this WHO prequalification is kind of incrementally helping you?

Rajaram Narayanan: I think they are separate markets. The US VMF is for supplies to the United States. The WHO purchase is largely for supplies, which are made to the developing markets for various donation programs as well as local countries which sort of use it. So these are two completely different market requirements.

Moderator: We have a next question from the line of Rachit Kabra from Anand Rathi.

Rachit Kabra : So I would like to know like is there any risk of like the input costs rising or going up due to the dollar strengthening?

Rajaram Narayanan: I think I'll pass this question to Dr. Hari. Maybe if you can give us some color on that.

Hari Babu Bodepudi: We don't see any risk because exports are more than imports, much more than -- I don't see any impact on that. Of course, wherever there is a risk, we have covered it. I don't see any negative

impact on that perspective.

Rachit Kabra: And my next question is like you had earlier said that Turkey would become a base for more exports. And can you update on the plan, what the plan has been and how it has been going forward?

Rajaram Narayanan: Yes. So when we started doing that, the original sort of requirement was that we wanted to make sure that we were foreign exchange neutral, and that's why we started exports. But now Turkey is becoming -- because of the injectable manufacturing plant which we have over there and the fact that we've got a EU GMP license which has been given to that plant, the opportunities to export beyond just neighboring markets has increased. And we are looking at a couple of launches coming in the next few quarters, which will be for supplies into Europe.

SeQuent Scientific Limited

August 11, 2025

Page 10 of 17

So yes, so that plan continues and it is, in fact, accelerating now. Also, the economic condition there is a bit more stable than what it was, say, 6 quarters ago. And that makes it a bit easier for us to be able to look at more B2B contracts for that.

Rachit Kabra: And if I could continue with one more question?

Abhishek Singhal: Go ahead. One more, yes.

Rachit Kabra: Yes. So we have seen a PAT improvement substantially compared to the last year. So what are you targeting for this year? Any ballpark number?

Rajaram Narayanan: I don't think we'll give any guidance on PAT right now. I mean we have given you guidance on margins, on the adjusted EBITDA margin. I think we will hold to that. Of course, the attempt is to make sure that it gets converted into much higher PAT. So we expect the PAT growth to be well ahead of the EBITDA growth for both the -- as we begin to go on.

So I think what you should expect is that the PAT growth will be ahead of EBITDA growth.

And the EBITDA guidance we have given you already saying that on the SeQuent side, it would be closer to the mid-teens for this year and we were looking at the high-teens on the Viyash side.

And hopefully, by the end of the year, we would be able to come back and say that we are on the higher side on both.

Moderator: We have our next question from the line of Amresh Kumar from Geosphere Capital.

Amresh Kumar: On the gross margin side, sir, you said it can reach or trend towards 30%. So are we building in some merger benefits from this or how do we reach there?

Rajaram Narayanan: Sorry, I don't know what you are -- so on the gross margin line, I think on the SeQuent side, we have indicated that it will come closer to the 50% as we begin to move on. Viyash is obviously ahead of -- well ahead of that already. And yes, we should see some benefits. I will hand over maybe to Dr. Hari to expand a bit more on what can -- what are possibilities on the gross margin side.

Abhishek Singhal: D

r. Hari?

Rajaram Narayanan: Is Dr. Hari there?

Moderator: Sir, his line got disconnected.

Rajaram Narayanan: But yes, just to recap, we have been operating at the 45, 46 kind of a level. We have moved up now to about 48, 49. And our target is to move to the 50 soon. And Viyash, of course, is always ahead of -- much higher than that. So -- and the benefit, while I wait for Dr. Hari to join...

Abhishek Singhal: Meanwhile, can you ask can you ask your next question?

Rajaram Narayanan: Can you ask your next question and I can...

SeQuent Scientific Limited

August 11, 2025

Page 11 of 17

Amresh Kumar: Yes, sure. On the R&D front, you said that you are in the process of introducing or working on some more products. So it would be great if you can kind of expand on this a little bit?

Rajaram Narayanan: Yes. I will just wait for Dr. Hari, he got disconnected to sort of like -- so two questions. One on how the improvement in gross margins may come in the next few quarters after the merger and the synergies? And the second, I think, is on what can we look forward to in terms of R&D, new products and pipeline?

Hari Babu Bodepudi: So as I explained, R&D, we are adding a lot of products to both companies because Viyash is having a very strong portfolio. Every quarter, we can see approvals as well as new product filing. So we started adding SeQuent portfolio also since both R&Ds are working together. So now the outcome is much better than what was earlier.

But definitely, next few quarters, it's going to add a lot of products even for animal health basket.

But of course, you know the current regulatory scenario, once you start developing the product, development and approval, it takes its own time, but we are trying to work as quickly as possible.

Coming to the gross margin improvements, of course, the entire strategic direction we are working on, and as explained last quarter also, so we are going to -- we will present maybe next

quarters with a detailed investor presentation. We will come up in the next 2 quarters. But definitely, we can see a lot of gross margin improvements because of various things. One is definitely network optimization, always, as we explained, wherever there is a capacity. Viyash, we are running capacity utilization around 60%, 65%, whereas SeQuent actually the one site is fully occupied, other site is still there is a capacity to add more products. So with the utilization of the capacity, definitely there is gross margin improvement. And most important, our R&D capability of cost improvements, that's going to play a major role. It's going to improve a lot. But whatever we explained earlier by '27, both companies together definitely will be around 20%. That we are on track.

Moderator: We have our next question from the line of Kaustav from Boundless Management Solutions.

Kaustav: My question is for Dr. Hari. Because of the exposure of Viyash to the US markets, I wanted to understand a lot has changed in terms of expectations or opportunities coming from the US because of, let's say, regulatory factors. About a year ago, we had this opportunity -- potential opportunity from the US Biosecure Act.

Now we move forward a year and Trump has come in and he's talking about these pharma tariffs.

Also, there's a little bit of lack of clarity in how the distribution would change the impact of pharmaceutical benefit managers. So how do you look at this? How do you assess the situation and the impact on the combined entity, Viyash plus SeQuent together?

Hari Babu Bodepudi: No, I think our perspective, I see more opportunity than issue. Why? Because current our exposure, of course, SeQuent exposure is not -- is very little for US And Viyash API exposure, direct exports are very little, in fact, I think 2%, 3%. But overall, it may impact indirect exports SeQuent Scientific Limited

August 11, 2025

Page 12

of 17

also, whatever we supply to Indian companies where they formulate and export, there may be impact. But all put together, it's around 17%, 18% of our exposure on the US market today.

And other than exports from India, we have formulation business in US and manufacturing site also is in US And we see both sides, it's opportunity as well as actually the issue, but I strongly believe we have a great opportunity. Why?

Because our exposure is a little less. And most important, if you see our regulatory strength, so last 12, 15 months, we were able to manage 5 US FDA audits and without any issue. That's a great asset for us. And also handling the same day 2 audits it's not easy for any company, but our team demonstrated that. And SeQuent also, whatever we had audits, it went through very well.

So we see, US, definitely, there is more opportunity for us with our R&D strength, capability to differentiate products, whatever you can see from US perspective. And also SeQuent, definitely, there is opportunity to grow a lot in generic animal health play. You can see generics started penetrating in US That's where we can see the opportunities. But we -- I strongly believe more than threats, we have a great opportunity.

Of course, we are trying to relook at re-strategize even our formulation business, okay? Since we have US sites, if we put tariffs, that's a big advantage for us. But that could be the short term I always see. But long-term strategy, okay, wherever is a low-cost base manufacturing is always good. So we are working on various aspects, especially in the formulation.

We are trying to take out low-margin, low-volume products, which improve margins. That you can see this quarter, whereas our margins, EBITDA improved a lot, but top line growth is very less. That's one of the reasons was we are trying to take out actually low volume, low margin products, which actually substitute with the new products.

So we are coming up with a lot of new products where the margin profile is much better than mature products. So that's how we can see opportunity for us. And Biosecure Act, of course, all our facilities, we are moving towards actually meeting any standards. So that's also we see a lot of opportunity with this...

Kaustav: But -- if I could just interrupt on the Biosecure. Since the government changed, what's the view on Biosecure Act? Because it's been shelved, right?

Hari Babu Bodepudi: If the government change of US or you mean to say what?

Kaustav: Yes, yes, for the US

Hari Babu Bodepudi: The current government, whatever is the Trump policies you're talking, right, or the new government comes?

Kaustav: The current Trump government.

Hari Babu Bodepudi: Yes. It's actually anything -- Trump, he can actually stay another 3 years, right, 3, 3.5 years. All these products, whatever we are talking, Biosecure Act, it takes its whole time 3 to 5 years, any

SeQuent Scientific Limited

August 11, 2025

Page 13 of 17

product moving here or there. It's not easy just like that actually moving out all Indian products to somewhere, all Chinese products to somewhere. It's impossible to do that. So there is a regulatory guidelines. There are actually the customer expectations. It's a process. This cycle, how long it took to move out from China to India, some extent, still going on. Last 5, 6 years, it's working very actively government. But still the shift is not substantial. So it takes its own time. I don't think it's going to change next 3, 4 years drastically on that perspective. And the fact is there's no alternative for India. The only either China or India, right, for all these things where there is a large manufacturing, large resource capability to do these things, only these countries. So they won't go back to the China, right? So still, I see there's a good opportunity for India and also ourselves.

Moderator: We have our next questi

on from the line of Bharat Sheth from Quest Investment Advisors.

Bharat Sheth: Congratulations, Hari Babu and Rajaramji and team for a super performance. I have 2 questions for SeQuent. One is that we -- like what Hari Babu said, even in SeQuent also, we were, I mean, moving away from low -margin product and hence our top line was getting affected. So at current stage, where we are in this portfolio and when we really start seeing a larger benefit in terms of top line growth?

Rajaram Narayanan: And your second question, Bharat bhai?

Bharat Sheth: And sir, I mean, second question is now like in Spain, which is making a good margin and profit, there we have only 60% holding. Any plan for consolidating 100%? And third question for our CFO. This one -off and ESOP cost, how do we see because it is going at accelerated pace? So how could we think about the ESOP cost in '26 and '27?

Rajaram Narayanan: Okay. I'll just take the question. Bharat bhai, thank you for asking. So one is on the top line. I think we have completed most of the pruning, which was done of low margin. Of course, this has to be continuously done. But now you are seeing that for the last few quarters, the growth rate has moved from 5%, 6% now to almost -- we are talking between 12% to 14% in most, and if you look at local currency. So we expect this to keep accelerating.

So now the growth has to come from 2; one, volume growth of your existing products and by introducing new products. And the third, of course, will come from pricing, right? So these are the 3 sort of levers which will give you the growth coming. So I don't think there is much to do now in pruning of products on the formulation side. Most has been done.

Of course, on API, there is always a pressure on margins because there is always pressure in terms of B2B supplies. But we don't see that this exercise will be continuing for too long. But in all companies, after a couple of years, you once more look at your portfolio and then you have to refresh it depending on what has changed in the market, yes.

Second, I think on Spain, yes, we have a 60%. We have, at this point of time, no immediate plan. It's a very well -run operation. The 40% is owned by the family, which currently also runs the SeQuent Scientific Limited

August 11, 2025

Page 14 of 17

company. So they are trained veterinarians, local experts. And therefore, we are very happy with what they're doing. So there's no urgency for us to sort of get into that.

And the last question coming on to the ESOP piece, I'll ask Saurav to reply after this. But maybe first, I'll ask if Dr. Hari wants to add anything on the pruning of products and improving projects.

Bharat Sheth: Of course, I have a question for Hari Babu also.

Rajaram Narayanan: Okay, separately. Okay. So then maybe I'll ask Saurav to answer one on the ESOPs.

Hari Babu Bodepudi: Let me complete our SeQuent perspective pruning. It's always margin improvements or top line growth is based on 2 things. One is how efficiently we can run our operations. Second thing is how fast we can bring new products on, especially API because as Rajaram mentioned, formulation actually it's already done whatever we have. It's mostly geographic expansion. There's a lot of opportunities for exporting from Turkey to other...

Moderator: Sorry, sir. Hari sir got disconnected, I'll reconnect.

Bharat Sheth: So meanwhile if Saurav can answer.

Rajaram Narayanan: Okay. Just complete the question.

Saurav Bhala: Yes, Mr. Bharat. So on two points. First, I'll take on the exceptional item. If you see exceptional, there is no exceptional coming in the first quarter other than the merger -related expense, which would continue for next 2 quarters because as the merger progresses, there are miles tone-based payments, which will happen in this year. Apart from that, we are not seeing any one -time or exceptional kind of expense, which

is all taken care of.

On the second part, ESOP. ESOP, as I explained in the last call also, ESOP, we have mostly done the vesting of SeQuent ESOPs and the base of the last year retains. Next 2 years, it would be in the similar lines. It will not increase because of SeQuent ESOPs.

Hari Babu Bodepudi: Sorry, guys, I lost again my line.

Rajaram Narayanan: Please continue, Dr. Hari.

Hari Babu Bodepudi: So what I was telling SeQuent margin improvements and also top line improvements, as Rajaram mentioned, all formulation is pretty well streamlined last couple of years. So most important for that is the geographic expansion. That's what I started doing like exporting from Turkey to other countries, Spain to other countries. So it's working pretty well on that perspective.

When it comes to API, especially SeQuent, any API business to grow on two fronts. One is efficient utilization of the facilities and efficient process capability. And the third thing is most important, continuous adding of those new products. So that we missed out last couple of years, but now we are accelerating that both sides. And we can see a lot of improvement in 12 months from that perspective. That's what I was trying to say.

SeQuent Scientific Limited

August 11, 2025

Page 15 of 17

Bharat Sheth: Sir, same thing on earlier also, we were looking for Viyash also a lot of, I mean, pruning the portfolio and hence, our top line is not really reflecting, but it is reflected in the margin. So where we are in this journey, pruning of the portfolio and moving to, say, other newer therapeutic like oncology as well as CDMO opportunity, if you can give some more color?

Hari Babu Bodepudi: Viyash perspective, we are very strong. We initiated oncology maybe 18 months back. Within 18 months, we come up very stronghold now. We have almost INR15 crores, INR16 crores in portfolio. Already a couple of products we have filed on that perspective. So similar lines, SeQuent also, we are looking at a couple of -- even animal pet care, especially there's a lot of oncology products either similar or coming in different way. Since we have, we can come up in a strong way in that perspective. These are low margin, for example -- sorry, go ahead.

Bharat Sheth: Sorry, sorry. You said, low margin and then top line growth, how do we think about it?

Hari Babu Bodepudi: So low margin, large volume, always there is a scope to improve by doing process efficiency or optimizing capabilities. I think that's where we have a very strong team to do that like large volume, low margin, I can say, [inaudible 0:50:39] various markets actually where we operate at the quality market, margins are still reasonably good.

But still there is a continuous process to improve high-volume, low margin products that we are very much capable to do that. Of course, where there are low volume, low-margin products, that's where we are trying to prune in. So we have very strong process efficiency team to take care of those things. We do not want to drop every product.

We drop only products where there is no opportunities to see the growth. If the overall volume itself is very low in the world market, we can't see much growth. Those are the projects we are trying to prune in. But high-volume products will continue, will improve as much as possible. And we definitely are going to compete those products.

Bharat Sheth: And CDMO opportunity, sir?

Moderator: Sorry to interrupt you, sir. May we request you to rejoin the queue.

Bharat Sheth: Sir, this is in line with the same question of CDMO, which I already asked.

Rajaram Narayanan: Dr. Hari can complete the answer for that, yes.

Hari Babu Bodepudi: The CDMO also, as I explained last quarter, we initiated CDMO. We started doing a couple of companies. But we are coming up with a complete strategic direction next 1, 2 quarters. We started building the team on CDMO. If you see o

ur capability, we have fantastic infrastructure, both analytical, EHS and operating. These three are actually core thing for any CDMO business.

And we are already handling maybe, I think, 8 out of top 10 innovator companies.

The next phase of CDMO business, we are trying to do Phase I, Phase II. That we started building the team. We started actually relooking at our R&D expansion. This year, you can see definitely our R&D expansion, both space as well as people. So next year, we will come up with strong

SeQuent Scientific Limited

August 11, 2025

Page 16 of 17

CDMO. I don't want to just come up CDMO just a few things. So we are going to come up very strong on our CDMO next 12 to 18 months, I can say that. We are working on that.

Moderator: We have our next question from the line of Mohd Haris from Monarch Network Capital.

Mohd Haris: Can you provide an update on the companion animal health business? And where do we see it in the next 2 years? And if you can give us the financials in terms of contribution in this quarter?

Rajaram Narayanan: Is that your only question?

Mohd Haris: Yes, that is the only question.

Rajaram Narayanan: Okay. Thank you. So I think companion animals for us, as we have said before, it reflects at this point of time about 5-odd-percent of our total business. We are largely a production animal company, but it's growing fast for us in some markets. So in Europe, for example, we are beginning to now distribute more and more of companion animal products and we are also launching the companion animal anesthetic range, which will increase the share of this business.

Our intent -- plan is that we should double this in the next 3 years in terms of organically on our own products. On the API side as well, there is -- there are companion animal APIs, which have now -- we started getting inquiries for those. We have started, in fact, supplying some of those. So I expect some interest to increase over there. But other than that, I think from a financial point of view, because it is not big enough, I can't -- we don't sort of report the financials of companion animals separately. Generally, they tend to be quite profitable in line with the current margin or slightly higher.

Moderator: We have next question from the line of Rachit Kabra from Anand Rathi.

Rachit Kabra : So I have a follow -up on like you had earlier said that the company would reduce the debt. So is it still holding true?

Hari Babu Bodepudi: Yes. Still we are evaluating, but we are going to restructure, whatever SeQuent debt you see today. So the interest cost is a little high. We are going to restructure, but we are looking at 2 things. One is clearing complete data or looking for something. So we are -- post-merger, we are going to do this. We are looking for growth opportunities. So we evaluated work on that after post-merger .

Moderator: Ladies and gentlemen, that was the last question for today. And I now hand the conference over to the management for closing comments.

Rajaram Narayanan: Okay. Thank you very much for being on the call. Thank you, Dr. Hari. Thank you, Saurav. Thank you, Ramakant, and everybody who has attended. So I think you would have seen that we are quite consistent right now in what we indicated a couple of quarters ago when we started doing this call together with Viyash and SeQuent.

Our growth continues to be on plan. Our margins are improving like we have guided. We do expect that the synergies of the merger will kick in fast right after we get all the clearances and SeQuent Scientific Limited

August 11, 2025

Page 17 of 17

the work on it, however, has already started. So both on the P&L as well as on the balance sheet, we should see a substantial improvement within the first few quarters of the merger sort of getting effective. And we look forward to sharing the performance of the next quarter when we

meet with you on the call. Thank you very much, and have a good week.

Saurav Bhala: Thank you.

Hari Babu Bodepudi: Thank you.

Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office : 3rd Floor, Srivalli's Corporate, Plot No. 290, SYN 33 34P TO 39, Guttala Begumpet, Jubilee Hills, Hyderabad - 500033 , Telangana

Office: 301, 3rd Floor, Dosti Pinnacle, Plot No. E7, Road No. 22, Wagle Industrial Estate, Thane (W), Mumbai - 400604, Maharashtra

Tel No.: +91 9391139986 / 22-4111 4777 | CIN: L99999TS1985PLC196357

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

August 13, 2025

To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Exchange Plaza,
Bandra -Kurla Complex,
Mumbai - 400 001 Bandra (East),
Mumbai - 400 051

Scrip code: 512529 Scrip code: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Re-submission
Earnings Call Transcript for the quarter and Year ended March 31, 2025

Dear Sir/ Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby re-submit the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for the quarter ended June 30, 2025 . Please note that the content s of the transcript remains unchanged , only the website link has been updated.

The transcript is available on the Company's website at the : [SequentScientific -Earnings - Aug11 -2025.pdf](#)

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For Sequent Scientific Limited

Yoshita Vora
Company Secretary & Compliance Officer
Encl: A/a

"SeQuent Scientific Limited
Q1 FY '26 Earnings Conference Call "
August 11, 202 5

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER– SEQUENT
SCIENTIFIC LIMITED
DR. HARI BABU BODEPUDI – WHOLE TIME DIRECTOR

AND CHIEF EXECUTIVE OFFICER – VIYASH LIFE SCIENCES
MR. RAMAKANT SINGANI – CHIEF FINANCIAL OFFICER – VIYASH LIFE SCIENCES
MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER – SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD INVESTOR RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited
August 11, 2025
Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the SeQuent Scientific Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you and over to you sir.

Abhishek Singhal: Thank you, Manav. A very good morning to all of you, and thank you for joining us today for SeQuent Scientific's earnings conference call for the first quarter of financial year 2026. Today, we have with us Mr. Rajaram, MD and CEO of SeQuent Scientific; Dr. Hari Babu, Whole-Time Director and CEO of Viyash Life Sciences; Mr. Saurav Bhala, CFO, SeQuent Scientific; and Mr. Ramakant Singani, CFO, Viyash Life Sciences, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the Stock Exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Rajaram to make his opening remarks.

Rajaram Narayanan: Thank you, Abhishek, and good morning, everyone, and a very warm welcome to all the participants today. Joining me on the call is Dr. Hari Babu, Whole-Time Director and CEO of Viyash Life Sciences. And I also have with me Saurav Bhala, CFO for SeQuent; and Mr. Ramakan, CFO of Viyash.

We released the results of the first quarter last Friday and the details are available on our website.

I hope you've had an opportunity to go through the presentation. The consistent improvement in results over the last few quarters signals that there is more behind the numbers. It signals a transformation in the way we have operated and deliver value. We have moved beyond consolidation and course correction into a phase of accelerated growth as we shape a future-ready company.

Coming to the performance for this quarter, I am pleased to announce that we have continued our strong performance in the first quarter of FY '26 with revenues at INR4,414 million, reflecting double-digit year-on-year growth of 13.1%. This performance has come in with strong margins. There was nearly a 25% growth in pre-ESOP EBITDA, which touched a new high of INR602 million and at a margin of 13.6%, which is in line with the recent performance of mid-teens EBITDA.

This improvement in financial performance, along with the forthcoming merger, provides us ample headroom to support investments in existing segments as well as support new

SeQuent Scientific Limited

August 11, 2025

Page 3 of 17

opportunities for growth. We are also seeing a substantial improvement in our profit after tax, underscoring strong control on all line items.

While Saurav will delve deeper into the financials, let me briefly cover the business aspects. Our formulation business, which accounts for 75% of our business, continues to deliver broad-based growth. It sustained a sales growth of 13% versus last year and 11% on a sequential basis quarter-on-quarter.

This was driven by a strong performance across all key geographies. In Europe, the business year-on-year grew at 4% despite having a very high base. Sequentially, it was a 20% growth. This upswing in performance was led by a higher companion animal

sales and increased exports

from Europe. We successfully concluded the GMP approval of our Spanish manufacturing facility, which now prepares us for introducing new products in the next few quarters.

In emerging markets, the 25% year -on-year growth was supported by higher exports along with some judicious price increases, changes in the product mix for delivering better margin sales. We've also expanded our Mexico business. We now have established a presence in Mexico, which is a large market for animal health. Our Turkey business continues to grow, helped by a stable macro environment situation and acceleration of exports from Turkey. Our India formulations business has progressed well in a quarter that is relatively subdued due to seasonality. The business delivered a sales growth of 8% over quarter 1 FY '25 on the back of field expansion, which was done last year. India remains a key priority for driving our growth ahead. And in order to strengthen our presence, in this quarter, we concluded the second phase of field expansion to support our brand building efforts. This will result in stepped -up revenues in India as the full impact of the expansion sets in.

On the API front, we are seeing results of all the initiatives taken in the last 6 quarters. The business gained momentum, touching the INR100 crore mark for the quarter and delivered growth of 14% year -on-year and 21% for the sequential quarter. This has been achieved with competitive margins and an improved product mix. The sales of our top 10 customers came in at over 60% and we continue to have most of our sales realization in hard currency. We have received a new EU CEP approval during the quarter, in line with our plans to continuously add new markets and new products. The demand for our high -quality WHO -grade albendazole has been very strong. Finally, the proposed merger with Viyash Life Sciences is proceeding on track and we will answer any queries during the Q&A session.

I would like to take this opportunity to thank the entire team of SeQuent and Alivira and all the stakeholders involved for bringing to reality a strong start to this financial year.

I will now hand over to Saurav to share the financial details of SeQuent and then invite Dr. Hari to share the highlights of the Viyash performance. Over to you, Saurav.

Saurav Bhala: Thank you, Raja. Good morning, everyone, and thanks for joining us today on the call. It is my pleasure to present SeQuent Scientific Limited's financial results highlights for the first quarter SeQuent Scientific Limited

August 11, 2025

Page 4 of 17

of financial year '25 -'26, a quarter marked by strong execution, strategic progress and sustained momentum.

Q1 financial year '25 -'26 key highlights as follows: Total revenue is INR4,414 million, delivering a healthy growth of 13% year -on-year and 10% quarter -on-quarter basis. Formulation revenue is INR3,379 million, growing 13% year -on-year and 11% quarter -on-quarter. API revenue is INR1,054 million, growing 14% year -on-year and 21% quarter -on-quarter basis. Our gross margin improved by 180 basis points year -on-year, rising from 45.1% to 46.9%. The adjusted EBITDA is INR602 million for the quarter, marking a robust growth of 24.7% year -on-year basis and a 5.7% on a quarter -on-quarter basis. On a year -on-year basis, the Q1 adjusted EBITDA margin expanded by 126 basis points from 12.4% to 13.6%. The profit after tax for the first quarter is INR176 million, delivering a strong growth of 93.7% year -on-year basis and 69.7% quarter -on-quarter basis.

Coming to merger update. On the strategic merger with the Viyash Group, I'm pleased to share we have cleared key regulatory milestones. The Competition Commission of India and Stock Exchanges have provided their approvals and the required NCLT filings are complete. The NCLT has called for a shareholders' and creditors' meeting, which

is scheduled on August 30,

2025, keeping us well on track to complete the merger process as per the estimated timelines of 12 to 15 months from the merger announcement date of September 2024.

In conclusion, our strong operational execution and strategic momentum in Q1 financial year '25-'26 affirms our commitment to profitable growth and value creation for all the stakeholders. With the good progress of our merger process with Viyash Group, going ahead, we are well positioned to [inaudible 0:09:33] synergies and deliver long -term sustainable performance. We remain vigilant to the market dynamics and continue to prioritize innovation, focus on cost efficiency and drive profitable growth.

Thank you for your attention. I will now hand over to Dr. Hari for sharing insights into the Viyash Group's performance. Thank you.

Hari Babu Bodepudi: Thank you, Saurav and Raja. And first of all, congratulations for your great performance. And good morning, everyone. So let me take you through Viyash and also combined performance now. Viyash recorded strong performance in Q1 with revenue growth and margin expansion year-on-year.

For Q1 FY '26, revenue grew by 4% to INR353 crores and adjusted EBITDA grew by 19% year -on-year to INR68 crores. Viyash had EBITDA margins of 19.5%, which is an improvement of almost 2.4% year -on-year. The current margins are in line with our medium -term aspiration of 20-plus margins. In line with previous quarters, Viyash generated strong free cash flow in this quarter also. So now our current net EBITDA ratio is less than 0.3 with adequate headroom for

growth.

So now coming to the key operational updates. So we had five regulatory inspections last quarter. In fact, one day, we had two US FDA audits in two sites and one Europe audit in the same month and other few other regulatory inspections, all went through very well. I think this shows the

SeQuent Scientific Limited

August 11, 2025

Page 5 of 17

strong quality culture of Viyash. The two sites, both US FDA audits, we received EIS now. Both are actually [VI 0:11:36]. So that means actually the outcome was very good. In addition to that, regulatory audits, we had a large number of customer audits, which are very important for regulatory markets. We faced almost 30-plus audits in the quarter.

And coming to the R&D, which is most important for our growth. As you guys know, Viyash built based on R&D capability. So we validated three products last quarter. And we filed almost 12 products for various countries, which includes Europe, US, Korea, Saudi, most of the countries. And also, we have filed five finished dose products in US. And coming to the regulatory approvals, we received five approvals for API. From that one US product and three for CEP Certificate of Portability and one more for Europe. And also, we received finished one dose product approval in last quarter.

Coming to the launches, we launched two FDFs in US last quarter and also two APIs in various markets. And R&D pipeline, as you see, continuously, we have a strong pipeline. And currently, we have around 20-plus products on the pipeline and we are actually expected 10 to 15 products development as well as filing this year as anticipated.

Coming to the combined performance. Combined both companies have grown very strongly last quarter. For Q1 FY '26, combined revenue of two entities grew by 8.7% year-on-year, and most important, EBITDA grew by 21% year-on-year. The combined business had an adjusted EBITDA of INR129 crores with 16.2% margins with an improvement of 1.7%. The combined net debt to EBITDA is around 0.6x lower than actually 1x last previous year corresponding quarter.

As updated last quarter, we have started to plan for integration of the 2 companies and realizing synergies. Of course, as Saurav explained, we received the CCI approval, SEBI approval. Now it's process is going

through the NCLT and we anticipated approval as expected.

Coming to the synergies, whatever we explained in previous call also. So the 4 areas what we focus, first -- main was R&D always. As we explained last quarter, R&D already integrated, both teams are working together. And also, we started portfolio discussion combined.

So in R&D, there are two, three important things. One is, of course, product portfolio is very key for the growth. Second one is the cost improvement. So third one is manufacturing, of course. So R&D already, we started collaborating, working together. We initiated portfolio, and it's a lot of improvements we can see next few quarters.

Cost improvement also we initiated last couple of years. Of course, it's a continuous process. And UK, we already started seeing the margin improvement for both companies. That's a part of cost improvement. And coming to the manufacturing, this is the large synergies we are expecting.

Already, we started qualifying the products wherever the free capacity, a couple of products already initiated. But you know the regulatory process, it takes some time, 12 to 24 months. The process is continuing and we are doing very actively on that perspective. And procurement

SeQuent Scientific Limited

August 11, 2025

Page 6 of 17

synergies, already we started negotiating combined wherever there are common materials and it's working very well on that perspective.

Sales, as I explained last quarter also, there are synergies for both sides since SeQuent is operating most of the API business with innovators. That's where we see opportunity for Viyash to improve the business with innovators, started working. I think it's going to materialize in the next few quarters on that.

And mostly synergy is -- I can say it's happening. It's better than what we anticipated. But the regulatory framework, whatever it allows us, we are working on that, but it's working very smoothly. Both teams are working very closely. And also, we started working on strategic direction, both organized structure as well as next 3 to 5 years combined company, what we want to do. That type thing will come up in next 2, 3 quarters.

With that, thank you. I'll hand over back to Abhishek. Thank you guys so much.

Abhishek Singhal: We are good for Q&A now. Can you please open the floor for Q&A now.

Moderator: We have our first question from the line of Shiwani from Monarch Network Capital.

Shiwani: Yes. Congratulations on good results. I have two questions, one for SeQuent and one for Viyash.

So I'll begin with SeQuent question. So my question is that if we see the geographical mix, year-on-year, Europe and India has been a single-digit growth, whereas we see emerging market growth has been around 25%, which is good.

So I wanted to understand what's happening across the geography. And in emerging markets, I understand that we have added a few more markets. So if you can give a sense on how we are seeing the market panning out, especially with geopolitical issues also? And what is way forward for these markets?

Rajaram Narayanan: And the second question on Viyash?

Shiwani: I'll take the second question after this one, if that's okay?

Rajaram Narayanan: Okay, fine. So thank you, Shiwani, for the question. Yes, overall, I think we've started hitting a good double-digit growth. And some of the differences are that emerging markets, of course, the growth is coming because there is an opportunity to expand to new markets. There's also exports, which comes from -- one of the things we are doing is that we've created export bases, both in Turkey as well as in Spain, which is there for serving other markets which are nearby. So exports is doing it.

Emerging markets, we also added Mexico. We are adding new markets. So that's in general the momentum which is there in emerging markets and I think we should expect that

business to

keep growing in double-digits.

I think on Europe, it is -- what you might have seen now is more a function of a large base, which was there at the same quarter last year and that is why you might see a single-digit growth.

SeQuent Scientific Limited

August 11, 2025

Page 7 of 17

But we have in the recent quarters also delivered double-digit growth on Europe as we have added more products, particularly when we started the distribution of vaccines.

So we do expect that Europe is more a function of which quarter we end up having a large disease outbreak or a vaccination season. But on a full year basis, we still think that that's a market which should come close to double-digit growth in any case.

The last bit about India, I think India was prioritized around a year ago. And we have begun to see double-digit growth even in India. We should be -- in fact, there are quarters when we have done over 20%. We have now added field force in India. We had a substantially smaller footprint in India in terms of number of people on the field.

We had less than 100 people just a year ago. We now have about nearly 200 people on ground. And therefore, as the quarters sort of begin to realize the full impact of the people we have added, we expect this market also to begin to go into double-digits.

So I think -- and also, I think you'll remember that there is a seasonality factor which varies quarter-to-quarter in different countries. So there are some quarters where some country may be on a lower market growth, while the other markets may be higher. So -- but on an average, I think we expect this business to consistently move into double-digit growth.

Shiwani: Sure. Just a follow-up. When we say seasonality, you also mentioned that India business was impacted because of the seasonality factor. So what is the seasonality factor in Q1, if you can clarify that?

Rajaram Narayanan: Typically, what happens is that a lot of animal health medicines -- and India is largely a dairy cattle business and it tends to get affected to some extent by the rural economy, which is over there. And also the outbreak of diseases depends to some extent on the kind of climatic conditions that might happen in that particular quarter.

So you could have a situation where the same quarter last year may have had an outbreak of a disease because of which there was a substantially higher spike in the sale of medicine, while the same quarter this year may not have seen the same outbreak in disease and that might happen a couple of months later. So I think there's a bit of a variation which tends to take place quarter-on-quarter. But on a full year basis, I think the secular trend should be in double-digits always.

Shiwani: Sure, sure. I also have one more question for SeQuent, which is for API business. You did mention that albendazole sales have improved and it's seeing strong demand as well. What about other APIs? I mean, how is the API business performing and what to expect? Because API business have been slower initially.

Rajaram Narayanan: So we're getting the growth in both. I think we have signaled albendazole because albendazole, there is a demand coming in from WHO recently because we were prequalified for supply to formulators who are supplying for WHO. -- tenders and their requirement. But otherwise, even on some of the other APIs, which we make, which are non-albendazole APIs, there has been -- this quarter, there has been a growth even in those APIs.

SeQuent Scientific Limited

August 11, 2025

Page 8 of 17

But I think the most important thing for us is that we need to accelerate our new product introduction and R&D as far as the other APIs are concerned outside of just albendazole and the anthelmintic range. And that's the effort which is going on. So it has been a good performance for us, driven both by albendazole as well as the non

-albendazole range. But I think going ahead for us, the larger drive will be on the non -albendazole range.

Moderator: We have our next question from the line of Vishal Manchanda from Systematix Group.

Vishal Manchanda: Sir, congratulations on a good set of numbers. Just wanted to understand on the API business, after a long time, we have exceeded the INR100 crores number on a quarterly basis. Can we sustain this run rate?

Rajaram Narayanan: Yes, I think this is a rate which we've been aspiring for. We've also done this in the past. We did have some surprises and setbacks in the past, which we have spoken about. So I think INR100 crores is the rate which we would be targeting. And with the merger around the corner and more inputs coming in, in terms of the R&D pipeline, there's no reason why in the next few quarters we should not be sticking to this kind of a run rate or more.

Vishal Manchanda: Right. And even on the gross margin front, there has been an improvement on a Y -o-Y basis, while there is a drop on a Q -o-Q basis. So could you explain this like the Q -o-Q drop and Y -o-Y growth? Is there some seasonality element here?

Rajaram Narayanan: Yes. So there is -- in general, I think we are having a margin improvement, which is happening on account of initiatives, both on the cost line as well as on the product mix, right? And both these have given us margin improvement, both in formulations and on APIs. So that's why you see a quarter -on-quarter -- year-on-year growth.

Sequentially, some of it is also because of product mix. We did have a substantially higher profitability mix, which was specific to last quarter and that got a bit reduced. It was not there this quarter. So you will find that the line is still in the area of 48%, 49%, but you could have some sort of swing between the last quarter and this quarter. But directionally, if you take it over 3, 4 quarters, we would continue to be moving towards the 50% line on gross margin.

Vishal Manchanda: Right. And like any focus areas in terms of the animal health formulation business that -- so in terms of whether pet is a more focus area for you? And any geographies that you're specifically focusing on in terms of building the formulation business?

Rajaram Narayanan: Yes. I think we have looked -- said that companion animal is a priority. We are looking at it in 2 ways. One is wherever we have a front -end presence already, like in Europe, we have begun to distribute for some other companies and also launch some products of our own. But I think if you want to make it bigger, we'll have to look at a slightly more aggressive move, which is always under consideration for us in the next year or so.

Having said that, we are also doubling down heavily on India because this is a market for domestic growth, which is very crucial for us. But for us, the big advantage is wherever we have a front -end business, which is India, lots of markets in Europe, Brazil and Turkey. In these

SeQuent Scientific Limited

August 11, 2025

Page 9 of 17

markets, we would focus on introducing new product range, largely in the area of companion animals.

Vishal Manchanda: Okay. And we are still looking for the injectable -- growth in the injectable business as an area to build margins and maybe accelerate top line?

Rajaram Narayanan: So injectables, we have a factory, which is there in Turkey. That plant has now got an EU GMP, and therefore, we will expand supplies from Turkey into European markets also for injectables. These injectables are largely for food production animals and not so much for companion animals.

But the injectables, obviously are -- there are fewer companies which are in injectables and the margins are obviously better than that. So yes, we will be growing injectables fast. We are, of course, looking at other opportunities and other markets in this area right now.

Vishal Manchanda: Okay.

And just one final one on -- if I can just ask one more. On albendazole, we always had a US VMF on albendazole. So was that not good enough or this WHO prequalification is kind of incrementally helping you?

Rajaram Narayanan: I think they are separate markets. The US VMF is for supplies to the United States. The WHO purchase is largely for supplies, which are made to the developing markets for various donation programs as well as local countries which sort of use it. So these are two completely different market requirements.

Moderator: We have a next question from the line of Rachit Kabra from Anand Rathi.

Rachit Kabra : So I would like to know like is there any risk of like the input costs rising or going up due to the dollar strengthening?

Rajaram Narayanan: I think I'll pass this question to Dr. Hari. Maybe if you can give us some color on that.

Hari Babu Bodepudi: We don't see any risk because exports are more than imports, much more than -- I don't see any impact on that. Of course, wherever there is a risk, we have cover it. I don't see any negative impact on that perspective.

Rachit Kabra: And my next question is like you had earlier said that Turkey would become a base for more exports. And can you update on the plan, what the plan has been and how it has been going forward?

Rajaram Narayanan: Yes. So when we started doing that, the original sort of requirement was that we wanted to make sure that we were foreign exchange neutral, and that's why we started exports. But now Turkey is becoming -- because of the injectable manufacturing plant which we have over there and the fact that we've got a EU GMP license which has been given to that plant, the opportunities to export beyond just neighboring markets has increased. And we are looking at a couple of launches coming in the next few quarters, which will be for supplies into Europe.

SeQuent Scientific Limited

August 11, 2025

Page 10 of 17

So yes, so that plan continues and it is, in fact, accelerating now. Also, the economic condition there is a bit more stable than what it was, say, 6 quarters ago. And that makes it a bit easier for us to be able to look at more B2B contracts for that.

Rachit Kabra: And if I could continue with one more question?

Abhishek Singhal: Go ahead. One more, yes.

Rachit Kabra: Yes. So we have seen a PAT improvement substantially compared to the last year. So what are you targeting for this year? Any ballpark number?

Rajaram Narayanan: I don't think we'll give any guidance on PAT right now. I mean we have given you guidance on margins, on the adjusted EBITDA margin. I think we will hold to that. Of course, the attempt is to make sure that it gets converted into much higher PAT. So we expect the PAT growth to be well ahead of the EBITDA growth for both the -- as we begin to go on.

So I think what you should expect is that the PAT growth will be ahead of EBITDA growth.

And the EBITDA guidance we have given you already saying that on the SeQuent side, it would be closer to the mid-teens for this year and we were looking at the high-teens on the Viyash side.

And hopefully, by the end of the year, we would be able to come back and say that we are on the higher side on both.

Moderator: We have our next question from the line of Amresh Kumar from Geosphere Capital.

Amresh Kumar: On the gross margin side, sir, you said it can reach or trend towards 30%. So are we building in some merger benefits from this or how do we reach there?

Rajaram Narayanan: Sorry, I don't know what you are -- so on the gross margin line, I think on the SeQuent side, we have indicated that it will come closer to the 50% as we begin to move on. Viyash is obviously ahead of -- well ahead of that already. And yes, we should see some benefits. I will hand over maybe to Dr. Hari to expand a bit more on what can -- what are possibilities on the gross margin side.

Abhishek Singhal: D

r. Hari?

Rajaram Narayanan: Is Dr. Hari there?

Moderator: Sir, his line got disconnected.

Rajaram Narayanan: But yes, just to recap, we have been operating at the 45, 46 kind of a level. We have moved up now to about 48, 49. And our target is to move to the 50 soon. And Viyash, of course, is always ahead of -- much higher than that. So -- and the benefit, while I wait for Dr. Hari to join...

Abhishek Singhal: Meanwhile, can you ask can you ask your next question?

Rajaram Narayanan: Can you ask your next question and I can...

SeQuent Scientific Limited

August 11, 2025

Page 11 of 17

Amresh Kumar: Yes, sure. On the R&D front, you said that you are in the process of introducing or working on some more products. So it would be great if you can kind of expand on this a little bit?

Rajaram Narayanan: Yes. I will just wait for Dr. Hari, he got disconnected to sort of like -- so two questions. One on how the improvement in gross margins may come in the next few quarters after the merger and the synergies? And the second, I think, is on what can we look forward to in terms of R&D, new products and pipeline?

Hari Babu Bodepudi: So as I explained, R&D, we are adding a lot of products to both companies because Viyash is having a very strong portfolio. Every quarter, we can see approvals as well as new product filing. So we started adding SeQuent portfolio also since both R&Ds are working together. So now the outcome is much better than what was earlier.

But definitely, next few quarters, it's going to add a lot of products even for animal health basket.

But of course, you know the current regulatory scenario, once you start developing the product, development and approval, it takes its own time, but we are trying to work as quickly as possible.

Coming to the gross margin improvements, of course, the entire strategic direction we are working on, and as explained last quarter also, so we are going to -- we will present maybe next quarters with a detailed investor presentation. We will come up in the next 2 quarters. But definitely, we can see a lot of gross margin improvements because of various things.

One is definitely network optimization, always, as we explained, wherever there is a capacity.

Viyash, we are running capacity utilization around 60%, 65%, whereas SeQuent actually the one site is fully occupied, other site is still there is a capacity to add more products.

So with the utilization of the capacity, definitely there is gross margin improvement. And most important, our R&D capability of cost improvements, that's going to play a major role. It's going to improve a lot. But whatever we explained earlier by '27, both companies together definitely will be around 20%. That we are on track.

Moderator: We have our next question from the line of Kaustav from Boundless Management Solutions.

Kaustav: My question is for Dr. Hari. Because of the exposure of Viyash to the US markets, I wanted to understand a lot has changed in terms of expectations or opportunities coming from the US because of, let's say, regulatory factors. About a year ago, we had this opportunity -- potential opportunity from the US Biosecure Act.

Now we move forward a year and Trump has come in and he's talking about these pharma tariffs.

Also, there's a little bit of lack of clarity in how the distribution would change the impact of pharmaceutical benefit managers. So how do you look at this? How do you assess the situation and the impact on the combined entity, Viyash plus SeQuent together?

Hari Babu Bodepudi: No, I think our perspective, I see more opportunity than issue. Why? Because current our exposure, of course, SeQuent exposure is not -- is very little for US And Viyash API exposure, direct exports are very little, in fact, I think 2%, 3%. But overall, it may impact indirect exports

SeQuent Scientific Limited

August 11, 2025

Page 12

of 17

also, whatever we supply to Indian companies where they formulate and export, there may be impact. But all put together, it's around 17%, 18% of our exposure on the US market today.

And other than exports from India, we have formulation business in US and manufacturing site also is in US And we see both sides, it's opportunity as well as actually the issue, but I strongly believe we have a great opportunity. Why?

Because our exposure is a little less. And most important, if you see our regulatory strength, so last 12, 15 months, we were able to manage 5 US FDA audits and without any issue. That's a great asset for us. And also handling the same day 2 audits it's not easy for any company, but our team demonstrated that. And SeQuent also, whatever we had audits, it went through very well.

So we see, US, definitely, there is more opportunity for us with our R&D strength, capability to differentiate products, whatever you can see from US perspective. And also SeQuent, definitely, there is opportunity to grow a lot in generic animal health play. You can see generics started penetrating in US That's where we can see the opportunities. But we -- I strongly believe more than threats, we have a great opportunity.

Of course, we are trying to relook at re-strategize even our formulation business, okay? Since we have US sites, if we put tariffs, that's a big advantage for us. But that could be the short term I always see. But long-term strategy, okay, wherever is a low-cost base manufacturing is always good. So we are working on various aspects, especially in the formulation.

We are trying to take out low-margin, low-volume products, which improve margins. That you can see this quarter, whereas our margins, EBITDA improved a lot, but top line growth is very less. That's one of the reasons was we are trying to take out actually low volume, low margin products, which actually substitute with the new products.

So we are coming up with a lot of new products where the margin profile is much better than mature products. So that's how we can see opportunity for us. And Biosecure Act, of course, all our facilities, we are moving towards actually meeting any standards. So that's also we see a lot of opportunity with this...

Kaustav: But -- if I could just interrupt on the Biosecure. Since the government changed, what's the view on Biosecure Act? Because it's been shelved, right?

Hari Babu Bodepudi: If the government change of US or you mean to say what?

Kaustav: Yes, yes, for the US

Hari Babu Bodepudi: The current government, whatever is the Trump policies you're talking, right, or the new government comes?

Kaustav: The current Trump government.

Hari Babu Bodepudi: Yes. It's actually anything -- Trump, he can actually stay another 3 years, right, 3, 3.5 years. All these products, whatever we are talking, Biosecure Act, it takes its whole time 3 to 5 years, any

SeQuent Scientific Limited

August 11, 2025

product moving here or there. It's not easy just like that actually moving out all Indian products to somewhere, all Chinese products to somewhere. It's impossible to do that. So there is a regulatory guidelines. There are actually the customer expectations. It's a process. This cycle, how long it took to move out from China to India, some extent, still going on. Last 5, 6 years, it's working very actively government. But still the shift is not substantial. So it takes its own time. I don't think it's going to change next 3, 4 years drastically on that perspective. And the fact is there's no alternative for India. The only either China or India, right, for all these things where there is a large manufacturing, large resource capability to do these things, only these countries. So they won't go back to the China, right? So still, I see there's a good opportunity for India and also ourselves.

Moderator: We have our next questi

on from the line of Bharat Sheth from Quest Investment Advisors.

Bharat Sheth: Congratulations, Hari Babu and Rajaramji and team for a super performance. I have 2 questions for SeQuent. One is that we -- like what Hari Babu said, even in SeQuent also, we were, I mean, moving away from low -margin product and hence our top line was getting affected. So at current stage, where we are in this portfolio and when we really start seeing a larger benefit in terms of top line growth?

Rajaram Narayanan: And your second question, Bharat bhai?

Bharat Sheth: And sir, I mean, second question is now like in Spain, which is making a good margin and profit, there we have only 60% holding. Any plan for consolidating 100%? And third question for our CFO. This one -off and ESOP cost, how do we see because it is going at accelerated pace? So how could we think about the ESOP cost in '26 and '27?

Rajaram Narayanan: Okay. I'll just take the question. Bharat bhai, thank you for asking. So one is on the top line. I think we have completed most of the pruning, which was done of low margin. Of course, this has to be continuously done. But now you are seeing that for the last few quarters, the growth rate has moved from 5%, 6% now to almost -- we are talking between 12% to 14% in most, and if you look at local currency. So we expect this to keep accelerating.

So now the growth has to come from 2; one, volume growth of your existing products and by introducing new products. And the third, of course, will come from pricing, right? So these are the 3 sort of levers which will give you the growth coming. So I don't think there is much to do now in pruning of products on the formulation side. Most has been done.

Of course, on API, there is always a pressure on margins because there is always pressure in terms of B2B supplies. But we don't see that this exercise will be continuing for too long. But in all companies, after a couple of years, you once more look at your portfolio and then you have to refresh it depending on what has changed in the market, yes.

Second, I think on Spain, yes, we have a 60%. We have, at this point of time, no immediate plan. It's a very well -run operation. The 40% is owned by the family, which currently also runs the SeQuent Scientific Limited

August 11, 2025

Page 14 of 17

company. So they are trained veterinarians, local experts. And therefore, we are very happy with what they're doing. So there's no urgency for us to sort of get into that.

And the last question coming on to the ESOP piece, I'll ask Saurav to reply after this. But maybe first, I'll ask if Dr. Hari wants to add anything on the pruning of products and improving projects.

Bharat Sheth: Of course, I have a question for Hari Babu also.

Rajaram Narayanan: Okay, separately. Okay. So then maybe I'll ask Saurav to answer one on the ESOPs.

Hari Babu Bodepudi: Let me complete our SeQuent perspective pruning. It's always margin improvements or top line growth is based on 2 things. One is how efficiently we can run our operations. Second thing is how fast we can bring new products on, especially API because as Rajaram mentioned, formulation actually it's already done whatever we have. It's mostly geographic expansion. There's a lot of opportunities for exporting from Turkey to other...

Moderator: Sorry, sir. Hari sir got disconnected, I'll reconnect.

Bharat Sheth: So meanwhile if Saurav can answer.

Rajaram Narayanan: Okay. Just complete the question.

Saurav Bhala: Yes, Mr. Bharat. So on two points. First, I'll take on the exceptional item. If you see exceptional, there is no exceptional coming in the first quarter other than the merger -related expense, which would continue for next 2 quarters because as the merger progresses, there are miles tone-based payments, which will happen in this year. Apart from that, we are not seeing any one -time or exceptional kind of expense, which

is all taken care of.

On the second part, ESOP. ESOP, as I explained in the last call also, ESOP, we have mostly done the vesting of SeQuent ESOPs and the base of the last year retains. Next 2 years, it would

be in the similar lines. It will not increase because of SeQuent ESOP s.

Hari Babu Bodepudi: Sorry, guys, I lost again my line.

Rajaram Narayanan: Please continue, Dr. Hari.

Hari Babu Bodepudi: So what I was telling SeQuent margin improvements and also top line improvements, as Rajaram mentioned, all formulation is pretty well streamlined last couple of years. So most important for that is the geographic expansion. That's what I started doing like exporting from Turkey to other countries, Spain to other countries. So it's working pretty well on that perspective.

When it comes to API, especially SeQuent, any API business to grow on two fronts. One is efficient utilization of the facilities and efficient process capability. And the third thing is most important, continuous adding of those new products. So that we missed out last couple of years, but now we are accelerating that both sides. And we can see a lot of improvement in 12 months from that perspective. That's what I was trying to say.

SeQuent Scientific Limited

August 11, 2025

Page 15 of 17

Bharat Sheth: Sir, same thing on earlier also, we were looking for Viyash also a lot of, I mean, pruning the portfolio and hence, our top line is not really reflecting, but it is reflected in the margin. So where we are in this journey, pruning of the portfolio and moving to, say, other newer therapeutic like oncology as well as CRDMO opportunity, if you can give some more color?

Hari Babu Bodepudi: Viyash perspective, we are very strong. We initiated oncology maybe 18 months back. Within 18 months, we come up very stronghold now. We have almost INR15 crores, INR16 crores in portfolio. Already a couple of products we have filed on that perspective. So similar lines, SeQuent also, we are looking at a couple of -- even animal pet care, especially there's a lot of oncology products either similar or coming in different way. Since we have, we can come up in a strong way in that perspective. These are low margin, for example -- sorry, go ahead.

Bharat Sheth: Sorry, sorry. You said, low margin and then top line growth, how do we think about it?

Hari Babu Bodepudi: So low margin, large volume, always there is a scope to improve by doing process efficiency or optimizing capabilities. I think that's where we have a very strong team to do that like large volume, low margin, I can say, [inaudible 0:50:39] various markets actually where we operate at the quality market, margins are still reasonably good.

But still there is a continuous process to improve high-volume, low margin products that we are very much capable to do that. Of course, where there are low volume, low-margin products, that's where we are trying to prune in. So we have very strong process efficiency team to take care of those things. We do not want to drop every product.

We drop only products where there is no opportunities to see the growth. If the overall volume itself is very low in the world market, we can't see much growth. Those are the projects we are trying to prune in. But high-volume products will continue, will improve as much as possible.

And we definitely are going to compete those products.

Bharat Sheth: And CDMO opportunity, sir?

Moderator: Sorry to interrupt you, sir. May we request you to rejoin the queue.

Bharat Sheth: Sir, this is in line with the same question of CDMO, which I already asked.

Rajaram Narayanan: Dr. Hari can complete the answer for that, yes.

Hari Babu Bodepudi: The CDMO also, as I explained last quarter, we initiated CDMO. We started doing a couple of companies. But we are coming up with a complete strategic direction next 1, 2 quarters. We started building the team on CDMO. If you see our

capability, we have fantastic infrastructure,

both analytical, EHS and operating. These three are actually core thing for any CDMO business.

And we are already handling maybe, I think, 8 out of top 10 innovator companies.

The next phase of CDMO business, we are trying to do Phase I, Phase II. That we started building the team. We started actually relooking at our R&D expansion. This year, you can see definitely our R&D expansion, both space as well as people. So next year, we will come up with strong

SeQuent Scientific Limited

August 11, 2025

Page 16 of 17

CDMO. I don't want to just come up CDMO just a few things. So we are going to come up very strong on our CDMO next 12 to 18 months, I can say that. We are working on that.

Moderator: We have our next question from the line of Mohd Haris from Monarch Network Capital.

Mohd Haris: Can you provide an update on the companion animal health business? And where do we see it in the next 2 years? And if you can give us the financials in terms of contribution in this quarter?

Rajaram Narayanan: Is that your only question?

Mohd Haris: Yes, that is the only question.

Rajaram Narayanan: Okay. Thank you. So I think companion animals for us, as we have said before, it reflects at this point of time about 5-odd-percent of our total business. We are largely a production animal company, but it's growing fast for us in some markets. So in Europe, for example, we are

beginning to now distribute more and more of companion animal products and we are also launching the companion animal anesthetic range, which will increase the share of this business. Our intent -- plan is that we should double this in the next 3 years in terms of organically on our own products. On the API side as well, there is -- there are companion animal APIs, which have now -- we started getting inquiries for those. We have started, in fact, supplying some of those. So I expect some interest to increase over there. But other than that, I think from a financial point of view, because it is not big enough, I can't -- we don't sort of report the financials of companion animals separately. Generally, they tend to be quite profitable in line with the current margin or slightly higher.

Moderator: We have next question from the line of Rachit Kabra from Anand Rathi.

Rachit Kabra : So I have a follow -up on like you had earlier said that the company would reduce the debt. So is it still holding true?

Hari Babu Bodepudi: Yes. Still we are evaluating, but we are going to restructure, whatever SeQuent debt you see today. So the interest cost is a little high. We are going to restructure, but we are looking at 2 things. One is clearing complete data or looking for something. So we are -- post-merger, we are going to do this. We are looking for growth opportunities. So we evaluated work on that after post-merger .

Moderator: Ladies and gentlemen, that was the last question for today. And I now hand the conference over to the management for closing comments.

Rajaram Narayanan: Okay. Thank you very much for being on the call. Thank you, Dr. Hari. Thank you, Saurav. Thank you, Ramakant, and everybody who has attended. So I think you would have seen that we are quite consistent right now in what we indicated a couple of quarters ago when we started doing this call together with Viyash and SeQuent.

Our growth continues to be on plan. Our margins are improving like we have guided. We do expect that the synergies of the merger will kick in fast right after we get all the clearances and SeQuent Scientific Limited

August 11, 2025

Page 17 of 17

the work on it, however, has already started. So both on the P&L as well as on the balance sheet, we should see a substantial improvement within the first few quarters of the merger sort of getting effective. And we look forward to sharing the performance of the next quarter when we

meet with you on the call. Thank you very much, and have a good week.

Saurav Bhala: Thank you.

Hari Babu Bodepudi: Thank you.

Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Proven Ability In Life Sciences

SeQuent Scientific Limited

Registered Office : 3rd Floor, Srivalli's Corporate, Plot No. 290, SYN 33 34P TO 39, Guttala Begumpet, Jubilee Hills, Hyderabad - 500033 , Telangana

Office: 301, 3rd Floor, Dosti Pinnacle, Plot No. E7, Road No. 22, Wagle Industrial Estate, Thane (W), Mumbai - 400604, Maharashtra

Tel No.: +91 9391139986 / 22-4111 4777 | CIN: L99999TS1985PLC196357

Website : <http://www.sequent.in> | Email Id : investorrelations@sequent.in

November 21, 2025

To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Exchange Plaza,
Bandra -Kurla Complex,
Mumbai - 400 001 Bandra (East),
Mumbai - 400 051

Scrip code: 512529 Scrip code: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Submission
Earnings Call Transcript for the quarter and half year ended September 30 , 2025

Dear Sir/ Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for the quarter and half year ended September 30, 2025 .

The transcript is available on the Company's website at the : Financial Overview - SeQuent

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For Sequent Scientific Limited

Yoshita Vora
Company Secretary & Compliance Officer
Encl: A/a

Page 1 of 19

"SeQuent Scientific Limited
Q2 FY '26 Earnings Conference Call "
November 19, 202 5

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER– SEQUENT

SCIENTIFIC LIMITED
DR. HARI BABU – WHOLE TIME DIRECTOR AND CHIEF
EXECUTIVE OFFICER – VIYASH LIFE SCIENCES
MR. RAMAKANT SINGANI – CHIEF FINANCIAL
OFFICER – VIYASH LIFE SCIENCES
MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER –
SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

SeQuent Scientific Limited
November 19 , 202 5
Page 2 of 19

Moderator: Ladies and gentlemen, good morning, and welcome to the SeQuent Scientific Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the pr esentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star, then zero on your touchtone telephone. Please note that this conference is being recorded. I will now hand the conference over to Abhishek for opening remarks. Abhishek, please go ahead.

Abhishek Singhal: Thank you, Ryan. A very good afternoon and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the second quarter and half year ended financial year 2026. Today, we have with us Mr. Rajaram, MD and CEO of SeQuent Scientific; Dr. Hari Babu, Whole -Time Director and CEO of Viyash Life Sciences; Mr. Saurav Bhala , CFO, SeQuent Scientific; and Mr. Ramakant, CFO, Viyash Life Sciences, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange website. The transcript for this call will be available in a week's time on the company's website. Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this cal l, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Mr. Rajaram to make his opening remarks.

Rajaram Narayanan: Thank you, Abhishek, and good morning, everyone, and a very warm welcome to all the participants. Joining me on the call is Dr. Hari Babu, Whole -Time Director and CEO of Viyash; along with Saurav, CFO for SeQuent and Mr. Ramakant, CFO for Viyash.

Let me begin today with some good news. Yesterday, the National Company Law Tribunal, the NCLT, has allowed the petition for merger and approved the scheme of merger between SeQuent and the Viyash Group of companies.

The NCLT approval marks the beginning of a new chapter for the combined entity as we build towards delivering a fundamental transformation for the company to leapfrog into the next orbit of growth. We released results of the quarter ended September 30, 2025, last Friday, which are available on our website. I hope you've had an opportunity to go through the presentation. Coming to the performance for this quarter, I'm pleased to announce that we continued our strong performance in the second quarter of FY '26 with revenues of INR4,240 million, reflecting a healthy double -digit year -on-year growth at 15%. We remain committed to sustainable profitable growth. And during the quarter, there was a 270-bps improvement in gross margin, and the pre -ESOP EBITDA rose to INR657 million, and that came in at a 15.5% EBITDA in terms of the ESOP margins.

You would recall that a few quarters ago, we had set ourselves a target of crossing 15% EBITDA and moving to high teens. We are now firmly on that path while also improving our profit after SeQuent Scientific Limited

November 19 , 202 5
Page 3 of 19

tax substantially. So, a big thanks to all our teams and partners for their unwavering support, efforts and resilience.

This consistent improvement in financial performance, along with the benefits of a strong balance sheet resulting from the merger, provides us with ample headroom to support investments to build our portfolio in new segments such as companion animal. While Saurav will delve deeper into the financials, let me briefly cover some business aspects. Our formulations business, which accounts for about 75% of our sales, continued to trend very wel

I, growing over last year by 18%, quarter -on-quarter. Now this was driven by a strong performance across all business geographies.

In Europe, the business grew with a healthy double-digit growth of 14% year-on-year during the quarter, maintaining sequential performance as well. This upswing in performance was led by a strong resurgence in the Spanish business and increased exports from Spain.

In emerging markets, a 27% year-on-year growth was supported by a strong growth across many key countries. We have established our front-end presence in Mexico, which is a large global market for animal health.

We launched Tulaject, which is a tulathromycin injection in Brazil, and we will eventually expand it to the rest of the Latin American market. Our operations in Turkey, both domestic and exports, continue to grow as we retain our position amongst the top 5 players in the market for ruminant animal. Our India formulations business has progressed well.

Quarter 2 is relatively a large quarter for the industry, and our business grew 6% over last year.

We expect the impact of our field force expansion to kick in during the second half of the year.

As we have said earlier, India remains a key market for us to develop. Coming to our API business, we are very pleased with the transformation efforts undertaken by the team, and our business clocked sales of INR830 million during the quarter, which represents a 7% growth vis-a-vis the same quarter last year.

And throughout this period, we have had successful customer audits as we position ourselves as a reliable high-quality partner for APIs. During this quarter, we also commercialized one new API partnership with the launch in the U.S., and we completed the U.S. FDA audit for our analytical lab, SeQuent Research Limited.

I will now hand over to Saurav to share the financial details of SeQuent and then invite Dr. Hari Babu to share the highlights of the Viyash performance and also the merger going ahead. Over to you, Saurav.

Saurav Bhala: Thank you, Raja. Good morning, everyone, and thanks again for joining us today. It's a privilege to present key insights into our financial performance for quarter 2 and first half of financial year '26.

SeQuent Scientific Limited

November 19, 2025

Page 4 of 19

I'll start with financial highlights for quarter ended September 2025. Total revenue delivered is INR4,240 million, reflecting a 15% year-on-year growth. Formulation segment revenue delivered INR3,351 million, which is a growth of 18% on a year-on-year basis.

Our API segment revenue was INR830 million, which is a growth of 7% year-on-year basis.

Gross margin, a healthy improvement of 270 basis points on a year-on-year basis, rising from 47% to 49.7%. Adjusted EBITDA reported is INR657 million, showing robust 47% year-on-year growth with a margin improvement of 330 basis points, rising from 12.1% to 15.5%.

Profit after tax delivered INR196 million for the quarter, nearly tripling from INR63 million in the same quarter last year, with PAT margins significantly improving. Coming to half year performance of financial year '25, '26, performance highlights as follows: Total revenue reported INR8,654 million, reflecting a strong 14% year-on-year growth.

Our Formulation segment revenue stood at INR6,734 million, up 15% on a year-on-year basis.

API segment revenue, INR1,884 million, growing 11% year-on-year basis. Gross margin, a significant improvement by 230 basis points, rising from 46% to 48.3%. Adjusted EBITDA delivered INR1,259 million, a 35.4% year-on-year increase with the margin expanding by 220 basis points, increasing from 12.3% to 14.5%.

Profit after tax more than doubled to INR372 million, compared to INR154 million in the prior year and the margins improving from 2% to 4.3%, highlighting our operational strengths and focus on profitability.

Our balance sheet reflects stronger financial position, driven by focused reduction in leverage

and enhanced turnover ratios. Moving forward, our strategic focus remains on sustaining profitability, further deleveraging our balance sheet, maximizing the free cash flow and improving return ratios as we progress.

Merger update already given by Raja, honourable, National Company Law Tribunal has allowed our petition and sanctioned the scheme on 18th November 2025, which was yesterday. With this approval, all the prerequisites for the merger are now complete and the focus will shift entirely to integration and optimizing the synergy benefits.

To summarize, our continuous focus on reshaping product portfolio, expanding geographical reach and focus on driving operational efficiencies has led to a sustained improvement in operating margins and a stronger and healthier balance sheet.

As we embark on new chapter as a merged entity, we are committed to further enhancing our performance and creating greater value for all the stakeholders going ahead. Thank you for your attention.

I will now hand over the call to Dr. Hari Babu for sharing insights into the Viyash Group performance. Thank you.

Hari Babu: Thank you, Saurav and Rajaram. Good morning, everyone, and welcome to the call. So first of all, congratulations to SeQuent for great performance. And as Rajaram mentioned, actually, we received NCLT yesterday. Let me say thanks to everyone stakeholders for their support.

First, actually, thank you so much shareholders for great support. I think we got 99.9%. Then all our advisers and consultants, whoever worked with us last 12 months and most important, all our suppliers, customers and all institutions to get all invoices.

And most important, thank you so much for the entire group, including SeQuent team, Viyash team and Carlyle team for the great work actually for this merger. Now let me take you through Viyash performance. Of course, it's a record performance. It's highest forever for Viyash and also SeQuent, I think, last quarter.

So Q2 FY '27, Viyash, we did INR428 crores top line, which grows around 17.8% year -on-year.

And EBITDA, of course, huge growth to INR123 crores, which grows about 96% year -on-year.

And EBITDA margin improved substantially. It's improved by 11.5%. It's around 17.5% to 28.8% with actually strong PAT growth.

And of course, cost of Viyash, again, we grown actually 11% year -on-year revenue, which is equivalent to INR780 crores. And EBITDA has grown by 59% equal to INR192 crores and EBITDA margin also has improved substantially by 7.4% to 24.6%.

And coming to the merger, 2 companies together, combined revenue, we did around INR852 crores with a growth of 16% year -on-year and again, substantial growth of EBITDA, INR189 crores and margins also improved substantially to 22%. So, the few things contributed for this last quarter substantial improvement.

As you know, we have started actually with a strong research -based company, that's how we started last 3, 4 years, focus more on new products, focus on all cost improvements and business expansion to various markets.

One of the great things actually we have seen last 4 years, new product launches. We did almost 40-plus products developed in the last 3, 4 years, API and also around 30 products -- finished products in the U.S. We have a formulation site in U.S. and we have R&D in India for finished products.

So last 4 years, we developed almost 30 products, FDF, and we filed around 40 products API and 30 products Formulations. And also, we continuously launching the products. Last 12 months, we launched a lot of products, finished products; 6 products, finished products and API 8 products.

In last 12 months, API, we got 12, 13 products approved and FDF we got actually 4 products approved. And last year, we were the highest DMF filers in one of the quarters.

This contributed actually reasonable for last quarter.

And coming to the second major focus area, CDMO business, even though we started a little late. Last 12, 18 months, we have been focusing a lot on CDMO. Unlike regular CDMO, we SeQuent Scientific Limited

November 19 , 202 5

Page 6 of 19

focus in a little bit different way. One is, of course, the major thing, start with innovators, building the relationship for their life cycle management products.

We had actually already we have been supplying 2, 3 customers on those commercial and a few initiatives last 12 months actually moving to the commercial maybe next few quarters on that.

And the second model, we partnered with many specialty generic companies to develop actually a little bit complex products, start partnering at R&D stage, co -development and manufacturing at our sites, that's contributing a lot actually in the last 2, 3 quarters.

And the third area contract manufacturing for specialty. It's not the regular contract manufacture for high -volume products, it's actually whatever products coming out of patent in near future after 2030.

We partner with many customers actually to do contract manufacturing, which includes, of course, optimizing the products. Almost 18, 20 products, actually, we were able to partner last 18 months in all these 3 areas for the life cycle management with innovators, our generic specialty partners and most important CMO. Out of 20 products whatever we partnered, 15 products of these actually today value -- market value of more than \$1 billion.

Of course, these are the coming launches in various phases, start from '28, '29, most of the products coming from 2030. And we expect actually substantial revenue generation and also bottom line from 2030 onwards on these things.

Of course, short term, whatever we do, a couple of validations, service income, we are able to sustain the revenue, so that's the major stream is going to come out in the next 3, 5 years. And

most important thing, what we did last 2 years, of course, I explained last time also, product optimization and network optimization. This is very, very important for any business in the generic -- and also, we changed our strategy to move into the value-created products like earlier, we had a huge intermediate business, we try to convert into API, so which improves gross margin a lot.

And a couple of nonstrategic products wherever there was a volume products like anti-retroviral and a couple of formulation products where actually it's become commoditized. We divested those things and moved to the value-driven products. And in that exercise, we also actually rationalized 3 manufacturing sites, which were manufacturing intermediates, basically low-value products, that's where we divested.

And most important, last 12 months, couple of our finished products, we have manufacturing site in U.S.A. since a lot of competition is coming out from India. So, we strategized to move out to U.S. products wherever there is a large volume products, where we can improve gross margins, most of the products will move to India.

Of course, a couple of products started qualifying. We started shipping from India, a few products. All our key volume products actually is going to happen from India in the near future. Already, we started shipping one of the products. Second product also is going to be shipped very soon on that.

SeQuent Scientific Limited

November 19, 2025

Page 7 of 19

And the next most important thing in this since we acquired intermediate facilities, API, and formulation to become a fully integrated platform. What we did from beginning, we try to do both forward-forward integration and backward-backward integration.

What it mean by forward-forward integration? Wherever we are strong, either in intermediates or API, we try to forward integrate that's where we can take advantage

of cost. So already, we

did almost 5 products in that. And the second thing is backward-backward integrations.

Wherever we are strong in the formulation, like a few products, we have strong market share in USA, but those are the reasonable volume products.

We try to do backward integrate into API, even actually at the intermediate level. So, in that exercise, already we did 7 products vertically integrated along moving into India, manufacturing low-cost base.

We also backward integrated into API. So, all our key products are going to be fully integrated.

That makes a big difference in the gross margin. And all new products, whatever we do for finished products, so almost 50%, 60% of the fully vertically integrated, so that's where we can take advantage in future actually the cost.

These are the 4 areas actually, of course, the product mix also contributed. Most of our products, especially API, we are the leaders. Out of top 10 products, we have 6, 7 products are the market leaders. It's continuously growing. We're able to maintain our market share continuously these products. These are the 4 areas actually created actually good gross margin improvement in last quarter. Of course, it continuously is going to improve.

And of course, financial numbers, Saurav, explained. I'm not going to take those things. But still, actually, this company is going to be strongly focused on R&D base. With this integration, we can see actually a lot of synergies and opportunities.

Let me take you to a little bit synergies. As we explained last time, we identified a few areas.

One of the important area is R&D. So, R&D has been relocated SeQuent R&D to Vijayash corporate R&D and teams are working pretty closely collaboratively.

And in that process within short term, we are able to develop 4 new products for animal health, which are mostly actually companion animals, that's a key focus for us. 4 products have been developed already. And the 3 products, whatever actually we can improve gross margins.

These 3 are the volume drivers for us. Still, we are growing and we see substantial growth in the near future. 3 products have been completed, cost improvement on those things. And of course, a few other actions, whatever optimizing the site.

One of the sites, we have analytical centre located actually outside Hyderabad and Mumbai, that has been moved to our internal sites, which bring actually sustainability and the quality compliance, but also tells a lot on the cost improvement on that.

So, all the analytical testing, including stability, analytical validations have been moved to the site. And the manufacturing is also one of the key strengths for Vijayash. We have a large number

SeQuent Scientific Limited

November 19, 2025

Page 8 of 19

of sites approved by FDA. All sites are approved by FDA, 8 sites; out of 8, 3 are intermediates and 5 are API.

So already last 2, 3 quarters, we qualified a couple of intermediates. SeQuent depending a lot on third party. Those are the key intermediates, which supply to API, supply to innovators. So, we got all those things to internal sites. Already 6 intermediates have been transferred to internal sites. We just validated. Of course, it takes some time for regulatory qualifications, but it's moving pretty well and all our clients are very happy with that initiative.

And another most important thing in manufacturing optimization, SeQuent actually struggling a little bit capacity, that's where Viyash is going to help a lot. We were able to build one new production line to support SeQuent large volume products. Already we commissioned within short time, 6 months. And already we validated and we started working with the various clients for regulatory filing.

So, as we mentioned earlier, whatever synergies we targeted next 12, 18 months. So, it's pretty well on track. And we initiated regulatory actions, but w

e are very confident whatever we

projected synergies, it's going to happen in 12 to 18 months because that's the biggest thing, new production block for the SeQuent products.

And the sales, one of the other areas where we focused on synergies, SeQuent API business, most of the business comes from innovators. So, we started working with innovators to see the additional opportunity for Viyash. That's working -- started working. So, we have a few leads on that thing, but it's going pretty positive movement on that.

And other area, cross-selling, of course, where there is no overlap between SeQuent and Viyash, customers -- very few customers we sell both sides. That's huge opportunities we identified because most of these customers, especially in Europe, they sell both products, both animal health and human health, that's where we see the opportunities.

People integrated pretty well both business teams and started working together. And of course, all other functions, shared services or administrative functions, one of the important area we identified, of course, supply chain.

So, with these things, bringing most of the key starting materials to internal and also actually combining 2 companies' strength on the procurement. And definitely, we can see the good synergies on that perspective. With this, what I can say actually with the combined company is going to do pretty well.

And you can see our balance sheet, 2 areas we identified SeQuent growing areas, of course, pet care, companion animals, a lot of opportunities we see in the near future. And I think this is the right time we received the approval. So, this is the time we can actually grow a lot on actually the animal health business in addition to , and of course, whatever we are growing in human health.

SeQuent Scientific Limited

November 19 , 202 5

Page 9 of 19

And combined company is going to do fantastic, not only the short term, of course, always our focus is midterm and long term. Maybe the short term, there may be a few spikes, but we see actually the pretty sustainability on these both businesses.

With that, thank you. I think we'll allow for questions. Thank you so much for everyone.

Abhishek Singhal: Ryan, can we open for Q&A, please?

Moderator: Sure. We take the first question from the line of Vishal Manchanda from Systematix. Please go ahead.

Vishal Manchanda: Congratulations on a great set of numbers. If you could guide, when can we see the merger close? So, can we -- so Q4, can we see the combined numbers?

Hari Babu: Yes, we can see Q4 combined number. So, once we receive NCLT final order, I think we can start putting combined number. But I think Q3 itself, we can actually -- Q3, we can do combined.

Vishal Manchanda: And just some colour on this -- on your business, Viyash business, how much is API and how much is formulation?

Hari Babu: It's API intermediates together, we do around 65%, 70% API intermediate, around 35%, 40% actually formulation. Of course, this varies a little bit here and there, quarter-on-quarter, that's the reason I said 65% to 70% API intermediate.

Vishal Manchanda: And are you seeing stronger growth in formulations versus API? Like in the most recent quarter was formulation stronger, seeing stronger growth versus API?

Hari Babu: It's both. I can say, as I explained to you, there's 4 areas contributed, of course, formulation, we see good growth from last quarter. The reason is actually a few things. As I explained, a couple of products we moved out to India where actually we can see good gross margin.

And of course, we also have good launches last quarter. So, both are growing. As I mentioned, actually, we are continuously focusing on the new product development launches actually, that's working pretty well. In addition to the most important growth driver on gross margins are cost optimization, product optimization, network optimization

ion and these things.

Vishal Manchanda: So, like on the formulation front, you're primarily focused on the U.S. and that's primary....

Hari Babu: At this point, yes.

Vishal Manchanda: And how many launches you have done this year? How many launches you would have done this year in the U.S.?

Hari Babu: I think we did around 8 launches this year.

Vishal Manchanda: And just on the synergies between SeQuent and Viyash, so just wanted, on R&D, as you highlighted on the -- in your opening comments, is an important area. How much is SeQuent currently spending on R&D?

SeQuent Scientific Limited

November 19 , 202 5

Page 10 of 19

Hari Babu: SeQuent currently API R&D spending, I think around INR8 crores, INR10 crores.

Rajaram Narayanan: So, we spend about INR8 crores to INR10 crores.

Hari Babu: On R&D, pure R&D.

Rajaram Narayanan: Pure R&D, on API.

Hari Babu: And let me explain API R&D is slightly different than combined company or formulation because API R&D, whatever we do validation or exhibit quantities, most of the quantities we sell product commercially. So, the pure R&D spend is what we spend in R&D, chemicals and manpower. So SeQuent, they did around INR8 crores to INR10 crores.

Vishal Manchanda: And on top of that, you will have synergies from kind of -- from procurement also, supply chain as well?

Hari Babu: Yes, absolutely. Procurement, always when you go for combined procurement, there will be synergies. And also, you can see our balance sheet strength that will add definitely some improvement.

But most important for us is R&D and manufacturing. Substantial synergies are going to come from these things because a lot of things can happen on the product optimization, that's one of the things SeQuent products we can improve. And of course, the new product addition and manufacturing. Yes, supply chain is there, but major things is going to come from R&D and manufacturing.

Vishal Manchanda: And just on the formulation business, animal health formulation business, that is showing good progress. So, can you kind of give some colour as to how we should look at this business next 1 or 2 years? Can we see double -digit growth on the formulation side?

Rajaram Narayanan: Yes. I think we've been maintaining that kind of growth now in the recent quarters. I think if you look at the industry, by and large, it is a fairly resilient industry in terms of its growth, right? I mean we see anywhere between 5% to 8% at a global level. And if you start looking at specific markets, specific segments, the growth is in double digits. So therefore -- and this is in spite of all kinds of geopolitical upheavals, et cetera.

So, the underlying factors which are driving the industry, which is one around an increasing requirement for animal protein and dairy products and the second being for adoption of pets and spending more on companion animals.

These 2 are tailwinds that we have in the industry that we operate, and that's really been one of the big reasons why we believe that our formulations business, which is now present in a good set of markets, should continue to grow. And add to that, the genericization of the industry. So, I think we are very well positioned. So, we should expect that this is a double -digit growth business for sure.

SeQuent Scientific Limited

November 19 , 202 5

Page 11 of 19

As we accelerate our new launches and as some of the new generics and we keep expanding in some markets and also begin to grow in companion animals, that should be incremental to this growth. So, we are fairly bullish on the formulations business.

Vishal Manchanda: We have capacities to kind of -- so any major capex that we need to put on the formulation side here?

Hari Babu: So, we are working on that, but definitely, we are going to do both inorganic as well as organic. So, midterm, definitely,

we are going to add, especially on the companion animals, we are going to put on that.

Vishal Manchanda: On companion, you are primarily targeting the -- so you are targeting the nutritional aspect or you're targeting the medicinal aspect of the industry?

Rajaram Narayanan: So, there are 3 or 4 different components to it. We are clearly not targeting pet food, but therapeutic and nutritional, which is also supplements to therapeutics, that is something that we would be looking at.

And that's really our focus, which is pure therapeutics and supplements to therapeutics. And this is a fast -growing sort of segment, where we believe we have both the experience and more

importantly, now with the R&D backbone that we have, we should be able to build that even better.

Hari Babu: And also, most of the products are similar to human health. So, whatever the pet care is going to happen, so most of the products are similar to human health, so that's our R&D can help a lot on that.

Vishal Manchanda: So Viyash platform can also be leveraged from both manufacturing and R&D perspective for animal health products?

Hari Babu: Yes. API, yes, formulation, of course, we need to have different facilities, but we can leverage on that.

Moderator: We take the next question from the line of Sahil Sanghvi from Monarch Network Capital.

Sahil Sanghvi: Congratulations on a very good set of numbers. My first question is, how do you see the business impacting because of the U.S. tariffs? What steps would we take to derisk the uncertainty over here.

Hari Babu: But at this point, our business, there is no impact on tariffs, and our dependency on U.S. is not much. So only 35% of the U.S. business, we do formulation. That's, of course, it's a good scenario since we have manufacturing at U.S.

At this point, we don't see any tariffs impact for entire business. So, API business or SeQuent business, actually, we don't do much on that perspective. Of course, there's no tariffs at this point for generics.

SeQuent Scientific Limited

November 19, 2025

Page 12 of 19

Even going forward, actually with our U.S. base and our strong network, we don't see any impact on our business. We see it may be positive. So really something happens, actually, we are going to benefit from our U.S. manufacturing network.

Sahil Sanghvi: And then for the SeQuent API sales, while they are higher Y-o-Y, they are also lower than the INR100 crores run rate you are targeting. So, anything to read over here or we are on track?

Hari Babu: We are on track since SeQuent do business with innovators actually. So sometimes actually they push to other quarters, but we are on pretty well track. But we can see good visibility to grow from actually fourth quarter onwards. So definitely, actually INR100 crores run rate is going to be maintained.

But next year, we can see good growth. Already, we started seeing some opportunities, but it's going to grow pretty well. I can say from fourth quarter onwards, you can see different SeQuent API business. Not fourth quarter, but definitely FY '27, we are going to grow substantially on that. That's how we have built a new production line also especially that we see a lot of opportunity growth next year.

Sahil Sanghvi: And how is the albendazole sales progressing?

Hari Babu: It's very good, albendazole is growing. I don't know whether you guys are aware one of the sites -- they shut down, that's where we see more opportunity. It's having more business. That's how we created a new production line also. It's going to grow. So that's one of the key products going to grow both top line and also margin improvement since we are bringing it too internal.

Sahil Sanghvi: Sir, Carlyle has invested almost 5 years. Is there any exit they are looking for or they have a longer plan to be staying invested?

Hari Babu: But I can't say Carlyle side, but what we

see is real growth started from now this company. Even though Carlyle invested 4 years back, their investment got us in 5, 6 years. Whatever we have some preliminary internal discussions, they're not going to exit soon. So, it's going to continue because real growth started maybe last few quarters, but the next couple of years it's going to grow a lot. So, I don't see any exit plan in near future.

Sahil Sanghvi: And what could be the sustainable margins for both the entities going forward? I mean where do you stop now? Do we have a number to that? Or it's still a discovery as we keep exploring the synergies?

Hari Babu: I can say actually, we have good visibility now. Of course, we can't give any guidance to the market, but whatever we indicated earlier 2027. So, we indicated actually 20% EBITDA margin, but we see 20% is going to come soon, but this quarter actually 20-plus. But I'm pretty confident 20-plus is going to sustain. So, whatever we indicated 27%, actually it's going to happen from now.

Moderator: We take the next question from the line of Sachin Kasera from Svan Investment Managers. Please go ahead.

SeQuent Scientific Limited

November 19, 2025

Page 13 of 19

Sachin Kasera: [inaudible 0:39:40]

Moderator: Sachin, I'm sorry to interrupt you, but your audio is not clear.

Sachin Kasera: Is it better now?

Moderator: Yes.

Sachin Kasera: For the [inaudible 0:40:07] number that you reported on the combined. We have very much elaborated on how the next 4, 5 years are looking very, very good post the merger and now that we have seen the approvals. There was a previous question where you mentioned that we were looking at 20% margin and you said that that's not like the base. So, this quarter, we did like 22% margin. So, is there some one -off in base? Or we have been a little conservative in being 20% and with the synergies now really starting to flow in, probably we could see some upside to the FY '27 number that we discussed.

Hari Babu: It's a good question. Thank you for that. Of course, I can tell you straight away there's no one -off, okay? And when I say 20% plus actually, minimum is 20%, And a few things when I said actually last quarter revenue, both -- one is gross margin improvement because of optimization and other 2 things, CDMO contracts. CDMO, you know actually initial contracts from some service income, some validation income and also new launches, whatever we did launches did pretty well. There may be a few spike, but I don't see any major difference.

So, it's going to be sustained pretty well. Whatever actually we have growth opportunities, other areas. I don't see any of those things. It's not pure one -off. We don't see anything. Maybe a few things year -end service income may be, okay, can go up, or launch, maybe once we launch, actually, once you see the competition, there may be a little impact, but we don't see much on those things.

Sachin Kasera: Sure. Secondly, is it possible for you give us some sense because you mentioned that you see significant synergy, especially on manufacturing and on R&D. And plus we also -- so if you could give us some sense as to what is the type of benefits we could see there in some quantifiable numbers as a percentage of revenues or an absolute number, that would be very helpful because you did mention that the real benefit will come now that we approve the merger approval.

Hari Babu: So, a few things, these are the mostly comes in the midterm and long term. So, when I say R&D, there are 2 buckets. One is new products R&D. So, whatever we initiate developing products is going to come for launch.

A lot of pet care products also is coming out of patent from '28, '29 onwards. So, whatever we initiate development, new products, major revenue is going to come maybe '28, '29 onwards. The second thing, R&D where we can help actually is the product optimization. T

hat's basically

to improve the gross margin and also to improve market to some extent.

SeQuent Scientific Limited

November 19 , 2025

Page 14 of 19

That's mostly, I can say, near term or midterm why because actually, you know that today regulatory scenario, even for animal health, any development, we do even cost optimization, it takes 12 to 18 months.

So, we have to do at lab and take transfer to the plant, validate and file. All these things, it takes maybe 12 to 18 months. That's going to happen, maybe R&D synergies we can see after 12 months, especially product optimization synergy will come maybe 12 months.

And the new products will start from -- majority will start from '28. So, these new products actually can bring SeQuent to the top player in animal health. I don't think any company, you will see many products in portfolio as we have in SeQuent, that's a big opportunity for us. When it comes to manufacturing, so whatever I said, intermediates, we try to bring from outside to internal, that helps on 2 ways. One is actually the sustainability and also to give a lot of comfort to the clients since we do business with the innovators. There were some hiccups actually when you go for actually third -party players. That's where they had some concerns. Now we can minimize those concerns or avoid completely. And also, of course, it adds a little cost improvement on that. And the major thing actually, whatever we do, big product cost optimization or capacity optimization, okay?

Today, we have -- our capacity utilization is around 65%, 70%. SeQuent, they have only 2 sites, one is small site, that's the site we are debating. So, we have opportunity to expand those products and also to improve that cost.

This synergy is going to come maybe again 12 to 18 months because we validated already product. But some customers take 2 years since innovators, they filed for entire global market. So, they wait for all countries' regulatory approvals. But major approvals, we can see from FY '27 second quarter onwards. So, you can see actually good synergies on this. Manufacturing in FY '27, whereas R&D, maybe you can see from '28 onwards, all those things. '27 definitely SeQuent API business is going to do pretty good on that because of these initiatives.

Sachin Kasera: That's very encouraging. Sir, you mentioned about some capex plans. If you could quantify, how should we look at the combined capex for financial year '26 and '27 for both the entities? And secondly, you had also mentioned that we could also look at some inorganic opportunities. So,

if you give a sense in terms of what is the size of those opportunities? And what is the like key things we look for and what are the financial metrics one should look in those type of acquisitions?

Hari Babu: Capex perspective, API, okay? Last quarter, we spent around INR60 crores Viyash. So, since we have a strong balance sheet with internal accruals, we are able to support INR60 crores on that. API perspective, I don't see any major capex in the next 2 years, okay? For this, whatever we have current strategic business. Of course, when we do for new opportunities, when I said CDMO, we are trying to do some complex molecules, okay? That may require some capex . But otherwise, we don't see any substantial capex for FY '26 and also first 2 quarters of FY '27. And formulation perspective, we are working on the strategy now. Definitely, we want to go

SeQuent Scientific Limited

November 19 , 202 5

Page 15 of 19

bigger and bigger in animal health, especially companion animals. We are looking at both inorganic as well as organic.

So, one of the thing is we don't have much manufacturing base in India. That's one of the area we are looking at. So that may start actually investing capex , sometime in FY '27. So, it can spill to FY '28.

Of course, it's all depending on inorganic if you get -- we

are exploring if we get something

inorganic, we may do faster. But otherwise, actually, we are going to do some capex second half of FY '27.

It's not much actually looking at the combined balance sheet next year. I don't see much capex even in FY '27 if you go for inorganic option. Maybe we'll do INR100 crores, INR150 crores capex , '27, '28. And of course, we are looking at various options on exploring inorganic small or bigger actually, which fits into our strategy.

Sachin Kasera: Which would mean that unless we do an inorganic, we should see a significant reduction in debt in the next 2 years, sir?

Hari Babu: Yes.

Sachin Kasera: And this inorganic, which areas are we looking for, if you could? And what are the synergies and which are the areas where you think there is a gap in terms of the capability or in terms of synergy that you would like to target? And are they predominantly in any geography that we are looking at?

Hari Babu: SeQuent business have everything. So, we do API, we do business with API for innovators. We do formulation manufacturing. We distribute our own. We distribute even innovators also a few countries actually.

So, we have manufacturing in Europe, Turkey and Brazil. We started shipping from Turkey to Europe since it's a Europe approved site. So, we are working on those geographies, especially U.S. and some LatAm actually. So, we are looking at various things. If we get some front -end expansion in a few of the European countries, yes, we are looking at. And we are looking at actually the few products where we can actually in -license and promote those products we are looking.

And of course, the manufacturing base, mostly it will come to India because that's most important because animal health also, unlike human health, genericization is very slow. And we are seeing only last 2 years actually it's moving from innovative to generic once patent expire. And we see good opportunity in the next 3 to 5 years. That's where we want to build capability from India low -cost base to take that advantage. So, all areas, it's not specific to one. We are completely relook at actually how can we become global animal health player, whatever are the small, small gaps actually. So, we want to fill those things.

SeQuent Scientific Limited

November 19 , 202 5

Page 16 of 19

If you ask me today, we don't have right now anything, but we are going to work very closely on that.

Sachin Kasera: Just one last thing on the ESOP cost. So, this first half also as per the comment P&L, earlier we had INR23 crores charge. So, is this going to be a recurring thing? Or is it something specific for 1 or 2 years, maybe I can get some clarity on.

Hari Babu: No, it's not INR23 crores. Is it INR23 crores? Sorry, just 1 minute.

Saurav Bhala: So current year ESOP is going to go down -- so ESOP last year was INR32 million and some new ESOPs were INR32 million -- sorry INR32 crores.

Sachin Kasera: Last year, if I see the FY '25 combined P&L, which is uploaded, that is showing as INR40.6 crores for last year and INR23 crores for the first half, Slide number 7.

Saurav Bhala: Correct. That is combined together. I was talking about SeQuent, which was INR32 crores. This year, it would be slightly more because some more ESOP has issued for SeQuent. So, this year,

the expected number would be in the same range, INR34 crores, INR35 crores roughly. Post merger, there would be a new ESOP scheme, which NRC has to approve for Viyash team, which is being worked out. And once the numbers are finalized, we can share the details probably in the next call or sometime when it is finalized.

Sachin Kasera: So, while the numbers may vary, we can assume this ESOP as a recurring thing at least for the next 2, 3 years, that will continue to remain part of the P&L.

Hari Babu: Yes, definitely, next 1, 2 years, it's going to be recurring. But to what extent, still

we are working
on the scheme.

Moderator: We take the next question from the line of Harshit Dhoot from Dymon Asia Capital.

Harshit Dhoot: Congratulations on the strong set of numbers. Hari Babu sir, on the Viyash, as you described 3 growth engines, CDMO, generics and the CMO part, the kind of the growth engines that you are envisaging, is it fair to assume that from next 3 to 4 years' perspective, the Viyash can grow more than 20% CAGR rate?

Hari Babu: 3 years, yes. So, as I explained earlier also, the initial last year focus mostly on improving gross margins and profitability. That's how you can see actually more growth and profitability than actually the top line. Of course, whatever we initiated new products are going to come actually in the near future continuously. But definitely, 3 years, we can take comfortably 20% CAGR growth top line.

Harshit Dhoot: Yes. As you said, there was no one-off during this quarter's performance. So is it fair to assume that from now onwards, the quarterly run rate in terms of EBITDA will be more than INR115 crores. Is it a fair assumption, sir? Or you find some lumpiness there?

Hari Babu: You're saying combined, right?

Harshit Dhoot: No, in Viyash, sir. In Viyash.

SeQuent Scientific Limited

November 19, 2025

Page 17 of 19

Hari Babu: Only Viyash, we are saying INR150 plus.

Rajaram Narayanan: You're saying combined SeQuent, like combined entity EBITDA, Harshit? What is exactly you're saying.

Harshit Dhoot: No, no. In Viyash, during this quarter, we reported around INR117 crores, INR118 crores EBITDA. So is it fair to assume that this is the quarterly level sustainable run rate for the Viyash.

Hari Babu: We can assume reasonably, as I said, actually since we had good CDMO revenue and also new launches. But definitely, we can assume close to that, but we can continuously grow on that.

Absolutely. We can't give the number, but definitely, we are pretty confident to assume that.

Harshit Dhoot: So basically, trend will improve only or may be sustainable at this level in terms of the quarterly numbers, if you can understand?

Hari Babu: It's -- as I mentioned, actually, there may be small spikes, but definitely, we are going to grow, okay, whatever it is. Of course, combined number, as I mentioned, actually, we are going to do -- now onwards 20% plus actually minimum we are going to do that.

So let me clarify, guys. Let me clarify. It's not one time where it's completely differentiate.

There's a small portion actually the service income or the new product launches, but it's not going to change substantially. So, it's going to improve actually maybe quarters, maybe a small thing. But definitely, still we are very confident actually to achieve those numbers.

Harshit Dhoot: And in SeQuent also, we are continuously improving the gross margins. So, going forward, is it fair to assume that the gross margins are sustainable above 50% or close to 50% level? Is it a fair assumption?

Hari Babu: Absolutely, absolutely. You can see good growth in near future, absolutely.

Moderator: We take the next question from the line of Sucrit D Patil from Eyesight Fintrade Private Limited.

Sucrit Patil: I have 2 forward-looking questions. First is looking beyond this quarter's numbers. I want to understand the bigger picture that the company has in mind. SeQuent is India's largest pure-play animal health company and the industry is changing with the new regulations and global demand shifting. And there is some innovation in veterinary medicines also.

Over the next 1 to 2 years, what is the one big change that you are driving that will make SeQuent stronger and more trusted across the globe? Is it to expanding your product pipeline or building deeper customer relationships, something that makes it hard for your competitors to copy your model, that's my first question. I'll ask my second question after this.

Hari Babu

Hari Babu: Thank you for that question. If I put it actually whatever we initiated last 1 year, so I can see 3 areas. Of course, SeQuent today is a differentiated company. I don't see any other company, which is closely to SeQuent capabilities on whether it is API portfolio or actually finished product distribution or actually the markets where we offer.

SeQuent Scientific Limited

November 19, 2025

So next 2 years, actually -- and also, as you mentioned, actually market scenario also has changed. So, animal health also is moving towards the more regulatory scenario like human health, that's where we have bigger advantage.

Our API plant is pure play animal health approved by FDA and all our facilities wherever we operate, actually facilities is pretty well maintained on the compliance for those markets. So next 2 years, actually, we want to grow definitely the CDMO, whatever actually it lagged a little bit last 4, 5 years with innovators, that's going to grow.

Second is the big thing in the formulation business, especially in the companion animals, whatever we mentioned that actually the pet care, whether it is front end or manufacturing capability, we are going to improve substantially. That's going to be the differentiating factor for entire SeQuent, I can say. Rajaram, you can add if you want to add.

Rajaram Narayanan: No, I think absolutely. I think for us, what you should expect in the next 2 years is certainly -- we'll over-index on companion animals, both in terms of our own growth as well as any kind of inorganic.

I think that after the -- because of the merger, we will be seen to be a far more sort of R&D and science-driven animal health company. And I think that will be a big differentiator for us. In many markets, which are less regulated, the regulations are getting tighter on animal health products. And I think that -- for that, we are very well positioned compared to some of the other players who may not have the kind of quality and regulatory capability that we have right now. It will be a big plus for us.

Hari Babu: And most important with our combined balance sheet can leverage actually to expand all these areas. So, you can see the free cash flow we are generating quarter-on-quarter. Of course, we said '27, it's going to be debt free. That's going to happen. So, unless we do some mergers. So, balance sheet is going to help a lot on actually expanding these areas.

Sucrit Patil: My second question is to Mr. Saurav Bhala. I believe he's also on the call today.

Saurav Bhala: Yes.

Sucrit Patil: Again, a forward-looking question because you have given good guidance on the margins [inaudible 0:58:49]. My specific question is to margins and cost planning only. Margins in pharma are always under pressure when costs rise, whether it is through raw materials, compliant, R&D or any other specific things.

Just want to understand how you think about protecting the profits without slowing down growth. Is there any smart way that you have put into place, maybe it's pricing discipline or operational efficiencies?

How do you balance these levers in practice so that the company can stay strong, even when sometimes things get out of control or you may plan something, but it may go in some different direction. Yes. I want to understand on that.

SeQuent Scientific Limited

November 19, 2025

Page 19 of 19

Saurav Bhala: Yes, that's a good question. And in fact, we have been addressing them for last many, many quarters. So, the work started about 2 years back, where we kind of reject our portfolio by seeing the product mix by looking at each of the product country-wise very carefully, where our efficiency is there and where it needs to be improved.

And a very detailed action was taken over many quarters, the result of which is already visible, and that has led us to quarter-on-quarter improvement in the g

ross margins, irrespective of all the geopolitical turmoil going around.

So, we are very confident this is the base which has been established. It is not a once-off thing. It is not dependent on external factors, and we will maintain and kind of grow over these margins by improving the product mix. So, R&D is also -- there is a lot of investment going on in R&D globally for us. That is helping us to improve our costing profile, addition of new products. So, our product mix is going to improve going ahead also. So, this margin, I think, is a base which has been created and which we are very hopeful to improve going ahead. And Dr. Hari, may want to add.

Hari Babu: So, I'll add a little bit actually, if you see that, of course, Viyash is constantly improving gross margins. SeQuent also, you can see good improvement near future API and formulation also, if you see where we operate, where we compete.

We compete most of the companies with innovators in Europe, all those things. And we have -- actually our cost base is low. Wherever we do manufacturing, actually formulation activities, cost is not very highly competitive.

Of course, we are continuously working on that whatever API is fully set up now, even formulation also bringing more and more internal wherever it's possible. So that's a continuous activity to improve the gross margins.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for their closing comments.

Rajaram Narayanan: So, thank you very much for joining this call in the morning. I hope you've had an idea about how the performance has evolved over the last couple of quarters, but also importantly, the direction going ahead. We'd be happy to take on any other queries that you have, and you can write to us directly for that, yes. So, thank you very much, and have a good day.

Hari Babu: Thank you. Thank you very much.

Saurav Bhala: Thank you all.

Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Viyash Scientific Limited
(Formerly known as Sequent Scientific Limited)
Registered Office:
3rd Floor, Srivalli's Corporate, Plot No.290, Road No.6,
Sy.No.33, 34P to 39, Guttala Begumpet, Jubilee Hills,
Hyderabad, Shaikpet, Telangana, India -500033
T: +91 40 23635000, E:info@viyash.com
E: investorrelations@sequent.in
Website: www.sequent.in
CIN: L99999TS1985PLC196357

February 09, 2026

To,
BSE Limited
Corporate Relationship Department National Stock Exchange of India Limited
Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Exchange Plaza, Bandra -Kurla Complex,
Bandra (East),
Mumbai – 400 001 Mumbai – 400 051

Scrip code: 512529 Symbol: VIYASH

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Submission Earnings Call Transcript for the quarter and nine months ended December 31, 2025

Dear Sir/ Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for the quarter and nine months ended December 31, 2025.

The transcript is available on the Company's website at the: Financial Overview - SeQuent

This is for your information and appropriate dissemination.

You are requested to take the same on record.

Yours faithfully,
For Viyash Scientific Limited
(Formerly known as Sequent Scientific Limited)

Yoshita Vora
Company Secretary & Compliance Officer
Encl : A/a

Page 1 of 16

"Viyash Scientific Limited Q3 FY'26 Earnings
Conference Call "

February 06, 2026

MANAGEMENT : DR. HARI BABU - MANAGING DIRECTOR AND GROUP
CHIEF EXECUTIVE OFFICER , VIYASH SCIENTIFIC
LIMITED
MR. RAJARAM NARAYANAN - EXECUTIVE DIRECTOR
AND CHIEF EXECUTIVE OFFICER (ANIMAL HEALTH),
VIYASH SCIENTIFIC LIMITED
MR. RAMAKANT SINGANI - CHIEF FINANCIAL
OFFICER , VIYASH SCIENTIFIC LIMITED
MS. ZARNA – VIYASH SCIENTIFIC LIMITED

Viyash Scientific Limited
February 06, 2026

Page 2 of 16

Moderator : Ladies and gentlemen, good day and welcome to Q3 FY '26 V iyash Scientific Limited E arnings
Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing '**' then '0' on a touchtone
phone. Please note that thi s conference has been recorded.

I now hand the conference over to Ms. Zarna . Thank you and over to you ma'am.

Zarna: Thank you , moderator. A very good evening to all of you and thank you for joining us today for
Viyash Scientific Limited Earnings Conference Call for the 3rd Quarter and 9-months ended
financial year 2026.

Today we have with us Dr. Hari Babu – Managing Director and Group CEO ; Mr. Rajaram –
Executive Director and CEO (Animal Health) and Mr. Ramakant – CFO of the Company to
share the highlights of the business and financials of the quarter.

I hope you have gone through our results released and the quarterly investor presentation which
have been uploaded on our website as well as the stock exchange website. The transcript of this
call will be available in a week's time on the Company website.

Please note that today's discussion may be forward -looking in nature and must be viewed in
relation to risks pertaining to our business.

After the end of this call, in case you have any further questions, please feel free to reach out to
the investor relations team. I now hand over the call to Dr. Hari Babu to make his opening
remarks.

Dr. Hari Babu: Thank you so much. Good morning and good afternoon , everyone. Welcome to Viyash
Scientific Investor Call. Thank you for ta king the time to join us today.

Today is an important milestone for all of us. This is the first time we are discussing quarterly
results of the merged entity, Se Quent and Viyash together as one company. More than the
numbers, it's a reflection of what we have built over the last few quarters. One integrated
platform, one operating cadence and one team wor king towards the same outcomes.

Let me structure my opening remarks around three broad themes which I believe capture both
what we have delivered and how we are thinking about the future. The number one, combined
growth balance sheet and this is now a well -scaled company with all the right ingredients.

Starting with the quarter's performance, Q3 FY '26 reflects steady progress on growth and a step
change in profitability and balance sheet strength. Revenue from operations for Q3 FY '26 was
INR 858 crores grown up by 11% year -on-year. Adjusted EBITDA was INR 185 crores grown
Viyash Scientific Limited

February 06, 2026

Page 3 of 16

by 64% year -over-year with an EBITDA margin of 21% and expansion of 390 basis points. Net

debt-to-EBITDA has reduced to less than 4x, a significant strengthening versus the previous year. On a 9-month basis, the momentum is consistent. 9-month FY '26 revenue was INR 2,500 crores with 12% growth year-on-year and adjusted EBITDA was INR 500 plus crores with 58% growth year-on-year. And most important, our margins for 9 months maintained at 20% plus. Of course, we incurred one-time exceptional items largely related to merger execution this quarter around INR 41 crores, which includes stamp duty as well as payment for advisors and consultants.

In addition to INR 41 crores and recently government announced a tax regime change, we are trying to convert our old tax regime to new tax regime which impacted around INR 7.7 crores. Altogether it's one time it's gone up to INR 48 crores - INR 49 crores. If we combine this one time with the PAT what we have shown, it's a big growth quarter-on-quarter this quarter. So, what gives me confidence is that this performance is not narrow-based. So, we are seeing broad

participation across segments and geographies. We are truly working as a one team. That's most

important for the group. Equally important, the balance sheet is now a strategic asset. Over the past few quarters, we have consistently spoken about strengthening the financial base to create the headroom for sustained investment. The business has moved beyond consolidation and post-correction into a phase of accelerated growth. As we look at the budget platform today, the transformation is visible in the combined numbers and in the optionality the balance sheet gives us. We will use a stronger balance sheet to unlock both organic investment as well as selective mergers and acquisitions.

Coming to number 2.2, now I would like to take you through how we have improved our margins :

You can see quarter-on-quarter improvement margins last 8-9 quarters. How we have improved with key actions in last 12 months -18 months. The formulation Animal Health, Europe, as you know we have a strong foundation in Spain, manufacturing as well as front end. So, last 12 months -18 months we have taken many steps to improve business in Europe. Few of those are expansion of markets with direct field force in Spain and few countries like Benelux, Sweden and also we add a few distribution agreements for other countries. And other few areas like we reinitiated development and promoting company and animal business which is growing fast in Europe and geo-expansion for all our products since our site is approved by Europe, located in Spain and also the site located in Turkey is approved by Europe. We are able to extend the products to Europe. We started commercializing, it's reflecting the numbers. And most important, established few more partnerships with other companies to distribute their products. As you know we distribute few products even for innovators, we distribute few products at sales for specialty companies.

Coming to emerging markets :

Viyash Scientific Limited

February 06, 2026

Page 4 of 16

So, Turkey and Brazil are the key market for us. Turkey turnaround last couple of years and you can see the large volume growth this year. That shows our capability of expansion of Turkey. And Turkey also as you know it's a GMP approved by Europe. We started filing and started shipping to Europe. And Brazil shown strong performance this quarter. It's continuously showing strong performance. We are trying to expand from Brazil to Mexico and other related countries where we can do. With the Turkey and Brazil GMP facilities now we are able to focus to expand markets like Mexico, Southeast Asia and other few other focus markets where we can do business from there.

And coming to India :

Animal Health formulation we expect that field force last year up to 200 and we started resulting the numbers. We started growing and this is a one of the key segments to grow further for Animal Health in India especially farm animals.

Then coming to the US :

US formulation basically human health. Last two three years post COVID as I explained earlier also, initially post COVID there is a lot of stock build up. There is a lot of competition coming from India. That's initially we struggled a little bit on competing the cost from US side. The last two years we tried to change our strategy moving all matured products to India and also started developing new products with a little more complex where we can differentiate. And also most important factor to sustain US business today is a fully vertical or backward integrated for all our key products. We are done for almost all our key products 45% of our volume products we are done. Commercialization is just started. These are the few things sure to show the sustainable growth on US business.

Coming to API :

As you know API is our strongest core area for us and we do continuous new products and I think we are the one of the fastest comp

anies to do product development as well as launch. And most important our efficiency levels in operations are very good compared to market. So, few things like network optimization when we acquired few companies where there is a strategic direction , we try to shut down few companies and the continuous focus on the cost improvements with the focus team on the process as well as op timization at plant level. And since we have fully back ed internet sites which are approved by FDA , we are able to integrate most of the products backward integration that's where it can show substantial improvement on the margins. And of course, the markets also we try to move from low -end markets like India, Bangladesh, Pakistan. We started focusing more on expanding developed markets and other new area last year we initiated CDMO it started working well so that's continuously to grow on that be cause all our assets infrastructure and resources are pretty well suitable for CDMO business which can do with innovators. We have a great experience build now and that momentum is growing up now. These initiatives worked out very well for us and contribut ed both improvement on the

Viyash Scientific Limited
February 06, 2026

Page 5 of 16

gross margins and EBITDA margins. And of course, these are the continuous activities to sustain the margins both the gr oss margin as well as EBITDA.

Then third most important after reaching reasonab le base with sustainable growth, s o where do you want to grow? How do you want to grow? I want to touch upon what we are doing next and how we intend to compound this momentum. Our strategy is focused on two clear growth sectors. One of the sectors as I explained last call also companion animal. This is the one of the most attractive long -term opportunities for us supported by increasing pet ownership and also the genericization runway in Animal Health . If yo u can read our presentation the few slides on companion animals, it clearly shows this is the fastest growing area both in developed markets as well as developing markets. And most important today if you see genericization happened only 15% whereas comparatively a little more on farm animals and big on human health 85 -90 percent. That's where we see the opportunity next couple of years since the volume and markets are growing , we are pretty confident the genericization will improve that's where we can it ca n bring opportunity for us. And as you know , we have already signed an exclusive distribution agreement with the Boehringer Ingelheim, which is one of the innovator companies . I think it's a number three top company in Animal Health . We signed exclusive agreement with them to distribute products in India. We are going to start distributing sometime in February and this is a one opportunity for expand to entire companion animal business in India. That's one of the key focus area for us to expand companion animal business in India. Of course we are focusing other countries but India is going to the one of the key markets for us.

And other markets opening markets and we are evaluating partnerships which includes of course selective mergers and acquisition companion animals. We are exploring few things while also building infrastructure in India over time. This is most important and critical part for the companion animals. We see there is a large opportunity to grow if you have capability to India both R&D and manufacturing. That's where we see the differentiating factor for us.

Farm animals , we have very strong position in few countries like as I said Spain and Turkey , we want to expand as much as possible from these countries to Europe and we have clear plan. We started filing last two years. We started commercializing. That's a continuous focus and we have large portfolio in farm animal business today and we are also looking at whatever are the gaps to fill the pipeline to compete mo

re and grow that.

And the third area farm animals there are few markets important markets like Southeast Asia, Africa to expan d as there is a large opportunities. We are exploring those thing. This is the future , next five years target for that. Human health formulation as I explained we already started leveraging India manufacturing for matured products. Our strategy is to maintain leverage India low cost manufacturing for large volume or matured products while keeping India sides to launch new products since we are going l ittle more complex products and new small high value products and also keep open for to generate governmen t business as much as possible.

Coming to the last one API and CDMO :

Viyash Scientific Limited
February 06, 2026

Page 6 of 16

It's a continuous focus. There is a meaningful opportunity at both API. API patent clip and a growing CDMO market. You can go through our investor deck , also CDMO business is g rowing . Of course there is a competition also is growing. We are going to differentiate based on the quality of the assets , quality of the resources. Our focus is to pursue CDMO opportunities. We are exploring both while expanding internally. We are also looking at some M&A opportunities if we get .

At the core of all of these actions in our one R&D platform and a scale innovation engine. We

are an R&D first organization to launch new products that is genuinely scaled and capable. Roughly we have 200 plus scientists including 20 plus doctorates and we have dedicated support team for CDMO and also CMO partners and having specialized capabilities such as cytotoxic handling and process safety infrastructure. This is consistent with what we have emphasized earlier as well that our core strengths are anchored in R&D manufacture and intellectual property. And that this is what allows us to move the portfolio up to the value curve. Across all of this our actions and capital allocation approach remains clear. Prioritize synergy capture and integration discipline over the next 12 months, maintain balance sheet strength which is very important of course. Invest in growth opportunities that fit into our strategic direction and return thresholds. This is consistent with what we have said previously. A stronger balance sheet provides the headroom to invest in portfolio expansion especially companion animals while continuing improving the returns.

Now I will take you through the integration status where we are :

So, as you know all legal procedural things we completed now except working with the clients to work with the regulatory external regulatory bodies. So, that may take a couple of months but other than that all India legal statutory actions completed. We are able to integrate fully now. Even though we are not done official as I explained a last call also , last 12 months , when we announced we started working as one team like few things R&D already , R&D fully integrated as one R&D both Animal Health and human health of course. And a couple of new products already developed in Animal Health . We validated last 12 months , 4 new products for Animal Health and validated. And a couple of projects cost improvements have taken and it's working well. It's we filed regulatory. Some of those things started getting approval next few months but as I explained last call also , it takes 4 months to 18 months. We are in fully on track on that. Manufacturing again we relooked at network optimization. How can we utilize efficiently complete infrastructure. Whatever products we are trying to we are getting from outside companies we move to internal. That's basically to improve the capacity utilization. It is also to provide more comfort to the clients actually for the supply reliability. Six of the intermediates already we completed and one of the most important area , we completed one of the new production line to

accommodate. This is basically Albendazole product. You know Albendazole goes for human health as well as Animal Health . Everything till today we were manufacturing at one site. We are trying to segregate into two sites. So, we segregated human health and build new site at Vijayash . It's validated and we filed the regulatory. Fortunately , one of the approval Vijayash Scientific Limited
February 06, 2026

Page 7 of 16

Europe which is very important for the product, we received approval in 30 days. That shows our strength of regulatory. Other approvals we are waiting but most of the market goes from Europe. Now we are working with the customers. How can we commercialize quickly on that. Of course few markets where we are able to do immediately we started doing. And incidentally we are seeing the huge volume growth of Albendazole . You can see the good growth this year. And one of the things I would like to highlight , you must have seen SeQuent API business last maybe 5-6 years. I think this is the first year after 2022 we are crossing INR 400 crores. It's a great teamwork both Vijayash and SeQuent contributed. I think it's so quick doing this INR 100 crores per quarter. We were struggling last 2-3 years now. It's streamlined established at INR 100 crores minimum base. And you can see a FY'27 first year after a long time it's going to grow double digit. And with the good profitability with all our actions. And sales, as I said it's a cross selling both. We started interacting last 12 months. A few things are getting materialized . But the products , you know the regulatory scenario takes its own time , 18 months 24 months. But we see the positive momentum on that.

And coming to the corporate functions or shared service whatever , we have fully integrated : We have a clear plan. We are going to do what, which function is going to move here or there. But all are established. It's working as one team. We see that. And also one of the things we mentioned one of the site we are going to divest. That's at Mangalore. We completed the transaction. That's a basically testing site for internal as well as external clients. We are able to close on December 31st. Moved all activities internal. That's where we are going to save at least a million dollars in next year. That's one of the strategic initiative.

With this to close Q3 FY '26 is a milestone quarter. Not only because it's the first reported quarter of the merged entity. But because it demonstrates that the last several quarters of execution translating into sustained performance , steady growth , structurally higher margins and much stronger balance sheet. We have our strategy and actions well defined. And with a strong foundation we have built, we have no doubts we will achieve great outcomes for the stakeholders.

With that. Now I will now hand over to Ramakant – our CFO to take you through the detailed financials. After that , we will be happy to open the floor for any questions and answers. Thank

you. I will hand it over to Ramakant.

Ramakant Singani: Thank you, Doctor. Good evening, everyone. And thanks for joining us. Pleasure to share insights on our strong Q3 and 9-month FY '26 financial performance.

Starting with Q3 FY '26 financial highlights:

Total revenue reached 8.5 billion up 10.9% year-on-year. Formulations revenue grew 20% to 4.8 billion. While API revenue rose 2.9% to 3.6 billion. Gross margins improved 316 basis points to 54.5% from 51.3%. Adjusted EBITDA surged 64.4% to 1.8 billion. And margins expanded

Viyash Scientific Limited

February 06, 2026

Page 8 of 16

700 basis points to 21.6%. Profit before tax for the quarter is at 731 million. And this is after accounting for one-time merger related expenses of 413 million. This shows a multifold improvement compared to 245 million in Q3 FY '25. Profit after tax for the quarter of 485 million. This is again after accounting

for one-time merger expenses of 413 million and a one-time charge on account of MAT credit reversal of 77 million. Profit after tax in Q3 FY '25 was 420 million which actually included a tax benefit accounted for certain accumulated losses in erstwhile Viyash subsidiaries. Consistent performance in the last few quarters demonstrates strength and stability of our revenues as well as earnings.

Now I move on to the 9-month FY '26 performance:

Total revenue climbed 11.9% to 25 billion. Formulations revenue expanded 14.5% to 13.6 billion and API revenue grew 9.6% to 11 billion. Gross margins rose 350 basis points to 54% from 50.5% in the previous year. Adjusted EBITDA jumped 58% to 5 billion. Margins up 580 basis points to 20.1%. Profit before tax clocked 3.5x increase from 498 million to 2.2 billion on account of strong operational performance. Profit after tax more than tripled to 1.5 billion from 480 million in the previous year same period. Our focus on product and service mix expanding geographically and enhancing operational efficiency has driven higher margins and a stronger financial performance. The merged entity financial position provides solid stability with low debt levels and improved efficiency in leveraging assets for stronger returns. Looking ahead we continue to prioritize realizing merger synergies, maintaining steady profitability, further reducing debt and maximizing cash flow generation.

With this I end my opening remarks. Thank you for your attention. I now request the moderator to open the forum for Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Krisha, an individual investor. Please go ahead.

Krisha: Hi. Sir, congratulations for a good set of results. Now that this is a merged result, have the synergies been fully captured or is there much more to come? Is this EBITDA margin of 20% sustainable? Secondly, this quarter there seems to be some exceptional items. Are these one-time or could you please explain a bit more on these? And thirdly, the ESOP costs, are these going to continue? How should we look at it for the future?

Dr. Hari Babu: Okay, thanks for your questions, Krisha. First one is this 20% margins are going to sustain? Yes, it's going to 100% sustain because now you see we have four segments. So, even if there is small issue in one segment, other segment is able to absorb those things. We are very confident to sustain these things. Earlier we indicated of course FY '27 we are going to achieve close to 20% but because of our initiatives last 3-4 quarters we are able to achieve now and we are very confident to maintain that 20%. And also you mentioned that synergies. Synergies are not factored much at this level. Okay, as I said, synergies mostly takes 18 months-24 months. There is operational synergies which requires regulatory approvals. The few things like when I say we

Viyash Scientific Limited
February 06, 2026

Page 9 of 16

shut down one analytical site which is going to give synergies around INR 7 crores. That's going to reflect slightly this quarter but mostly from next quarter onwards. So, most of these synergies are not at all factored but it's going to come in '27. Then the one-time costs, there are three one-time costs. One is this merger related asset transfer stamp duty. That's a purely one-time. There is no change on that to the INR 29 crores. Then the second one is advisors and success fee consultant, was purely merger related, the INR 10 crores-INR 11 crores. That's a purely one-time. The third thing is the tax. Tax returns are INR 7.7 crores MAT credit, whatever we return. So, recently government has issued during the budget they come up with something. That's also purely one-time but we may have positive next quarter if they change the government policy. Next quarter it may end up positive

on that. So, purely all these are one-time. There is no chance of coming to that.

Coming to ESOP, there are two ESOPs thing. One existing ESOPs you must have seen come down this quarter. It's going to continue next few quarters and yesterday board approved new ESOP scheme for old VR scheme convert into new scheme. That we are working out the numbers but that's going to continue next 1-2 years on that. Other than these things we don't see any one time expenses. Hope I clarified all three questions what you asked.

Krishna: Yes sir. Thanks a lot for your detailed answer.

Dr. Hari Babu: Thank you.

Moderator: Thank you. The next question is from the line of Ishika, an individual investor. Please go ahead.

Ishika: Hi. Hope I am audible. First of all congratulations on the great set of numbers. I have a couple of questions. Going ahead, what are the shifts that the Company will do to keep the growth going? Could you please share a bit on the future priorities?

Dr. Hari Babu: Okay. Thank you, Ishika. Future of course I explained few segments where we are going to focus. Companion animal is the big segment to grow and other things CDMO and also integrated play for merger entity. These are the things we are looking for both organic as well as inorganic growth. Since our balance sheet is very strong now, we can leverage the balance sheet. We are working on few areas to grow on that.

Ishika: Okay, I understood. That was really helpful. Also you had indicated CDMO opportunities. Is it for human or Animal Health as well? And where will we see these materializing?

Dr. Hari Babu: It's both. In fact, Animal Health 80% we do business with innovators. It's a kind of CDMO even though we didn't define that. But we are accelerating that growth in Animal Health based on last 6-8 months our performance with them. Now we are getting new enquiries, new RFQs for the new products. And we see the momentum growing Animal Health future. That's where we see the good opportunity. That's one of the reason I also mentioned this year after 4-5 years, Animal Health API is going to grow. CDMO focus is that. And second human health we focused last 1

Viyash Scientific Limited

February 06, 2026

Page 10 of 16

year and we have done reasonably well of course it's a material and it's going to continue. So, both Animal Health as well as human health API is going to continue CDMO. And we can see it's a reasonable number even today also if I put all together. But it's going to grow maybe after 2-3 years, big number.

Ishika: Okay I understood. Just one last one. You had given a guidance of INR 4,000 crore and 20% EBITDA in 2028. Would you still be achieving these targets?

Dr. Hari Babu: So, if you see our current run rate, you know the answer. So, when we say INR 185 crores this quarter, INR 187 crores last quarter, and also the topline is going to close to INR 900 crores, INR 860 odd crores or even if you take 15% growth we are pretty comfortable to reach that level, not even FY'28, in FY'27 that one, whatever. Of course, this pre-ESOP or all those things. But we are comfortable to achieve that. We are very confident to maintain the 20% EBITDA levels now.

Ishika: Okay I understood. Thank you so much. I will just rejoin the queue for the next question.

Moderator: Thank you. The next question is from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead.

Sahil Sanghvi: Good evening and congratulations for a good set of numbers. First question is, first and foremost, a very good presentation. It was really quite in detail to understand what has been achieved and what is the focus going ahead. Second sir, I would like to understand this quarter the growth on the API side has been low single digits. So, is there anything to read over here or is it just a one-off quarter kind of thing?

Dr. Hari Babu: Thank you for your comments and questions. API

, one of the reason is a little bit timing issue.

Last quarter we had a few CDMO contracts. Okay that's pushed to next quarter. This quarter it was less but it's a simple timing issue. But we are growing constantly on that. We don't see anything. It's only quarter small timing issue.

Sahil Sanghvi: Right, sir. Secondly sir, on the CDMO like the previous participant also said, is it possible to give a number as to what percent it would be of total revenue?

Dr. Hari Babu: So, maybe I can give a rough math. This year whatever we initiate because there is the three segments on CDMO. One is Animal Health what we are doing out of INR 400 crores, 80% goes to innovator. We can consider CDMO or innovator business. Purely what we initiated we as CDMO last 12 months, this year we will end up doing 70 crores to 90 crores on CDMO. It's either CDMO or CMO for big players. This year it's going to go INR 70 crores - INR 90 crores. And few projects whatever we supplied validation with innovators. It's going to start commercialize next year. These are the life cycle management products with innovators. Few products we are working. Those products are going to start commercialization next year. This

Viyash Scientific Limited

February 06, 2026

year whatever we supplied these are the launches is coming to mostly 2030 onwards. So, that's it today INR 70 crores -INR 90 crores and we see growing continuously from next year onwards.

Sahil Sanghvi: Okay, so should we expect this part of the business as in the CDMO side to be growing much more faster than the overall growth in the business?

Dr. Hari Babu: But that will go much faster of 3 years I can say. So, these things will take 3 -4 years. One is once you supply validation , innovator generally whatever product even life cycle management it takes 3 years to 4 years to get it commercialized. One of the products we initiated 1.5 year back. The first commercial supply is going to start after 2.5 years -3 years. Full commercialization will come from 4th year. So, since we initiated 12 months but both if we are lucky we can get something next 1 -2 years substantial but most of this growth will come from maybe after 2 -3 years. Till that time next 2 years our existing business growth will continue and most important year you should note Animal Health APIs are going to grow very fast next year. Whatever we set up infrastructure , what we did , process improvements and improved credibility to the current clients it's going to improve drastically. Okay , you can see the very good growth next year.

Sahil Sanghvi: Sure, sir. Thank you , sir and I will come back in the queue if I have more questions.

Dr. Hari Babu: Thank you.

Moderator: Thank you. The next question is from the line of Saja I Kapoor from Antifragile Thinking . Please go ahead.

Sajal Kapoor: Yes, thank you for the opportunity and good to see sustaining healthy gross margins , Dr. Hari Babu and that's a very welcome sign and I have got few questions. In an increasingly crowded CDMO market , what are the 2 -3 capabilities you believe are genuinely hard to replicate by others and which CDMO segments or technologies you have explicitly chosen not to pursue ?

Dr. Hari Babu: CDMO , as explained last call also there are few areas . One is a few companies to do for innovators for the new product and see products that's where they start developing for at Phase 1 or Phase 3 level once the innovative product approach they continue commercialization at this Company. Second thing is lot of innovative companies if you see even next 3 years , many blockbuster products are coming out of patents from innovators. So, last 3 -4 years innovators started looking at alternate low -cost area to improve their life cycle management. That's the second one . That's where we are focusing . We are doing good , both Animal Health and also human health whatever we start

ed targeting life cycle management, but this requires two areas

very strong . One is EHS sustainability and the second is quality credibility . And we believe , since we focus from beginning of the establishment , always top focus on EHS and quality and also most important it's tested by various innovators. We have proven we are much capable to do business with them all ethical things, be it sustainability and all, it's pretty established with innovators that's where we see and most important we are very efficient and speed is very fast compared to whoever is actually large CDMO players . One of the innovator company we are

Viyash Scientific Limited

February 06, 2026

working with additional site recently for all vendors , normally they take 2 -3 years even to initiate and do that and when they see our new site and capability , EHS status they want to do more than what we anticipated . We thought it takes 18 months -24 months , they are going to close in four months . So, the life cycle management we see the good growth opportunity for us next 2 -3 years. The first thing we are not , that's where we are building new products next 2 -3 years , that's what I said building separate CDMO infrastructure and also people. The third thing is where the companies are looking at , there are large number of specialty companies especially in Europe and also there is big generic companies . They are able to develop new products , complex products but they are not able to scale up internally . That's where they are looking at the quality manufacturers which sustain the compliance and we see the largest number of opportunities , you see, last 12 months -18 months whatever we generated INR 70 crores -INR 80 crores revenue that's come from many complex new products especially Onco facility , you know Onco very few quality facilities are available in India . That's, we are the first choice it looks , like many products are coming every month it comes out. These are the most of the products are first -to-file where day one launch happens . Either they get exclusivity, even if they get 10 %-20% exclusivity that's good enough for us . And most important is locking with the customer . When they work with us , tech transfer and content manufacturing with some optimization so they locked with us , they cannot go with others. So, we see these three opportunities second and third we are very active and with our speed , quality , EHS we are able to differentiate . First one, where the new products like Laurus or Divi's , they do NCE products we are gearing up for future. It's all differentiation is basically speed , quality , EHS. Those are the differentiating factors and for my experience , hardly we can see very few companies capable to do that . Of course everybody climbs CDMO, CMO even solvent recovery guys but we see very few companies are able to do that.

Sajal Kapoor: Absolutely, thank you for detailing all of that . Just one clarification , so today we are not ignoring NCE or our patent protected CDMO but we will look we will go after that space maybe more aggressively in another 2-3 years because at the moment the lifecycle management , our relationship with the innovators is giving us a lot to chew already . Is that correct?

Dr. Hari Babu: Yes, we are building what is required what is to differentiate now . We are starting this year , this year if you ask me to focus FY27, the top focus is companion animals . Entire world is looking at, so we surprised few data points when I started looking at . USA will surprise . There are 9.4 crores of dogs and 9.2 crores cats and when I visited Italy last month when I was looking at the data they said when I was talking how it can possible the dogs and cats . It's a completely different word , you can see Italy cats at least one is to one of the people . So, that kind of market we are talking and most important that market is

started genericizing because once the growth starts volume grows up , growth , everybody looks for cost efficient things . That a great opportunity we see. These are the two top focus areas for us .

Sajal Kapoor: Yes. And the generic penetration in animal companion animal that is only about 15 %-16% today versus human. So, that gives us a lot of headroom to grow the animal companion , the cats and dogs?

Viyash Scientific Limited
February 06, 2026

Page 13 of 16

Dr. Hari Babu: That's where we are going to invest both R&D and also one of the manufacturing infrastructure either acquisition or organic in India and expanding front end with products where the markets are strong like Europe , there are 4-5 markets like Italy, Germany, France and UK other than Spain, Spain we have very strong presence these are the markets we are exploring , how fast we can penetrate either through organic or looking for some acquisitions . And India it's a fast -growing market since middle class is moving to above middle class everybody started liking pet this also the highest focus area through BI. This is where we had opportunity to build very strong presence in India . And companion animals if you ask me today API , we are the largest portfolio companion animal API . Okay, we have almost 60% of the total portfolio and we started developing products even the patent expiry for 2032 -34 thing , that's exactly similar to how we used to do for human . These are the things we see we can grow long term reasonable equity . Thank you for that one.

Sajal Kapoor: Just one last if I can squeeze . On the distribution side , we are very active on the distribution not only in India but even outside India , right ? So, we have got active presence in Brazil and other economies even in Europe that should also help us scale up faster in companion animal right ?

Dr. Hari Babu: So, yes, we are very strong distribution chain in few countries like Spain we are very strong , we distribute many other companies , innovators , even for others also . Benelux we have our own distribution channel now Turkey we have very strong field force , Brazil we started building few other countries thing , Italy we started building field force for companion animals and also more than companion animals since we have production animals approved by Europe we are extending those distribution chains also for other countries . So, we have experience of distributing even innovator for us like India , we do distribute with Zoetis long term now with BI and Spain we do , so we have a very strong distribution chain on that , that can accelerate .

Sajal Kapoor: Very helpful, thank you.

Dr. Hari Babu: Thank you .

Moderator: Thank you . The next question is from the line of Kaustav from BMSPL Capital . Please go ahead .

Kaustav: Thanks for taking my question . Correct me if I am wrong , but before the merger the Animal Health business did not have SeQuent which did not have any exposure on the formulation side to North America . So, now post this merger , is there a case for SeQuent business , the Animal Health business growing its formulation business in North America since that's a big market ?

Dr. Hari Babu: Again thanks for the question . We are exploring . We are going step -by-step, first midterm where we want to grow like emerging markets and Europe since we have established distribution . We have full understanding on the products we want to target first phase to grow these markets . The next phase is definitely yes , US also we are exploring . We are exploring two options whether organic or inorganic. US, one important thing required still , supply chain . Maturing supply chain , it may take some time . We are studying the supply chain , how it works compared to

Viyash Scientific Limited
February 06, 2026

Page 14 of 16

human health . And Europe markets we know very well supply chain Animal Health . US still

we

are studying. The two things are required supply chain strength and also the basket of products which takes some time to develop or improve . So, parallelly we are looking at alternate to is

there any M&A available for that . So, we are open to that, but the first top priority is how fast we can grow for emerging markets which includes India and Europe for these things . Yes, we are going to explore and we will be there , only timing still we have not yet decided .

Kaustav: Okay, great . Thank you so much .

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited . Please go ahead .

Bharat Sheth: Hi Hari Babu and Rajaram. Thank you very much for excellent number and opportunity to be with our Company . Sir, since I understand that our CDMO lever will start playing out bigger way after 2-3 years but meanwhile we are expanding the way geographically as well as product basket , either our own or distribution as well as API and now that will also require good amount of investment , so if I have to build I mean , how do we really want to play growth sustaining the margin ? Is there other room for improving some margin say INR 4,000 crore is taken , I mean FY'27. Beyond that , how do we think about it and what is our aspiration ?

Dr. Hari Babu: Okay, thank you . So, it's a detailed question , let me try what our best . So, you know our actions last 2-3 years . First action is how to build a sustainable company , the balance sheet should be strong , whatever our actions are , few years we reached to that . We never focused on the only topline-topline , we could have grown top line much more than that , but we never thought of that . Most important is right balance sheet , right margin , sustainable . So, that where you can take it to next level . So, after 2-3 years both companies that most important last 12 months understanding both companies each other , now you reach to the scale at sustainable level . You can see the jump from INR 120 odd crores to INR 180 odd crores EBITDA base . Now we are focusing on 2-3 things areas . So, you ask the question actually how we are going to support these expansions of that . You see that our debt has come down drastically ...

Bharat Sheth: And of course I mean growing at a better speed than whatever we have done .

Dr. Hari Babu: We are going to generate good free cash flow next year , looking at our current debt INR 200 odd crores is nothing actually for this Company . Then even if you look at it INR 800 crores EBITDA there is a lot of free cash generates , we don't need much CAPEX for existing business whatever API . So, that can take care of some extent and also there will be something comes up warrants , it's going to come . I put a money , 25% remaining , I am going to do 12 months , so all this going is going to come . It's a reasonable size to do entire organic and also some acquisitions . And most important , when you reach to INR 4,000 crores -INR 800 crores odd crores EBITDA , however you can leverage actually data also , to do is there any good acquisition . So, all things , whether to leverage the debt somewhere some extent if required or we can do something share swap , whatever it is , but it's all purely based on the long term sustainable . We don't do just to Viyash Scientific Limited

February 06, 2026

Page 15 of 16

show topline numbers . So, we are very comfortable with this current debt position , free cash , whatever we are looking for cash generation next 12 months -18 months we can do a lot . That's what we are doing. But we don't want to do everything overnight , that's the thing . It's not the case...

Bharat Sheth: No, I do understand . What are the aspirations for improving further lever? Some of the points you say that looks like that will also help us in going beyond 20% EBITDA margin ?

Dr. Hari Babu: First my aspiration is , we wa

nt to become one of the leading animal company , Animal Health company . So, you can understand if I want to be top 10 animal generic , I will not compare innovator actually , that self is the thing and a reasonable size . Of course , aspiration , I feel practically guys , 5 years 15%-20% CAGR is one thing , but when you see the spike it can go one year actually , you may like you have seen our EBITDA growth 50 %-60% this quarter at 9-months , we cannot expect 50 %-60% EBITDA growth every year like that . We can see that spikes while doing acquisition when there is opportunity but we are confident and we are targeting minimum of 15 %-20% EBITDA growth , that's what we look at .

Bharat Sheth: Okay, great . And wish you all the best sir .

Dr. Hari Babu: Thank you.

Moderator: Thank you . The next question is from the line of Aditya from Sowilo Investment Managers. Please go ahead.

Aditya: Thank you so much for the opportunity . I had a couple of questions . One is, now that you know the merger is completed , so what kind of KPIs do you , I mean internally also would you be tracking to see whether the synergies that you are expecting from this merger, whether you are able to achieve that and what kind of CAPEX would you want to commit for this merged entity ?

Dr. Hari Babu: So, a few things will depend integration activities of course , R&D synergies it may not reflect directly but there is a lot of improvement on the business expansion and improvement . That quantification will take a couple of years of that. When it comes to network synergies , that's one of the key thing . We also explained 50 crores -60 crores it takes 12 months -18 months , it's tracking very well , that 50 crores -60 crores , 18 months start from maybe now 3 months over

another 15 months . We are well track on that 50 crores -60 crores synergies and network operations which includes of course corporate functions restructure , so our intention is not to reduce people . Our intention is more improve the business . And third thing is , since the debt is going to go down drastically in addition to 50 crores -60 crores , we can see the improvement on interest payment . Already we started repaying a little bit high debt loan but definitely you can see good improvement on the interest burden . The other thing is since we are very strong R&D , so this is the differentiating Animal Health new products that's going to be a great improvement next 3-4 years . So, coming to the straight point , 50 odd crores -60 odd crores 12 -15-18 months

Viyash Scientific Limited

February 06, 2026

Page 16 of 16

it's going to happen . So, that's first phase . Second phase is going to be the long -term synergies that can show the good growth in the both topline and bottom line on that.

Aditya: Understood . And then like if you look at a 3 to 5 years kind of a timeline , so what kind of target revenue mix you will be seeing between say Animal Health and API CDM or like what kind of , ideally where you would want , how would you want your business to ...?

Dr. Hari Babu: Today we see our mix close to 55 formulation and 45 around API. I am just telling you guys rough figures , okay ? But going forward we see we will maintain same ratio because we have intention , aspiration to grow a lot in the Animal Health formulation business , formulation also complex thing . We see going forward including CDMO it will maintain the same ratio . API, regular APIs after reaching to certain level grow from there , it's not easy like formulation . But since that is going to compensate by CDMO we can expect the similar growth from both areas .

Aditya: Got it. And just a final question . There is a small clarification , like last year in around September , there was this news item that in especially in India that there was some kind of ban on antibiotics and antiprotozoals for treatment of livestock . I just wanted to under

stand would that have any impact on us ?

Ramakant Singani: It's not a general ban across all antibiotics and protozoals, there were 1 or 2 products very specifically which were identified by the government and those are products which almost everybody had but for us it was a very small amount and it doesn't sort of impact us . I think the other thing for us is that the antibiotics more and more internationally are being delivered in the injectable format rather and that is one thing which we have because for veterinarian prescriptions injectables are required . And we have a fast growing injectable operation in most of the Animal Health products which we make out of Turkey . So, to that extent I think we are well covered of that . But having said that there are continuously new products which are getting launched and those are available to our , they are getting generalized and we are sort of launching them as well .

Aditya: Thank you so much .

Moderator: Thank you . Ladies and gentlemen , due to the time constraint as that was the last question , I would now hand the conference over to the management for closing comments. Over to you, sir.

Dr. Hari Babu: Thank you , guys . First of all , thank you everyone supporting us for this merger . So, we will do whatever best , but we are very transparent and we are very open whoever want to understand better you can reach out to the people mentioned in the investor presentation and if anybody want to have a different discussions with me also, I am always available . So, we run very transparent , very compliant way . Thank you so much for your support . Thank you .

Moderator: Thank you . On behalf of Viyash Scientific Limited , that concludes this conference . Thank you for joining us and you may now disconnect your lines . Thank you .

Call: Jun 2026

Viyash Scientific Limited
(Formerly known as Sequent Scientific Limited)
Registered Office:
3rd Floor, Srivalli's Corporate, Plot No.290, Road No.6,
Sy.No.33, 34P to 39, Guttala Begumpet, Jubilee Hills,
Hyderabad, Shaikpet, Telangana, India -500033
T: +91 40 23635000,
E: investorrelations@viyash.com
Website: www.viyash.com
CIN: L99999TS1985PLC196357

May 22, 2026

To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Exchange Plaza,
Bandra -Kurla Complex,
Mumbai - 400 001 Bandra (East),
Mumbai - 400 051

Scrip code: 512529 Scrip code: VIYASH

Dear Sir/ Madam,

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and Year ended March 31, 2026

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Audited Financial Results of the Company for the quarter and year ended March 31, 2026.

The same is also available on the Company's website at: <https://viyash.com/financial>

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For Viyash Scientific Limited
(Formerly known as Sequent Scientific Limited)

Yoshita Vora
Company Secretary & Compliance Officer

Page 1 of 17

"Viyash Scientific Limited
Q4 FY26 Earnings Conference Call "
May 20, 2026

MANAGEMENT : DR. HARIBABU B. – MANAGING DIRECTOR AND GROUP
CHIEF EXECUTIVE OFFICER – VIYASH SCIENTIFIC
LIMITED
MR. RAJARAM N. – EXECUTIVE DIRECTOR AND CHIEF
EXECUTIVE OFFICER , ANIMAL HEALTH – VIYASH
SCIENTIFIC LIMITED
MR. RAMAKANT S. – CHIEF FINANCIAL OFFICER –
VIYASH SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – VIYASH SCIENTIFIC
LIMITED

Viyash Scientific Limited

May 20, 2026

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to Viyash Scientific Limited's Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Singhal. Thank you, and over to you, Mr. Singhal.

Abhishek Singhal: Thank you, Michelle. A very good evening to all of you and thank you for joining us today for Viyash Scientific Limited's Earnings Conference Call for the Fourth Quarter and Financial Year 2026. Today, we have with us Dr. Hari babu, Managing Director and Group CEO; Mr. Rajaram, Executive Director and CEO, Animal Health; and Mr. Ramakant, CFO of the company, to share the highlights of the business and financials for the quarter and financial year. I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as stock exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team. I now hand over the call to Dr. Hari Babu to make his opening remarks.

Hari babu B.: Thank you, Abhishek. Good afternoon, everyone, and welcome to Viyash Scientific Investor Call for the Quarter 4 and Financial Year '26. Thanks for taking the time to join us today. Today is an important milestone for us as we are discussing first-time combined entity 12 months annual results. Q4 FY '26 is the strongest quarter in the company history. EBITDA surpasses INR200 crores. FY '26 EBITDA up by 59.6% and PAT by 1,324%.

Last year, it was negative with a good free cash flow, and most important, strong foundation for future growth. Fiscal year 2026 has been a transformative year for Viyash Scientific Limited, marked by the successful integration of business, operations and corporate functions into one unified strong platform. The integrated platform has strengthened execution, improved operating leverage, contributes sustainable growth, which reflects quarter-on-quarter results.

As we enter FY '27, we are very excited about our product pipeline, infrastructure, strong management team and sustainable growth road map. With a significant deleveraged balance sheet, we are also actively evaluating selective inorganic opportunities in addition to organic scale up to further strengthen our platform and create long-term value.

As we explained earlier, operationally, we have taken multiple actions across all the businesses over the last few quarters, which are reflecting in the results. On the animal health formulation business, all regions are growing very strong, and we believe the growth will continue with our continuous focus on new product launches, geo extension for all our existing products to various countries, expanding R&D and accelerating new product development.

Viyash Scientific Limited

May 20, 2026

Page 3 of 17

Manufacturing expansion at Spain, and debottlenecking capacity at Turkey manufacturing, which are very important to grow for future business. We have initiated; we are working on that. Strengthened front-end team to expand business new markets and scale up existing markets. Many existing markets, we try to add products, we try to add people in addition to adding the new markets. Coming to the human health formulation business, I think it was a

great year for

human health formulation business. We have done a fantastic job FY '26. Accelerating new product development and moving into complex products with internal APIs. As I mentioned earlier also, finished products, we changed our strategy last 2 years.

One is changing our product mix, moving into a little more complex products and all mature products, volume products, we try to internalize APIs and also bringing manufacturing into India manufacturing. That's where we are able to sustain the products and grow and also, most important, margins are growing. Recently, we initiated dedicated -- creating dedicated potent lab in R&D to take care of all our new oncology product development for finished product. Coming to API and CDMO business. This is again one of our core business and a strong business. And most important to note this year, animal health, all you guys must be tracking last couple of years. Last 5 years, it was stable, neither growing nor actually degrowing. It was INR350 crores plus or minus INR10 crores business. The first year after 5 years, we are able to take it to INR400 crores run rate.

And we are very confident coming years; it's going to grow very strong. And already, we see the growth, and we are going to grow very strong in the next coming years. And most effort in animal health, we relooked at the entire strategy. Of course, that's a part of strategy or synergy exercise. We identified a few areas, execution capability, especially on the manufacturing. And most important, R&D, speed, efficiency and portfolio development.

We initiated all those areas last 6 months. It's working very well on those things. We're able to develop a couple of products already last 6 months. And we are covering product development up to at least 2035 patent expiring. And we see the huge potential to grow on that business. And other area, operational efficiency improvement, and we see tremendous improvement in animal health operations last 6 months.

And capacities are growing; we are able to optimize. That's where it shows growth as well as margins improvement. Coming to human APIs, like formulation business, last 2, 3 years, we try to optimize in various aspects, taking out commodity products, taking out little intermediates into taking out and converting into API business. We did a big exercise last 2, 3 years. That's how we are able to improve the gross margins drastically.

So last year also, we did some optimizing of intermediates business. All intermediates, whatever we are doing, either we are trying to convert into API, which, in fact, is going to convert into finished products. We started last 18, 24 months and started getting approval, that's where you can see the growth in the near future. And other strong area of APIs are continuous development of the new products.

Viyash Scientific Limited

May 20, 2026

Page 4 of 17

As I mentioned earlier call also last 12 to 18 months, we moved out from general volume products to complex and a little more high-potent areas. We were able to do a large number of products, validated and lock in with many customers. Launches are going to come near future and also in the long-term perspective. And whatever we developed last 3, 4 years, we acquired these companies in '21 and started rebuilding R&D from '22 and filing many products from '23, '24, '25, which started coming approvals now.

This year onwards, we are expecting a reasonable number of approvals, which give good value for top line as well as bottom line. And other area where strategically we are focusing. Of course, we were talking CDMO, different areas. One of the areas where we are strongly focusing with innovator business on the life cycle management. And all you guys are aware, animal health, almost 70 %, 80% goes to innovators. And we see the strong potential to grow near future. Whatever we are doing this year, I can expect

next year at least 30%, 40% growing innovator business. Innovator business is quite sustainable and reasonably profitable business. That's where we are focusing, and we see good potential to grow, and you can see '27 itself growing that business.

Finally, which is very important, of course, integration and synergies. As I mentioned earlier, teams have been integrated very well, whether it's operational or business or most important corporate functions. And most important thing is the entire team is fully charged up for future growth. That's where is my excitement personally.

And coming to the synergies, synergies are tracking pretty well. It's tracking better than what we anticipated during the merger. And we are continuously looking for additional synergies. At this point, I'll stop. And today, maybe we'll allow time for more questions or clarifications. With this, I will hand it over to Ramakant to take care of financials. Thank you, everyone.

Ramakant S: Thank you, doctor. Good evening, everyone, and thank you for joining us. I'm pleased to present the highlights of our strong financial performance for Q4 and full year FY26. I begin with the highlights for Q4 FY26. Total revenue stood at INR920 crores, reflecting a year-on-year growth of 19.1%. Formulations revenue increased by 28% to INR499 crores, while API revenues grew 5% to around INR384 crores.

Gross margin improved by around 236 basis points to 55.1% compared to 52.8% in the same period last year. Adjusted EBITDA rose sharply by about 64% to INR200 crores, with EBITDA margins expanding by 593 basis points to 21.7%. Profit before tax improved significantly, moving from a loss of INR37 crores to a profit of INR125 crores in the current quarter. Profit after tax also recorded a strong turnaround, rising -- from a loss of INR32 crores to a profit of INR66 crores year-on-year.

Coming to FY26 full year performance. Total revenue for FY26 reached INR3,420 crores, representing a growth of 13.8% over INR3,007 crores reported in FY25. Formulations revenue grew 18% to INR1,866 crores, while API revenue increased 8% to INR1,491 crores. Gross margins expanded by 321 basis points to 54.3% compared to 51.1% in FY25.

Viyash Scientific Limited

May 20, 2026

Page 5 of 17

Adjusted EBITDA increased 59.6% to INR702 crores with margins improving by 590 basis points to 20.5%. Profit before tax grew more than 26x to INR349 crores, compared to INR13 crores in the previous year. Profit after tax increased more than 14x to INR225 crores, up from INR16 crores last year. Our balance sheet remains strong, supported by healthy liquidity and comfortable leverage position, which gives us flexibility to pursue growth opportunities, both organic and inorganic.

We continue to focus on disciplined working capital management, ongoing improvements in operational efficiency across the business. These strong financial parameters were reflected in the external credit rating upgrade with long-term rating moving to -- moving from A to AA - and short-term rating improving from A1 to A1+.

Looking ahead to FY27, our key priorities include strengthening merger synergies, improving operational performance, allocating capital efficiently to drive sustainable growth, further reducing debt and maximizing cash flow generation. With that, I conclude my opening remarks. Thank you for your attention, and I would like to invite the moderator to open the floor for question-and-answer session.

Moderator: The first question is from the line of Vishal Manchanda from Systematix.

Vishal Manchanda: Congratulations on a very strong set of numbers. Sir, could you kind of share some color on the CDMO business as to like how we are looking to build that and how we are placed currently in terms of either number of clients or number of products that we are doing on CDMO side? And any potential leads that we have to take this forward in a meaningful manner?

nner?

Haribabu B.: Yes, sure, Vishal. I explained last call also the same thing, CDMO. CDMO, there are 3, 4 models, working with innovators on NCE molecules, okay, where we start with Phase III, move to the commercial thing. And second thing is start with the life cycle management, whatever their products normally once its patent expires, they look for alternatives. That's the second business. And third business, now there's a lot of opportunities for specialty companies, both in Europe and also India big companies where they don't have infrastructure to develop and manufacture. So, they are coming and looking for CDMO business for specialty products. So first one, I'll come a little later.

The second and third life cycle management business. Now I can say at least we work with 8 to 10 innovators, big innovators, both human health as well as animal health. And I see good traction last 6, 9 months, okay? Animal health, we were struggling a little bit on delivering their expectations. But now we have come out from those things.

We are able to grow a lot life cycle management products in the next 1, 2 years. So, with 8 to 10 customers, a few products are waiting for approval, what we initiated 2, 3 years back. It's coming for approval start from end of this year. So started getting approval from a few markets but entire a global thing, it's going to happen by end of this year. So, like that, we see good growth potential near future, okay?

Viyash Scientific Limited

May 20, 2026

Page 6 of 17

FY27, I can say, at least innovative business on this life cycle management, I am expecting to grow 40% and the base is around INR200 crores, INR225 crores on that. And the third thing, specialty companies last time also explained 2, 3 models. We develop the product, we manufacture and they file the product, and we have some profit share also. We did almost 16, 17 products. I don't have a number, but it's a little more than 16 products on that.

Coming for -- all these are complex products coming for a little later launches, start from maybe '29 to '30 kind of thing, and it goes up to 2035, '37. So that's we are adding continuously on that, and we see the good potential on that. In the same category, we also adapted one more model on that instead of just working -- developing and doing for them with some profit share, we also initiated a few products, complex products, joint development. Pure formulation players where

they have strong presence on developed markets. We are working with them with the joint development program.

So, we take risk on the API development and API quantities, and they develop formulation. So, one way it's very faster development since they are reasonably strong on formulation where we are strong on API. So, the development cycle is faster and simpler and more important, it's efficient. So, we initiated 3, 4 products. Already, we have done 1 product.

In addition to that partnership, a few products last call, I mentioned mature products. These 2 areas growing very fast, but Vishal, these things will take time. When you are looking for CDMO, always it's a longer-term perspective. And any CDMO starts with life cycle management once you have strong relationship built with innovators and go to the first one actually where you can start with the Phase III and converts to the commercial. That's where we are building infrastructure.

We are building -- started building resources this year, okay? That takes a couple of years for sure. So that's our CDMO. I'm not -- I'm very practical on this. It's easy to say CDMO can work with innovators but I don't want to go into that. Whatever we say we follow. So that's the second and third areas we are working very actively. But the first one, NCG, it takes time to be done.

So that's where we are building. We are looking at various opportunities.

If we get something on that area, some inorganic option, we are open

to look at. So, we are

looking continuously but we don't want to acquire just for sake of showcase something or showcase numbers. We are looking at the good asset if something comes out. So that's where we are looking on that. Hope I answered your question, Vishal?

Vishal Manchanda: Sir, just a follow-up on this basically. So, when you say specialty, you mean you do the -- so you do only the API, right, not the formulation but the API is basically, maybe it's a complex API look at? That's the...

Haribabu B.: Two things here, Vishal. Formulation, we have our own setup already. Most of our products, we do that way. I will explain that. This is -- mostly, these API, CDMO partnered with our formulation partners are reasonably complex or high potent because as you know, we have 2 high potent dedicated facilities.

Viyash Scientific Limited

May 20, 2026

Page 7 of 17

Capability starts from as small as 0.5 kg or 1 kg to 100 kg batches. These capacities, very few companies are having that flexibility. That's where our strength with R&D scientists, we are able to do that. The formulation, as I mentioned in my remarks, we are moving into the complex. That's how we are building our R&D onco lab, which is getting ready soon, mostly this quarter and the next quarter.

We are moving into the complex products in formulation. The formulation is always partnership model, Vishal. What we do today, we develop the products once we have -- we identify the product and once we come up with proof of concept, we go to the partners, all big companies, and we work with them.

So, they pay for development and we continue development, we get approval and we do manufacture and profit share is mostly 50%, 50%. So, formulation entire business, what we do is directly or indirectly comes into the CDMO business. But it's mostly the big generic players like Cipla or Dr. Reddy's, all big players in the U.S. That's what we did.

Vishal Manchanda: Got it. And sir, like you said about INR200 crores of the business is currently CDMO. So, the top line in API is about INR1,500 crores, so roughly 15%. So over next 2, 3 years, would this become, say, about 30%, 35% of your top line, the CDMO business? And are these relationships with innovators very old or you have recently built this relationship and hence, there's a scope for you to ramp them up much larger?

Haribabu B.: Most of the relationships are very old, long, maybe last 10, 15 years, there are 2 things. One is relationship with Viyash, relationship with SeQuent animal health and also our past relationships where we work. Most of us, we work in big companies had experience with these guys. But most of the relationships are already commercially demonstrated. This INR200 crores business, it's coming from last 7, 8 years, the Se Quent bigger business is that.

But last 6, 9 months, that credibility or the relationship has improved for us. where we focus on the quality on the R&D products, our efficiencies, improving quality systems. That's where they started getting more comfort and looking for more products on that, Vishal. So, to answer to your question, maybe 90 %-plus is our existing relationships, 2, 3 products what we are anticipating approvals this year, next year. Those are the relationships we built in the last 2 years.

Moderator: The next question is from the line of Surabhi from NV Alpha.

Surabhi: Congrats on a good set of numbers. So, my first question is there is almost a INR13 crore quarterly gap between the reported PAT and the PAT, the minority. So, I wanted to understand, which subsidiary accounts for this minority interest? And what is the scale of the subsidiary in terms of revenue, EBITDA? And how is that going to grow in FY26? That's my first question.

Haribabu B.: So, we have -- I will start, maybe Ramakant can add if something I miss. We have 2 subsidiaries. One is in U.S.A., which is the human health formu

lation. We have manufacturing in the U.S., of course, R&D in Hyderabad that manufacturing is a subsidiary. We have majority control on that. And revenue, I think we reported that revenue is around INR425 crores revenue. And I don't know, EBITDA, Ramakant, he can tell. And other subsidiaries is in Spain. Both are having majority. We are working on that next 1, 2 years actually how to get that remaining thing.

Viyash Scientific Limited

May 20, 2026

Page 8 of 17

We are working closely with that. We have option to buy back that. I think Spain -- Raja, correct me if I'm wrong, Spain by '28, I think there's option to buy back. And yes, we have option to exercise any time. We are looking at various options. Maybe we look at next 1, 2 years on that. The numbers specific to -- I don't know whether you factored specific PAT numbers, but overall percentage is maybe Ramakant can explain.

Ramakant S: Yes. So as doctor mentioned, the Appco, we own the U.S. formulations business, we own 60% of the stake and minority remains at around 40% and revenue -- annual revenue is about INR400 crores, INR425 crores. In Spain, again, we own 60% and the revenue from Spain is about INR550 crores for FY26. So currently, whatever you just mentioned, about 20% of the EBITDA or the profit margins are coming from minorities.

Abhishek Singhal: 20% of PAT.

Ramakant S: 20% of PAT is from minority.

Surabhi: Got it. And just if you could throw some more color on the animal health portfolio. You mentioned that since the last 5 years, it was kind of stable and this year, you will grow and more contribution from the innovators. So, what kind of products and geographies are you targeting? And how much of it will be companion health in this? And also, some color on the distribution partnership with Boehringer Ingelheim for the India portfolio?

Haribabu B.: So, 2, 3 things in animal health portfolio, what I mentioned. One is API. API, we do majority business with innovators. It goes to everywhere, every geography in the world. So, most of the products, what we have been doing till today last year are the mature products like Albendazole, okay, there are a few mix of large animal as well as companion animals. Most of the products are mature products.

Last 2 years, of course, we started a few new products, which are coming out of patent from '28 onwards. That's where our focus is going to be on API while expanding that existing matured product business, adding most important on the new API products, which are coming out of patents. Up to 2035, we looked at -- our R&D started working up to '25. We identified almost 15, 20 products and 5, 6 products are very large products coming out of patents.

If you know a little bit on the liners, those are the big products on that. Another advantage of developing an API is since we are in the formulation of these things, we can extend to the formulation development also. That's what we are doing. So that's where API business, a few products, existing clients are adding and few products, it's adding geography, one or two products they are doing for only India.

Now they started qualifying last year for all other geographies, which are bigger geographies like China or some of the Europe countries. That's where that INR100-odd crores, whatever I mentioned is the existing products adding geography on that. All new products, whatever is coming, it reflect from maybe '28, '29 on that. And also, it helps us to protect and lead formulation business with internal APIs. A couple of products are specialized APIs. It's not easy to get sourcing.

Viyash Scientific Limited

May 20, 2026

Page 9 of 17

And even if you get -- there are very limited sources. That's how to protect and grow the product formulation, we are doing that. Coming to the formulation, there are 2 segments. One is the large animal thing where we had a lot of focus till last year

. From last year, we are extending that focus to companion animals.

One large animals, we are adding a few geographies like we are very strong in Spain. We are very strong in Turkey. Last 2 years, we started expanding geo expansion, trying to add all European countries because both sites are approved by EU GMP. And whatever products we are manufacturing injectables at Turkey and powder solutions at Spain, we are expanding to Europe markets on the large animals. The same way, the Brazil, we have a manufacturing site for large animals that we are expanding to the Lat Am countries.

And we see good growth from Mexico this year. Other area, a few other countries, Southeast

Asia countries like Vietnam, we just started our front -end activity. That's one of the bigger market for large animals. And also, we are exploring for Africa, all those in large animal products. Large animal products advantage is we covered almost 80%, 90% of the entire portfolio in that segment.

So, the growth comes on the market expansion on that. Coming to the companion animal, which is the strategic growth area for us next 5, 6 years. Multiple things we are doing. One is with the partnership with BI. That's the first that we started last quarter. We want to expand entire our companion animal platform content through this partnership.

We are going to distribute entire BI segment, whichever are coming in future also, we are going to do that. With that platform, we are able to develop and actually get into the market. And we're expanding a lot in the companion animals. We already initiated R&D expansion. It's going to happen next 6 months. And the product development is going to increase by 5 x, 6x, whatever we are doing, a few products today.

It's going to add a large number -- at least we are looking at 7, 8 products per year. And most important, the products are coming out of patent may be '29 or '30. And some of those products are differentiated products, as you guys know, cat and dog, likewise, various combinations on that. So, we are working on that a little bit differentiation and new products.

R&D started expansion. We are building -- we gave capex clearance for R&D on the company. People, we started hiring. And most important manufacturing infrastructure also we are adding this year. That gives a lot of opportunity to expand companion animals. So, India, we are expanding front end. Whatever product portfolio are going -- we are doing, we are going to launch everywhere.

Most focus areas are at first phase Europe and India and where we have presence today, strong presence like Turkey and Brazil. So, this year, FY27 is a building -- platform building for companion animals, R&D, manufacturing and front end wherever is required. And also, we are looking at some inorganic options for these things. We are looking at a few options. So that's a broader area of companion animals. So, this is a focus area on that.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

Viyash Scientific Limited

May 20, 2026

Page 10 of 17

Sajal Kapoor : Dr. Hari, pure -play intermediates and API companies such as Alivus Life Sciences have been reporting gross margins in the 55% to 60% range. Now given Viyash's exposure to formulations, API, CDMO, complex intermediates, how should we think about the sustainable gross margin profile and I mean, over the next 3 to 5 years, do you see gross margins inching up from here? We are already at a decent level, but when you add formulations, you expect a higher gross margin. Otherwise, there is absolutely no point doing formulations in addition to APIs.

Haribabu B.: Yes. I think you answered question itself when you say it's a decent gross margin, as I explained, intermediate and API stand -alone, maintaining 55% gross margin for generic play. It's not easy unless we have different strategy. That's how we follow

last 2 years. Our gross margins 3 years

back, if you compare our EBITDA, gross margin or PAT 3 years back, which was completely different. Why? Because mix of intermediates and API where we sell and large business actually intermediate contribution used to be much more.

That's how we changed our strategy to maintain or improve gross margins, what we have adopted wherever there are intermediates where we have strong presence, try to do forward, forward integration. What it mean forward, forward, intermediate take it to API, take it API to formulation, wherever we can do that. The similar way, wherever we are strong in the formulation or API, try to backward integrate.

So, we try to optimize continuously taking out commodity products where we're not able to make good gross margin. Generally, commodity gross margins are 30%, 35% and making those products in highly regulated environment, you are able to survive, but it's not easy to improve.

That's how we try to optimize the product mix. We did very well last 2 years. So, with that mix, we sell intermediate with a reasonable gross margins and also sell intermediate wherever we are using API so that we can utilize the capacity.

That's how we are trying to do that. So, with this mix strategy, moving to API, API to formulation, formulation to back, these are -- we are able to manage that gross margin but knowing this business last 30 years. Even if it improves plus or minus 1%, 2%, but less maybe after 5, 6 years, unless until we go to that I think these gross margins will be maintained. Once you move to CDMO and C -- maybe improve. But otherwise, at this stage, I feel this is reasonable, and we are confident to maintain those gross margins. Here or there, plus or minus 1%, 2% kind of thing.

Sajal Kapoor : No, that's helpful. That's helpful. And I was following the commentary from Zoetis management, the animal innovator leader in the U.S. and they sounded cautious in terms of generic opportunity. And the reason is that some of the American consumers are consciously shifting

into generic or more affordable drugs for their companion animals.

This was not a trend that was seen earlier. So, in this changing landscape, I mean, logically thinking companies like us should be able to gain more traction maybe through life cycle management and even directly offering our own IP, the generic molecules that is. I mean what is your thought process?

Viyash Scientific Limited

May 20, 2026

Page 11 of 17

Haribabu B.: So that's exactly what we are trying to do. It's the entire companion animal segment, what we are projecting, what we are strategically working next 5 years. Europe, companion animals, it's moving a little faster genericization. Today, developed markets, innovative controls fully animal health segments, whether it's animal or companion animals. And under-developing countries have moved into the generic business, but developed countries still controlled by innovators. For companion animals, it's moving fast. Last 2, 3 years, if you see, still, it's a large opportunity because the volume is growing. So, there's no rocket science here; last 3, 4 years post COVID, pets are growing day by day, okay? Pets are like kids. So, every country is growing. I was surprised to see, in U.S.; there were 9.4 crores dogs and 9.2 crores cats. So that together, 18.6 crores, that means each family is having at least one. And Europe is growing every day. Surprisingly, cats are growing much faster than dogs.

When the volume is growing and another issue in this, especially Europe, unlike human health insurance coverage is not full. It's covered by 25%. We visited all distribution centers and hospitals, everything. So, insurance covered is by only 15%. So, the volume is growing, it's naturally it has to convert into generic. That's where we see the bigger opportunity.

That's how we want to do, start with Europe, India, where the bigg

er markets are growing. And

next step is go to U.S., U.S. is still a little complicated, especially companion animals. Guidance is not very clear. Is it actually some of the solutions, we do something for human but BA/BE sometimes it's not acceptable, same as human.

It requires a little more studies. So, it's a little complex guidance in the U.S. That's where actually our next 2, 3 years focus is on where we can do faster growth. Europe base, since we have experience exposure, actually, we see that's a faster growth.

Next phase is going to U.S. by doing ourselves or look for something else. So exactly, we are doing that. That's the area where we are accelerating. That's the reason we decided to go quickly R&D expansion as well as manufacturing expansion for companion animals.

Sajal Kapoor: Very, very helpful. And lastly, this time around the receivables growth, and that's common. I mean, receivables often outpace the revenue growth in a scaling business. It's a common observation, nothing unique to us, but it has happened this time around. So as manufacturing eases and next constraint may shift somewhere else, I mean, what is the next bottleneck you see in the system? And what operating discipline will keep cash conversion and execution quality intact as the complexity increases going forward?

Haribabu B.: A few things when you are -- when you want to grow faster and big, okay? These are the natural things, sometimes inventory receivables, a few countries, countries like Turkey, all these countries, credit period is very high when you are growing bigger thing. Where we don't see any risk -- but looking at various things, we always look at net working capital things.

And this year, our focus area, you might have seen this quarter when our EBITDA is INR200 crores versus PAT INR60 crores. That's one of the key focus area, how can we convert into EBITDA to PAT better. Various options, of course, our finance burden is going to come down. And we are looking at the tax structure also differently.

Viyash Scientific Limited

May 20, 2026

Page 12 of 17

That's how we are moving a couple of subsidiaries from old tax regime to new tax regime. old tax regime in India, 34% to 35%, it's moving to 25%. So, we are looking at the various options, but sometimes it's exceptions receivable when the market demand. We are working closely on all these things. Ramakant, if you want to add something, you can.

Ramakant S: Yes. So just to add, I think absolute number does reflect the growth in revenues, absolute number of receivables, if you see that increase is majorly because of the revenue growth. But if you look at the number of days, it has been within a small range, maybe about 5, 6 days of increase that we have seen in Q4, which we believe is in control. We don't see any concerns there. But as doctor said, the focus continues to remain on how do we convert from EBITDA to net profit. How do we optimize that conversion or maximize that conversion is the focus area for the next couple of quarters.

Moderator: We'll take the next question from the line of Kumar Saurabh from Scientific Investing.

Kumar Saurabh: So, in last con-call, you had spoken about companion animals generic penetration being this

15%, 20%. If you can talk more about that data in terms of what is the total addressable market, both in India and globally? And what is relevant for us, how this market is growing? If you can give more details on this?

Haribabu B.: I think our -- where we are focusing market, Raja, maybe you can add if I missed something. Companion animals, mainly Europe is the thing. U.S., we are not -- of course, bigger market is U.S. since most of the market is a branded market innovators. I think Europe is close to \$1 billion market, right? Raja. Just say the addressable...

Rajaram N.: Yes. A bit more without -- the addressable market would be that if you leave out vaccines. Yes.

Haribabu B.: Yes. So, without actions where we are planning, it's close to \$1 billion. And most of the products we are working on that. That's the thing. And also, we see that genericization also is improving on that market. That's a more developed market. India, market is not big, but we see at least it's going to grow. India, we are also looking at various things near future. At this point, mostly we look at medicines.

So that's what we distribute vaccines for BA, all products. But it's going to be a few hundred crores in India. But the addressable, what we are looking at a \$1 billion market in Europe at this point. And we are preparing all for that, whether it is R&D, front end or manufacturing on that perspective.

U.S. is the next stage. That's the bigger market. So, we take it in the next phase. In between if something comes up right opportunity inorganic, we may look at. But our first priority is to address Europe and also to address countries like Brazil, these countries.

Rajaram N.: And if I may just add, I think the important thing is that unlike human generics where the pricing drops very drastically to almost 10%, 15% of the innovators' price. I think what happens in animal health generics is that the pricing drop to the generics is far slower. It tends to be more like 60%, 70% of the innovator's price.

Viyash Scientific Limited

May 20, 2026

Page 13 of 17

And therefore, you're right in observing that, one, there is a 15% -- genericization is much less in animal health. It is increasing very fast. Europe is an interesting opportunity. And also, because there is an opportunity if you have a front end to actually distribute branded generics at reasonably good margins. So, I think that's the other piece which is there.

Haribabu B.: The good thing about our strategy is now we have understanding on everything. Front end, we have a great understanding since already we are doing. And we are very strong on API. We are strong on operations. So, with the integrated play, definitely, we believe we can differentiate this and grow bigger.

Kumar Saurabh: One last question. And our performance has been commendable. I think what you guided for FY28, you achieved much before. And we are much above the 20% guided margin. But do you see further scope for synergies and cost advantages? Or like this is the optimum we should consider? Or is there more to extract in terms of optimizing the margins?

Haribabu B.: It's 2 things. We have to balance margin versus growth. So, this year, we are going to invest a lot. As I mentioned, our R&D investments are growing a lot, okay? Substantial investment is going to happen on finished product formulation, both human health and companion animals. And most of these are complex molecules. We are going to invest a lot on R&D.

And also, when you are building additional capacities, there will be some pre-opex on that. So, it's try to balance, but we are very confident to maintain these margins. But once you actually next phase is the investment phase, whatever we did last 2, 3 years, optimizing existing infrastructure existing.

But next 2 years, we are going to build and invest on the R&D all those things. But we are very confident to maintain these levels. I'm always trying to be practical on that, okay. If we get some few products, good thing, we may, but we are thinking at this level gross margins.

Moderator: We'll take the next question from the line of Chintan Modi from Oaklane Capital.

Chintan Modi: Sir, my first question is respect to the synergy benefits. I think we are targeting something like INR60 crores, INR70 crores. Can you tell us -- and you mentioned that there could be some more synergy benefits. How much has been accrued and how much more we can see in the next year?

Haribabu B.: So rough math, I can say annualized, we are accruing close to what you mentioned, INR50 crores, INR60 crore

s. Initially, when we decided this merger, we anticipated INR50 crores, INR60 crores overall. But now we are going to do much more. So, at this point, I think tracking INR50 crores, INR60 crores annualized numbers. But again, the bigger portion also is coming to come in next 12 to 18 months because the synergies operations, we have to develop and file approval, all these things will take its own time.

And as you know, last quarter also, I mentioned, we invested capex for all kinds of capacity

increase in V iyash . So, we are waiting for approval. Once that comes, it's going to have further synergies. So, we are hoping altogether at least maybe INR125 crores, INR150 crores at this
Viyash Scientific Limited
May 20, 2026
Page 14 of 17

point annualized. But at this rate, we are tracking at this point, INR60 crores. But next 12 to 18 months, it's going to happen that INR125 crores, INR150 crores.

Chintan Modi: Got it. Next question is, sir, because of the recent geopolitical issues, many chemical companies have been facing raw material availability issues as well as volatility in prices. Could you throw some color on that on how we are placed over next 1, 2 quarters? And is the raw material availability secured for us?

Haribabu B.: So, as you know, it started beginning of March. There is a small impact in March, but it's not material, 2 things. We are able to manage on one is inventory, all key materials, we have enough inventory to manage 1 or 2 quarters. The bigger impact on 2 things. One is the solvent where we cannot keep inventory per month together.

And the second one is the freight. Freight impacted a little bit INR1 crores, INR2 crores in fourth quarter. Solvents, there was impact. But we are able to -- how we are balancing since we are recovering very efficient solvent that the consumption is we're trying to minimize whatever best possible. And another area, we are trying to increase the prices.

We are able to increase the prices to balance these things. So far, we are able to manage very well till now. This quarter also, we are confident to manage. But if it continues further, okay, maybe next 1, 2 quarters, we need to see that how much we can increase the price. But at this point, I don't see any material impact on that.

Whatever we do price increase versus raw material increase or freight increase, we are able to balance. But there may be a little impact, but I don't see bigger thing at least for this quarter.

Next quarter, we need to work on that. We are managing very efficiently on that side.

Chintan Modi: Understood. Sir, with respect to tax rate, how much should we model for FY27 and '28 as a percent of PBT?

Haribabu B.: I think around 27%.

Ramakant S: Yes, yes. Average tax rate should be around 27%.

Chintan Modi: 27%.

Haribabu B.: So, this quarter was more because of we are moving from old regime to new regime, old regime, some of areas of 35%. There were some tax adjustments because of integration of merger. So, all these things are going away. That's also we are trying to optimize that. I think next year onwards, it's going to be 26%, 27% level.

Chintan Modi: Understood. And sir, one last question is with respect to, let's say, over next 5 years and given that we have multiple levers for growth lined up across formulation, API and CDMO, can we expect a growth rate of in the range of, let's say, 15% to 20% kind of is it possible given the market conditions and the initiatives that we are taking?

Haribabu B.: Yes, 15% definitely quite possible. Still, we are working on the detailed strategy. Maybe, sometime soon, we are trying to hold an investor meeting with the detailed strategic plan, what
Viyash Scientific Limited

May 20, 2026
Page 15 of 17

we are going to do, how we are going to do that. We are able to tell you that looking at our current business and what -- I have idea, I think 15% is possible.
Modera

tor: The next question is from the line of Shreya Wazir from BMSPL Capital.

Shreya Wazir : Sir, I want to understand how you see the company's journey from EBITDA of INR700 crores that we do today to INR1,000 crores and then to INR1,500 crores. So, in how many years can we achieve these EBITDA growth targets? And how does margin volatility due to raw material cost volatility in different geographies that we do business in different business segments we operate in impact our EBITDA growth targets?

Haribabu B.: So, I'll answer the second question first, market volatility on raw material. As you know, -- we do most of our business, API business, especially is the quality markets, developed markets or regulatory markets. The pricing was reasonable, a little bit sustainable. We are able to pass it on here and there. But with my experience last 5, 10 years, these are the things sometimes it comes we have to manage time to time.

With our base, with our product pipeline, with our market access, I don't see any volatility in going forward these businesses, what we do API. Formulation, there are a few businesses like US business, post -COVID, there were 3, 4 years, it was bad time. Large number of players came from India; it became highly commodity business. That's how we restructured our business, try to move to entire internal API and also move manufacturing, that's where we are able to manage that.

Few markets, other markets like Turkey, volatile hyperinflation, whatever it is. We see the good growth last one year, FY26 also, we see the good volume growth in addition to whatever adjusting inflation. So, all looking at our product pipeline, market access, all those things, I don't see much volatility or impacting margins or growth.

The first one, whatever you asked, INR700 crores versus going to INR1,000 crores and INR1,500 crores -- we indicated INR800 crores FY27 or FY28. Somebody says FY28, somebody says 'FY28 but 'FY27, my internal target was FY27. But we are able to achieve that run rate now. You have seen last 2, 3 quarters start from quarter two numbers.

That's where we started integrating two companies. So, a couple of things synergies and market access happened better than what we anticipated. So INR1,000 crores, we are targeting. So maybe next 2, 3 years, of course, next session when we come in June meeting. So mostly, we'll be able to indicate. But at this point, INR1,000 crores. But I'll confirm this. Don't take it -- maybe 29% or whatever it is.

Ramakant S: We already said that annual growth rate could be 15% from the annual -- easy guess on when we'll hit INR1,000 crores.

Haribabu B.: But anyway, we'll come up during that Investor meeting.

Moderator: The next question is from the line of Krisha Shah from Mangal Keshav.

Viyash Scientific Limited

May 20, 2026

Page 16 of 17

Krisha Shah: So, post the merger, we have been bullish on API as a business. But if we see the numbers recently on a quarterly and year-on-year basis, growth has been around 7% to 8%, like a single-digit growth. So, is there any particular reason for this, like taking into consideration that our business may be lumpy? Or is it sustainable? Or do we look forward to double-digit growth in the API business?

Haribabu B.: Yes, 2 things. Synergies is not on API, first of all, to answer to. Second thing is API, why this growth is single digit for this year. As I explained earlier, we try to optimize low-hanging actual commodity business intermediate business. So, we are growing API business, which is a quality business like animal health business, it has gone from INR350-odd crores to INR400 crores API also APIs are growing double digit.

And intermediate actually, we purposefully reduced that sales. So that's the reason the quality of the business is growing. But going forward, you can see double-digit growth. Now we are seeing a large number of approvals coming this year

, next year on human health APIs. And we see animal health APIs step up this year. So, you can see comfortably double-digit growth next year, more or less same as formulation growth.

Krisha Shah: Sir, one more question that I have is that now that we are expanding, do we have any plans on hiring more R&D talent or investing in R&D expansion or taking forward the scientists?

Haribabu B.: We are. API R&D, we have a big team. We are together close to including analytical process altogether close to 250 scientists. So, it's a very strong team, which is enough for API. And [inaudible 59:43] formulation, we are expanding the team, as I explained, large expansion in animal health and formulation also, we have a reasonable good number of team, human health around 55, 60 scientists. That's good enough.

Only wherever it requires specialized talent, we are adding in human health formulation. But animal health formulation, we are expanding a lot. That's the focus area this year. R&D scientists, capex, everything we are adding on that. So, we are going to add a big thing, capex also and R&D resources for animal health, we are adding.

Krisha Shah: And just one last question on the bookkeeping side. So, if you could give some color on the depreciation going forward, like if we see this quarter, our depreciation expense was slightly on the higher side. So, if we are doing further capex in the future, do we see it increasing? Or yes, some color on the depreciation?

Haribabu B.: The two things in this depreciation this quarter or this year, okay? Every quarter, there's close to INR25 crores depreciation on goodwill amortization. That's going to be reduced next quarter onwards. So last year, it was INR100 crores on that. This year, it's going to be INR35 crores. Second half, it's going to be INR25 crores, INR50 crores plus second quarter, maybe INR10 crores, INR15 crores. That depreciation is going to come down around INR65 crores from existing base annually. And the new capex, whatever we are adding, I don't think it will increase substantially because it's -- I think it's the run rate is going to go same level. Whatever is the new capex, the existing depreciation. I don't see much difference on that...

Viyash Scientific Limited

May 20, 2026

Page 17 of 17

Ramakant S: Yes, that's right. As doctor mentioned, in the current numbers, if you look at the annual number, about INR100 crores is depreciation or amortization coming from amortization of intangibles.

That will go away. In the next year, it is going to be at about INR35 crores. And the depreciation, excluding this amortization, we believe that it will be similar to the current year.

Moderator: Ladies and gentlemen, in the interest of time, we will take that as the last question for today. I now hand the conference back to the management for closing comments. Thank you, and over to you, sir.

Haribabu B.: Thank you, guys. Thank you. First of all, let me say thank you so much for your continued support. I know you guys had a lot of patience last 4, 5 years. And it's hard to believe also when we said this company is going to go turnaround.

But fortunately, we have a fantastic team. We are working as one team, both companies. And things are going well. I'm very confident this company will have great potential in future. Thank you. Thank you so much for your support. And we are always available if somebody needs any clarification or anything. whatever we can do. The timing is sensitive, wherever it is, we can explain, explain. Thank you, everyone.

Moderator: Thank you, sir. Thank you, members of the management. On behalf of Viyash Scientific Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.